Sun Pharmaceutical Industries Ltd. (SUNPHARMA)

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BSE Limited,
Market Operations Dept.
P. J. Towers,
Dalal Street,
Mumbai - 400 001

Scrip Code: 524715

Sub: Q1 FY23 Earnings Call Transcript

Dear Sir / Madam ,

Please find enclosed herewith a copy of the transcript of the Company's Q 1FY23 earnings conference call, which we shall be uploa ding on our website after sending this letter to you.

This is for your information and dissemination.

Thanking you,

Yours faithfully,
For Sun Pharmaceutical Industries Limited

(Anoop Deshpande)
Company Secretary and Compliance Officer

Sun Pharma Q 1 FY23
Earnings Call Transcript
06:30 pm July 29, 2022

Corporate Office : Sun House, 201 B/1, Western Express Highway, Goregaon (E), Mumbai - 400063
For further updates and specific qu eries, please visit www.sunpharma.com or feel free to contact Nimish Desai, +91 22 43242778, nimish.desai@sunpharma.com , Gaurav Chugh , +91 22 43245373 , Gaurav.chugh@sunpharma.com ,

Corporate Participants

Dilip Shanghvi
Managing Director, Sun Pharmaceutical Industries Ltd.

Abhay Gandhi
CEO (North America Business), Sun Pharmaceutical In dustries Ltd.

C. S. Muralidharan
Chief Financial Officer, Sun Pharmaceutical Industries Ltd.

Kirti Ganorkar
CEO (India Business), Sun Pharmaceutical Industries Ltd.

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Moderator: Ladies and gentlemen, good day and welcome to Sun Pharma's Q1 FY23 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opp ortunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nimish Desai. Thank you. And over to you, sir.
Nimish Desai: Thank you. Good evening and a warm welcome to our first quarter FY23 Earnings Call. I'm Nimish from the Sun Pharma Investor Relations team. We hope you received t he Q1 financials and the press release that was sent out earlier in the day. These are also available on our website.
We have with us Mr. Dilip Shanghvi -- Managing Director; Mr. C.S. Muralidharan – CFO; Mr. Abhay Gandhi -- CEO of North America; Mr. Kirti Ganorkar -- CEO of India business.
Today, the team will discuss performance highlights, update on strategies and respond to any questions that you may have. As is usual, for the ease of discussion, we will look at consolidated financials.
Just as a reminde r, this call is being recorded and the replay will be available for the next few days. The call transcript will also be put up on our website shortly.
The discussion today might include certain forward -looking statements and this must be viewed in conjunct ion with the risks that our business faces.
You are requested to ask two question

s in the initial round. If you have more questions, you're
requested to rejoin the queue. I also request all of you to kindly send in your questions that may remain unanswered today.
I will now hand over the call to Mr. Shanghvi.
Dilip S. Shanghvi: Welcome and thank you for joining us for this earnings call after the announcement of financial results for the first quarter FY23.
Let me discuss some of the key highlights:
Sun Pharma Q 1 FY23
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Consolidated sales for the quarter were at Rs.106 billion, recording a growth of about 14% YoY on like-to-like basis excluding the contribution of Covid products from Q1 last year. The reported topline growth was 10% YoY and 13% QoQ. All our businesses, wi tnessed good growth, driven by a combination of robust growth of our specialty business and all -round growth across all markets.
Let me now update you on our global specialty business. For Q1, our global specialty revenue was up 29% YoY at about US$ 191 m illion.
Ilumya, Cequa and Odomzo were the growth drivers while Winlevi is gradually ramping up.
Specialty R&D accounted for approximately 21% of our total R&D spend for the quarter.
Abhay will give you more details on the specialty business later.
I will now hand over the call to Murali for discussion of our first quarter financial performance.
C.S. Muralidharan: Thank you Mr. Shanghvi. Good evening everyone and welcome to all of you.
Our Q1 financials are already with you. As usual, we will look at key co nsolidated financials.
We recorded the highest ever quarterly revenues in Q1 with sales at Rs. 106 billion, up by 14% YoY excluding the contribution of Covid products for Q1 last year. On reported basis, sales are up 10%.
Material cost as a percentage of s ales was 27.2% while staff cost stands at 19.5% of sales. Staff costs are higher over Q1 last year due to overall merit increase, full quarter consolidation of the Alchemee acquisition and expansion of the sales force in India. Other expenditure stands at 28.6% of sales, higher than Q1 last year. The increase in other expenditure is attributed towards higher selling & promotion expenses and consolidation of the Alchemee business.
As indicated in our past earnings calls, the expenses are seeing an increasin g trend across all the markets as we reach full normalization.
Forex gain for the quarter was Rs. 1,457 million compared to a gain of Rs. 799 million for Q1 last year.
EBITDA for Q1 was at Rs. 28,844 million including other operating revenues, up by 2% ov er Q1 last year with EBITDA margins at 26.8%. The single -digit growth in reported EBITDA YoY is due to

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multiple factors like, normalization of selling and promotional expenses, first full quarter of consolidation of Alchemee acquisition, sales force expans ion in India and absence of Covid product contribution in the current quarter.
Reported net profit for Q1 was at Rs. 20.6 billion up 42.7% YoY compared to Q1 last year. Excluding the exceptional items of Q1 last year, the adjusted net profit was up by 4.1 %.
Reported EPS for the quarter was at Rs. 8.60 per share.
Let me now discuss the key movements versus Q4FY22:
Our consolidated sales were hi

gher by about 13% QoQ at Rs. 106 billion. Staff costs have increased
in absolute terms QoQ on account of annual me rit increases, expansion of sales force in India and full quarter consolidation of Alchemee. Other expenses are higher due to increase in selling, promotional and travel expenses as well as consolidation of Alchemee acquisition.
EBITDA for Q1 at Rs. 28,844 million, was higher by 23% compared to Q4. EBITDA Margin for Q1 was at 26.8% compared to 24.8% for Q4 of last year.
Net profit for Q1 at Rs. 20.6 billion, was higher than the adjusted net profit of Q4 by about 30%.
As of 30 -June-2022, net cash was U S$ 2 billion at consolidated level and about US$ 860 million at the ex-Taro level.
Let me now briefly discuss Taro's performance.
Taro posted Q1FY23 sales of US$ 156.7 million and net profit of US$ 14 million. Taro's financials include the first full qua rter of consolidation of the Alchemee acquisition.
I will now hand over to Mr. Kirti Ganorkar, who will share the performance of our India business.
Kirti Ganorkar: Thank you Murali. Let me take you through the performance of our India business.
For Q1, s ales of formulations in India were at 33,871 million, up 13% on like -to-like basis, excluding Covid products sales of Q1 last year. On reported basis, the growth is 2.4% over Q1 last year. India

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formulation sales accounted for about 32% of total consolidat ed sales. There were no Covid product sales in Q1 of this year.
In terms of the core business growth, we continued to witness good growth across therapies in the chronic and the sub -chronic segments for the quarter.
We have maintained the trend of the pas t few quarters of outperforming the average industry growth, which has led to increase in our overall market share. As per AIOCD AWACS June -2022 MAT data, our market share has improved by about 0.5% over the last one year to 8.5%. As per SMSRC report, we a re No.1 ranked, by prescriptions, with 11 different doctor categories.
The expansion of the field force in India is on track and we have achieved about 90% of the targeted hiring. While we continue to increase our reach and access, we are also focusing on continuously increasing our share across key therapies and improving overall productivity.
For Q1, we launched 22 new products in the Indian market.
We also continue to remain the partner of choice for in -licensing of products, given our strong no. 1 position in many therapy areas, including therapies for treatment of Covid infection, coupled with our large distribution network.
I will now hand over the call to Abhay.
Abhay Gandhi: Thank you Kirti. I will briefly discuss the performance highlights of our US businesses. For Q1, our overall sales in the US grew by about 11% over Q1 last year to US$ 420 million. While all our businesses in US have grown, the main driver of growth was the specialty business driven by Ilumya, Cequa, Odomzo and Winlevi. US account ed for over 30% of consolidated sales for the quarter.
Specialty sales have also grown compared to March -2022 quarter despite the seasonal decline in Levulan sales.
While doctor clinics have been open in the US during the quarter, the situation is yet to f ully normalize. Patient flow to doctor’s clinics as well as frequency of doctor calls by our medical representatives, are both still below pre -Covid levels.

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Winlevi is gradually ramping up and more than 10,000 doctors have prescribed the product till date.
Let me now update you on our US generics business. While the US generic business continues to be competitive, the Sun ex -Taro generics business has recorded growth both on YoY and QoQ basis. This growth is driven by a combination of new launches, market share gains for existing products and better supply chain management. For Q1, we launched 2 new generic products in the US market on ex-Taro basis.
I will now hand over the call to Mr. Shanghvi.
Dilip S. Shanghvi: Thank you Abhay. I will briefly discuss t he performance highlights of our other businesses as well as give you an update on our R&D initiatives.
Our sales in Emerging Markets were at US$ 245 million for first quarter, up by about 12.6% year -on-year. There has been significant volatility in various emerging market currencies which has impacted our reported growth. The underlying growth in constant currency terms was about 16%. Emerging Markets accounted for about 18% of total sales for first quarter.
Emerging Markets are in the branded generi c space, and it continues to perform well and we have maintained our strong positioning in key markets.
Formulation sales in Rest of World markets excluding US and Emerging Markets, were US$ 190 million in first quarter, up by about 3% over first quarter l ast year. RoW markets accounted for approximately 14% of consolidated Q1 revenues.
API sales for Q1 were at Rs. 5,987 million, up by about 16% over first quarter last year.
We continue to invest in building a R&D pipeline for both the global generics and the specialty businesses. R&D efforts are ongoing for the US, Emerging Markets, RoW Markets and for India.

Consolidated R&D investment for first quarter was at Rs. 4,608 million compared to Rs. 5,926 million for first quarter last year. Lower R&D spending is basically a timing issue and we expect it will gain momentum and be in -line with our guidance in the coming quarters.

Our current generic pipeline for the US market includes 89 ANDAs and 13 NDAs awaiting approval with the US FDA. Our specialty R&D pip eline includes 4 molecules undergoing clinical trials.

Ilumya is undergoing Phase -3 trials for psoriatic arthritis while SCD -044, an oral dermatology product, is in Phase -2 trials for psoriasis and atopic dermatitis. MM -II is also in Phase -2 trials for treatment of pain in osteoarthritis. Our GLP -1R agonist, GL0034, is undergoing a Phase -1 trials for type-2 diabetes.

With this, I would like to leave the floor open for questions. Thank you.

Moderator: We will begin the question -and-answer session. The first question is from the line of Kunal Dhamesha from Macquarie Capital . Please go ahead.

Kunal Dhamesha: The first one on Taro . Is that any one -off related to integration cost in the SG&A expense for Q1?

Dilip S. Shanghvi: For Taro we cannot give information beyond whatever Taro has shared. So sorry, but I can't respond.

Kunal Dhamesha: Second one on psoriatic arthritis trial. We were looking at some revised timelines on that because some centers I think there w ere some issues and we were looking at new centers. So, all those has been figured out or is it still ongoing , any timeline in terms of when that trial can ge

t completed?

Dilip S. Shanghvi: We have not given guidelines of the completion of the trial, but the challenges in both Ukraine and Russia have contributed to potential delay.

Kunal Dhamesha: But, does it also affect our US timeline for that product?

Dilip S. Shanghvi: This product is in a multi -centre global trial. Based on which then we will fi le in all the markets , so it will effect .

Kunal Dhamesha: So, to that extent, if we are not able to solve that o r till the Russia -Ukraine thing is now basically normalized ?

Dilip S. Shanghvi: They have to make up for that in some other country .

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Kunal Dhamesha: So, then there is some upside this core, basically R&D could even be lower in the coming quarter ?

Dilip S. Shanghvi: We are addressing the issue.

Moderator: Thank you. Next question is from line of Prakash Agarwal from Axis C apital . Please go ahead.

Prakash Agarwal: My question is on the cost, which is staff and SG&A ex-R&D. So, both these places , there has been double digit growth both Y oY and QoQ. So, is it a function of currency or inflation or increased promotion both in India and US , if you could just give some color and is it here to stay?

C.S. Muralidharan: So, as far as expenses is concerned, we have already said that it will be inching up as the operations normalize across the markets , and with the increase in sales in India what we witnessed and also in our global revenues and normalized operations, these expenses increased to the current level and there is no specific forex related component including that.

Prakash Agarwal: But only because of India or there are promotionals which is -

C.S. M uralidharan: This is across markets .

Prakash Agarwal: There could be any comment on the US if you increase your promotions with respect to your growing specialty portfolio ?

C.S. Muralidharan: Very difficult to comment specifically if any market how much increase happened towards the SG&A.
Prakash Agarwal: So, these are all bas e level cost increases which are here to stay , there's no one -off as such ?
C.S. Muralidharan: No. There is no one -off
Prak ash Agarwal: I think Dilip bhai mentioned about R&D in the timing issue, but whole of last year also we had lower guidance in R&D. So just trying to think better the trials are ongoing in the past

you said as a color that recruitments have been delayed , but I think world in the last 6, 12 months already come back to normalcy. So, if you could give more details, why we are seeing that kind of timing issue, that would be very helpful?
Dilip S. Shanghvi: We are saying that for the rest of the year, the R&D spen d we will make up. So, if you see the percentage of the innovative R&D, has come down significantly, so which is what we are expecting and go up. So, the overall percentage of the innovative R&D in the total R&D cost will move up.
Prakash Agarwal: I missed t he percentage sir. Could you please help me with the percentage?
Dilip S. Shanghvi: We indicated that innovative R&D is 21% of the total R&D spend for the quarter.
Moderator: Next question is from

the line of Damayanti Kerai from HSBC. Please go ahead.
Dam ayanti Kerai: My question is on Cequa . So, post entry of generic for Restisis, have you seen any change in market dynamics for pricing or prescription pickup for the branded products including your Cequa brand?
Abhay Gandhi : Not really . If you see the market share, even post -launch of the generic , we've been able to ensure an increase in market share. So, we are able to navigate through the situation .
Damayanti Kerai: Anything on the pricing part or similar as compared to the generic entry?
Abhay Gandhi : So, all segments of business put together , I don't see a negative impact on the pricing.
Damayanti Kerai: My second question is on Halol plant. Any timeline or any update you' ve heard from the FDA ?
Dilip S. Shanghvi: We are awaiting the EIR which means Establishment Inspection Report , post which we can then update, but otherwise, we continue to update USFDA about the remediation for all the 483s that we have received.
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Moderator: Next question is from the line of Neha M anpuria from Bank of America. Please go ahead.
Neha Manpuria : Abhay, on Winlevi, if I were to look at the prescription data, there seems to be some sort of a stabilization after the initial momentum that we saw in the product? Has there been any change in the promotion that is leading to this and what's your view on Winlevi contribution meaningfully sort of increasing to the fatality sales that we are reporting , any sense th ere?
Abhay Gandhi: If I look at the data , I see quarter -on-quarter, we have grown by nearly 22%. So I don't know why you say that there has been a slowdown .
Neha Manpuria: No, I'm looking at it more in the last six, nine weeks probably.
Abhay Gandhi : Don't forget that these are also the summer months w here derm products generally slow down a bit. So therefore, if you're looking at six, eight weeks, nine weeks kind of period, you are right. But I look at it on a quarter -on-quarter basis, even in a slow quarter , if we have grown by 22% , that's a reasonable number.
Neha Manpuria: And there is no change in promotions in Winlevi since our launch , right?
Abhay Gandhi : When you say change, I mean , there is nothing which is a negative . Of course, we

will keep looking at what is it that we learn about the product as we promote and make improvements as we go along. So , the change will always be there , but it's a change for the better is what we hope .
Neha Manpuria: In terms of contribution of Winlevi when do you think you have adequate formulary coverage to start seeing in Winlevi contribution? I know it 's too difficult to sort of spell that down , but in your view, what is your assessment based on your conversation with the firm release ?
Abhay Gandhi : So, product wise you know we don't give the split, but we have always been very positive and optimistic about Winlevi a nd otherwise, you would not have had 10,000 doctors in some seven, eight months prescribing the product. And we continue to in vest on the product and with the hope that it will be important contributor to the overall business.
Moderator: Next question is from the line of Krish Mehta from Enam Holdings. Please go ahead.

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Krish Mehta If you could just provide some explanation on wh y the other income was really low this quarter, and how you see it going forward given the large cash balance that we have on our books.
C.S. Muralidharan : So other income by definition is not very core to overall our business. It comprises various moving parts, including fair valuation of investments, certain treasury income across multiple geographies , which do fluctuate from quarter -to-quarter. So , I think in our view, comparison strictly o n a quarter -on-quarter may not be correct.
Krish Mehta: I was act ually looking at it over the last 16 quarters and we've always tended to be above Rs.100 crores. And given it was Rs.2 crores, I was wondering if there's a one -off and if there's a trend ?
C.S. Muralidharan: There is no one -off.
Moderator: The next question is from the line of Sam eer Baisiwala from Morgan Stanley. Please go ahead.
Sameer Baisiwala: Abhay, f irst question is on Pentasa . So, a good launch. This is 1Q results capture full three months impact including launch inventory, or was it less?
Abhay Gand hi: This captures the whole quarter.
Sameer Baisiwala: You launch ed in the middle of May. So therefore, I –
Abhay Gandhi : You're talking the approval period . We launched it in the month of May actually. So, it's one and a half month s sales roughly that we were able to capture .
Sameer Baisiwala: And plus some launch inventory , no?
Abhay Gandhi : What do you exactly mean by launch inventory? We didn't stock up the distributors if that's the question , did we like stock it up , no.
Sameer Baisiwala: The second qu estion is on Winlevi. First is on the expansion of the deal to newer markets. So if you can just tell us how much regulatory work needs to be done here and how meaningful can this be just qualitatively if you can ?

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Dilip S. Shanghvi: I think regulatory work in different countries are different. In some countr ies, we just have to fi le the existing product with the existin g studies. In some countr ies, we have to do some kind of Phase -4 stability study or those kinds of things. Especially in Japan, I think we w ill have to run the Phase-2, Phase-3 for sure.
Sameer Baisiwala: So it's fair to say that it would be at least one year before the approval cycle begins in these new markets ?
Dilip S. Shanghvi: Minimum , because many countries have approval cycle of two years.
Sameer Baisiwala: Just for the US market for Winlevi , Abhay, would it be fair to say that a large part of the prescriptions being generated are under co-pay scheme and smaller portions being getting reimbursed?
Abhay Gandhi : You can say that, though remember, co -pay also leads to a realization , so it's not

exactly like free . But we are increasingly seeing that a lot of our prescriptions are actually going through the payer system even without contracting . So that's very useful because it shows that doctors are interested enough in the product to take the effort of raising prior authorizations.
Sameer Baisiwala: But including that also what's going directly through payers , but still larger part is co-pay and of course you get some money but it 's just b arely about covers because maybe little bit margin no ?
Abhay Gandhi : Let me just say that if everything goes to the pay or system , I will be the happiest person .
Sameer Baisiwala: On Levulan, when you see , Abhay, the sales getting restored back to p re-COVID levels

?
Abhay Gandhi : Very difficult question to answer because if I see in the US , even today , the social distancing norms … and I'm talking in clinic , not in the outside world, how many patients are taken up in a day and all that is much lower than what it used to be in the pre -COVID times. So, to that extent, the throughput per doctor has definitely come down. Having said that, the number of doctors who are now doing PD T therapy has increased from what it used to be like a year or two years ago.

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So, betw een the positive and the negative pull, what really translates as a growth is very difficult for me to estimate at the moment.
Moderator: Next question is from the line of Su rya Patra from Phillip Capital . Please go ahead.
Surya Patra: So, just first on th e Alchem ee. Since it has been integrated, and it has obviously had implication on the staff cost rise , other expens es rise and all that, and this quarter we have seen kind of a meaningful underperformance at Taro end also. So just to understand a bit , whether this is a kind of profit making company or it is a loss -making company or what is the kind of profitability of its portfolio that has been added , some sense on that if you can give it will be helpful ?
C.S. Muralidharan: I think beyond what T aro has disclosed, we'll be unable to furnish any further information o n Alchem ee acquisition.
Surya Patra: Second question is on the Revlimid. So, now are you in a position to give the launch timeline for this ? Secondly , on this, do you think the competitive in tensity could be higher than what it was earlier expected among the first launch pla y, because what we are seeing that although it is a volume limited kind of condition that is there for everybody day, but in case of Teva, it seems a double digit percentag e of volume there they have done post -launch. So, do you see the condition of limited volume one is not so rigid, and people can do more than what it is when mentioned in the terms?
Abhay Gandhi : I think every company has its own different contract and agr eement with the innovator. So once you are bound by a contract, you abide by it. So I think that's a simple answer to your question. Even we will abide by whatever we have committed in our contract. So I think that should answer the latter part of your que stion. As to the first part, internally, I am clear when we would be likely to launch , but on our calls, we don't give product wise details when exactly we are launching . That's also competitive information.
Surya Patra: Last question on the sales force addition. So we had indicated around 10% kind of rise in the current financial year. So, when you sa id that 90% of the targeted addition is being done. So, that means the full cost impact of that has already been reflected in the numbers , is that right?
Kirti Ganorkar : Yes.

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Moderator: Next question is from the line of Dhara Patwa from SM IFS Limited . Please go ahead.
Dhara Patwa : I have a question regarding Ilumya . Since the trials are ongoing for psoriatic arthritis , so how does the pricing diff er -- do we keep the same pricing as per the current indica

tion of
psoriasis or the pricing differ for different indication ?
Dilip S. Shanghvi: Pricing for every product is a function of appropriately choosing the price , which will allow you to get appropr iate reimbursement as well as accessing different formularies. So , it's difficult to respond today because it's better to take those decisions closer to the market . And we have to remain competitive with whatever the pricing for IL-23 for that indication would be at that point of time so that we can get good acceptance.
Dhara Patwa: Sir, will it be fair to assume that whatever the competitors are offering will be more or less 10%, 20% at that range ?
Dilip S. Shanghvi: I think that is how we have priced Ilumya for psoriasis also, is that it's in line with the competitive pric ing for psoriasis. So, we will continue with the same trend.
Dhara Patwa: I wanted CAPEX guidance for FY23.
Dilip S. Shanghvi: We ha ve not given any specific guida nce, but we have no major investment. However, in any case, some kind of debottlenecking or minor upgradation, we would generally spend a few hundred crores every year.
Moderator: Thank you. Next question is from the line of Nimish Mehta from Research Delta Advisors. Please go ahead.
Nimish Mehta: Just one question on Halol. Is it fair to assume that we've been able to shift all the injectable approvals that were held up at Halol to other facility or it's still work -in progress , how do we look at it?
Dilip S. Shanghvi: We've not responded to the issue specifically about Halol. We hope that we should get approval once we will get the EIR. Some of the critical products on sa fety basis, we may evaluate transfer to a third -party.

Nimish Mehta: But as of now, we have not really shifted any products to other facility , is it fair to assume?
Dilip S. Shanghvi: Yes, n ot yet.
Moderator: Next question is from the line of Harsh from IDFC Asset Management. Please go ahead.
Harsh : I just had one particular question. So , just wanted to get your view on the Sitagliptin gener icization. What is the ground level understanding as of today? I mean, I understand that it might be a little bit early to comment, because the market formation is yet to happen , the transition is taking p lace. So just wanted to get your view, like what do you see as the upside to the overall transition , any particular risk that we are seeing right now , and which particular molecule should be possibly more at risk in terms of gliptins or would it be more to wards Glimepride, any thoughts on the transition?
Kirti Ganorkar: It's a very broad question about Sitagliptin marketing. So, what I can say is that the patent got just expired on 5th July. So, we are too early to the market. And as of today, as I understand that there are 25 companies which has launched the generic products and the pricing is in the range of Rs. 9-10 for 50 milligrams . And the market dynamics is very competitive. So, everyone is trying to get market share out of what market share S un has or Merck had in the past. So, we have about 33% market share and our objective is , even post -patent expiry, how do we protect our market share and grow over that. That's what we can say. The other question was how the PP4 like Sitagliptin will impac t other therapy areas, is very difficult to say. Maybe after one or two quarters, we will have more clarity on how it is impacting the other therapies.
Moderator: Next question is from the line of Naushad Chaudhary from Aditya Birla. Please go ahead.
Na

ush ad Chaudhary: Just a clarification , sir. If I look at your specialty business, the quarterly run rate that has crossed our targeted annual rate of around $ 750 million, if I remember it correctly , so would you like to revise your target here and what we sho uld expect in FY 23, FY24 and FY25 from this piece of business?

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C.S. Muralidharan : So, at the outset, we want to clarify that we have not given any annual target or guidance of global special ty sales. So I think it's important to realize that . As such, we h ave not given any guidance on any specific individual business.
Naushad Chaudhary: So in terms of growth rate, should we expect this kind of momentum to continue in this business?
Dilip S. Shanghvi : I think you should factor everything that we've given wit hin our guidance. It's a mixture of how we expect all our businesses to perform , that will include specialty , generic, all markets.
Naushad Chaudhary: Lastly , in terms of our exceptional costs and provision, if I see last four or five years, the quantum has been quite high versus in this quarter. I don't see there is much of that. So going forward , should we expect the magnitude of that should come down significantly ?
C.S. Muralidharan : So, in terms of ongoing litigation, we have given exclusive disclosur e annual report and these matters will get decided as and when notification come up for hearing and concluded . So at this point of time, we will not be able to com ment any outcome on these litiga tions.
Moderator: The next question is from the line of Samee r Baisiwala from Morgan Stanley . Please go ahead.
Sameer Baisiwala: A question on India business. When you do go down to smaller cities and towns , any thoughts that you can share , what is the limiting factor for you to drive growth , is it the less healthca re infrastructure or doctors , just your thoughts on that would be great ?
Dilip S. Shanghvi: Sameer, w hat is the question?
Sameer Baisiwala: So, the question is since to drive India growth, we're trying to geographically expand which I read as going into sm aller towns and cities. So when you are doing that, now at a larger scale, what do you think is the key limiting factor for you to expand your business ?
Dilip S. Shanghvi: Actually, I don't understand the question . What is the limiting factor means ? We remain very positive about our India business to be able to continue to grow. The reason why I think we are expanding is that we are seeing that overtime as a result of the trickle -down effect and also

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because in some of the specialt ies we were not re aching out to 100% of the universe, there is a n expansion . But Kirti can explain.
Kirti Ganorkar: I think what you're assuming is we are going into rural markets and smaller towns , that's not correct. When we are saying, we are expanding, it's not necessar ily we are expanding into smaller towns and rural areas. There is a lot of expansion is happening in metros and tier-1, tier -2 cities.
Sameer Baisiwala: Okay, that's fine, sir. I will may be take it offline. And the other question is, is there any update on the biosimilars ? I

think you had mentioned a few quarters back, that you'd be commencing work on this.
Dilip S. Shanghvi: We also said at that time , that we are looking at products in the third wave of approvals , in the sense , that we want to be in time f or the launch along with patent expiry, but products that are likely to be going off -patent in the third w ave. So that I think that we are pursuing.
Sameer Baisiwala: Still early days ? Okay, that's fine. Sir, I'm little confused about the Taro's results. And I know you're not taking any questions on that. But I will just express what's going on in my mind . And they don't do a call. So , unfortunately, we can't ask anyone else. So the small point here is that if I see pre -Alchem ee and post-Alchem ee, full quarter impact, the sales has just grown about $15 million, or something like that, and the cost has gone up just the SG&A anywhere 30 million , so it's almost a big negative factor. That's one. And second, my understanding was, I think, 2021 full y ear, Alchem ee's total sales was more like $161, $170 million. So actually, on a quarter basis, it should be a much higher number to begin with. So , I'm just wondering whether this Taro 's result is a business as usual or it's go ing to get better as we go fo rward?
Dilip S. Shanghvi: I think , you started the question in a way which I think you understand that . Difficult to share beyond whatever that we have shared and I understand the challenge that you have in terms of putting a certain kind of model. However , I think, if you look at it in a positive way, then in spite of a loss of potential profit in Taro of almost $30 million, we've grown profitability. So I think philosophically, we're looking at that in our business there will be challenges in product or in

some subset of business, how do we find a way to make up for that challenge a s a company overall in the business and that's how we want to run the business o n a long-term basis.

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Moderator: The next question is from the line of Kunal Dhamesha from Macque rie Capital . Please go ahead.
Kunal Dhamesha : This one is on Winlevi. So given Winlevi was already approved at the time of North America in -licensing agreement, did that agreement included some form of initial inventory to be transferred to Sun Pharma?
Abhay Gandhi : Sorry, what is the question -- initial inventory ?
Kunal Dhamesha: Yes, so I mean, the upfront payment of 45 million in the agreement would have also included some kind of inventory because it was already approved product and we were about to launch .
Abhay Gandhi : Whatever we have disclosed is disclosed . There is nothing on inventory that I can specifically answer to. It was not a marketed product, that's where you're going, it was an approved product, but not a market ed product.
Kunal Dhamesha: So the supply would have only started just before the -?
Dilip S. Shanghvi: You have to understand that the product came with Sun label .
Abhay Gandhi : It was produced for Sun after the agreement was signed in a certain transition period that we had agreed to . So there was no buying o ver or something of an existing inventory, if that's w ay you're going with this question.
Moderator: Next question is from Prakash Agarwal from Axis Capital Limited. Please go ahead.
Prakash Agarwal : My question is on the impact of the trade generics and private labels, which are in a way impacting the volume of the market . You see, three, five years , the volume has been really dismal. What is our sense an

d what is our strategy to have a volume growth and do we see this impact increasing for the market as well?
Abhay Gandhi : Which market are you referring to?
Prakash Agarwal: IPM branded generics, some v olume share, right?

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Kirti Ganorkar: You're talking of a generic -generic versus branded generic s, right , that 's a questi on?
Prakash Agarwal: If I've seen the IPM for last 10 -year growth, 5%, 6% has been volume growth 3% price and 3% new product. If you see the last three , five year trend ex-COVID also, the volume has come down to 2%, 3%. My sense is there is some impact fro m trade generics and private l abels, which is eating some volume share. What is your view going ahead that this is going to continue and increase and what is our strategy to combat that?
Kirti Ganorkar: In my view, we are growing well both by volume and va lue also. Even if it's some impact, it will not be a meaningful impact. That's my sense probably.
Prakash Agarwal: But you being a market leader , can you comment on the market or volume impact also?
Kirti Ganorkar: Sorry.
Prakash Agarwal: The question is, do you foresee this impact increasing for the market?
Kirti Ganorkar: It's difficult to predict what will happen .
Dilip S. Shanghvi: Also, Kirti, parallely we have to understand that access is continuously increasing because affordability of drugs, financi al capacity to pay is constantly increasing. So maybe a small part of that will go to this .
Kirti Ganorkar: Percentage of that , how much it will impact ? Difficult to say .
Dilip S. Shanghvi: We will continue to grow.

Prakash Agarwal: And on the NPPA side al so, we haven't seen price control expansion for some time now. The last list was 15 and then there was some small list coming in. I do a discussion with the regulatory authority and what thought process we are using price increase, I mean, everybody's taken price increase, but for the core portfolio essential product list , what is your sense on the p rice rationalization which might come ?

Kirti Ganorkar: You're talking of when NPPA will come with the new policy . We are not aware of that.

Prakash Agarwal: I guess it's long overdue. So that's why I was asking. Okay, no problem. Thank you.

Moderator: Next question is from the line of Alok Dalal from CLSA India. Please go ahead.

Alok Dalal : Dilipbhai, when do you expect Ilumya approval in China and the African m arket?

Dilip S. Shanghvi: I think we've shared with you the date on which w e have filed the Chinese product because it needed to do some clinical studies and all of that. But, it's difficult to predict . There is a certain amount of process that we need to follow. Hopefully, we should be able to close all these issues in 12 -months. But I'm not predicting that we will launch the product in that time because regulatory issues , difficult to predict till we get the approval.

Alok Dalal: On the African market ?

Dilip S. Shanghvi: Which African market? We have not said anything a bout any African market .

Alok Dalal: I thought there is the partnership with Hikma .

Dilip S. Shanghvi: That's mainly for GCC countri

es.

Alok Dalal: Also, on the specialty side, do you think that pipeline products are large enough now to help sustain the base? The question that I'm trying to ask is that the specialty business has become pretty large and as years pass, some products will reach the maturity stage. So , do you think the pipeline is good enough for you to continue that momentum going o r in-licensing becomes a big part of that ?

Dilip S. Shanghvi: So I think we've always said that filing our own new product , at the same time looking at opportuniti es inorganic , both licensing as well as acquisition is something which will continue to help us expand our specialty business .

Alok Dalal: Because since the base has become very big, you will also need products that are large enough for you to sustain and grow on that base?

Dilip S. Shanghvi: That's a r easonable expectation.

Moderator: The next question is from the line of Saion Mukherjee from Nomura . Please go ahead.

Saion Mukherjee: I just have one question for Abhay on Ilumya . Abhay, you mentioned I thin k a few calls back, COVID sort of had a negative impact. Now, we are seeing the traction coming through , the product has been in the market for some time, there is enough data, formulary access, etc., has improved. So how are you thinking about growth for Ilumya in the US, will there be a spurt in growth in the sense that we will see an acceleration or it would be a gradual steady rise in market share?

Abhay Gandhi: It's more an expectation of how Ilum ya will grow , is part of our total guidance. So I think I have nothing specific to add on the product question .

Saion Mukherjee: I was not asking for this year’s guidance, like more from a two , three perspective ?

Abhay Gandhi: So any product in chronic segment doesn't really see its burst as such. So therefore, I wouldn't want to classify and give you any kind of an answer, which even suggest that . I think it's what you do each and every day with each and every doctor and the prescriptions, because it gradually builds u pon the product base. I think that's the nature and that's the beauty of the chronic segment, and we understand that pretty well.

Moderator: As there are no further questions, I will now hand the conf erence o ver to Mr. Nimish Desai for closing comments.

Nimish Desai : Thank you, everybody, for taking time out and joining our call. If any of your questions have remained unanswered , do send them across, we will have them answered. Thank you and have a good day.

Moderator: On behalf of Sun Pharma, that conclude s this conference. Thank you for joining us . You may now disconnect your lines .

Call: Nov 2022

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Sub: Q2 FY23 Earnings Call Transcript
Dear Sir / Madam ,
Please find enclosed herewith a copy of the transcript of the Company's Q 2FY23 earnings conference call, which we shall be u ploading on our website after sending this letter to you.
This is for your information and dissemination.
Thanking you,
Yours faithfully,
For Sun Pharmaceutical Industries Limited
(Anoop Deshpande)
Company Secretary and Compliance Officer
Sun Pharma Q 2 FY23
Earnings Call Transcript
06:30 pm November 01, 2022
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Moderator : Ladies and gentlemen, good day and welcome to the Q2FY23 Earnings Conference Call of Sun Pharmaceutical Industries Limited .
As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal and operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being reco rded.
I now ha nd the conference over to Mr. Nimish Desai. Thank you. And over to you , sir.
Nimish Desai : Thank you. Good evening and a warm welcome to our second quarter FY23 earnings call. I am Nimish from the Sun Pharma Investor Relations team. We hope you have received the Q2 financials and the press release that was sent out earlier in the day. These are also available on our website.

We have with us Mr. Dilip Shanghvi – Managing Director, Mr. C. S. Muralidharan (CFO), Mr. Abhay Gandhi – (CEO – North America), and Mr. Kirti Ganorkar (CEO – India Business). Today the team will discuss performance highlight s, update on strategies and respond to any questions that you may have. As is usual, for ease of discussion we will look at the consolidated financials. Just as a reminder, this call is being recorded and a replay will be available for the next few days. T he call transcript will also be put on our website shortly.
The discussion today might include certain forward -looking statements and these must be viewed in conjunction with the risks that our business faces. You are requested to ask two questions in the initial round. If you have more questions you are requested to rejoin the queue. I also request all of you to kindly send in your questions t

hat may remain unanswered today.
I will now hand over the call to Mr. Shanghvi.
Dilip Shanghvi : Welcome and thank you for joining us for this earnings call after the announcement of financial results for the second quarter FY23.

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Let me discuss some of the key highlights:
Consolidated sales for the quarter were at Rs.108,092 million, up 13.1% YoY. Most of our businesses witnessed good growth led by the global specialty business, India and Emerging Markets.
For Q2, our global specialty revenue was up 27.5% YoY to about US$ 201 million.
Ilumya, Cequa and Winlevi were the growth drivers for the quarter.
Abhay wi ll give you more details on the specialty business later.
I will now hand over the call to Murali for discussion of the Q2 financial performance.
C. S. Muralidharan : Thank you Mr. Shanghvi. Good evening everyone and welcome to all of you.
Our Q2 financials are already with you. As usual, we will look at key consolidated financials.
Gross sales for Q2 are at Rs. 108,092 million, up by 13.1% YoY. Material cost as a percentage of sales was 25.1%, lower than Q2 last year due to higher specialty sales. Staff cos t stands at 18.5% of sales. While staff costs in percentage terms are lower over Q2 last year, the increase in absolute value is attributed towards merit increase, consolidation of the Alchemee business and expansion of the sales force in India. Other expe nditure stands at 28.1% of sales, higher than Q2 last year. The increase in other expenditure is attributed towards higher Selling & Distribution expenses and consolidation of the Alchemee business.
As indicated in our past earnings calls, the expenses ar e seeing an increasing trend across all the markets as we reach full normalization.
Forex loss for the quarter was Rs. 2,415 million compared to a loss of Rs. 764 million for Q2 last year. This was driven by adverse movement across various currency pairs during the quarter.
EBITDA for Q2 was at Rs. 29,565 million including other operating revenues, up by 12.4% over Q2 last year with EBITDA margins at 27%. We have reported strong margins despite rising expenses.
Reported net profit for Q2 was at Rs. 22,622 million up 10.5% YoY compared to Q2 last year.
Reported EPS for the quarter was at Rs. 9.40 per share.

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Let me now discuss the key movements versus Q1FY23.
Our consolidated gross sales were higher by about 1.6% QoQ at Rs. 108,092 million.
Material costs at 25.1% of sales were lower than Q1 mainly due to product mix. Staff costs at 18.5% of sales and other expenses at 28.1% of sales were also lower compared to Q1FY23.
EBITDA for Q2 at Rs. 29,565 million, was higher by 2.5% compared to Q1, m ainly impacted by forex losses of Rs. 2,415 million in Q2 compared to a forex gain of Rs. 1,457 million in Q1.
EBITDA Margin for Q2 was at 27% compared to 26.8% for Q1.
Reported net profit for Q2 at Rs. 22,622 million, was higher than the net profit of Q1 by about 10%.

Now we will discuss the half year performance.
For first half, gross sales were at Rs. 214,532 million, a growth of 11.6% over first half last year.
Material cost for H1 was at 26.1% of sales, lower than

H1 last year, mainly due to higher s pecialty
sales. Staff cost stands at 19% of sales, higher than H1 last year; on account of annual merit increase, consolidation of the Alchemee business and expansion of the sales force in India. Other expenses were at 28.4% of sales higher than H1 last ye ar; on account of higher Selling & Distribution expenses and consolidation of the Alchemee business.
Forex loss for H1 was Rs. 958 million compared to a gain of Rs. 35 million for the previous period.
EBITDA for the first half was at Rs. 58,409 million, a growth of 7.2% over the first half last year, with resulting EBITDA margin of 26.9%.
Net profit for H1 was at Rs. 43,231 million, up 7.4% over adjusted net profit of H1 last year.
As of 30 -Sept-2022, net cash was US$ 1.6 billion at consolidated level and about US$ 398 million at the ex -Taro level. Debt has increased compared to 31 -March -2022 as we had a temporary borrowing to fund the settlement of the Ranbaxy anti -trust litigation in the US which was announced in March -2022.

Let me now briefly discuss Tar o's performance.
Taro posted Q2FY23 sales of US$ 130 million, marginally lower over Q2 last year and net loss of US$ 2.8 million. For the first half, sales were US$ 287 million, up by 2.9% over H1 last year. Net profit for H1FY23 was US$ 11.3 million compa red to US$ 4.6 million in H1FY22.
Taro's financials include the consolidation of the Alchemee business.
I will now hand over to Kirti Ganorkar, who will share the performance of our India business.
Kirti Ganorkar : Thank you Murali. Let me take you through the performance of our India business.
For Q2, sales of formulations in India were at Rs. 34,600 million, up 10.9% on like -to-like basis, excluding Covid products sales of Q2 last year. On reported basis, the growth is 8.5% over Q2 last year. For the fir st half, sales were at Rs. 68,471 million, up 11.9% on like -to-like basis, excluding Covid products sales of H1 last year.
India formulation sales accounted for about 32% of total consolidated sales. There were no Covid product sales in Q2FY23.
In terms o f the core business growth, we continued to witness good growth across multiple therapy areas in the chronic and the sub -chronic segments for the quarter.
For Q2, the therapies which did well for us include, CNS, Gastro, Gynecology, Urology, Respiratory and Ophthalmology.
We continue to outperform the average industry growth, which has led to increase in our overall market share. As per AIOCD AWACS Sept -2022 MAT data, we are ranked No.1 in India and our market share has improved by about 0.5% over the last one year, to approximately 8.6%.
As per SMSRC MAT August -2022 report, we are No.1 ranked by prescription share. Though, SUN being a specialty company with limited coverage with GPs, we have become No. 1 in terms of prescription share. In addition, SUN ha s a leadership position across 12 doctor specialties.
For Q2, we launched 34 new products in the Indian market.
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We continue to increase our reach and access and we are also focusing on continuously increasing our share across key therapies and improving overall productivity.

I will now hand over the call to Abhay.
Abhay Gandhi : Thank you Kirti. I will briefly discuss the performance highlights of our US businesses.
For Q2, our overall sales in the US grew by about 14.1% over Q2 last year to US$ 412 million. The main driver of growth was the specialty business, driven by Ilumya, Cequa, and Winlevi. US accounted for over 30% of consolidated sales for the quarter.
Specialty sales have also grown compared to June -2022 quarter. With new indications expected in

future, the current growth trajectory of Ilumya would be sustained. With im proving access coupled with geographical expansion into other markets, we expect Winlevi to continue to grow.
Our rep activities and doctor visits in the US have reached pre -Covid levels.
Globally in all new geographies where we have launched specialty pr oducts, we have received good response and have done well.
Let me now update you on our US generics business. While the US generic business continues to be competitive as ever, the Sun ex -Taro generics business has recorded growth on YoY basis. This growth is driven by a combination of new launches, market share gains for existing products and better supply chain management. For Q2, we launched 3 new generic products in the US market.
I will now hand over the call to Mr. Shanghvi.
Dilip Shanghvi : Thank you Abhay. I will briefly discuss the performance highlights of our other businesses as well as give you an update on our R&D initiatives.
Our formulation sales in Emerging Markets were at US$ 259 million for Q2, up by about 6.7% year - on-year. There has been s ignificant volatility in various emerging market currencies which has impacted our reported growth. The underlying growth in constant currency terms was about 13%.
Emerging Markets accounted for about 19% of total sales for Q2.

Formulation sales in Rest of World markets excluding, US and Emerging Markets, were US$ 181 million in Q2, lower by about 3.8% over Q2 last year. Growth was impacted by adverse currency movements. RoW markets accounted for about 13% of consolidated Q2 revenues.
API sales for Q2 were at Rs. 4,730 million, up by about 8.5% over Q2 last year.
We continue to invest in building a R&D pipeline for both the global generics and the specialty businesses. R&D efforts are ongoing for the US, Emerging Markets, RoW Markets and for India.
Consolid ated investment towards R&D for Q1FY23 was Rs. 4,608 million (4.3% to sales); while for Q2FY23 it stands at Rs. 5,710 million (5.3% to sales) and this compares to Rs. 5,364 million (5.6% to sales) for Q2FY22. We expect it will gain momentum in coming quart ers. Specialty R&D accounted for approximately 22% of our total R&D spend for the quarter.
Our current generic pipeline for the US market includes 92 ANDAs and 13 NDAs awaiting approval with the US FDA. Our specialty R&D pipeline includes 4 molecules under going clinical trials.
Our R&D investments have increased compared to Q1 and we expect a continued ramp up of the same. R&D investments are likely to increase both for our specialty and the generics businesses.
With this, I would like to leave the floor o pen for questions. Thank you.
Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Tushar Ma nudhane from Motilal Oswal Financial Services . Please go ahead.
Tushar Manudhane : So, just on the U .S. generics business first, the pace of ANDA approval as well as filing has kind of reduced

over the past couple of quarters. And despite that and even excluding
specialty portfolio, as well as Taro sales the U .S. generic sales tracking well in USD t erms. So, how sustainable is this growth momentum given that the price erosion is very much ongoing, and our pace of approvals /filing is kind of slowing down?
Abhay Gandhi : I would not say the pace of approvals is going down. I think, in the last two, three years, we have made a very conscious effort to look at the R&D portfolio, and focus on only certain large opportunities or products where we feel that we can hold on to a certain sensible level of
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pricing , over the medium term, if not the long term. So, I think it is a strategic decision to focus on what products we wish to launch rather than focus on just sheer number of products. So, it's a conscious call that we took .
Tushar Manudhane : Just on REVLIMID settlement is in place , any queries pending at our end ?
Abhay Gandhi : I think we are on track to meet our obligations and launch.
Tushar Manudhane: And just lastly, on the India business , the pace of launches has been quite

aggressive over past few quarters, 30 launches in 2Q, 20 about in 1Q . So, is there any rethinking in terms of shift our focus from top brands to more broad based approach .
Kirti Ganorkar : Launching new products is one of our growth levers. So, what we are focusing is that how do we increase the contribution of new products for overall India business . And as you have rightly pointed in Q1, Q2, you are seeing the large number of new product introductio ns, because we have launched many anti -diabetic products and their combinations. So, that is also helping us to grow the C VD business.
Moderator : Thank you. The next question is from the line of Prakash Agarwal from Axis Capital . Please go ahead.
Prakash Agarwal : I am asking as per clinical trials data, your primary endpoints for psoriatic arthritis clinical trial that has been done that is expected to end by March '23. So, question was that given the run rate of R&D has been lower than expected versus gui dance also. Are we on track to achieve that primary endpoint , if there is an update to that ?
Dilip Shanghvi : I am confused about your use of the terminology , primary endpoint. Basically, what you are asking is, whether we will meet timelines or not, is what you are saying ?
Prakash Agarwal : That’s right.
Dilip Shanghvi : Because in context of clinical trial, primary endpoint means whether I will achieve the therapeutic efficacy based on which we will achieve the approval or not. I think we have in the past also indicated that there have been some challenges for us in the recruitment s, especially in

some of the geographies which are disturbed because of political uncertainty. So, we haven't worked out, we are in the process of working out the ne w schedule and timeline this year.
Prakash Agarwal : And what is the size of the trial, recruitment, etc.
Dilip Shanghvi : I think that trial size and everything, I don't have the detail, but that wherever you got the details about the clinical trial that would have th e number of subject

s and the broad clinical
trial design.
Prakash Agarwal : It does , so it says 472 patients enrolled. So, I was just trying to understand what is the target that you have? I mean, is it like 3 X higher which is yet to achieve, or it is nearing the target or?
Dilip Shanghvi : No, I explained to you that we are in the process of working out the new timelines. So, I don't want to respond to a question with incomplete information and create unnecessar y expectation.
Prakash Agarwal : And second is again related. So, as you again mentioned that R&D is expected to scale up , while in the last few quarters, we have seen that R&D, because of obviously external reasons you mentioned . How do we see margins playing out once the R&D starts coming up? Is there any color to that given, especially the scale up in specialty has been pretty solid , so would the scale up would be able to offset the R&D increase in cost or, so just some color on margins would help on that context?
Dilip Shanghvi : Generally, we don't guide for EBITDA and margins, but broad guidance is that our focus would be to find a way to improve our overall profitability . And you would have seen over the last few quarters , is that we are consistently improving our overall profitability and EBITDA and that effort will continue . We see opportunities to be able to do that.
Prakash Agarwal : And lastly, just to squeeze in , seasonally Q3, Q4 are stronger for the specialty business , is that understanding correct?
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Abhay Gandhi : It depends on the product. So, if you look at some of the Derm indications, your understanding is correct. But we also have products which are non -dermatological -- so there it does not.
Moderator : Thank you . The next question is from the line of Neha Manpuria from Bank of America . Please go ahead.

Neha Manpuria : Abhay m y first question is on ILUMYA. I think in the opening comments, you mentioned that the current growth trajectory for ILUMYA can be maintained w ith addition of new indication, but given the delay in psoriatic arthritis trial, how confident are we of growth in ILUMYA just for psoriasis till the time this additional indication , we get approval for that and launch it?
Abhay Gandhi : I see a significant opportunity and headroom to continue to grow even in the existing indication.
Neha Manpuria : So, even without psoriatic arthritis, we should be able to maintain the growth.
Abhay Gandhi : That's correct.
Neha Manpuria : My second question is on WINLEVI , if I were to look at the prescription data, it does show moderation in the prescription trends in the last few weeks in WINLEVI . Just tying it up with the comment that you mentioned on increasing coverage , how are you reading that? Are you seeing , does the promotion roll off ? Traction picking up with doctors , any color, the re would be helpful ?
Abhay Gandhi : Wait for one more quarter. And you will see that this is just a blip that is not to be expected to go into the future.
Neha Manpuria : So, I shouldn't read too much in the slowdown that we are seeing.
Abhay Gandhi : I am personally not reading too much into it .
Neha Manpurai : And last on gross margins , there seemed to be a fair bit of expansion quarter -on-quarter. And what drove this , I mean, product mix means was it any specific region with where we saw improvement in gross margins? What's contributing to this?

C. S. Muralidharan : We already said that it is driven by the highe r specialty revenues, and also product mix to some extent .
Neha Manp uria: On a quarter -on-quarter basis also?
C. S. Muralidharan : Yes.
Neha Manpuria : So, then is it fair to assume that this level of gro ss margin is sustainable as specialty continues to grow?
C. S. Muralidharan : We work to continue to maintain efficiency in the business to maintain the margins. That's what we said and we have been consistently maintaining our EBITDA margins over the last few quarters.
Moderator : Thank you. The next question is from the line of Sam eer Baisiwa la from Morgan Stanley. Please go ahead.
Sameer Baisiwala : Any update on Halol, especially given that FDA gave OAI status in August ?
Dilip Shanghvi : My understanding broadly, is that if you get an O AI, then depending on the FDAs expectation, we will continue to address all the observations and remediation effort. But most of the time, they will revisit the facility before it becomes a VAI.
Sameer Baisiwala : So, that means, potentially it can take a bit more longer than what we had thought ?
Dilip Shanghvi : That's correct. I think with OAI, it would take longer than what we had thought , yes.
Sameer Baisiwala : Second question is on REVLIMID , Abhay I got your comment. But is it , the launch is expected in the current fiscal year , if you can clarify on that ?
Abhay Gandhi : There are many ways to skin the cat, you are trying one more.
Sameer Baisiwala : It's just that Abhay that there has already been market formation in a second wave. And we have not seen Sun there and hence the ques tion.

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Abhay Gandhi : All I will say is what I said earlier, we are on track as for whatever we have agreed

to with the innovat or, and fingers crossed.
Sameer Baisiwala : Final question is on WINLEVI , Abhay , how is the progress with the reimbursement coverage , and for such products , I know it takes time , but if you were to see one , two year ahead, what's the kind of a peak coverage that you can achieve?
Abhay Gandhi : Frankly, I don't even know how to define peak coverage. What constitutes peak coverage I don't know? But definitely, you are right , I mean, it takes a little bit of time for the payers to start covering the product, we will see improvement , we are seeing improvement, and it's always work in progress. So, I am pretty confident that more payers will see the value that the prescriptions written by doctors are generating for them , and help us to get the product on their formula ries.
Sameer Baisiwala : Okay, maybe I can resay, it's not peak but same a more mature I mean, do such products hit 80 -90? Or do they --?
Abhay Gandhi : Oh no, I think 80 -90, you really should not even be expecting , it is not realistic .
Sameer Baisiwala : Okay, much lower than that, got it.
Moderator : Thank you. The next question is from the line of Shriram from BNP Paribas . Please go ahead.
Shriram : So, firstly on R&D spend that we are guiding for around 8% kind of R&D sales to happen in the future. Currently, we are at mo re close to 5% . So, do we have visibility on the R&D activities that in absolute amount, it can go up by almost 50% from y ear on? Just wanted a clarity because we have

been guiding for this numbers, but it continues to be around 5% for several quarters now.
Dilip Shanghvi : Yes, I think you are right, even though on absolute terms, it is going up , in percentage terms , it's not as per the guidance . I think we have guided that we expect the R&D spending in the next two quarters to go up.
Shriram : And secondly, on specialty like a $200 million sales, is it possible to share with us we are EBTIDA positive or negative now , given the --?

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Dilip Shanghvi : We don't break down profitability by business .
Shriram : Okay, because R&D spend is like less than 10% of specialty sales. So, I mean, any indication will be helpful, like whether we are making positive EBIT DA or not.
Dilip Shanghvi : I wish to help you, I think that's why we are trying to give you as much information so that you can reconstruct . I think Murali said that the reason why cost of goods has gone down is because of the increase in the specialty busin ess. So, I think we are trying to help you understand without giving specific guidance.
Moderator : Thank you. The next question is from the line of Tarang Agarwal from Old Bridge Capital . Please go ahead.
Tarang Agarwal : Three questions from me. One, if you could split the H1 FY'23 India growth in volume, price and new introductions , that's one .
The rest two questions are related to a specialty business . In specialty, just want ed to understand what is the kind of front end infrastructure that the business has created? Maybe in terms of number of reps , in terms of divisions, some sense on that . And even in terms of the target addressable prescribers, where are we have we probably reached 40%, 50%, some shade on that would be helpful for us to understand the business better.
Dilip Shanghvi : On a lighter side, I think Kirti will respond, but maybe it will help me if you can do his review from next quarter. Kirti will respond.
Dilip Shanghvi : I think you are asking for a level of detailing information that we generally won't share , because this information is not only for investors , also potentially for competitors.
Tarang Agarwal : In both the questions , is it?
Kirti Ganorkar : I am talking specifically for the India business.
Abha y Gandhi : I think the same really applies to the specialty business, we haven't really given any time, the number of field force and all that , support organization, so we really can't answer that question.

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Moderator : Thank you. The next question is from the line of Vivek Agarwal from Citi Group . Please go ahead.
Vivek Agarwal : I have a question on the U .S. psoriasis biologics market, and there are two parts of the question. The first is, what percentage of the population that is on the biologic , required to get the drugs administered in the medical setting, or the self administration is not a viable option for this patient population any qualitative color w ould be helpful here.
And the second part is, when there are a lot of self-administered drugs in the market like majority of the IL-23, IL-17 inhibitors , then w hat are the factors or the reasons that are driving the patient to

go
for the drug administered in clinical or the medical setting?
Abhay Gandhi : For the first part of the question, if you are asking about the epidemiology, then I really don't know what percentage of the population is on medically administered biologic, I don't have that data. The second part is easier for me to answer because there are specific doctors who prefer to inject in the clinic s o that the second dose or the third dose of the patient also happens in front of their eyes and they are able to see whether the drug has any impact or not. So, there are many self -administered drugs no doubt, but there is a certain v alue prop that you know, a drug like ILUMYA brings in , which doctors appreciate , like and therefore they use it.
Vivek Agarwal : So, even th e self-administer ed drugs are being injected or administered by the doctor in the medical se tting, is it right understanding --?
Abhay Gandhi : Actually no, because most of the self -administered drugs will have in -house or at -home usage. It is possible that during the first visit, maybe a nurse administrator or somebody in the doctor's chamber may teach the patient how to self -inject but subsequently it will be at-home use.
Moderator : Thank you. The next question is from the line of Krish Mehta from Enam Holdings . Please go ahead.
Krish Mehta : The first question I had was just if you could provide a broad directional view on Taro and the U .S. generics business, in terms of if you have seen this business kind of bottoming out , or how we can view this going forward say in the next one to three yea rs. So, how do you think about this business trajectory going forward?

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Abhay Gandhi : That will be on what Taro declares, I mean, on the Sun calls, we really don't take any Taro questions.
Krish Mehta : So, would it be possible to provide I guess a broader commentary on the U .S. generics market in that sense, in terms of if you see pricing bottoming out or going forward ?
Abhay Gandhi : I mean overall generic market ; I think it's been a few years since I am hoping to see the bottom. I have not. And I keep hopi ng, but now it's becoming like a faint hope.
Krish Mehta : And my second question is on the specialty R&D. Given that it's come down say in the last nine quarters from 26% to around 22% of the total R&D. What would be a reasonable kind of level to assume on a steady state on your specialty R&D as a percent of total R&D?
Dilip Shanghvi : We will share with investors every quarter about how much is the spen d. In the past, I think we have indicated that one of the reason why the spend has been lower is that clinical trial costs which were planned , we are unable to execute on those plans. So, I think the idea is to find a way to increase and that's also possibly the reason for the delta between our guidance and our actual spen d.
Moderator : Thank you. The next question is from the line of Dam ayanti Kerai from HSBC. Please go ahead.
Damayanti Kerai : My question is on other specialty brands , ODOMZO , LEVULAN , CEQUA etc. So, can you update us, like how these products are performing in terms of having better market access or prescription pick up etc.?
Abhay Gandhi : Product wise, w e haven't given much of details in the past , but CEQUA clearly , I think I must mention that despite the launch of Restasis generics, I am pretty happy that we have been able to hold our own and actually grow the product in the current fiscal. So, I think after ILUMYA that would be our biggest product. An

d therefore I t hink that commentary I am sure w ould
be useful to everybody on this call.

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Damayanti Kerai : So, I would just like asking from these products performance versus pre -COVID level like are these products broadly back to what we had before the pandemic. Just mak e some qualitative c olors would be helpful.
Abhay Gandhi : So, all three products have grown year -on-year, whichever period if you look at year-on-year or half year -to-half year, or quarter -on-quarter. All three products that you have mentioned have grown .
Damayanti Kerai : My second question is on operating costs. So, except R&D, which you mentioned would likely catch up with progress in clinical trials of some products, how should we look at other features for the operating expenses, because now you mention ed we have actually costs included there then most of FM costs are back to pre -pandemic levels. So, should they assume 2Q numbers are broadly now the new cost baser?
C. S. Muralidharan : So, the other expenses as you see in Q2 is somewhat the level at which we are today . How ever, as we s aid that we are not giving any specific guidance o n other expenses or margins. Since it also depends upon the overall ramp up we are having in various markets as the market s are normalizing .
Damayanti Kerai: And my last quest ion is , are you done with sales team expansion for India business or still going on?
Kirti Ganorkar : Yes, we have done the expansion .
Damayanti Kerai : So, whatever target you ha d set in, it’s now in place and now focus is on ramping up the productivity .
Kirti Ganorkar : Correct.
Moderator : Thank you. The next question is from the line of Nitya Balasubramanian from Bernstein. Please go ahead.
Nitya Balasubramanian : I have two questions on specialt y, the f irst one on ILUMYA. How much of a threat do you believe Humira and Stelara Biosimilars , which are expected to hit the market in 2023 and 20 25 have potentially.

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Second one is on WINLEVI , I think in your past comments like -- gross to net is quite high. So, do you see that improving next year , how should we think about that?
Abhay Gandhi : I don’t think on any call we have spoken about the gross to net. So, I don't know how you got that number from .
Nitya Balasubramanian : Your partner Cassiopea’s comments from the last earnings call is actually helpful in doing some basic calculation and that makes it believe that gr oss to net is low. So, do you see that improving and some color on that will be helpful?
Abhay Gandhi : I mean what they have said really , I am not aware, so I think I would defer it to them. As far as I am concerned, I mean, we had a certain business case, which we are trying to meet and beat . And I think we are on track to do that.
As far as the first part of your question on threat from the Biosimilars , I think it's too soon for me to comment. I mean, we have done our own modeling, looked at various scenarios of what can and cannot impact. But things in the U .S. unlike in Europe are pretty fluid as when it comes to the uptake of Biosimilars . And it has clearly not been as quick as wh at you saw in Eur

ope and as a rampant. So,
how these things will pan out , I mean, there is certain lack of clarity even on my part , and part of the overall branded industry as such. So, we have to always keep watching and keep recalibrating our own strategies to meet those challenges, if and when they arise.
Moderator : Thank you. The next question is from the line of Kunal Dhamesha from Mac quarie Group . Please go ahead.
Kunal Dhamesha : A couple of housekeeping questions , is there any PLI related benefit in the quarter for us?
C. S. Muralidharan : Yes, it has been considered in the quarter.
Kunal Dhamesha : Can you quantify?
C. S. Muralidharan : We normally don't quantify such items .

Kunal Dhamesha : But would it be material or ?

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C. S. Muralidharan : From overall scheme of revenue , I don't think that revenue from operations, that's a material amount.
Kunal Dhamesha : And secondly, if I see the cash flow statement that is on the provision side, w e have some big out go. Is it related to the Valsartan , Valganciclovir settlement that we did in Quarter 4?
C. S. Muralidharan : You are right, that's the settlement amount that have been settle d that's why you see a downward revision.
Kunal Dhamesha : And our trade receivable has also gone higher vis-à-vis March , any particular reason for that , in any particular geography from where it is coming?
C. S. Muralidharan : So, as our top-line and over all business has grown, which you have seen in the results, from a value perspective, I do agree that the re is an increas e in receivables overall. And Sun's number of days have increased at the group level which we are looking at to further optimize.
Kunal Dh amesha : The second question is on ILUMYA . So, we have been saying that it's currently in the growth phase. But is it primarily because of the way the economics of certain channels in the U.S. market work out , where we are benefiting?
Abhay Gandhi : I think doing well with a product in any geography is never dependent on one particular factor . I mean it's a combination of all things , launching a product in the right manner , sales and marketing, market access, medical . So, I think it's not just one reason whic h makes a product successful or unsuccessful . So, I would give credit to every department and function working together within the organization to really make the product grow.
Kunal Dhamesha : And can you just help us understand our data exclusivity only ILUMYA till what year it runs through ?
Abhay Gandhi : Talking about the IP?
Kunal Dhamesha : Yes, the IP.
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Dilip Shanghvi : We don't have exact number because there are many pat ents which we would have filed also, which are not publicly visible. So, we don't wish to give any specific guidance on up to which period we expect exclusivity. However, if the question is with a view to understand potential what you call competitive possession or things like that then we still have a long time
Moderator : Thank you. T he next question is from the line of Kunal Randeria from Nuvama. Please go ahead .
Kunal Randeria : Abhay, the first q uestion again, on the ILUMYA . There

are several clinical papers
that say that the prevalence of psoriatic arthritis in patients with psoriasis is much higher than what you know previously, what people had accepted . Assuming you do get approval in psoriatic arthritis setting, does it also, you expect the volumes to improve for psoriasis setting also?
Abhay Gandhi : It will have some halo effect, I won't deny that that . There will be an increase, because we will have new data to speak about , that itself helps with doctors. So, to that extent, I think the halo effect will help us both in the existing indication as well as in the new indication. So, I will agree with you.
Kunal Randeria : And secondly, while you would say that the U .S. generic market remains challenging , but on the other hand, on the specialty side you have been doing fairly well and now we have a good in frastructure in place. So, from a R&D perspective, the fact that you are spending around 20 % to 25% of your R&D on specialty in the next three to four years, should we expect the specialty contribution in R&D to increase meaningfully?
Dilip Shanghvi : Yes, I think we have indicated that the specialty R&D even today, if we were able

to execute on some of the studies would have been much higher than what it is today. So, it will continue to be an important component of our future investment .
Kunal Randeria : So, my question is, since you said that specialty R&D will increase going forward. So, are you also assuming that maybe three, four years down the line , you will have a lot more products, acquiring them?
Dilip Shanghvi : No, I think whatever that I speak abou t is for business that we have . What we don't have I can't plan for .

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Moderator : Thank you. The next question is from the line of Sayantan Maji from Credit Suisse . Please go ahead .
Sayantan Maji : My first question is on WINLEVI . So, what caused a temporary blip in the prescription s in 2Q? And what would basically reverse that can aid in the growth going ahead. And basically the second question is that, what proportion of sales are we now getting from repeat customers in WINLEVI ?
Abhay Gandhi : So, I mean, as I said, it is a continuous process. And I think i f one quarter there is not a significant growth in the number of TR x, I mean, I watch it as carefully as you do , I mean more than you do, actually, because that's the only thing I do. And I am sure it's only a temporary blip. I think next quarter onwards, we will see increase as we used to that's my personal sense.
To the second part of your question, I think we have typically around a third of our customers who are regular users.
Sayantan Maji : And my last question is on R&D. So, we had given a guidance of 7% to 8% of sales. So, after completion of half of the year, do we want to revise it down? Or do we still expect that based on the pickup in R&D in the second half, we will be closer to the gui dance that we had given earlier?
Dilip Shanghvi : So, I think our guidance is 6% to 8%. And I think we are not changing the guidance at this point .
Moderator : Thank you. The next question is from the line of Surya from Phillip Capital. Please go ahead.
Surya : A couple of quick questions , first is that when we are talking about the psoriatic arthritis indications for ILUMYA . So, the target market for this indication w ould be similar to that of psoriasis or it is higher , if you could give some sense would be useful.
Abhay Gandhi : When you say target market, you are referring to

doctors ?
Surya : No, in fact the potential of this indication in the U .S. market if I say, compared to the psoriasis indication ?

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Abhay Gandhi : So, psoriasis is definitely the larger indi cation. Now depending on what data you look at, in psoriatic arthritis in the U .S., I do not know about other markets, it can be something like, depending on what data you are looking at anywhere from 20 % to 30% of the psoriasis market .
Surya : And the seco nd question is on the overall margin and although you have commented something on this, but here, I am trying to understand that this quarter s equentially whatever the improvement that we have witnessed, is obviously led by the sturdy specialty performance , despite of the Taro 's underperformance what we have seen . And believing that this specialty performance is likely to remain steady and improving only , and we would also obviously, will be having some improvement in Taro going ahead . And on the top of that the REVLIMID opportunity, if we factor then I think the margin visibility, it looks really robust, much beyond 30% kind of margin profile. So, any commentary on that, do you see , this understanding is right.
Dilip Shanghvi : So, as we s aid earlier, no, we are not giving any guidance on this, but based on

what you sa id we should all go on long holiday so that business will take care of itself.
Surya : So, then, in the other expenses f ront to some extent, if I try to understand then QoQ the re is a decline, despite that there is a normalcy in the overall operation post-COVID, there is a Alchemee addition and also the expanded operation generally is that we have seen. So, despite that we have seen a sequen tial reduction in the other expenses. So, how should we read this?
C. S. Muralidharan : If you see the sequential other expenditure , I don't think its very material change . So, I will not read much into it.
Surya : And just a quick one, so since last few quarters that we have been seeing a kind of steady reduction in the debt level, when this quarter there is a kind of a rise, to the tune of around 350 . Any specific reason you think for that?
C. S. Muralidharan : So, we have said, we have taken a temporary borrowing for the s ettlement of the litigation.
Moderator : Thank you. The next question is from the line of Harith Ahmad from Spark Capital. Please go ahead.

Harith Ahmad : My first question is on Alchemee , because since we acquired after Taro. So, when we made the acquisition, we had disclosed and released revenue of around $165 million for the business in calendar ‘21. So, I am trying to understand if we are still tracking at those levels on a annualized basis. I am asking because there were a couple of years of de cline prior to our acquisition . So, trying to understand if the business has stabilized?
Dilip Shanghvi : So, I think unfortunately, we can't share anything beyond what Taro has shared. And also, I don't think Tar o has specifically shared the r evenue number s that were there in Alchemee before they acquired . But, we will not be able to respond to specific questions which is beyond what Taro has share

d in their press release.
Harith Ahmad : Next one is the other operating income for the quarter, which is around 140 crores we have seen a step up in the run rate there. Is it related to the PMI scheme approvals, the big deal booking t his step up, in other operating income versus FY’22 run rate?
C. S. Muralidharan : So, the other operating revenue step up is mainly the PLI, we have recognized the PLI accrual .
Harith Ahmad : And last one, when I think about further product additions for specialty business, can you comment a bit on the availability of potential licensing candidates in our chosen specialt y which i s derma and opthal primarily? And are we pursuing some of those licensing opportunities if they are available? Or should we expect the next leg of product addition to come through our own organic R&D efforts in the specialty business?
Dilip Shanghvi : I think as everybody would inform you , that there is potential opportunity to license or acquire product or companies. But there is a fair bit of competition to acquire these assets. So, and we need to feel comfortable with the potential value that we might have to give to acquire those assets. But we will continue to look at those investment opportunities with the view to strengthen our portfolio.
Moderator : Thank you. The next question is from the line of Rithvik Sheth from One-Up Fi nancial . Please go ahead .
Sun Pharma Q 2 FY23
Earnings Call Transcript
06:30 pm November 01, 2022
Corporate Office : Sun House, 201 B/1, Western Express Highway, Goregaon (E), Mumbai - 400063
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Ritwik Sheth : My question is on the tax rate; first half tax rates is about 7%. So, what should be going forward the tax rate for second half and FY’24 onwards ?
C. S. Muralidharan : We have always said that look at the tax on a full year basis . And as per our internal working also, it is al so expected to go up as we move forward.
Ritwik Sheth : So, it should be in the range of last year , full year rate right.
C. S. Muralidharan : We are saying that it will inch up compared to the last fiscal full year .
Moder ator: Thank you. Ladies and gentlemen due to time constraint, we will take that as a last question. I now h and the conference over to Mr. Nimish Desai for closing comments.
Nimish Desai : A small update from our side , before we end the call. Abhishek has joined us as Head of Investor Relations and will be taking over the IR responsibilities from the next quarter onwards. For the next few months, both of us will work together for a smooth transition. It has been

an absolu te pleasure interacting with all of you. I am extremely grateful to all of you for the support that you all have given to me for the past 10 years. Thank you and have a good day.

Moderator : Thank you. Ladies and gentlemen on behalf of Sun Pharmaceutical In dustries Limited that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2023

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BSE Limited,
Market Operations Dept.
P. J. Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code: 524715

Sub: Q3 FY23 Earnings Call Transcript

Dear Sir / Madam,

Please find enclosed herewith a copy of the transcript of the Company's Q 3FY23 earnings conference call, which we shall be upl oading on our website after sending this letter to you.
This is for your information and dissemination.
Thanking you,

Yours faithfully,
For Sun Pharmaceutical Industries Limited

(Anoop Deshpande)
Company Secretary and Compliance Officer

Sun Pharma Q 3 FY23
Earnings Call Transcript
06:30 pm January 31, 2023

Corporate Office : Sun House, 201 B/1, Western Express Highway, Goregaon (E), Mumbai - 400063
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Corporate Participants

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CEO (North America Business), Sun Pharmaceutical In dustries Ltd.
C. S. Muralidharan
Chief Financial Officer, Sun Pharmaceutical Industries Ltd.

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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '23 Earnings Conference Call of Sun Pharmaceutical Industries Limited. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance dur ing the conference call, please signal an operator by pressing star then zero on your touchtone phone. I now hand the conference over to Mr. Abhishek Sharma, Head of Investor Relations and Strategic Projects. Thank you, and over to you, Mr. Sharma.
Abhish ek Sharma: Thank you. Hello, and a warm welcome to our third quarter FY '23 earnings call. I am Abhishek from the Sun Pharma Investor Relations team. We hope you have received the Q3 financials and the press release that was sent out earlier in the day. Th ese are also available on our website. We have with us Mr. Dilip Shanghvi , Manag ing Director; Mr. C.S. Muralidharan, CFO; Mr. Abhay Gandhi, CEO, North America; and Mr. Kirti Ganorkar, CEO India business.
Today, the team will discuss financial performance for the quarter, business highlights and respond to any questions that you may have. For ease of discussion, we will look at the consolidated financials. The call recording and the call transcript will also be put up on our website shortly. The discussion today might include certain forward -looking statements, and these must be viewed in conjunction with the risks that the business faces. You are requested to ask two questions in the initial round. If you have more questio

ns, you are requested to rejoin the queue. I also request all of you to kindly send in your questions that may remain unanswered today.
I will now hand over the call to Mr. Shanghvi.
Dilip Shanghvi: Thank you, Abhishek. Welcome, and thank you for joining us for this Earnings Call after the announcement of financial results for the quarter FY '23. Let me discuss some of the highlights. Consolidated sales for the quarter were at INR 111,001 million, recording a growth of about 13.1% year -on-year, driven by Global Specialty, Emerging Markets a nd India. Our continued focus on top line growth, operational efficiencies and business continuity is producing results. For Q3, our global specialty revenue was at US$ 235 million, up 28.4% year -on-year. Ilumya and Winlevi were the key growth drivers for the quarter. In January 23, we announced the launch of SEZABY in the US for treatment of neonatal seizures. Specialty R&D accounted for approximately 26% of total R&D spend for the quarter.
Abhay will give you more details on the specialty business later.
Sun Pharma Q 3 FY23
Earnings Call Transcript
06:30 pm January 31, 2023

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I have been talking to you about our intent to increase our specialty footprint, especially in our core therapy area of Dermatology, Ophthalmology and Oncoderm. One condition in Dermatology that doctors find particularly difficult to treat is Alopecia Are ata due to limited number of effective approved treatments available.

With that background, let me now briefly touch on the recently announced Concert Pharma acquisition. On 19th January, Sun Pharma entered into definitive agreement to acquire Concert Pharmaceuticals Incorporated. This acquisition add a late -stage asset Deuruxolitinib for treating
Alopecia Areata to our global specialty portfolio. The transaction is expected to be completed in the first quarter of calendar '23.
Our immediate priority would be to follow Concert's plan to submit a new drug application for the
lead asset to the US FDA in the first half of calendar '23. We can take questions on Concert today but you need to keep in mind that we will have to restrict ourselves in what was disclo sed in the press
release issued at the time of announcement, given that the transaction would require requisite regulatory approvals and the tender offer for the US listed company is expected to come in soon.
In summary, we will not be able to guide to peak revenue estimates for the lead product, we will also
not be able to guide projected R&D spend to bring this product to market. However, it's important to note that additional costs are expected to be incurred in R&D before the product gets
commercialized . We are excited to widen our specialty offering in Dermatology and plan to launch the
asset across US and other global markets in near future. We will be very happy to bring this product
for patients globally. I will now hand over the call to Murali for a discussion of the third quarter
financial performance.
C. S. Muralidharan: Thank you, Mr. Shanghvi. Good evening, everyone, and welcome to all of you.
Our Q3 financials are already with you. As usual, we will look at key consolidated financials. Gross sales for Q3 are at INR 111,001 million, up by about 13.1% over Q3 last year. Material cost as a
percentage of sales was 25.3%, lower than Q3 last year due to better product mix, including higher
specialty sales. Staff cost stands at 18.4% of sales, while staff costs in percentage terms are lower
over Q3 last year, the increase in absolute value is attributed towards merit increase consolidation of the Alchemee acquisition an

d expansion of the sales force in India.

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Other expenditure stands at 30.6% of sales, h igher than Q3 last year. The increase in other
expenditure is attributed towards higher Selling and Distribution expenses, consolidation of the
Alchemee business and higher R&D. As indicated over past earnings calls, the expenses have seen an
increasing tr end on account of normalization of business activities. On Halol, we have indicated
earlier that Halol's shipment to the US accounted for approximately 3% revenues before the site
received import alert. Apart from the loss of revenues for approximately 3 weeks in Q3, there is an increase in expense because of the import alert. This is primarily on account of provision -related
inventories and some other items.
EBITDA for Q3 was at INR 30,037 million, including other operating revenues, up by 15.2% for Q3 last year, with resulting EBITDA margins at 26.7%. We have reported strong margins despite
normalization of expenses and the impact of sales force expansion in India. Reported net profit for Q3 was at INR 21,660 million, up 5.2% year -on-year compared to Q3 l ast year. Adjusted for one -off
effects in both the periods, Net profit growth was higher than the EBITDA growth for the quarter. Reported EPS for the quarter was INR 9 per share.
Let me now discuss the key movements for Q2 FY '23. Our consolidated gross sales were higher by
about 2.7% Q -on-Q at INR 111,001 million. Material cost at 25.3% of sales and staff cost at 18.4%
of sales are almost similar to Q2 levels. Other expenses at 30.6% of sales were higher compared to Q2 FY '23. Increase in other expenses Q -on-Q was driven by higher sales and distribution expenses
and increase in R&D spend. EBITDA for Q3 stands at INR 30,037 million, up by about 1.6%
compared to Q2, and EBITDA margin for Q3 was at 26.7% compared to 27% for Q2. Reported net
profit for Q3 stand s at INR 21,660 million.
Now we will discuss the 9 months performance. For the 9- month period ended 31st December 2022,
gross sales were at INR 325,533 million, with growth of 12.1% over the 9 -month period last year.
Excluding COVID product sales for the 9 months last year, overall sales are up by about 13.6%,
material costs for 9 months was at 25.8% of sales, lower year -on-year, mainly driven by better
product mix, including higher specialty sales. While staff costs and person of sales was similar to 9
months last year, the increase in absolute value is on account of annual merit increase, consolidation
of the Alchemee business and expansion of the field force in India.
Other expenses were at 29.1% of sales is higher than 9 months last year on account of hi gher selling
and distribution expenses and consolidation of the Alchemee business . EBITDA for the 9 months was

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INR 88,447 million, a growth of 9.8% over the 9 months last year, with resulting EBITDA margin of 26.8%. Net profit for 9 months was at INR 64,891 million, up 6.6% over adjusted net profit of 9 months last year. As of 31st December 2022, net cash was US $1.8 billion at consolidated level and about US $621 million at ex -Taro level.
Let me now briefly discuss Taro's performanc

e. Taro posted Q3 FY '23 sales of US $139 million, flat over Q3 last year, a net profit of US $7.3 million. For the 9 months, sales were at US $426 million, up by 2% over 9 months last year. Net profit for 9 months FY '23 was US $18.5 million compared to US $30.9 million for 9 mo nths FY '22. Taro's financials for Q3 FY '23 and 9 months FY '23 included the consolidation of the Alchemee business.
I will now hand over to Mr. Kirti Ganorkar, who will share the performance of our India business.
Kirti Ganorkar: Thank you, Mr. Murali. Let me take you through the performance of our India business. For Q3, the sales of formulations in India were INR 33,919 million, up by 7.1% year -on-year. For this 9 months, sales were at INR 102,390 million, up by 10.3% like -to-like basis, excluding covered product sales of 9 months last year.
India formulation sales accounted for about 31% of total consolidated sales. There were no COVID product sales in Q3 FY '23 and negligible COVID product sales in Q3 FY '22. We continue to witness good growth across multiple therapy areas in chronic and the sub -chronic segment for the quarter.
Sun Pharmais ranked number one and holds 8.5% market share in over 1,800 billion Indian pharmaceutical market as per AIOCD AWACS MAT December -'22 report. Corresponding market sh are for the previous period was 8.2%. As per SMSRC MAT October '22 report, we are number one brand by prescription with 12 different doctor categories for Q3 FY '23.
For Q3, we have launched 25 new products in the Indian market. The sales force expansion h as helped us to declutter our portfolio, and we have been able to expand our prescriber base in key therapeutic categories. We are also increasing penetration in metros, Tier 2 and Tier 3 towns. Focus in near term will be to continue to improve the sales force productivity.
I will now hand over the call to Abhay.
Abhay Gandhi: Thank you, Kirti. I will briefly discuss the performance highlights of our US businesses. For Q3, our overall sales in the US grew by about 6.3% over Q3 last year to US $422

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million. The main driver of growth was the Specialty business, driven by ILUMYA and WINLEVI. US accounted for over 31% of consolidated sales for the quarter. Specialty sales have also grown compared to September '22 quarters, and we remain excited on growth opport unities in the current portfolio.
Let me now update you on our US generics business. The Sun ex -Taro Generics business has marginally declined on a Y -o-Y basis due to stoppage of US shipments from Halol in December '22. Over the last year, this business has gained from a combination of new products, market share gains for existing products and better supply chain manag ement. For quarter 3, we launched two generic products in the US on an ex -Taro basis. I will now hand the call back to Mr. Shanghvi.
Dilip Sh anghvi: Thank you, Abhay. I will briefly discuss the performance highlights of our other businesses as well as give you an update on our R&D initiatives. Our formulation sales in Emerging Markets were at US $257 million for Q3, up by around 7.7% year -on-year. The underlying growth in constant currency value was at about 14%. Emerging Markets accounted for about 19% of total sales for Q3.
Formulation sales in rest of the world market, excluding US and emerging markets, were US $189 million in Q3, higher by a bout 4.8% over Q3 last year. The revenues of US $189 million includes a milestone payment received of 12.5 million. Rest of the world market accounted for about 14% of consoli

dated Q3 revenue. API sales for Q3 were INR 5,154 million, up by around 9.4% over Q3 last year. We continue to invest in building our R&D pipeline for both the global generics and specialty business.

Consolidated investments towards R&D for Q3 FY '23 stands at INR 6,702 million, 6% of sales, and this compares to INR 5,471 million, 5.6% of sales for Q3 '22, and to INR 5,710 million, 5.3% of sales in Q2 '23. Our current generic pipeline for the US market includes 96 ANDAs and 13 NDAs awaiting approval with the FDA. Our specialty R&D pipeline includes four molecules undergoing clinical tri al. We should be able to update the status of this trial in our next call.

The R&D investments have increased compared to Q2, and we expect a continued ramp -up of the same. R&D investments are likely to increase, both for our specialty and generic busines ses. The Board has declared an interim dividend of INR 7.5 per share for the year FY '23 against INR 7 per share interim dividend for the previous year.

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With this, I would like to leave the floor open for questions. Thank you.

Moderator: The first questi on is from the line of Naushad Chaudhary from Aditya Birla Sun Life AMC.

Naushad Chaudhary: Congrats on a decent set of numbers. Firstly, on Concert Pharma, I understand. So I don't want any specific number. But directionally, if you can help us understand in terms of the cost structure and R&D spend, the intensity would be similar to calendar year '22 in calendar year '23? Or should it directionally come down or go up, if you could give us the direction in terms of cost structure intensity?

Dilip Shanghvi: No, I think it's difficult to give information in context of the, what you call, limited information we have and also a need to be cognizant of the restrictions. But conceptually, you need to keep in mind that they have announced that the Phase III trial is complete, and they are in the process of filing the product or they wish to file the product in the first half.

Naushad Chaudhary: Secondly, on the other expenses, was there any one -off in this quarter? Or was there a cost related to Concert acquisitio n, which may not be there in the coming quarters? Or was it a normal cost structure?

C. S. Muralidharan: So it was a normal cost structure as said on the readout, it was on account of the normalization of the operations. There is no one -off or anything re lated to the transaction.

Naushad Chaudhary: And last, just a clarification. If I look at our specialty business, the revenue share sequentially have moved up meaningfully. But if I look at the gross margin, which looks flat, can you help us understand th is math, sir?

C. S. Muralidharan: So as far as the cost is concerned, while we agree that the specialty business has increased, it will help us to improve the margins. However, costs is also the function of product and other geography mix. So as a result o f which, what I will say is that the COGS, what is trending is as per our overall expectations.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.

Sun Pharma Q 3 FY23
Earnings Call Transcript
06:30 pm January 31, 2023

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Tushar Man

udhane: This is with respect to the R&D cost on the specialty front. So that has been increasing for the past three quarters now. So is it to do with the new indication for Ilumya?

Dilip Shanghvi: Yes, I think we have guided that we had challenges in terms of ramping up the clinical studies because of the COVID, and subsequently, because of the war in Russia as well as Ukraine. So that has affected recruitment of new subjects. So I think I had explained that we will gradually find a way to identify new sites and find a way to accelerate the recruitme nt.

Tushar Manudhane: That's interesting. Sir, just on your comment in terms of intent to increase the specialty footprint. So if either in terms of the number of MRs or in terms of the absolute cost increase, if you can help us in

the FY '24?
Dilip Shanghvi: No. I mean, what I shared is that our increasing focus on growing the specialty business. I mean that doesn't necessarily mean that we would be strengthening the field force or anything at this point of time.
Tushar Manudhane: And just secondly, on th e India business, where there has been addition of a good sales force. There has been 25, 30 launches on a quarterly basis for almost three, four quarters now. But 3Q FY '23 seems to be subdued at 7% year -over-year. So any particular you would like to call out?
Kirti Ganorkar: Sure. I think the quarter 3 was slightly below the market that is 7.7%. But if you look at our MAT December growth, which is higher than the market. So MAT, like we are growing -- market is growing at 7.7%, and we are going by 11.3%. So in the quarter 3, what has happened is like, as you know, Istavel and Istamet these were the two products we licensed from Merck and they went off- patent in the month for July. And after that, we have made this product affordable. So these were the big brands where we have made the product attractive and make it affordable for the patients. So we have lost some topline. But at the same time, we are maintaining our market share in terms of unit. So that has impacted our growth in quarter 3. And as well as we have some challenges is one of the business unit in Gastro, where the growth were not as per expectations. But other than that, all other therapy areas, either we are in line with market or growing better than the market.
Tushar Manudhane: So Gastro c hallenge is being addressed now. So we can be back to growth in the coming quarters?

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Kirti Ganorkar: Yes. That's our continuous effort is wherever we see some of the areas not growing as per our expectations. We try and address some of these issues. They take time also. It's not the next quarter, it will get addressed. But over a period of a couple of quarters, I think they should come back to growth in line with market.
Tushar Manudhane: And just lastly, if I may squeeze in, so this milestone receipt sit s in ROW sale, right?
Manag ement: Yes.
Moderator: The next question is from the line of Kunal Dhamesha from Macquarie.
Kunal Dhamesha: First just one clarification on other expenses. I think in your opening remarks, you said that there was some kind of inv entory provision related to the products being not supplied from Halol, etcetera. So would you be able to quantify that?
C. S. Muralidharan: So while we have taken the reported provisions not in the inventory and other items from the same time, it's not v ery significant.
Kunal Dhamesha: And there are no kind of failure to supply penalties or the remediation costs, etcetera, included in other expenses?

C. S. Muralidharan: Whatever in terms of needs to be considered in the current quarter has been consider ed relevant hits, and then they are not significant enough.
Kunal Dhamesha: My first question basically is on Winlevi. So I think this product has featured as a kind of growth driver for specialty sales for the first time. Is there any particular thing th at has changed in the US, which is kind of helping us grow faster in this product now? Because as far as we are concerned, whatever prescription data we follow is generally showing quarter -on-quarter more or less flat prescription data. So is there anythin g fundamentally changed there?
Abhay Gandhi: So the prescriptions that you see today are more profitable than in the past quarter because there has been an improvement in access. I mean have you said that, I mean, on various calls, I have said that improv ement of access is an ongoing process. There is no finite time to completion of that, it will happen all through the course of the life cycle of the product. And we have a long way to go in terms of improving that even further.

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Kunal Dhamesha: So is it fa ir to say, we have like onboarded a big PBM right now or in this quarter?
Abhay Gandhi: Sorry, can you repeat your question? Fair to say, what?
Kunal Dhamesha: We have onboarded a big pharmacy benefits manag er or an insurance company who are manag ing the ir PBM on their own. And but what we still see there's a lot of scope.
Abhay Gandhi: True
Kunal Dhamesha: And this kind of onboarding, does it help with negotiating with other guys as well, the big guys, basically?
Abhay Gandhi: I think we have to see. I mean, there are competitive dynamics even amongst the payers, whether it helps us, time will tell, but we certainly would try our level best to convince the other payers also to cover the product.
Kunal Dhamesha: And second question on Deuruxolitinib, lik e any -- given there is another molecule with a very similar kind of chemical structure approved, will this be counted as a new chemical entity for us?
Abhay Gandhi: I mean, this definitely will be a new chemical entity.
Kunal Dhamesha: So it would come with the associated exclusivity, etcetera, if it gets approved?
Abhay Gandhi: That is correct.
Moderator: The next question is from the line of Neha Manpuria from Bank Of America.
Neha Manpuria: Two questions on the Concert acquisition. First, if I were to think about the lead asset here, how do you think about reimbursement and formulary coverage for the product? There was -- since this could be seen as more -- not fully, but more cosmetic use versus medical use? That's my first question.
And second, how does this product fit into our existing presence in Derma with Ilumya and the other products? Just trying to understand the additional investment that would be required to commercialize this product outside the R&D investment that you mentioned?

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Dilip Sha nghvi: So, Abhay, would you respond?
Abhay Gandhi: I'll respond to the first part. I mean from a science and medical perspective, AA or Alopecia Areata is clearly not a cosmetic condition. Howev

er, like what you said, a lot of payers not
doctors, but defi nitely payers may have that kind of a perception in mind. And I think the task for us even prior to launch will be to sell the concept and make payers understand that this is a medical condition and not a cosmetic condition. And then therefore clients that I think in that, I think the
doctors that we are speaking to in the KOLs are pretty clear, and they will also be helping put out that story.
Neha Manpuria : But is the additional R&D that you mentioned prior to commercialization associated with us helping to help get better formulary coverage when we launch the product?
Abhay Gandhi: So data that we will generate from the R&D efforts will be used in various forms.
The same data will be used with at HCPs and in a modified form used with payers and PBMs and even the buyers of the product. So data is data. It is how you present it to relevant audiences that
will make a difference and eventually how all elements of the market dynamics into play and have a positive impact on the product.
Neha Manpuria : And my s econd question, how does this product fit into the existing footprint that we have in Derma from a sales force perspective, doctor coverage perspective?
Abhay Gandhi: So like Mr. Shanghvi also said, in his read out on it. I mean, we have products in Psoriasis. We have products in Acne, Actinic Keratosis. This was one unmet need. So it enhances the basket of offerings that we have for the dermatologists and doctors who treat the dermatology conditions. So I think from an indication perspective, it is a clear fit into what we already do. And
there is a significant overlap between the HCPs that we meet and the HCPs who are likely to be treating Alopecia Areata.
Neha Manpuria : And just one last clarification on the R&D spend. Is the additional R&D included in the guidance that we have mentioned in the past of 7% to 8% of sales -- or should we look at is it over and above that?
Dilip Shanghvi: I think we are currently underperforming in terms of the, what you call spend
even if this gets added, I think we will g et the cost only for a month or so.

Neha Manpuria : No, so. I mean from a guidance perspective for next year, since you mentioned additional R&D?
Dilip Shanghvi: That guidance we will give next year. because I think we will look at the -- all the products in different stages of development, like what I also shared is, we should be able to also share some clinical outcome progress with some of the other studies, so that we will give that guidance.
Moderator: The next question is from the line of Sameer Bais iwala from Morgan Stanley.
Sameer Baisiwala : So is it possible for you to talk a bit more about Halol situation in the sense that, A, for the 14 exempted products, would you be able to restore all the sales? B, would you be using the site for non -US marke ts and see how many ANDAs have been filed from your pending approval? Or any color around any high -value product, so are you looking to site switch?
Dilip Shanghvi: So I think, Abhay can give more information about the exempt products and what kind of sal es we will be able to maintain but we will look at what you call the important products approved or in the process of getting approval for switching or filing from additional sites.
Abhay Gandhi: For me to add to what Mr. Shanghvi we said, a lot of busines s that we will be talking about retaining or losing will be product specific, and the situation is still a little fluid, I wou

ld say. Attempt will be obviously to retain all of it, but I don't think all of it will be retain, some of it, you can assume will be lost to competition and the attempt will be to minimize that.
Sameer Baisiwala : And would you be using the site for non -US market or you would first rather get it back in remediation?
Dilip Shanghvi: No, I think we are in touch with the other regulat ory agencies, but site is being used for supplies to other geographies.
Sameer Baisiwala : Sir, second question is on the specialty portfolio. And the prescription for Winlevi had kind of dipped around, if I remember correctly, October, November, -- and th ey have been inching up, so I think they're back to 8,000 a week. But before that, it used to be 9,000 to 10,000. So we're still not back up. So just any thoughts on that? And second, also on Ilumya, if I see

the IMS dollar data for 3Q, which is October, N ovember, December, it's just flat quarter -on-quarter versus our primary sales being up. So anything to re -through or it's just a bit of an aberration.
Abhay Gandhi: So the first part to your question. I mean, the prescriptions are moving up, not at the pa ce that we would like, but they are moving up. And I think we had made some changes to our co-pay plan and then we had improvement in the access, so, I'm pretty confident that, the growth trajectory we will we be able to maintain -- and this is about your question on Winlevi, of course. On Ilumya, personally, I don't see a challenge because of the channel that we are strong in, that is the medical benefit channel, not all of that sales that you see in the IMS will be completely reflected. So if I see -- and of course, on the call, I cannot discuss, but if I see the sales still yesterday for the month of Jan, I feel pretty strong that the positive momentum will continue.
Moderator: The next question is from the line of Prakash Agarwal from Axis Capital.
Prakash Agarwal: Now I just wanted to understand this import alert situation better. So currently, what I understand is 14 exempted products are not being sold, and there are some activities that would be required to get these products enter the US shores. S o is that understanding right? And what is the value of these 14 products?
Dilip Shanghvi: So Abhay, you would like to answer or...
Abhay Gandhi: So whichever way...
Dilip Shanghvi: I think you will have more current information...
Abhay Gandhi: So bat ch by batch, the products that we have in India, we have started releasing to the market after discussions with our quality team as well as external consultants. And for the fresh product, which we are getting from India, as you said, is the process to be followed, which we will follow and try and fulfill the needs of the market -- and I mean product wise and category wise, we don't give our numbers. So I can't really give an answer to your question of the exact contribution of

these products.
Prakash Agarw al: So of the 155 million, is it half of the product sales? Or is it less than half, some direction will help. And when you say batch by batch, it is the FDA -- I mean, you are releasing batch by batch or they are accepting batch by batch? If there can be any clarity there?

Abhay Gandhi: We are releasing it batch by batch after testing of the products. Okay. And they are accepting it.
Dilip Shanghvi: Okay. I think you should have clarity that it's a decision by the Sun Quality to release the batch. FDA doe sn't accept anything. Everything that we do is open for future audit.
Prakash Agarwal: Okay, but when you release it batch by batch, it can be sold in the US market. Is that understood?
Dilip Shanghvi: Batch -by-batch release for the US market.
Prakash Ag arwal: Okay. Okay. And sir, direction on the 14 exempted products, it could be less than half or around half of your $155 million sales?
C. S. Muralidharan: We are not giving any specific product related revenues or disclosure.
Abhay Gandhi: And overall I think we have been looking at that the total impact on the overall company sales is not more than 3%. That should give you some direction.
Prakash Agarwal: And sir, when you said that you have taken some provisions. So is it adjusted with COGS? Or is it a line item with other expenses? How should we think about that? And going forward also, how is all the provisions taken yet?
C. S. Muralidharan: No, it's line in both in COGS and other expenses and not very significant as I shared earlier.
Prakash Agarwal: Not significant, hence forth?
C. S. Muralidharan: I said the -- whatever we have baked in, in the current quarter in the COGS and other expense line, it's not very significant I said.
Prakash Agarwal: Okay. But most of it has been taken or is yet to b e taken?
C. S. Muralidharan: We have baked on whatever is we are fully aware of completely we've recognized it.
Sun Pharma Q 3 FY23
Earnings Call Transcript
06:30 pm January 31, 2023

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Prakash Agarwal: Okay. Lovely. And lastly, on ROW and EM sales. So dollar term, we were looking at 2-year CAGR and 3- year CAGR, it remains 2%, 3% kind of CAGR dollar terms. So is there any focus in terms of additional launches? Or is it because of the high COVID base? Or how should we think about growth in ROW and EM?
Dilip Shanghvi: I think the growth is significantly more than 2%, 3%. I don't have three year data in front of me. But if I understand the relative percentage that the emerging market as other markets have on the overall company performance. It's not -- it's actually gaining in terms of overall share. So in spite of growth in other markets, it's growing faster.
Prakash Agarwal: So I have data from Q3 '21 to Q3...
Dilip Shanghvi: I think can you then take it up separately with Abhishek and rework the numbers...
Prakash Agarwal: We will do that
Moderator: The next question is from the line of Shyam Srinivasan from Goldman Sachs.
Shyam Srinivasan: Just looking at Global Specialty sales Q -o-Q, 200 million has gone to 223, excluding the milestone. That's about $20 million -odd. But when I look at non -Taro US formulation, it's flat, rig ht, 282 million to 283 million. So I just want to understand growth of specialty, US versus non-US looks like there's been a bigger contribution from non -US I'm obviously making an assumption on non -Taro generic, but just wanted your thoughts...
Dilip Sha nghvi: I mean, we have the data. I think for a specific reason, we are not sharing the details on this . And I understand that it creates a challenge trying to estimate our own general

feedback is that I think the business is growing both in US as well as in other geographies.
Shyam Srinivasan: Thank you, Dilipbhai. But just anything on ROW because intuitively, it seems

to
have grown faster. So have we done better in any of the other markets? I think that's where the underlying question was.
Dilip Shanghvi: So you are asking for specialty business or other...
Shyam Srinivasan: Yes. Just I'm doing only specialty -- only specialty, global specialty, non -US.

Dilip Shanghvi: Specialty business in ROW is not very large...
Shyam Srinivasan: Just a second questi on on...
Dilip Shanghvi: What you must be mixing up then the royalty income is included in the...
Shyam Srinivasan: No, no. I excluded this, sir. I excluded the $12.5 million 200 million has gone to 220.
Dilip Shanghvi: It is a very small part of the ove rall business.
Shyam Srinivasan: Got it.
Dilip Shanghvi: The US and Europe.
Shyam Srinivasan: So I mean non -US has even Europe. So if there is something that's happening incrementally in Europe, either through Almirall or others, that is also something that will be useful to know.
Dilip Shanghvi: No. I think Almirall is doing quite well with the product, and that is why they triggered the milestone -- but I don't see a dramatic difference in the performance. And you need to know that in Europe, what hap pens is that different countries based on a different point of time when they get reimbursement, the sales pick up.
Shyam Srinivasan: Got it, sir, helpful. Just a second question on the Concert deal from a financing perspective. I think I missed the ex -Taro cash balance for the quarter or the December end, how will we be financing it? And just the next few steps, if you could highlight, what should we be looking out for?
C. S. Muralidharan: So we've already given our -- in the press release in terms of th e options we have in terms of financing the transaction. So beyond that, we will not going to comment how will be funding this transaction at this point of time. And the process has also been shared, which has been filed with Concert also, so which is out in public in terms of what we're following with the listed entity.
Moderator: The next question is from the line of Sayantan Majhi from Credit Suisse.
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Sayantan Majhi: So I believe in the initial readout, the year -on-year increase in specialty was driven by Ilumya and Winlevi. So what would you led to quarter -on-quarter increase? Are Ilumya and Winlevi , is it mainly because of Ilumya and Winlevi or has there been a benefit from seasonality and stocking up as well because dermatology portfolio usually have a favourable seasonality in 3Q?
Abhay Gandhi: There was a lot of breakup in the audio so really not sure what the question is.
Sayantan Majhi: Yes. So let me repeat it. Is it better?
Abhay Gandhi: Yes, much better.
Sayantan Majhi: So I was saying that in the initial readout, you mentioned that the year -on-year increase in specialty was mainly led by Ilumya and Winlevi. So I just wanted to check, are these the two factors for quarter -on-quarter increase as well? And what seasonality and stocking up...
Abhay Gandhi: I'm sorry, again. Are you what you said, are you? And then I couldn't get on a couple of...
Sayantan Majhi: Yes. So I was asking seasonality and st

ocking up benefit were the meaningful
contributors?
Abhay Gandhi: There is -- there is no real st ocking of this products.
Sayantan Majhi: And my second question is on Concert acquisition. So there is an on -going litigation that is going on between Incyte and Concert. So would the outcome of this event be a material one in order to launch the product on time or is it something which is already taken care of?
Dilip Shanghvi: We are aware, but we are not commenting on that at this point of time.
Moderator: The next question is from the line of Krish Mehta from Enam Holdings.
Krish Mehta : The first qu estion I had was on concert acquisition. So the cash balance of concert seems to be at $140 million. So how you will we be treating this cash balance? And will this -- will the cash balance in concert be fungible for Sun Pharma going forward, we'll be usin g this only for Concert...

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C. S. Muralidharan: So we will be dealing with the opening balance sheet as per the purchase price accounting post transaction close.
Krish Mehta : And on the generic pricing erosion for Taro, we just wanted to understand on giv en that the operating income has picked up this quarter versus the last quarter, do you kind of see this trend continuing for Taro? And how do you see the generic pricing trend for the ex -Taro business in terms of new product launches and market share gain s in existing products?
Abhay Gandhi: So Taro has in their release, said that they continue to see pricing challenges. I think beyond that for us to respond on this call would not be appropriate.
Moderator: The next question is from the line of Nitin Agar wal from DAM Capital.
Nitin Agarwal: Sir, first on the SEZABY launch, if you can just provide us some sense of the opportunity, the way we're seeing we see this opportunity for this project going forward?
Abhay Gandhi: So we believe it's a very good prod uct in a serious indication of neonatal seizures, where there was no approved product and only DESI products were available. And therefore, I think we licensed it from SPARC, just launched it literally last week. So too soon to say, but obviously, very optimistic about the product and potential. So I don't know how much you got of what I said. I think we believe it's an important product. And in neonatal seizures, which is a very serious indication, an approved product is something that gives comfort to the doctors and the institutions as well as to caregivers of the patient. So I think we are very hopeful this will be a good product..
Nitin Agarwal: And I am just following up on that, the grandfathered products, which are unapproved products which are there , is there a time line for the FDA to remove them from the market? Or how does that process work?
Abhay Gandhi: There is some modelling , which we did, but it is not definitive of how it will be looked at by the FDA. For different products, it could be trea ted differently, and it is also a function of FDA to be able to believe that there will not be any drug shortage and the new product will be be able to be cater to demand of the market.
Nitin Agarwal: So this is not a laid out procedure that once you get an approved product for -- in our category

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Abhay Gandhi: So there is no laid out procedures that within x number of months or weeks, the existing products are asked to go out of market. There is no such established procedure. But it's something that we wil l have to work with the FDA, convince them, and it's a process that we will have to go through.
Nitin Agarwal: And sir, on this exclusivity period, how long do we do we get on a molecule like this? Is this a regular commercial exclusivity will be how long for this kind of product?
Abhay Gandhi: I'm not 100% sure, but I think it is 7 years.
Moderator: We'll take the next question from the line of Vivek Agarwal from Citi Group.

Vivek Agarwal: The question is related to recently acquire from Deuruxolitinib?
Moderator: Please use the handset mode, sir. The audio is not clear from your line.
Vivek Agarwal: The question is related to Deuruxolitinib. So sir, can you also comment on the safety profile of the drug, how this is compared to some of the products.
Dilip Shanghvi: No, I think whatever is in the public domain based on which I think it's a relatively safe product with what I would call a benign kind of side effect profile that was reported in the studies that are in public domain. The Phase III studies, I think, are in line with or maybe in the line with that. So I think it's a safe and very effective product. That's why I think I talked about this in a context of best -in-class product.
Moderator: The current participant has left the question queue. We'll take the next question from the line of Damayanti Kerai from HSBC.
Damayanti Kerai: My question is on Halol again. So what kind of remediation cost you foresee for resolving the pending issues there? And also, how do you see your US generic sales trending over next few quarters, ex -Halol, do you think you have headroom to minimize impact of sales lost at Halol from other facilities?
Dilip Shanghvi: We shared at the time of sharing the information about Halol, is that based on this, we expect the impact to be less than 3% of the total sales. And we are not changing or revising our guidance because of this. Now.

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Damayanti Kerai: Regarding the remediation cost, which you might be sending for issues there?
Dilip Shanghvi: So I think we are not sharing specifi c information, but there will be a certain amount of consultants and remediation costs associated with the bringing the facility back in compliance. There may also be some new investments which may be required. So but that's part of the remediation process .
Damayanti Kerai: And any time line like, what you're targeting by when you can see resolution of issues because this plant has been under FDA's scrutiny for some time now.
Dilip Shanghvi: No, I agree with you that it has been under scrutiny and in an O AI status for a very long time. So we need to find a way to resolve the issue. And that's what we are working for.
Damayanti Kerai: My second question is on Taro financials. So the SG&A associated there seems to be trending at around 50 million a quarter. So how should we see this cost going ahead? I understand like this includes Alchemee, but if you can comment on SG&A number for Taro?
C. S. Muralidharan: So Taro has published the results, they also give in the press release. Being a public company, I don 't think will we be able to share more information than what they have shared.
Damayanti Kerai: My last question is, where do you book Almirall

related benefits in your financials?
C. S. Muralidharan: Milestone income, we said, it is coming in ROW, only.
Damayanti Kerai: So this is milestone income. But in a regular quarter, where do you capture this number if there is no milestone like, normal contribution coming from Almirall?
C. S. Muralidharan: A normal sales because of the overall – what one sell to Almirall goes to revenues.
Moderator: The next question is from the line of Bino Pathiparampil from InCred Capital.
Bino Pathiparampil: Most questions answered. Just one question. Dilipbhai, like you shared the revenue contribution from Halol, would you be able to do that regarding the Mohali facility as well, because there is still some FDA issues going on there?

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Dilip Shanghvi: I mean I don't have the details with me. But I mean, we don't either give out revenue from plants or from separate businesses. Halol, we gave out, because I think it's important for investors to be able to evaluate the impact.

Bino Pathiparampil: And just question on SEZABY. Would you be able to define the market in terms of number of patients treated a year for this indication, etcetera something like that?
Abhay Gandhi: Yes. I mean, I don't have the number in front of me, but yes, that number is available. So if you can -- I mean, we share it with Abhishek post call, and maybe you can connect with him offline and get that.
Mode rator: The next question is from the line of Harith Ahamed from Avendus Spark.
Harith Ahamed: On the Concert acquisition, would you be able to comment on the purchase price allocation with the consideration of 570- odd million reflect largely as intangible s on our balance sheet? Or will there be a significant goodwill creation? And the intangibles will be amortized over what period, if you can give some color?
C. S. Muralidharan: So, as we explained in the opening remarks, on 19, January, we signed a defini tive agreement. The transaction has to close, which we expect to close probably in the first quarter of this calendar year. Once completed, we will do the full -blown purchase this accounting at that time, relevant things will be taken care.
Harith Ahamed: And from an accounting standpoint, these payouts associated with the CVRs, will there be a liability created on our balance sheet for these potential payouts?
C. S. Muralidharan: There are multiple options available to treat this type of contingent value rights, which we will evaluate along with the consultants at the time we finalise the purchase based accounting.
Harith Ahamed: And then one question on generic Revlimid, we have disclosed a settlement for that product. Any color that you could share on th e time lines for launch. Will this be an FY '24 launch for us? Or is it much later?
Dilip Shanghvi: So Abhay, I think we've given some guidance in the past?

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C. S. Muralidharan: We are on track for launch.
Abhishek Sharma : That's what we are saying, yes.
Harith Ahamed: But we're not confirming its FY '24 product?
Abhishek S harma : No. All we have said is that we are on track as per the settlement with the innovator to launch. And there is no change in that in the quarter. Yes.
Abhay Gandhi: Correct. That's what we have said.
Moderator: The next question is from the line of Surya Patra from Phillip Capital.
Surya Patra: Just first question on the Concert again. Sir, how critical is the long -term tolerability study for the success of the molecules, sir? And that is one. And secondly, that this is just a lead molecule that is what we are acquiring through this acquisition? Or there is potential other platform technology as well as the product opportunity that we are acquiring?
Dilip Shanghvi: So I think the key focus or interest for us was deuruxolitinib and it's proximate to market and its ability to help the Alopecia Areata patients who are currently not having any approved good approved product for treating that condition. However, the company also has licensed pro ducts to other companies. And they have some products which are not even licensed, but they have intellectual property. So I think as we develop better sense and understanding, we will share if there is any significant additional opportunity that we are ab le to identify from the pipeline.
Surya Patra: And this is a cash -free, debt -free kind of acquisition, sir? Or because I just wanted to have more clarity about the cash number that what we are seeing in the financial report?
C. S. Muralidharan: It’s a debt free acquisition, cash will follow along with the company.
Surya Patra: So my next question is on the cost side, sir. So basically, we are seeing a kind of some impact, obviously, on the other expenses front, and that could be because of mul tiple factors. But I'm just trying to understand to what extent this is led by Taro’s underperformance, because it is Alchemee acquisition post that, obviously, we are seeing some impact on the cost side. So if you can share on that front?

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C. S. Muralidharan: We already in the readout said that the increase in other expenses is driven by the higher selling and distribution expense across various geographies, higher R&D spend and also the consolidation of the Alchemee business. Separately, we wil l not be able to give any number of what related to Alchemee business, our components, which is lying in other expenses.
Surya Patra: Because if we just adjust the licensing income, then the cost structure even looks slightly deteriorated. So that is why. This licensing income, sorry, the milestone income would be a kind of a pure cash component, adjusted for that cost structure looks slightly deteriorated. That is why.
C. S. Muralidharan: But license income is not part of the revenue, right, other operati ng revenue.
Surya Patra: And just last one question, sir, relating to the R&D. Now considering the kind of nature of our activities and the intent to expand our specialty portfolio. So let's say, in next two year period, the R&D spend mix towards the speci alty would be to what extent of the total R&D spend directionally?
Dilip Shanghvi: No, I think we've shared with investors that our focus is on creating a significant additional engine of growth through specialty business. And we have been diligently buil ding that business. And that business will require investment in new clinical studies, R&D, so we will commit all of that whenever that becomes necessary. But we don't give guidance beyond the next year. So that's where I think I have the challenge. But di rectionally, I think we would be strengthening our ability to execute on various specialty related investments.
Moderator: The

next question is from the line of Ritwik Sheth from One -Up Financial.
Ritwik Sheth: Sir, I just had one question on the India bu siness. Would it be possible to give a split for the pricing -led, volume -led and new product led growth for this quarter and nine months?
Dilip Shanghvi: No. I think actually the -- what you call syndicated research AWACS as well as IQVIA give you that in formation.
Moderator: The next question is from the line of Niket from Motilal Oswal AMC. As there is no response from the current participant, we'll move on to the next question from the line of Smit from RDA.

Smit: Why have we discontinued ANDA approval for Generic Vraylar?
Dilip Shanghvi : What is that?
Smit: Generic Vraylar, Cariprazine ?
Dilip Shanghvi : Cariprazine
Smit: Yes, right.
Dilip Shanghvi : No, what is the question?
Smit: Why have we discontinued the ANDA appro val?
Dilip Shanghvi : I don't know what…
Dilip Shanghvi : Is that a public domain information, I don't know. We don't give information related to future products.
Smit: No, because it is approved and then we discontinued it?
Dilip Shanghv i: So that must be business reasons .
Smit: Because it is a fairly large product in US. So is it still a meaningful opportunity for us?
Abhay Gandhi : Honestly, I'm also not aware. I need to check back in and come back
Dilip Shanghvi : Since we are not aware, I think it's better that you speak to Abhishek and get information.
Moderator: The next question is from the line of Mayank Hyanki from Axis Mutual Fund.
Mayank Hyanki: I have two questions. The first question is on the nature of other expenses. Since you have commented that selling and distribution costs have gone up a little. So I wanted to understand what is the increase in selling and distribution costs for the quarter and is it a structural increase?

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C. S. Muralidharan: So selling and distribution expenses, I mentioned that we increased across geographies. However, we also mentioned specifically the field -force expansion is fully completed beginning of the fiscal for India. So obviously in the current year you will see a full expenses related to S&D for those new field force that are added. That's why overall you're seeing an increase in the higher S&D spend.
Mayank Hyanki: So this is something you are saying it's increased across the employee space as well as S&D?
C. S. Muralidharan : Yes, and also more related to the new field force expansion obviously the full year impact is there, plus also the related spend on the S&D rate to the field force.
Mayank Hyanki: The second question is on the Halol si de. I mean we continue to face trouble in this. So my question is to Mr. Sanghvi, that what is the core reason for this issue that Halol? I mean, most of it, of course, will be retrospective, but what have we done to address it over the past few years?
Dilip Shanghvi : I think clearly whatever that we thought we needed to do, we've done, but it was not adequate. So we need to strengthen our ability to ensure that the expectation of the regulatory agency are met. We believe that we've now put in pla

ce an appropri ate focus and structure so that
we should be able to meet the expectation of the agencies. I think at the same point of time we need to also keep in mind that a large number of our other facilities supplying to the US are in compliance and we continue to what you call grow our business in the US, in spite of significant pricing pressure as well as what you call challenges in the marketplace.
Mayank Hyanki: So is it because, I mean we all understand Halol is one of the large and old complex which has got mul tiple production blocks. Is it because of it being an old plant or is it because of shortage of proper skill set or is it because of evolving standards of FDA? And is this something which, I mean the practices here, is this something that you would be hav ing across your
other sites as well because of, if it could be a systematic issue which has to be addressed?
Dilip Shanghvi : I think the company policy is that whatever changes we make in one plant, if it is applicable and related to other facilities, it is au tomatically put in priority for implementation in that facility. Now, Halol, rather than being an old plant, I think we have made huge consecutive

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investments and it has become a very large and complex facility. So we have to find a way to reduce the compl exity.
Moderator: The next question is from the line of Sameer Baisiwala from Morgan Stanley.
Sameer Baisiwala : I have a quick question. The products which are of a lot of interest is semaglutide and liraglutide could be interesting market. So any thought s you can share? I can see that Sun is among the four to six filers for this product. Do you think it can get competitive? Do you still think it's going to be an attractive opportunity? Just your thoughts would be great.
Dilip Shanghvi : So semaglutide is far away, Sameer, I think liraglutide is relatively recent. But my expectation is that by the time the patent expires and we can come to the market, a large part of the current what you call patients would have moved over to Ozempic. So to that extent, we have to look at the residual market at the time of patent expiry.
Sameer Baisiwala: And just one more, if I can, on Deuruxo and that is -- it's a JAK1 and 2 inhibitor, and we have this Olumiant in the market. So is that pricing and other JAKs are those pricing surveys a good benchmark for our product? I know it's still some time, but any thoughts on that?
Abhay Gandhi : We have no firm decision to we all be pricing.
Dilip Shanghvi : No, I think the idea would be to develop a comprehensive understanding on the price at which we can fully benefit from the value of the product and also patients have ability to access an effective treatment option.
Moderator: Next question is from the line of Naushad Chaudhary from Aditya Birla Sunlife AMC.
Naushad Chaudhary: Quick clarif ications. Sir, firstly, in the press release, we have mentioned that the adjusted for one -off the PAT growth in this quarter was higher than EBITDA. So can you just help me what was the one -off last year same quarter?
C. S. Murlidharan: Last year same quarter we have disclosed there was interest on income tax refund and there was one settlement income disclosed that that has been adjusted.
Naushad Chaudhary: And in terms of the net MR addition in nine month this financial year, Can

you share that number as well?

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Dilip Shanghvi : Yes, that's in India market net edition.
Kirti Ganorkar: We have completed the MR addition like 1,000 MR we have added in this financial year. So that part, we are completed.
Naushad Chaudhary: And lastly, qualitatively on the -- especially...
Mode rator: We'll move on to the next question. From the line of Kunal Dhamesha from Macquarie.
Kunal Dhamesha: So just on the deu ruxolitinib the current kind of clinical data we have, would we be able to apply for approval outside US with the current clinical data that we have?
Dilip Shanghvi : Yes, I think we have to evaluate country by -- I mean, geography by geography, some geographies may require additional studies. Some geographies, we may be able to file the existing portfolio. So we have to take if it needs extra investment, we have to take country -by-country decision. But it's a large enough product for us to seriously look at potential across geography.
Kunal Dhamesha: And those additional studies would be more like a bridging studies or kind of a full fled ge size that we need to some at least for a bigger geographies like Europe...
Dilip Shanghvi : My understanding is that Europe may not require an additional study because quite a few of centers on current study study were also in Europe. So it may not require a separate study. I'm talking more about Japan, China and these countries where maybe what studies will be required, we have to get interact with the regulators and develop and understand.
Kunal Dhamesha: And just on Mohali, after it has been kind of class ified as OAI has there been any communication with US FDA in terms of further CAPAs, etcetera, you would have submitted?
Dilip Shanghvi : I think there is a structured process about updating FDA about this, what you call response to 483 and what we are doing. So that -- and there is a certain periodicity of follow -up, that we follow.
Moderator: The next question is from the line of Prakash Agarwal from Axis Capital.

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Prakash Agarwal: Just trying to understand the Taro cash, I understand Taro is a separate compan y, but you are the promoters and Taro's not hosting any calls anymore. I mean, how do we think about the utilization of that cash? Can they use this cash for similar asset acquisitions like you did in the specialty side or it's been there for long and it's accumulating. So what are the thoughts as a promoter?
Dilip Shanghvi : So the idea would be to find a profitable end use of the surplus cash, so that it can be put to use. And we constantly evaluate opportunities both in Sun as well as in Taro. Taro also has a separate business development group, and they also constantly evaluate opportunities. So
hopefully, I think with the rationalization of valuation, we should be able to do something.
Prakash Agarwal: And just a request, if you could have at least an annu al call for Taro, that would be very useful?
Dilip Shanghvi : We would communicate that or share it with them.
Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Abhishek Sharma for closing comments.
Abhishek Sharma: Thanks, everyone, for joining in today. Kindly reach out to the IR team for any remaining questions that you may have. Good night, everyone.
Manag ement: Yes. Thank you

.
Moderator: Thank you. Ladies and gentlemen, on behalf of Sun Pharmaceu tical Industries Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: May 2023

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Scrip Code: 524715

Sub: Q4 FY23 Earnings Call Transcript

Dear Sir / Madam,

Please find enclosed herewith a copy of the transcript of the Company's Q 4FY23 earnings conference call, which we shall be uploading on our website after sending this letter to you.

This is for your information and dissemination.

Thanking you,

Yours faithfully,
For Sun Pharmaceutical Industries Limited

(Anoop Deshpande)
Company Secretary and Compliance Officer

Sun Pharma Q 4 FY23
Earnings Call Transcript
06:30 p m May 26, 2023

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C. S. Muralidharan
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Moderator: Ladies and gentlemen, good day and welcome to the Q4 FY23 Earnings Conference Call of Sun Pharmaceutical Industries Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touch tone phone. Please note that this conference is being recorded. I now hand the conferen ce over to Dr. Abhishek Sharma, Head of Investor Relations. Thank you and over to you sir.
Dr. Abhishek Sharma: Thank you. Good evening and a warm welcome to our 4th Quarter FY23 Earnings Call. I'm Abhishek from the Sun Pharma investor Relations team. We h ope you have received the "Q4 Financial" and the "Press Release" that was sent out earlier in the day. These are also available on our website.
We have with us Mr. Dilip Shanghvi - Managing Director; Mr. C. S. Muralidharan - CFO; Mr. Abhay Gandhi – CEO, No rth America; and Mr. Kirti Ganorkar – CEO, India Business.
Today, the team will Discuss Financial Performance for the Quarter, Business Highlights and Respond to any Questions that you may have. For ease of discussion, we will look at consolidated financials.
The call recording and call transcript will also be put out on our website shortly.
The discussion today might include certain forward -looking statements and these must be viewed in conjunction with the risk that our business faces.
You are requested t o ask two questions in t

he initial round. If you have more questions, you are requested to re -join the queue. I also request all of you to kindly send in your questions that may remain unanswered today.
I will now hand over the call to Mr. Shanghvi.
Dilip Shanghvi: Thank you, Abhishek, and welcome and thank you for joining us for this earnings call after the announcement of Financial Results for the 4th Quarter and Full Year of FY23.
Sun Pharma Q 4 FY23
Earnings Call Transcript
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Let me discuss some of the Highlights. Financial Year '23 was a good year for us with consolidated sales growing by 12.6% to Rs.432,789 million, driven by strong performance across markets led by USA, India, emerging markets and rest of the world markets, all recording double digit growths. We posted EBITDA growth of 12% and adj usted net profit growth of 12.8% for the year.
For the 4th Quarter, consolidated sales were Rs.107,256 million, recording a growth of 14.3% year -on-year driven by Global Specialty, Emerging Markets India and Rest of the World markets.
Let me now update you on our Global Specialty Business. In FY23, we recorded a strong ramp up in our Global Specialty sales which were up by 29.3% to reach US$871 million.
For Q4, our global specialty revenue was US$244 million, up by 31.7% year -on-year. This included a milest one payment of US$6.8 million received in Q4 FY23. Excluding the milestone payment, specialty business accounted for 18.2% of overall sales for the quarter.
Specialty R&D accounted for 31.7% of our total R&D spend for the quarter.
On January '23, we annou nced the launch of SEZABY in the US for treatment of neonatal seizures.
Abhay will give you more details on the specialty business later.
I will now hand over the call to Murali for discussion of Q4 Financial Performance.
C.S. Muralidharan: Thank you, Mr. Shanghvi. Good evening, everyone. Welcome to all of you.
Our full year and Q4 Financials are already with you.
As usual, we look at key consolidated financials. The full year FY23 sales were at Rs.432,789 million, a growth of 12.6% over the same period las t year. Excluding COVID product sales for the last year,
overall sales were up by 13.9%. Material cost stands at 24.6% of sales lower year -on-year due to better product mix and higher specialty product sales. While staff cost as a percentage of sales are marginally higher than last year, the increase in absolute value is on account of the annual merit increase, consolidation of the Alchemee acquisition and the expansion of sales force. Other expenses were 30.4% of sales is higher than last year on account o f higher selling and distribution expenses, higher R&D expenses and consolidation of Alchemee business.

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Forex loss for the year was Rs.1,261 million compared to a gain of about Rs.1,540 million in FY22.
EBITDA for the full year was at Rs.116,468 million, a growth of 12% over the same period last year with a resulting EBITDA margin of 26.5%.
Adjusted net profit for FY23 was at Rs.86,450 million, up by 12.8% year -on-year. Reported net profit for FY23 was Rs.84,736 million.
As of 31st March 2023, net cash w as US$1.5 billion at consolidated level and US$196 million at ex -Taro le

vel.
Let me now discuss the Q4 FY23 Performance:
Gross sales for Q4 were at Rs.107,256 million, up by 14.3% over Q4 last year. Material cost as a percentage of sales was 21%, significantly lower than Q4 last year due to better product mix including higher specialty sales. Staff cost stood at 20.3% of sales. Other expenditure stood at 34.2% of sales higher than Q4 last year. The increase in other expenses is largely driven by continued n ormalization of sales and distribution expenses over the past few quarters. The normalization of other expenses happened to a large extent.
Forex loss for the quarter was at Rs.272 million compared to a gain of Rs.1,610 million for Q4 last year.
EBITDA fo r Q4 was Rs.28,021 million, including other operating revenues up by 19.7% over Q4 last year with EBITDA margins at 25.6%.
Reported net profit for Q4 was Rs.19,845 million. Adjusted net profit is up by 36.3% year on year compared to adjusted net profit of Q4 last year. Reported EPS for the quarter was at Rs.8.27 per share.
Let me now discuss the key movements versus Q3 FY23":
Our consolidated gross sales were lower by about 3.4% QoQ at Rs.107,256 million. Material cost at 21% of sales lower than Q3 FY23 on account of several moving parts leading to change in product mix.

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Material cost as a percentage of sales should normalize going forward. Staff cost at 20.3% of sales were higher in absolute terms versus Q3 FY23 due to higher incentives and consolidation. Other expenses are 34.2% of sales were higher compared to Q3 FY23.
EBITDA margin for Q4 was at 25.6% compared to 26.7% for Q3.
Reported net profit for Q4 stands at Rs.19,845 million.
Let me now briefly discuss Taro's performance:
Taro posted Q4 FY23 rev enues of US$146.6 million, higher by 2.3% over Q4 FY22. Net profit of US$6.9 million.
For the full year FY23, revenues were US$573 million, up 2.1% year -on-year and net profit was US$25.4 million, lower by 56.4%. Taro's financials per Q4 FY23 and FY23 incl udes the consolidation of the Alchemee acquisition.
I will now hand over to Mr. Kirti Ganorkar, who will share the Performance of our India Business.
Kirti Ganorkar: Thank you, Murali.
Let me take you through the performance of our India business:
Our India formulations sales for the full year FY23 were Rs.136,031 million, recording 6.6% growth over previous year. The underlying business has performed well excluding the contribution of the Covid product from previous year, the sales grew by 10.2%.
For Q4, the sales of formulations in India were Rs.33,641 million, recording a growth of about 8.7% over Q4 last year. India formulations sales accounted for 31.4% of total consolidated sales for the quarter.
We continue to witness good growth across multiple t herapy areas in the chronic and sub -chronic segment for the quarter.

Sun Pharma is ranked #1 and holds 8.33% market share in over Rs.1,850 billion Indian pharmaceutical market as per AIOCD AWACS MAT March '23 Report. The corresponding market share for the previous period was 8.31%. As per SMARC MAT February '23 prescription report we are #1 rank Company. Sun Pharma is also ranked #1 by pre

scription with 12 different doctor categories. For Q4 Financial Year ‘23, the Company launched 24 new products in the In dian market.
I will now hand over the call to Abhay.
Abhay Gandhi: Thank you, Kirti. I will briefly discuss the performance highlights of our US business.
Our overall US business grew by 10.3% to US$1,684 million for the full year FY23, driven mainly by the strong performance of our specialty business. For Q4, our overall sales in the US grew by about 10.5% over Q4 last year to US$430 million. The main drivers of growth were the specialty business, driven by Ilumya, Winlevi, Cequa and Levulan. The US accoun ted for over 33% of consolidated sales for the quarter.
Specialty sales have also grown compared to the December '22 quarter and we remain excited on growth opportunities in the portfolio.
Let me now update you on our US generics business. Over the last year, this business has gained from a combination of new launches and market share gains from existing products. However, those gains were offset by full quarter impact of the import alert at our Halol facility.
We launched generic lenalidomide capsules du ring Q4 FY23 in the US. For Q4, we launched four generic products in the US on an ex -Taro basis.
I will now hand over the call to Mr. Shanghvi.
Dilip Shanghvi: Thank you, Abhay. I will briefly discuss the performance highlights of our other Businesses as w ell as give you an update on our R&D initiatives.
Our branded formulations revenues in emerging markets were at about US$983 million for the full year, up by about 8.6% year -on-year. For 4th Quarter, sales in emerging markets were about US$221 million, up by 7.5% over 4th Quarter last year. The underlying growth in constant currency terms were about

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10% for year -on-year for 4th Quarter. Emerging markets accounted for about 17% of total consolidated revenues for Q4.
Amongst the larger markets in local curre ncy terms, Russia and Romania have done well.
For the full year, formulations sales in rest of the world markets, excluding US and emerging markets were about US$ 752 million, up by about 2.7% over last year. On a constant currency basis, the ROW markets g rew by 10.6% in FY23. For Q4, rest of the world sales were US$191 million, up by about 7.4% over 4th Quarter last year. Rest of the world markets accounted for approximately 15% of consolidated Q4 revenues.
API sales for FY23 were at Rs.19,724 million, up by about 7.5% over last year. For Q4 were at Rs.3,852 million, declined by about 6.9% over Q4 last year.
We continue to invest in building R&D pipeline for both the global generics and specialty business. Consolidated investment towards R&D for Q4 FY23 stands at Rs.6,657 million, 6.2% of sales and this compares to 6,700 million, 6% to sales for Q3 FY23 and Rs.5,433 million, 5.8% to sales for Q4 '22.
Our current generic pipeline for the US market includes 97 ANDAs and 13 NDAs awaiting approval with the US FD A. Our Specialty R&D pipeline includes five molecules undergoing clinical trials.
In the future, R&D investments are likely to increase both for our specialty and generic businesses.
The board has proposed a final dividend of Rs.4 per share for the year F Y23. This is in addition to the interim dividend of Rs.7.5 per share paid in FY23, taking the total dividend for FY23 to Rs.11.5 compared to Rs.10 per share for FY22.
And lastly, on the guidance for FY24, we expect high single digit consolidated top line g rowth for FY24.
All our businesses are positioned for growth. Ramp

up in our global specialty business is expected to continue. R&D investments will continue to be 7% to 8% of sales next year.
With this, I would like to leave the floor open for questions. Thank you.
Moderator: We will now begin the question -and-answer session. The first question is from the line of Chirag from DSP. Please go ahead.
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Chirag: Sir, as we look at our $870 million based on the specialty piece, what are the key products that you t hink will drive growth from here on over the next two to three years as we look at this business?
Abhay Gandhi: I think the three major products for us which can drive global growth will be obviously Ilumya, Cequa and Winlevi. And if you talk about the timeframe we could also have other interesting products in the pipeline.
Chirag: Is our specialty business of this $870 million number, is it significantly EBITDA positive, just some colour around profitability of this business will help?
Abhay Gandhi: You are aware that business wise profitability numbers we do not share, so really can't answer that question, Chirag.
Chirag: Would it be fair to say that FY23 cost base for the specialty business has not dramatically changed over FY22, sir?
Abhay Gandhi: That would be a fair statement.
Chirag: Do we think deuruxolitinib is FY24 -25 launch event?
Dilip Shanghvi: No, I think our current guidance is that we should be filing the product by second quarter, which I think because of the FDA hold on 12 milligram, we ar e relooking at what should be the exact date for us to be able to file. And based on that, once we have clarity we will give you some guidance as to by what time we can come to market.
Moderator: The next question is from the line of Kunal Dhamesha from Macquarie. Please go ahead.
Kunal Dhamesha: So, first one on the goodwill jump that we have seen of around $200 million from September to March, could you provide some colour there?
C.S. Muralidharan: So, the goodwill increase is mainly driven by Concert acq uisition.
Kunal Dhamesha: But as far as I see there is also increase in intangible under development which is

roughly US$ 427 million, which is roughly US$ 576 minus the cash that they had.

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Kirti Ganorkar: So, as far as Concert is concerned, we have time t o finalize the purchase price accounting, one year, based on the provisional purchase price accounting, there's a share in the goodwill and also the intangibles under development, that's why you see the increase in that.
Kunal Dhamesha: Would you provide a ny update on Mohali, what is the situation there? It seems that from the press release it looks like we are fairly confident of resolving the issue, but any timeline, would you like to provide there?
Dilip Shanghvi: What is the question?
Kunal Dhamesha: Mohali plant resolution, when we'll be able to restart the supply from that plant?
Dilip Shanghvi: We've already received EIR and we believe that in a gradual and phased manner, we should be able to start selling products out of Mohali.
Kunal Dhamesha: I think in the opening remarks, you said the gross margin would revert to a more sustainable level. Would y

ou be providing any range, etc., where the gross margin could end up in the next year or maybe what is the kind of one -off part that you see here?
C.S. Muralidharan: So, specifically, we're not guiding anything towards gross margins. As we said that the Q4 gross margins is mainly contributed by the change in product mix and higher specialty. However, there are many moving parts within this that have resu lted in this increase. As we shared in the readout, it will normalize as a percentage of sales going forward.
Moderator: The next question is from the line of Damayanti Kerai from HSBC. Please go ahead.
Damayanti Kerai: My first question is in 4th Quarter; we have seen other operating income as well as other income were substantially higher than what you booked in the previous quarter. So, can you explain what has come in incrementally there? And also, the milestone income of 6.8 million, which line item it 's going in?
C.S. Muralidharan: So, as far as the other operating income is concerned, there are multiple moving parts, however its related to the export related incentives and other drawbacks we have. As far as the milestone is concerned, it is considered as revenues.
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Damayanti Kerai: My next question is like the deuruxolitinib update where like your 12 mg strength is like have got partial hold back from FDA. So, obviously you're evaluating opportunities, but if it doesn't come, do you think the opportunit y size will remain similar if you just have to go by single strength instead of two strengths?
Dilip Shanghvi: We are evaluating a possibility where we might have to launch only 8 mg. However, our preliminary analysis indicates that even 8 mg on a longer -term basis is, of course, studies are different, but on different studies overall response rate much better than reported by competing products.
Damayanti Kerai: Can you update us on phase three studies of Ilumya in psoriatic arthritis, when the studies wil l be likely completed?
Dilip Shanghvi: I think what we indicated during the last call is that we will start guiding for what are the study timelines. Unfortunately, I think we're not ready with that information. Maybe from next call onwards we will give cl arity on what is the status of different studies as a part of the readout. But I don't expect the Ilumya psoriatic arthritis study to get completed in this financial year. It may take a little bit more than this financial year to complete.
Moderator: The n ext question is from the line of Sameer Baisiwala from Morgan Stanley. Please go ahead.
Sameer Baisiwala: So, a couple of questions on specialty side. One is how does the annual price increase for these products filter down to your net realization? The second is on Ilumya. Given the positive clinical outcomes for oral IL -23, what could be the implication for your product?

Abhay Gandhi: So, Sameer, I'm trying to understand the nuance of your first question, when you say filter down to net realization, what e xactly do you mean that?
Sameer Baisiwala: What I'm trying to understand is does it proportionately, you know, the rebates go out of that or is it any different?
Abhay Gandhi: So, the price increase that we take for the specialty products at least in the US, I can't answer this question on a global basis is very nominal. And when you talk about rebating, it is very

product -specific again every year that we retain or pass on, is very product -specific. So, I don't want to give a colour saying that most of us we are able to retain or most of it goes back to the payers, it's like moving parts.
Sameer Baisiwala: But I presume some of that does come to the Company.
Abhay Gandhi: Of cou rse.
Sameer Baisiwala: And for the second one?
Abhay Gandhi: Can just repeat quickly?
Sameer Baisiwala: On the oral IL23, the positive clinical trial, so I know it's four years or so away from any launch, if at all, but how are you thinking about that?
Abhay Gandhi: The data that is coming out with the orals are positive, but I think the injectable IL23 clearly give a higher response. So, there is a place in therapy for the injectable and especially when you have an injectable which is only four times a year administered by the doctor, we don't see a resistance from the HCPs for the use of the injectable IL23 and our product specifically.
Sameer Baisiwala: Quickly on Revlimid, I think Sun is the 7th or the 8th player to enter the market. So, as things stand, do you think it's a nice good lucrative opportunity or is it a lot diluted?
Abhay Gandhi: As of now, it's holding up. But the more number of competitors coming in during the course of this financial year, we have to observe and see what really happens.
Moderator: The next question is from the line of Prakash Agarwal from Axis Capital. Please go ahead.
Prakash Agarwal: A question on CTP -543. So, you mentioned that because of partial hold, 12 mg is evaluated, but just a reclarification, 8 mg is on track to be filed by Q2?
Dilip Shanghvi: Q2 is already over. So, we are studying the FDA letter indicating the hold and evaluating what is the best way for us to progress with the filing. So, that is where we are. And it gives us an opportunity to re -look at the da ta in terms of 12 mg and what is the differential side effects and

all of that. So, I think we want to find a way to file the product in such a way that we still have an opportunity to get both the strengths approved.
Prakash Agarwal: If I got that correct , so 8 mg also you are re -looking with respect to the pros and cons of 12 mg?
Dilip Shanghvi: I think if you see our release, I think what agency asked us to do was to move all the patients of 12 mg to 8 mg. So, based on the experience and long -term safety study, which we already have on some of the patients have been on treatment over multiple years, its kind of looks like a very safe product.
Prakash Agarwal: Sir, I'm trying to understand the filing time period for 8 mg, sir.
Dilip Shanghvi: You can't fil e for one strength and then file for another strength.
Prakash Agarwal: And secondly on India business. So, we had added some field force. I see the growth. But what we pick up from the channel is volume growth has been very tepid. Would you explain please?
Moderator: The participant has left the question queue, sir. The line has dropped.
Dilip Shanghvi: Let him come back, then we will explain.
Moderator: The next question is from the line of Ankush Mahajan from Axis Securities. Please go

ahead.
Ankus h Mahajan: Sir, due to the Concert, we have a high R&D cost and that has impacted the consolidated EBITDA margins. Sir, any guidance for the same?
Dilip S

hanghvi: No, I think we are on the lower end of the overall R&D guidance. So, what is the question?
Ankush Mahajan: Sir, actually, last quarter there is a 100- basis point impact on the margins on the consolidated basis due to the higher R&D on the Concert, sir. Just throw some light on it.

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Dilip Shanghvi: I think when we are looking at numbers, we don't see what you are asking. So, I think it is best that you separately speak to Abhishek and get the details clarified.
Moderator: The next question is from the line of Naushad Chaudhary from Aditya Birla Sun Life AMC. Please go ahead.
Naushad Chaudhary: Just one update I wanted on the ongoing five molecules which is there in the pipeline. Last quarter, we had indicated that we will come up with some more additional update on this. So, qualitatively, just wanted to understand in next one or two years, can we s ee, or do you see at least one or two sizable products coming to our specialty basket from these five molecules? And at least if you can share us in terms of size of opportunity on the molecules you are working on, currently?
Dilip Shanghvi: I think I indicated that we were to share the development timeline for all these innovative products and what is the plan that we have for these products to be brought to market. Unfortunately, we couldn't do that this quarter, we will start doing it from next quart er as a part of readout only.
Naushad Chaudhary: Last quarter, we had indicated that in India portfolio, we had some challenges in our gastro portfolio. Any update on that, do we continue to feel have that challenge or have you overcome on that bit?
Kirti Ganorkar: In the last call what we said is, both in gastro and ortho portfolio, we are seeing some challenges, but now it's too early to say, but we are seeing some improvement in this quarter. Maybe we will be able to update you better after two or three quarters.
Moderator: The next question is from the line of Prakash Agarwal from Axis Capital. Please go ahead.
Prakash Agarwal: Yes, hi. Sorry, I got dropped. On the India business, my question was that in the market level, are we seeing volume coming down quite a bit over the last two, three years? And if so, what are the changes, actions we are taking, apart from the field force addition that we have done and also the field force count, please?
Kirti Ganorkar: I would at least try and help you out. Like i f you look at the IQVIA MAT data for March '23, the volume growth for the industry is almost zero or minus 0.5%. So, to compare to that, the Sun's

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growth is about 11%. And if you divide this 11% growth into three buckets, the 6% growth is coming from the u nit growth, that is a pure volume growth, then 2% of the growth is coming from new products for us; and then the 3% growth is due to price increases. And when we compare Sun among all our peers or the top 10 companies, I think our volume growth is one of t he best. There are one or two companies which are like Sun only. But most of the other players, they are not growing by 6% in volume. So, I think we are well placed. And this is also a reflection that we are able

to generate the
prescription in the market.
Prakash Agarwal: Any commentary on the new product launches like we are not among the top 5, top 10 also I think in the new range of DPP -4 gliptin, etc.
Kirti Ganorkar: No, that's not correct. I think, we are the leader.

Dilip Shanghvi: You don't see our product in new, because we already have these products here.
Prakash Agarwal: Sir, you have kept the brand, but the volume and price both would have come down, right?
Dilip Shanghvi: No. on price, we are competitive. But volume has gone up significantly.
Kirti Ganorkar: See, just to give an example, in terms of volume in both sitagliptin and sitagliptin metformin market we are number one in unit terms, yes. In value term, we are not… because we have reduced the price post -patent expiry. A nd then after the post -patent expiry, we have launched a good number of combination products, which will also help us to grow this franchise.
Prakash Agarwal: And lastly, the field force count, sir?
Kirti Ganorkar : Field force, we are close to around 10,000.
(Post Call Edit : The field force number as of Mar 31, 2023 is 12,692)
Prakash Agarwal: This is despite adding the last year 1,000 -plus?
Kirti Ganorkar: Yes. See, expansion is a part of our strategy. So, we continuously keep evaluating territories w here we can add MRs, so that’s a part of our strategy.

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Prakash Agarwal: So, 10,000 in terms of --
Dilip Shanghvi: Market dynamics are changing. Consultants are now starting to practice from smaller cities and towns, and we need to find a way to reach out to these people.
Moderator: The next question is from the line of Krish Mehta from Enam Holdings. Please go ahead.
Krish Mehta: My first question is on the debt in the balance sheet. So, could you just provide some colour on why we've seen an increase in t he debt and how you sort of see this going forward?
C.S. Muralidharan: So, debt in the balance sheet increases is mainly for the bridge funding for the Concert acquisition.
Krish Mehta: Can you provide the number for the interest income for FY23?
C.S. Muralidharan: We will get back to you on the specific number.
Krish Mehta: I just wanted to ask if you could provide a number for the full year ILUMYA sales?
Abhishek Sharma: We are not providing ILUMYA annual number.
Krish Mehta: No, I just asked because we used to get that annual data so far.
Dilip Shanghvi: We will continue with whatever the practice if we were giving, then we will share that number.
Moderator: The next question is from the line of Bino Pathiparampil from Elara Capital. Please go ahead.
Bino Pathiparampil: Just one clarification on Revlimid. Has that significantly contributed to your 4Q numbers or would it be significant in 1Q?
Abhay Gandhi: For Q4, it was a significant contributor.
Moderator: The next question is from the line of Punit Pujara from Helios Capital. Please go ahead.

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Punit Pujara: My question was on Concert. So, via Concert acquisition, we have got a DCE platform. So, do you wish to continue developing deuterated products through this platform?
Dilip Shanghvi: As on today, I think

our primary interest was in Deuruxolitinib and we are potentially looking at additional indications of that product in different indications. We have no immediate plan of working on deuteration as a platform.
Moderator: The next question is from the line of Cyndrella Carvalho from JM Financial. Please go ahead.
Cyndrella Carvalho: Sir, just wanted to understand on the India piece, would we continue the similar growth that we have reported in FY23 or do you see opportunities to calibrate this growth further?
Kirti Ganorkar: No, I think what we have said in the past also, it's very difficult to forecast what will

be the growth in the coming years. But whatever is a market growth, India business we want to grow in line with the market or slightly better than the market, that will be our effort.
Cyndrella Carvalho: And we would have some benefits of the new added MR force also, right, in terms of FY24, is that a correct understanding?
Kirti Ganorkar: Yes, that's correct.
Cyndrella Carvalho: On the US piece , an earlier participant also asked for Ilumya number. If you would want to share, that would be helpful. However, if I look at the gross margin, so I'm just trying to clarify this again, so is that because largely our mix was tilted towards specialty busi ness and that's the reason we saw this gross margin, would that be a correct statement?
C.S. Muralidharan: No. So, what we have said is that, in Q4, the expansion of margins was contributed by of course higher sales of Specialty, but there are also other p arts leading to change in product mix, so both have contributed, it's not only higher specialty sales.
Cyndrella Carvalho: In terms of the overall growth of specialty business in the US, Ilumya will continue to be the major driver? And how do we see Sezaby and Winlevi for at least coming two years, how is the ramp -up, if you could help us understand some nuances there, would be helpful?

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Abhay Gandhi: All the three products that you have mentioned will contribute to our growth. However, in absolute dollar te rms, I would expect Ilumya to be the largest contributor to the growth.
Cyndrella Carvalho: Any color on how Sezaby is expected to pan out in patients in terms of neonatal coverage, anything that you would like to share, sir?
Abhay Gandhi: Hi. Your voice w as a little patchy for me. Were you referring to Sezaby?
Cyndrella Carvalho: I was asking to some understanding on the Sezaby product, sir, in terms of the market formation, how are we picking up the coverage?
Abhay Gandhi: So, it's a niche market. So, obv iously, it will not be on the same scale as let's say an Ilumya. But in that niche, it's a very interesting product. We are right now in the process of going literally hospital formulary by hospital formulary, trying to sell the concept of our product bein g the only FDA approved product and trying to get a buy in from those. So, it will take some time and it will ramp up, but the scale is completely different from a much larger opportunity, let's say, Ilumya, or Cequa, or Winlevi. This is a niche play.
Cynd rella Carvalho: And on the Winlevi side, sir, anything on the coverage side, do you want to highlight how are we seeing this?
Abhay Gandhi: It improved in the last quarter, and of course, it's always a work -in-progress, and we hope to continue to improve coverage even further during this financial year.
Moderator: The next question is from the line of Chirag from DSP. Please go ahead.
Chirag: Sir, our other expenses are almost Rs.500 crores h

igher than the past averages. Is there
anything specific you want to call out over here, or is this run rate something that we should see as a sustainable number?
C.S. Muralidharan: So, we have said that other expenses are triggered by the higher selling and distribution expenses, and of course, from the year -on-year quarter on consolidation of Alchemee business also is there. However, what we have said that, we have almost reached normalization to

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some extent. With the gro wth in operations, some of our expenses we'll incur towards the growth. Otherwise, I think we are almost near there.
Chirag: There is no one -off in the other expenses?
C.S. Muralidharan: No, there is no one -off as such.
Chirag: And sir, second question was in the notes to accounts, there is a Rs.164 crores impairment related to an associate. Can you just provide some color around what exactly this is sir?

C.S. Muralidharan: So, this is regarding an impairment of a loan on advances given to an associate. We are actively monitoring the progress of this associate. As a prudent practice, we have provided for it.
Chirag: Can you quantify the total outstanding towards this transaction, sir?
C.S. Muralidharan: We do not want to comment on the total outstanding or total thing. We have taken based on the current understanding the impairment provision as required.
Chirag: This heightened R&D that you are guiding towards, it's almost Rs.1,000 crores higher than the current annual run rate. I mean, I'm just trying to th ink what is it that you are kind of thinking about in terms of the Rs.1,000 crores, US$125 million -odd seems like a fairly large number even for specialty business. Just what is it that you are kind of baking, are you baking in incremental products like Concert's products, etc., as well in this or just what is your thought process around this incremental Rs.1,000 crores kind of R&D budget?
Dilip Shanghvi: I think like what you identified, Concert R&D would be clearly contributing to a part of that increase.
Chirag: And future products as well if at all you end up acquiring more or -?
Dilip Shanghvi: Or we decide to develop additional indication.
Chirag: For your existing products?

Dilip Shanghvi: No, even Deuruxolitinib.
Chirag: Do you expect this to kind of come through in like a year or so, I mean in one full 12- month period, you will see this activity just go up to that kind of level?
Dilip Shanghvi: No, I think, my sense is that some of the clinical studies for Ilumya will start recruiting rapidly during this year. At the same point of time, we may start additional studies for our GLP -1 as well as the Concert product. So, all of that I think there is a much more clearer visibility of why and how this cost will go up.
Moderator: The next question is from the line of Neha Manpuria from Bank of America. Please go ahead.
Neha Manpuria: Abhay, one clarification on Winlevi. You mentioned that the coverage has improved in the quarter and it's gradually picking up. But if I were to look at the prescription data t hat is available, Winlevi has been sort of broadly been in the r

ange of what we have seen for the last couple of months.
How should we look at improvement in prescription for Winlevi? And is it tracking in line with your expectation, better than your expectation, are you seeing any challenges in ramp -up, any color there?
Abhay Gandhi: So, what you're seeing is the outcome. And if you're tracking the prescriptions with the improved coverage and also the change in the co -pay, these are far more valuable presc riptions than what we saw earlier. And the coverage has improved, it is like part of the covered population, right. In some pieces, other pieces still remain. So, when you made the co -pay change, prescriptions will sort of let go for some time. But with an improved coverage, I think the idea is to grow the prescriptions in the current quarter.
Neha Manpuria: Yes. But when do you start seeing that in numbers? Now, you've seen that the prescriptions come off as we change into the co -pay, coverage is improving . So, in your view, when do you start seeing the benefit of the improved coverage in prescription numbers stepping up from the current run rate, is that two quarters away, three quarters away, take longer?
Abhay Gandhi: I don't think it should take that kind of time. In fact in our budgeting, we are expecting it to happen early. But if Q2, Q3 it might, I would be happy.

Neha Manpuria: And we're not seeing any challenges in our ability to get more coverage for the product, that's not a concern?

Abhay Gandh i: It's a challenge. I mean it's a process that we have to go through, keep explaining to the payers why it makes sense for them to cover this product. So, I mean, getting coverage for any product is always a challenge and it's a challenge that we are expe cting to meet.
Moderator: We'll move on to the next question from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.
Tushar Manudhane: Just if you could quantify the PLI benefits which has been there for this quarter?
C.S. Muralidharan: So, normally, we do not quantify any type of incentives or grants what we see as part of our achievement of targets or scheme -related investments.
Tushar Manudhane: This would be in other operating income, right?
C.S. Muralidharan: Other ope rating income, yes. What I want to say is that this has been consistent between Q4 and Q3.
Tushar Manudhane: And just on the guidance, while the specialty sales continues to ramp up nicely, even we continue to outperform in the domestic formulations market and emerging markets and ROW also continue to grow at a robust double -digit growth. So, what's holding on to guide for a single -digit growth for FY24?
Dilip Shanghvi: No, I think it's after evaluating all the businesses upside as well as downside and taking a conscious decision that we want to share a number, which has a certain element of stretch, but at the same time, ascertain possibility for achievability. Because we don't want to kind of take a number far out and then say that we couldn't deliver on t he number. At the same time, we don't want to give a lower number and overperform.
Tushar Manudhane: In fact, Revlimid also would be having a full year impact and through certain niche launches as well. That's the reason why is this question.

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Dilip Shanghv i: Yes. I mean I understand, but we've also shared with you that Halol, we will have certain challenges in terms of being able to sell products. We've also said that Mohali, we will gradually start reintroducing products. So, I think all of those things have potential negative. So, that's factored in our guidance. It's an achievable guidance.
Tushar Manudhane: So, while there was import allowed at Halol, that time we had mentioned about the sales from that facility. On the similar lines, given the kind of regulatory action that has happened at Mohali, would it be possible to quantify how much was the sales and how much has been got destructed because of the recent regulatory action?
Dilip Shanghvi: I think we actually ourselves are not clear. So, we are no t giving a separate guidance on that, because we don't know by what time, what products we want to bring back and we might be able to protect the entire business also. So, I don't want to kind of come with a number which then has no relevance.
Moderator: The next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.
Nitin Agarwal: Given the challenges that we've had this year, how are you seeing the outlook for our business over the next two to three -year period on a qualitative basis? Given the fact there is some talk about the market stabilizing, prices erosion improving at the margin in the overall US market for generic side of the business?
Abhay Gandhi: So, could you reframe your question, please? I'm really not sure what you are asking.
Nitin Agarwal: I was just trying to ask is that given the fact that we've had challenges this year in the generic business, but at the same time, there are some positive signs in the market stabilizing from a pricing perspective in general. An d given the fact with whatever the pipeline that we have about 97-odd ANDAs are waiting approval, qualitatively, where do we see the generic business headed over the next couple of years for us given where we were in FY22- 23?
Abhay Gandhi: So, I don't see the price stabilization that you are speaking about not just from Sun perspective, but also from an industry perspective. I think your basic assumption is probably incorrect. So, in the overall context, I think if I look at the market in general, it's a lo w growth or a degrowth kind

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of generic business in the US. Volume growth is there, but value growth, I do not see from an industry perspective.
Nitin Agarwal: Sir, on the acquired assets like the Concert business, what is the typical account amortization p olicy to be followed sir?
C.S. Muralidharan: So, normally, it depends for the class or type of asset, various range for economic life between eight to 15 years.
Nitin Agarwal: Even for patented clinical assets will take such a long period of amortization, sir?
C.S. Muralidharan: So, that one also driven by the patent expiry, that's one factor we'll consider.
Moderator: The next question is from the line of Surya Patra from PhillipCapital. Please go ahead.
Surya Patra: First question is to understand the cost equations better. The first, whether the remediation spend on the two facilities which is under observation, so whether that expenses are fully factored in the quarter?
C.S. Muralidharan: So, the incremental expense of remediation has broadly been alr eady factored in the quarter.
Surya Patra: So, practical

ly, the question was that sir, we have seen already kind of an upswing in
the gross margin, which also to some extent supported our margin this quarter, and for future going ahead, we are guiding for kind of enhanced R&D spend, 200 to 300 basis points from the current year base. And we are also indicating that the gr oss margin scenario is likely to be normalizing going ahead. So, I'm just trying to understand how the profitability would be for FY24? So, from that perspective, my first question would be that, how should one really see Taro's performance in the subseque nt period? Because it has been very subdued in the current financial year and possibly that could play kind of a margin -boosting trigger. So, if you can share some idea about it and how should we really look at it?
Dilip Shanghvi: I think we don't guide fo r overall profitability because there are so many moving parts. At the same point of time, some of your points about increase in some of the costs that we are

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guiding for are valid. However, finally, your question about Taro, I mean if I see Abhay's statem ent about overall competition for pricing, dermatological products that Taro currently markets has the highest level of new entrants and new competitors coming. So, it will continue to see significant price competition going forward.
Surya Patra: My second question on the India formulations business. We generally having seen a kind of a consistent performance during difficult times of last two years. So, most of the players have either expanded their field force, enhanced their market presence, product bask et, all that. So, that is in a way has intensified competition I believe. So, here we have expanded our field force as well, and we have penetrated in the existing product basket better. So, if you can give some sense versus FY22, in FY23 how the profitabi lity would have changed, not any specific number, but qualitatively also if you can share something?
C.S. Muralidharan: So, specifically on the India business or business -wise profitability, we do not comment as such.
Surya Patra: So, that means the full field force expansion cost has been reflected in the last year numbers? And with the -
C.S. Muralidharan: Yes, it has been reflected.
Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to Dr. Abhishek Sharma for closing comments.
Dr. Abhishek Sharma: Thank you, everyone, for joining us at this late hour. If you have any remaining questions, you may write in to me and we'll be happy to respond to your remaining questions. Thank you, and have a good weeke nd.
Dilip Shanghvi: Thank you.
Moderator: Ladies and gentlemen, on behalf of Sun Pharmaceutical Industries Limited, that concludes this conference call. Thank you for joining us .

Call: Aug 2023

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Sub: Q1 FY24 Earnings Call Transcript

Dear Sir / Madam ,

Please find enclosed herewith a copy of the transcript of the Company's Q 1FY24 earnings conference call, which we shall be uploading on our website after sending this letter to you.

This is for your information and dissemination.

Thanking you,

Yours faithfully,
For Sun Pharmaceutical Industries Limited

(Anoop Deshpande)
Company Secretary and Compliance Officer

Sun Pharma Q 1 FY24
Earnings Call Transcript
06:30 p m August 03, 2023

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Abhay Gandhi
CEO (North America Business), Sun Pharmaceutical Industries Ltd.

C. S. Muralidharan
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Kirti Ganorkar
CEO (India Business), Sun Pharmaceutical Industries Ltd.

Sun Pharma Q 1 FY24
Earnings Call Transcript
06:30 p m August 03, 2023

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Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '24 Earnings Conference Call of Sun Pharma. As a reminder, all participant lines will be in the l isten-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone.
I now hand the conference over to Dr. Abhishek Sharma, Vice President, Head of Investor Relations and Strategic Projects. Thank you, and over to you, sir.
Abhishek Sharma: Thank you. Good evening, and a warm welcome to our first quarter FY '24 earnings call. I'm Abhishek from Sun Pharma Investor Relations team. We hope you have received the Q1 financials and the press release that was sent out earlier in the day. These are also available on our website. We have with us Mr. Dilip Shanghvi, Managing Director; Mr. C.S. Muralidharan, C FO; Mr. Abhay Gandhi, CEO, North America; and Mr. Kirti Ganorkar, CEO, India business.
Today, the team will provide an update on financial performance and business highlights for the quarter and respond to any questions that you may have. We will refer to the consolidated financials for management comments. The call recording and call transcript will also be put on our website shortly.
As a part of the press release, we have added a section on status of specialty projects. In the future, we will be adding m ore information to this section.
The discussion today might include certain forward -looking stat

ements, and these must be viewed in conjunction with the risks that our business faces.
You are requested to ask two questions in the initial round, if you have more questions, you are requested to re -join the queue. I also request all of you to kindly sending your question that may remain answered today.
I will now hand over the call to our CFO, Mr. Muralidharan.
C. S. Muralidharan: Welcome, and thank you f or joining us for this earnings call after the announcement of financial results for the first quarter FY '24. Our Q1 financials are already with you.
Q1 FY '24 sales were at INR 117,852 million, a growth of 10.7% for the same period last quarter.
Material cost stands at 23.4% of sales, lower year -on-year on account of higher specialty products and

better product mix. Stock cost stands at 20.4% of sales, higher than Q1 FY '23 on account of annual

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merit increases and consolidation of Concert. Other expenses w ere at 29.3% of sales, higher year -on-year on account of increase in selling and distribution expenses and consolidation of Concert business. Forex gain for the year was INR20 million, compared to a gain of about INR1,457 million in Q1 FY '23. EBITDA for Q 1, including other operating revenues, was at INR33,318 million, up by 15.5% over Q1 last year, with EBITDA margins at 27.9%. Adjusted net profit, excluding the exceptional items for Q1 FY '24, was INR23,454 million, up 13.8% over Q1 last year. Reported ne t profit for Q1 FY '24 was INR20,225 million, compared to net profit of INR20,609 million for Q1 last year. Exceptional items include a charge of INR1,492 million towards impairment of an asset acquired namely AS012, which was in clinical trials for vitili go.

As of 30 June 2023, net cash was USD1.7 billion at consolidated level and about USD436 million at ex -Taro level. Gross debt decreased from the level of USD754 million as of 31st March 2023 to USD472 million on 30 June 2023, thereby USD275 million repai d during the current quarter.

Let us look at the key movements versus Q4 FY '23. Our consolidated gross sales were higher by 9.9% quarter -on-quarter at INR117,852 million. Besides the seasonality usually seen between Q1 and Q4, we have prominent factor of higher sales from lenalidomide quarter -on-quarter. However, we expect lenalidomide sales will remain episodic in future. Material cost stands at 23.4% of sales, higher quarter -on-quarter on account of expected normalization that we had flagged off in our Q 4 FY '23 earnings call. Staff cost at 20.4% of sales were higher in absolute terms versus Q4 FY '23 due to annual merit increase and first full quarter of Concert consolidation. Other expenses were at 29.3% of sales, were lower than Q4 FY '23 due to sales and distribution and R&D. EBITDA margin for Q1 was at 27.8% compared to 25.6% for Q4 FY '23. Reported net profit for Q1 stands at INR20,225 million.

Moving on to Taro's performance. Taro posted Q1 FY '24 revenues of USD158.9 million, higher by 1.4% over Q1 FY '23, a net profit of USD10 million. Onetime expenses include those related to planned relocation of Alchemee operations. Excluding the impact of onetime, in Q1 FY '24, net profit was USD14.9 million.

I now hand over the call to Mr. Kirti Ganorkar, who will share the performance of our India business.

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Kirti Ganorkar: Thank you, Murali. I shall take you through the performance of our India business.

For Q1, the sales of formulation in India were at INR35,604 million, recording a 5.1% growth over Q1 FY '23 . India formulation sales accounted for 30% of total consolidated sales for the quarter.

We have shared CEQUA was launched from our global specialty portfolio in our home market of India. Initial response has been good, and we hope that it will be an impor tant addition to moderate to severe dry eye treatment here. Sun Pharma is ranked number 1 and holds 8.33% market share in the over INR1,860 billion Indian pharmaceutical market as per AIOCD -AWACS MAT June 2023 report. Corresponding market share for the pre vious period was 8.5%.

As per SMSRC MAT June 2023 report, we are #1 ranked company. Sun Pharma is also ranked #1 by prescription with 12 different doctor categories. For Q1 FY '24, the company launched 10 new products in India.

I will now hand over the cal l to Abhay.

Abhay Gandhi: Thank you, Kirti. I will update on the performance highlights of our U.S. businesses.

For Q1, our overall sales in the U.S. grew by about 12% over Q1 last year to USD471 million. The U.S. accounted for over 33% of consolidated sal es for the quarter. U.S. specialty business has continued to do well and has grown well over Q1 FY '23.

We did witness seasonality in Levulan sales, leading to a dip in revenues on a quarter -on-quarter basis. The underlying business, however, and the presc ription trend for the specialty business remains strong.

We remain excited about our specialty product portfolio in both near term and the long term. For Q1, we launched 2 generic products in the U.S. on an ex -Taro basis.
I will now hand over the call to Mr. Shanghvi.
Dilip Shanghvi: Thank you, Abhay, and good evening to all of you. I will provide an update on the performance highlights of our other businesses as well as give you an update on our R&D initiatives.
Our branded formulation revenues in the Eme rging Markets were at USD261 million for Q1, up by 6.5% over Q1 last year. The underlying growth in constant currency terms was about 14% year -on-year for Q1. Emerging Markets accounted for 18% of total consolidated revenues for Q1. Amongst the larger markets, in local currency terms, Romania and Brazil have done well.

Formulation revenues in Rest of the World, excluding U.S. and Emerging Markets, were USD195 million, up by 2.6% over last quarter. Rest of the World market accounted for approximately 14% of consolidated Q1FY2 revenues.
We continue to invest in building our R&D pipeline for both the global generics and the specialty businesses. Consolidated investment towards R&D for Q1 FY '24 stands at INR6,796 million, 5.8% of sales, and this compares to IN R6,657 million, 6.2% of sales, for Q4 FY '23 and INR4,608 million, 4.3% to sales, for Q1 FY '23.
Moving on to update on global specialty with highlights for the quarter. In Q1 FY '24, our global specialty sales were up by 21% to reach USD232 million. Speci alty R&D accounted for 35.8% of our total R&D spend for the quarter.
In June, we presented data from 2 Phase I studies of Sun's GLP -1 receptor agonist at ADA conference in San Diego. In one of the studies, GL0034 reduced body weight after a single dose in obese individual without diabetes. In other study, reduction in

body weight of up to 10.7% was observed after treatment
with relatively low dose of GL0034. This was 8 weeks duration. We are quite excited with this early results and plan to initiate Phase I I clinical trials shortly.
Moving on to Ilumya's ongoing Phase III studies in psoriatic arthritis. We've taken steps to accelerate the pace of the trial. This includes creating new enrolment at sites which have worked for us thus far as well as activating more sites. We will share expected trial completion time lines once we start seeing good traction in enrolment .
Further on specialty, in May '23, we entered into an exclusive agreement with Philogen for commercializing specialty product, Nidlegy, in Euro pe, Australia and New Zealand. Nidlegy is currently in Phase III trials for skin cancers. When approved, it can be prescribed by the same doctors as Odomzo as a good follow -on product for patients that do not respond to current treatment. In June '23, we received approval from Health Canada for our acne product, Winlevi.
With this, I would like to leave the floor open for questions. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the l ine of Saion Mukherjee from Nomura.

Saion Mukherjee: Sir, my question is on the domestic market. We have seen around 5% growth. I'm just thinking about this in the context of field force addition that we had done last year plus some price increases, which generally takes place. And on the other hand, you have the possible impact of NLEM and sitagliptin. So I'm just wondering, this number looks lower than compared to the IPM growth. So if you can just explain the dynamics there and how should we think about growth going forward?
And also, sir, we have seen companies getting into trade generics. There is aggressive competition from some of your peers, particularly in the chronic segment. So have the market dynamics changed in a meaningful way to impact g rowth?
Kirti Ganorkar: So I think our quarterly sales growth, it becomes a little difficult to comment on. But

what I can say in last year Q1, '22 -'23, we had a sitagliptin product which was under patent, and the patent expired in July. So that time, after the patent expiry, we have made the product affordable and there was a price reduction. That's why there was a loss in value. But in volume terms, we are doing good.
And there was another reason is the impact of NLEM. So NLEM was also announced in the mon th of December and January. And the full impact has come in this quarter where we see because of NLEM also, the growth has been subdued in quarter 1. But I'm very positive and hopeful that in coming quarters, we will see that we grow in line with market a nd try to see that we grow even better than the market.
Saion Mukherjee: Okay. And my second question is on specialty sales. You mentioned Levulan seasonality, but was it something significant this year? And if you can also give any update on the Concert pharma drug in terms of filing or any other discussion that you might have had with the U.S. FDA on this product?
Abhay Gandhi: So if I see the underlying base business and the prescription trends of all our major products other than Levulan, I think we ar e on the right trajectory. Last year Q4, there was also a finance factor which has to be considered, and that has had a small impact. But overall, I think we are on the right track.
On the second part of the question, Dilip bhai, if you would you like to r espond?

Dilip Shanghvi: We don't have an update at this point of time, and we will share as soon as we have this update with you. The idea is to file this product at the earliest is what the focus is.
Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.
Tushar Manudhane: Sir, on the R&D expense front, given these set of trials to start for the products you highlighted in the opening remarks. The full year guidance remains as it is, as you had highlighted at the 4Q FY '23 comments?
Dilip Shanghvi: Yes. I think as on today, you should consider the full year guidance. If there is a need for us to make any change, we will update.
Tushar Manudhane: Okay. And sir, other expenses, excluding R&D, have been sort of a bit volatile, number varying from INR2,600 crores in Q1 FY '23 to going up to almost INR3,000 crores in 4Q FY '23 and now we are back to close to INR2,770 crores. So any particular line item which sort of deviates with other expenses?
C. S. Muralidharan: So in our Q4 call, we already said that the sales and distribution in previous calls that these costs have some catch up and unlikely to escalate on the same pace going forward. There may be sales -related growth in these expenses going forward.
Tushar Man udhane: Okay. And just lastly, on the base business segment in the U.S. generics, what kind of price erosion are we witnessing now?
Dilip Shanghvi: No, I think, ultimately, the U.S. business dynamics, all of you are aware. And we don't generally respond on specific product pricing or specific product sales.
Moderator: The next question is from the line of Damayanti Kerai from HSBC.
Damayanti Kerai: My question is again on the US, so not product specific, but if we exclude Taro and specialty, you have seen a meaningful pickup sequentially. So can you explain what has led to it?
Dilip Shanghvi: We couldn't fully catch the question. Can you repeat?

Damayanti Kerai: Yes. My question is on your US business, excluding Taro and specialty sales. So if we exclude the se 2 parts, you have seen good sequential pickup. So just wanted to understand what has led to sequential pickup for your base generic business, whether it's good demand in channel or

like improved supplies from your plants where we had some setback earlie r. So a bit more of a clarity here will be helpful.
Dilip Shanghvi: Yes, Abhay, maybe you would like to respond.
Abhay Gandhi: Yes, sure. Sure. Damayanti, I think Mr. Murali, in his readout, has mentioned this, that we had significant sales of lenalidomide in the quarter, and that may be episodic going ahead. So in the first quarter, that was a significant contributor.
Damayanti Kerai: Okay. But some of your peers are talking about improved channel demand, etc. Are you seeing a similar situation?
Abhay Gand hi: It's product specific. For certain products, you are right, there is a channel demand which we've seen. But for certain products, I don't see. So on an aggregate level, I would not characterize it as a significant channel uptick in demand.
Damayanti Ke rai: Okay. My second question is

on your specialty business. So Abhay you mentioned
you are on track for a prescription trajectory, etcetera. And except Levulan, others are going as per your expectation. So can you a bit comment on the pricing part also? A re we seeing any notable changes there? Or it's more steady?
Abhay Gandhi: So in the US, on the specialty side, I mean the pricing increase that we take is very nominal. So therefore, I think there has been no significant impact on pricing with the growth of the business.
Damayanti Kerai: Okay. And my last question is, can you provide any update on your plan to acquire remaining stake in Taro, which we spoke last quarter?
Dilip Shanghvi: So I think what we have shared with you in the past is that we've made a proposal to the Taro Board. And Taro Board, as a response to our proposal, has formed a special committee. They need to finalize the lawyers and bankers and all of that, that special committee. And then, at some point, the negotiation will begin. We hav e no further updates beyond what we have shared.

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Moderator: The next question is from the line of Neha Manpuria from Bank of America.
Neha Manpuria: Abhay, my first question is on Mohali. I'm assuming we would have seen some impact from the Mohali consent degree and temporary suspension. Has that fully normalized? And should we expect any market share loss that we have had due to this temporary suspension to probably at least regain a large part of it in the course of the year? How should we look at normali zation of supplies from Mohali?
Abhay Gandhi: So right now, the supplies from Mohali have not really started. Whether we will be able to regain all the market share will depend upon the market dynamics and the number of competitors and the length of the co ntracts that the buyers have signed up at the point that we enter the market. So the second part is really difficult to estimate. We will see when we get there.
Neha Manpuria: And is the supply restarting dependent on reinspection? Is that what we are wait ing for? Or is it just remediation from your end, which is delaying the starting of supplies?
Dilip Shanghvi: Yes. I think there is no need for reinspection at this. Of course, for having the current restrictions cleared, we will need a reinspection. But for restarting supply, there is no need for a reinspection.
Neha Manpuria: Understood, sir. And by when do you think both Mohali and Halol would be ready for reinspection in your assessment?
Dilip Shanghvi: I think once we informed the agency that we are r eady for a reinspection, we will share that information with all of you.
Neha Manpuria: Understood, sir. My second question is on deuruxo. Post the hold from the FDA on the 12 mg, the 8 mg, have we slowed the pace of that also as we decide on what we're go ing to file, etcetera? Or that's going as planned and there's no delay in the OLE studies for the lower dose?
Dilip Shanghvi: So broadly, our understanding is that the partial clinical hold, which has been lifted now, was for 12 milligram. So there is no s lowdown in 8 -milligram dosing.
Neha Manpuria: Okay. So that continues as planned?
Dilip Shanghvi: Yes.

Moderator: The next question is from the line of Surya Narayan Patra: from Phillip Capital India Private Limited.
Surya Narayan Patra: Yes. Congrats for t he good set of numbers. Hello?
Dilip Shanghvi: Yes, yes, please.
Surya Narayan Patra: Sir, my first question is on the specialty business and that too the specialty outside of US. So during this quarter, we have announced this Chinese partner, CMS, has go t the approval for Ilumetri. Congratulations there. So how bigger or how exciting development it is for us? And because in terms of the patient population there in the psoriasis listing, if I see then, it is similar to US. So can it be the largest market o utside of US so far as the Ilumya is concerned, sir?
Dilip Shanghvi: I think China can be an interesting market. Once we, I think, launch the product, we will get a better sense. We believe that CMS, because of its significant existing linkage with dermato logists, is quite well positioned to work for a good market share for the product.
Surya Narayan Patra: Okay. And this is also a kind of partner for other specialty products, also for us in the US in China, right, sir? And can this association be kind of a relatively important and larger one so far as global specialty business outside the US is concerned?
Dilip Shanghvi: I mean we have licensed 1 or 2 generic products as well as CEQUA to them. And I think our view is that managing multiple relationships is far more difficult and challenging than to manage a limited number of relationships.
But at the same point of time, innovative products to be marketed, the company also needs to evaluate its ability to reach customers cost effectively. Incidentally, CMS h as existing business presence in both ophthalmology as well as dermatology, and that makes it easier for them to promote both these products.
Surya Narayan Patra: Okay. The second question is on again, Ilumya. The progress of the Ilumya for the psoriatic arthritis indication. So whether the clinical and commercial development of this molecule will follow the similar order what Ilumya had seen for the other indication in terms of the market approval? So I mean, even if the approval has to come, that will co me in the US first, then

followed by other countries. Is that kind of a chronological development that we should anticipate for that, sir?
Dilip Shanghvi: I think the plan is, of course, to file the product first in the US. But also since it's an additiona l indication, in the other geographies, we should be able to get that filed in a relatively short time. And the idea would be to augment the indication in all the geographies that we are marketing the product.
Surya Narayan Patra: Okay. Sir, just an extend ed one from this question only. Let's say, the R&D spend, if I see, excluding of the specialty, it is remaining in the kind of a similar range and higher number itself. So -- whereas the filing of ANDAs, if we see for US, that has, to some extent, got mode rated. So how should we see that? Is it right to think that -- now our focus is diversifying our strength, R&D capability and all for developing products for not only US market but all major markets, including India? And also, leveraging the products of th e US could be the specialty products for other markets?
Dilip Shanghvi: I don't have exact response. But one of the reasons why I think the filing numbers that you see is lower is also because of the ransomware attack that we had seen. So since we

were
unable to retrieve the data of many of the products, it impacted our filing capability. So, as we are going back to normal, we should then be able to file those products.
Surya Narayan Patra: Sure, sir. Sir, just one single -liner question. Sir, for the gl obal specialty business, outside of the US, whether it is a kind of low double -digit number in terms of share, can you give some sense? Because we are seeing multiple developments outside of the US, either it is Canada for multiple products or various oth er, Europe, Japan, now Australia and New Zealand and all that. So have we seen a kind of a low double -digit kind of a share for our global specialty business outside of US?

Dilip Shanghvi: It's difficult for us to quantify overall value. But generally, peo ple say that typically for most of the companies, Rest of the World, especially for biologics, would represent anywhere between 25% to 35% share of the global market. Now in that, Europe is a major market. And in Europe, we don't capture the full value of sale. We only capture the value of sales that we make to Almirall in our numbers.

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Moderator: The next question is from the line of Nithya from Bernstein.
Nithya: One question on Taro. If you can help us understand the strategic intent behind consolidating the assets as well as how you're thinking about bringing it back on the growth path?
Dilip Shanghvi: What is the question? Is that why are we buying it now?
Nithya: Why are you buying it? Why are you buying it now? And once you do consolidate, what will change in terms of the strategy for Taro? How can we - how can you bring it back on the growth path, which has been lacking for the last several quarters?
Dilip Shanghvi: So my own assessment is that the dermatology business, which is the primary focus for Taro, is a business under constant, increasing competition pressure. And as a stand -alone company, it will be very difficult for Taro as an independent company to continue to operate that business profitably. So that broadly is the reason why we felt tha t it's useful for us to consider integrating that with Sun Pharma.
Nithya : Why -- so I understand that it then gets subsumed under a lot of other things you're probably doing in the US, but would there anything that you would change to try and inject some growth into that business?
Dilip Shanghvi: Some of these issues that you're raising, is difficult for -- because it will then be selective disclosure or disclosure on behalf of Taro. So I don't think I would - it's appropriate for me to respond at this poi nt.
Nithya: All right. Second question on your R&D strategy when you're thinking about specialty. If you look at the kind of assets you're working on, while the dermatology assets are obviously complementary to your existing portfolio, but osteoarthritis o r a diabetes asset, these are, again, assets for which you will actually have to take it to a very different set of physicians, probably at least in the US. So how are you thinking about the long -term strategy when you're working on so many different thera peutic categories?
Dilip Shanghvi: I think these are valid questions, and we are also questioning some of those best options for us is that whether we are the best company to commercialize this asset or we should

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consider licensing. But osteoarthritis, onc e we get a psoriatic arthritis indication, there is a certain amount of overlap with the potential prescribers in some of the geographies.
For diabetes or weight loss or even in NASH or any other indication where GLP -1 potentially can be used is generally a large field force requiring indication. So it's possibly closer to when we need to take a decision, we will need to get co -marketing partners for many of the geographies. But in emerging markets, India, and in other markets where we have significant shar e in prescription business, we are well positioned to leverage that product to become very successful.
Nithya: Mr. Shanghvi, isn't your energy and R&D money better spent on more assets that are complementary to your existing portfolio? While I'm not denyin g that there might be, there is option value here.
Dilip Shanghvi: If I look at our evolution as a company, generally, we've found a way to enter markets using a successful, good product and then gradually expand our businesses to different specialty. And that can and will continue to work for us in emerging markets in India.
In large international markets, for acquisitions as well as for licensing products, we are looking at

ophthalmology and dermatology as our focus, only for, let's say, - and for other products, we want to look at what is the best option for us.
We are also not ruling out future acquisitions, which can also help us in ability to market this product more effectively when they are closer to market.
Moderator: The next question is from the line of Bino Pathiparampil from Elara Capital.
Bino Pathiparampil: Just two questions. First, Abhay, you had some mention about lenalidomide sales in your opening comments, but I couldn't quite understand. Did you mean the June quarter lenalidomide sales i s higher than March quarter or lower than March quarter?
Abhay Gandhi: Exact numbers as a comparator, we generally will not disclose. But for the quarter that we are talking about, it's a significant contributor.
Bino Pathiparampil: Okay. So you don't want to say which quarter was bigger? Hello?
Dilip Shanghvi: Yes, that's the answer which Abhay gave.

Abhay Gandhi: Yes. That's what I said.
Bino Pathiparampil: Second, on this forex loss, one -off forex loss that you booked in Nigeria, what is that? what natur e is that? Is it a write -off of inventory, receivables or something else? What exactly will that be?
Dilip Shanghvi: So this, you're talking about the onetime write -off?
Bino Pathiparampil: Correct.
Dilip Shanghvi: Yes. Murali, maybe...
C. S. Muralidharan: See, in the readout, we had mentioned that we have provided for about INR149 crores towards an acquired intangible asset which was under development, which is the AS012 for clinical trials for vitiligo.
Bino Pathiparampil: No, I'm not asking about that. There is a one -off forex loss included in your one-off items. There is a forex loss in Nigeria.
C. S. Muralidharan: So the forex loss in the month of June, the Nigerian Central Bank had removed the trading restrictions on its official market, which eventu ally led to the Nigerian currency dropping significantly record low to U.S. dollar and this provision -- exceptional item was towards that.
Bino Pathiparampil: Yes. So is that on the inventory or receivabl

es or some assets? That is my question.
C. S. Mural idharan: It's a mark -to-market payable.
Moderator: The next question is from the line of Kunal Dhamesha from Macquarie.
Kunal Dhamesha: So the first one on the specialty R&D. So sequentially, if I look at, almost $25 million specialty R&D has gone up to around $30 million. And in quarter 3, it was somewhere around $21 million. So would you say the primary driver for this, let's say, jump from quarter 3 levels to the current level would be Concert Pharma?

C. S. Muralidharan: So our recommendation would be that probably looking at the quarterly R&D numbers may not be appropriate. However, Mr. Shanghvi already mentioned that we're working towards the various clinical trials of various candidates, what we have, and we are on track to achieve R&D guidance for t he year.
Kunal Dhamesha: But would you say that Concert has already been factored in almost fully because that trial is ongoing?
C. S. Muralidharan: Yes. Yes. Concert is part of our R&D guidance.
Kunal Dhamesha: I'm saying Concert is fully factored in this quarter? Can you say that, because that trial is ongoing?
C. S. Muralidharan: Yes. Yes.

Kunal Dhamesha: Okay. Perfect. And second for Mr. Gandhi on the Ilumya. Since we have Humira biosimilars that have been launching over the last 1 quarter, have we seen any impact in terms of acquiring new patients for Ilumya? Or would you say the new patient growth trajectory largely remains intact for us?
Abhay Gandhi: We haven't seen any negative impact because of the entry of the Humira biosimilars.
Kunal Dhamesha: Even on the new patient acquisition?
Abhay Gandhi: No, we haven't.
Kunal Dhamesha: Perfect. And let's see, when we conduct this trial of psoriatic arthritis for Ilumya, if we get an approval, how does the exclusivity period work for the new indication for b iologics?
Dilip Shanghvi: So my understanding broadly is that there are product patent, which basically means compound patent, then there are method of use patent. And then there are indication patents. So many of the products which I see, like Humira, ha ve multiple indications. So, depending on the geography, people have to do both multiple indication studies as well as interchangeability studies because these are all chronic treatment products.

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Kunal Dhamesha: My question was more related to the U.S. FD A, data exclusivity generally for biologics is around 12 years, right? But if we get the same product approved for another indication, do we get another data exclusivity for that indication which is separate 12 years? Or how does its kind of work?
Dilip Sha nghvi: No, honestly, I don't think I have looked at. I think our focus would be we would have some kind of patent on indication. And that basically means that people will have will not get this indication on their label.
Kunal Dhamesha: Sure, sure. And t he last one on the generic side. Since we have this Halol plant trouble around last 7, 8 years now, would we have not de -risk our key products by doing a multi -location filing or multi -plant filing for the bigg

er products?
Dilip Shanghvi: I think at a conce pt level, it works. At operational level, especially when you have specialized product requiring very different kind of manufacturing infrastructure, it is very difficult to execute.
Kunal Dhamesha: Okay. And then does US FDA also not look this kind of cha nges very kindly because its kind of increases administrative burden on them to kind of go and inspect 2 plants versus 1 plant for the same product? Or is there any...
Dilip Shanghvi: If you file from a new product, it's filed from new product. If it's an a dditional plant, there is a regulatory process. They can't be happy or unhappy about what is their regulatory process. Many multinational companies have same product manufactured in multiple facilities. So they inspect and approve all of those.
Moderator: The next question is from the line of Harsh Bhatia: from Bandhan Asset Management.
Harsh Bhatia: Yes. Hope I'm audible. Just one quick question, broader aspect. There's a lot of news flow in terms of the number of people being kicked off or rather losing t heir Medicaid coverage. So I think , sir, the last figure that I could see was 4.5 million, but some sources indicate that, that could go up until 15 to 20 million...
Dilip Shanghvi: I'm sorry, you're very, very soft spoken. Can you just amp it up a bit, p lease?

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Harsh Bhatia: Is this better?
Dilip Shanghvi: Yes, better.
Harsh Bhatia: Yes. My question was very broader in nature to the sense that there's a lot of news flow in terms of the number of people losing their Medicaid coverage in the U.S. So the last figure that I could see was 4 million people, and there were some indications that it could go up to 15 million

people. So maybe not in particular with regards to Sun Pharma as a whole, but any broader thought or anything that we should read into it from the industry perspective for the U.S. market?
Abhay Gandhi: So it's a very broad and sort of question that you wish to learn. So what I would suggest is that I will brief Abhishek separately and he can share the details with you. I understand where you a re coming from, but maybe a better way would be that I brief Abhishek and he in turn can speak to you and give you the details.
Moderator: The next question is from the line of Saion Mukherjee from Nomura.
Saion Mukherjee: Sir, just one clarification. Actually, your comment is that from Mohali, there was no sale this quarter. And it was a bit of a surprise. I think in the last call, I got an impression that things should start flowing from Mohali. So if you can just give us an update there? And is it true - that there's 0 sales from Mohali including generic Pentasa this quarter?
Abhay Gandhi: I mean I didn't say there was zero sales from Mohali. I said supplies from Mohali have not resumed. But we had some inventory and there fore, there would be some residual sales that happened.
Saion Mukherjee: Okay, okay. But it would be sort of materially lower versus, say, versus last quarter?
Abhay Gandhi: That would be correct.
Saion Mukherjee: Okay. Great. Mr. Shanghvi, just a few ques tions for you at -- I remember like maybe a couple of years back, you mentioned about biosimilars and Sun Pharma's intent to build capability on that sphere. We haven't heard any sort of an update on that. So what are your thoughts now given the market has evolved to an extent? So how is Sun thinking about building capability in that area?

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Dilip Shanghvi: Even I think at that time, I was very tentative because that time also my concern was that product -- investment on individual product is very large and n ot very different in some cases to what you would require to invest for developing a specialty product. So, and I remain equally tentative now, which means that we are not kind of all -in in biologics, unlike many companies who have significant investment a nd exposure to that business.
Saion Mukherjee: Understood. And, Mr. Shanghvi, the other question, again, for the India market. A lot of your peers have started doing trade generic. Sun Pharma has a very wide portfolio of products. Do you think strategicall y it makes sense to sort of take this products to, let's say, tier 2, tier 3 and smaller cities and towns through the trade generic route? Any thoughts from your side on this?
Dilip Shanghvi: Kirti, maybe you would like to respond.
Kirti Ganorkar: Yes. We remain focused on generating prescription through super specialty and specialties and physicians. That's the core part of our business. And I think there is a great opportunity in that business, even to grow from where we are today. So that remains our cor e focus.
Moderator: We take the next question from the line of Cyndrella Carvalho from JM Financial.
Cyndrella Carvalho: Yes. Just your generic business. So would you be able to help us understand if these shortages, supply challenges, highest drug shortag es in the last decade. So where are these opportunities? Are we seeing these opportunities across the product basket or they are largely concentrated on the injectable side? And where we can participate?
Dilip Shanghvi: I don't know, Abhay, whether you und erstood the question, but I couldn't fully understand it.
Abhay Gandhi: No, I did not. I could not understand the question. Ma'am, can you repeat the question?
Cyndrella Carvalho: Sure. So I was asking, we are hearing highest number of drug shortages in th e U.S. market on the generic side and largely concentrated on the injectable side. So are we also experiencing some opportunities from our product basket -wise and if we are able to participate and how long do you see any visibility on these kind of opportu nities or onetime buys that you are seeing in the market right now, specifically on the U.S. generic side?

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Abhay Gandhi: Right. Now I understand. I think whenever the buyers or some market through we get to know about a certain product being in short suppl y, we do an overlap analysis and see whether there's something for an opportunity. As of now, for our range of products, I haven't seen any big opportunities, which can swing the pendulum, so to say.
Dilip Shanghvi: But also, Abhay, I think we don't have a very large portfolio of injectable products.
Abhay Gandhi: We don't, yes.
Cyndrella Carvalho: Right. And specifically on Winlevi, sir, we are seeing some uptick on the volume side. Any commentary on that? Are there any strategy change that we are working on which is helping us?
Abhay Gandhi: Sorry, can you again repeat? We have seen a what? We have seen a what with WINLEVI did you say?
Cyndrella Carvalho: In case of WINLEVI, volumes, we are seeing s

ome uptick. So would you like to comment if any specific s trategy helping us around here or any trends which are working in our favour ?
Abhay Gandhi: So I think if you look at the overall context of WINLEVI, and it's important that we understand this. If I look at the branded basket of products, that is where we e ssentially compete, you can't compete with the generics on price, out of the almost 10 branded products in acne, we have 26% share of market. And in terms of, let's say, number of customers who have used the product, 91% of acne-prescribing doctors have gi ven a trial for WINLEVI. Sorry, I heard something.
Cyndrella Carvalho: Continue, sir. I'm listening, please.
Abhay Gandhi: Yes. So I think this indicates to us that the product is accepted by the doctors. And we, of course, continually try to see that we i mprove the access. And one of the reasons for the uptick that you saw is because of one important payer agreeing to cover the product a couple of quarters ago. So that has been one of the major reasons. And it's an ongoing process. We continue to work on improving the access every single day, every single quarter, and we hope that the momentum sustains.
Moderator: The next question is from the line of Ishita Jain from Ashika Stock Broking.

Ishita Jain: My first question is maybe a little into the future, bu t what is our assessment on capturing the market for deuruxolitinib, given that there is another JAK inhibitor that got approved recently and is a much more convenient dosage of once daily whereas our product is twice daily?
Dilip Shanghvi: Abhay, you will respond?
Abhay Gandhi: Yes, I can. I mean when we see the data for our product, we feel we have a very competitive product. And for the indication that we are talking about, which is alopecia areata, I mean the patient enrolment is very high. So to get b etter results, I think an OD versus a BD dose will not really change the uptake is what we feel.
Ishita Jain: Got it. And my second question is, so products like XELPROS are currently under supply shortage in the U.S. as we're in the process of shifting them from Halol to a regulatory compliance unit. Can you provide an update on that?
Abhay Gandhi: It will take u s some time to come back to market with the product. We will eventually and work is being done towards that end.
Ishita Jain: Got it. And in terms of SEZABY, it's been half year since launch. If you can give some idea on how has the uptake been? This is th e last question.
Abhay Gandhi: I think in one of the earlier calls, I said this, I mean it is not a single source of purchase. We have to go hospital formulary by formulary, involving different stakeholders right from the purchase committee to the technica l committee and so on. So it's a gradual uptick that we see, not an immediate big spurt.
Ishita Jain: Got it. I mean, I guess that would probably be the way to go since it is probably first in line treatment or first product ever. Is that correct, in our i ndication?
Abhay Gandhi: No, sorry, I didn't get that question.
Ishita Jain: So it is the first product in this...
Abhay Gandhi: You're talking about SEZABY, right?
Ishita Jain: Yes, I am. Yes, I am.

Abhay Gandhi: So doctors will always have two options he re. They will either use the phenobarbital or our product, SEZABY, maybe, or they could use levetiracetam. So doctors have two options. And depending on the doctor, they will have a different line of considering what is essentially first line. But through years of experience, I mean phenobarbital as a molecule clearly has very good acceptance.
Moderator: Well, that was the last question for the evening. I would now like to hand the conference back to Dr. Abhishek Sharma for closing comments.
Abhishek Sharma : Thanks, everyone, for dialling in. For any remainder questions that you may have, which are unanswered, you can reach out to the IR team. Thank you, and have a good evening.
Dilip Shanghvi: Thank you.
Abhay Gandhi: Thank you.
Moderator: Thank you very mu ch. On behalf of Sun Pharma, that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Call: Nov 2023

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November 08, 2023

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Scrip Symbol: SUNPHARMA Scrip Code: 524715

Subject: Q2 FY24 Earnings Call Transcript
Dear Sir / Madam,

Please find enclosed herewith a copy of the transcript of the Company 's Q2FY24 earnings conference call, which we shall be uploading on our website after sending this letter to you.

This is for your information and dissemina tion.

Thank You,
For Sun Pharmaceutical Industries Limited

(Anoop Deshpande)
Company Secretary and Compliance Officer
ICSI Membership No.: A23983

Sun Pharma Q 2 FY24
Earnings Call Transcript
06:30 p m November 01, 2023

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Corporate Participants

Dilip Shanghvi
Managing Director, Sun Pharmaceutical Industries Ltd.
Abhay Gandhi
CEO (North America Business), Sun Pharmaceutical Industries Ltd.
C. S. Muralidharan
Chief Financial Officer, Sun Pharmaceutical Industries Ltd.
Kirti Ganorkar
CEO (India Business), Sun Pharmaceutical Industries Ltd.

Moderator: Ladies and gentlemen, good day, and welcome to Sun Pharma's Q2 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Dr. Abhishek Sharma, Vice President, Head Investor Relations, and Strategic Projects. Thank you, a nd over to you, sir.

Abhishek Sharma : Thank you, Reo. Good evening, and a warm welcome to our second quarter FY '24 Earnings Call. I'm Abhishek from the Sun Pharma Investor Relations team. We hope you have received the Q2 financials and the press release that was sent out earlier in the day. These are also available on our website.

We have with us Mr. Dilip Shanghvi, Managing Director; Mr. C.S. Muralidharan, CFO; Mr. Abhay Gandhi , CEO, North America; and Mr. Kirti Ganorkar, CEO of India Business. Today, t he team will provide an update on the financial performance and business highlights for the quarter and respond to any questions that you may have. We will refer to the consolidated financials for management comments.

The call recording and call transcrip t will be also put up on our website shortly. The discussion today might include certain forward- looking statements, and these must be viewed in conjunction with the risks that our business faces.

You are requested to ask two questions in the initial round. If you have more questions, you are requested to rejoin the queue. I also request all of you to kindly send in your questions that

may remain unanswered today.

I will now hand over the call to our CFO, Mr. C.S. Muralidharan.

C. S. Muralidharan: Welcome and thank you for joining us for this earnings call after the announcement of financial results for the second quarter FY '24. Our Q2 financials are already with you. Q2 FY '24 sales were at INR120,031 million, a growth of 11% for the Q2 FY '23 and higher by 1.8% over Q1 FY '24. Material cost stands at 23.2% of sales, lower year -on-year on account of better product mix. Staff cost stands at 19.7% of sales higher than Q2 FY '23 on account of merit increase and consolidation of Concert.

Other expenses were at 31.9% of sales, higher year -on-year on account of increase in selling and distribution expenses and higher R&D spend, including consolidation of Concert business. Further, the other expenses higher than Q1 FY '24 due to higher R&D and S&D expenses.

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Forex loss for the quarter was INR341 million compared to a loss of INR2,415 million in Q2 FY '23. EBITDA margins for the quarter were at 26.1% compared to EBITDA margin of 27% in Q2 FY '23. EBITDA, including other operating revenues was at INR 31,794 million, up by 7.5% over Q2 last year. EBITDA margin for Q2 stands at 26.1% compared to 27.9% for Q1 FY '24.

Net profit for Q2 FY '24 was INR 23,755 million, up 5% over Q2 last year. The tax rate for Q2 FY '24 was 14%. Reported EPS for the quarter was INR 9.90 per share. As of 30th September 2023, the net cash was USD1.9 billion at consolidated level and about USD660 million at the ex- Taro level. Gross debt moved from about USD750 million as on 31st March 2023 to about USD170 million as on 30th September 2023, there by a repayment of about USD580 million during H1 FY '24.

Now we will discuss the half -year performance. For the first half, gross sales were at INR 237,883 million, a growth of 10.9% over first half last year. Material costs by H1 was at 23.3% of sales, lower than H1 last year, mainly due to product mix and including higher specialty sales. Staff cost stands at 20% of sales, higher than H1 last year on account of annual merit increase on consolidation of Concert.

Other expenses were at 30.6% of sales higher than H1 last year on account of higher selling and distribution and R&D expenses, including Concert. Forex loss for H1 was INR321 million compared to a loss of INR 958 million for the same period last year. EBITDA for the first half was at INR65,112 milli on, a growth of 11.5% over the first half last year, with resulting EBITDA margins of 27%.

Adjusted net profit by H1 was at INR 47,209 million, up 9.2% over net profit of H1 last year. Reported net profit by H1 was at INR 43,981 million compared to INR 43,231 million in the same period last year.

Now moving on to Taro's performance. Net sales of USD148 million increased in part due to a onetime gross net adjustment excluding the impact of the onetime gross net adjustments in both quarters the sales grow th was mid - single digits. Net profit for the quarter was $8.5 million, for the first half, sales were at $307 million, up by 6.9% over H1 last year. Net profit for H1 FY '24 was $18.6 million compared to $11.3 million in H1 FY '23.

Now I shall hand over t he call to Mr. Kirti Ganorkar, who will share the performance of our India business.

Kirti Ganorkar: Thank you, Murali. I shall take you through the performance of our India business. For Q2, the sales of formulation in India were INR 38,425 million, recording a growth of 11.1% over Q2 FY '23. India formulation sales accounted for 32% of

total consolidated sales for the quarter. Sun Pharma is ranked #1 and holds 8.4% market share in the over INR1,895 billion Indian pharmaceutical market as per AIOCD AWACS MA T September 2023 report.

Corresponding market share for the previous period was 8.5%. For the quarter ending September '23, we grew higher than the IPM, and we have done well across all major represented therapy areas.

As per SMSRC MAT June 2023 report, we are ranked #1 company and Sun Pharma is also ranked #1 by prescription with 11 different doctor categories.

For Q2 FY '24, we have launched 8 new products. Among these 8 new products, we have launched product for the treatment of stroke called Tyvalzi, it has a content of Sovateltide. Sovateltide is a selective endothelin -B receptor agonist, a new first -in-class drug recently approved for the treatment of cerebral ischemic stroke and can be administered up to 24 hours post cerebral strokes.

As all of y ou know, no new drug other than recombinant TPA has been approved for the treatment of stroke for more than 2 decades. The initial response shared by the Indian doctors shows that this drug has a meaningful clinical outcome , and it is helping the patient i n the treatment.

I will now hand over the call to Abhay.

Abhay Gandhi: Highlights of our U.S. businesses. For Q2, our overall sales in the U.S. grew by about 4.2% over Q2 last year to $430 million. The growth was driven by the Specialty business, including ILUMYA, CEQUA and Winlevi but offset by impact of Halol and Mohali facility issues.

U.S. accounted for over 30% of consolidated sales for the quarter. The U.S. Specialty business has continued to do well and has grown over Q2 FY '23. The underlying busi ness and the prescription trend for the Specialty business remains strong. In Q2, we launched 3 generic products in the U.S. on an ex- Taro basis. I will now hand over the call to Mr. Shanghvi.

Dilip Shanghvi: Thank you, Abhay. I will provide an update on the performance of our other businesses as well as give you an update on our R&D initiatives. Our branded formulation revenues in emerging markets were at $284 million for Q2, up by 9.4% over Q2 last year. The underlying growth in constant currency terms was about 14% year -on-year for Q2.

Emerging markets accounted for 20% of total consolidated revenue for Q2. Amongst the larger markets, the local currency terms, Romania, Brazil, and South Africa have done well. Formulation revenues in rest of the world, excluding U.S. and emerging markets, was $206 million, up by 13.7% over last year, the rest of the world markets accounted for approximately 14% of consolidated Q2 revenue.

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We co ntinue to invest in building an R&D pipeline for both the Global Generics and Specialty businesses. The consolidated investments towards R&D for Q2 FY '24 stands at INR 7,734 million, 6.4% of sales. Moving on to update on Global Specialty with highlights of the quarter. In Q2 FY '24, our Global Specialty sales were up by 19.3% to reach $240 million. Specialty R&D accounted for 38.2% of our total R&D spend for the quarter. Among the key events of the quarter, U.

S. FDA has accepted our new drug application fo r deuruxolitinib, an
investigational oral selective JAK inhibitor for the treatment of adults with moderate -to-severe alopecia areata.
Sun Pharma has submitted 8 mg twice -daily regimen of deuruxolitinib for FDA review.
Our partner also reported positiv e results for Nidlegy from the Phase III pivotal trial in patients with locally advanced fully resectable melanoma. We have started sharing the status update on Specialty pipeline beginning this quarter.
In summary, we have multiple products, which have s trong competitive profile and are expected to address patient needs once they are in market. I'm sharing this with the view that you can share the excitement which all of us have about the positive potential impact these products will have to our business as they come to market.
As Murali mentioned, with healthy cash generation in the business, which has continued to improve over the years. We've repaid close to INR5,000 crores out of our debt. And that's after providing for all the investments and dividend payments. This cash chest and our ability to generate future cash gives us the flexibility to pursue opportunities in future which fit into the company's strategic vision and objectives.
With this, I would like to leave the floor open for questions.
Moderator: The first question is from the line of Kunal Dhamesha from Macquarie.
Kunal Dhamesha: So the first one on the other expenses, which has gone up meaningfully on a quarter -on-quarter basis, we have cited that it was due to selling distribution as well as R&D. But if I look at ex- R&D also, it has gone up. So is there any one -off component there? Or is there any seasonal component there in other expenses?
C. S. Muralidharan: So we already shared that around $6.1 million of one -off charges has been taken at Taro for the work related to the special committee appointed by the company there.
Kunal Dhamesha: Sure. But apart from that, on Sun Pharma's business?
C. S. Muralidharan: Nothing specific one -off, no.

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Kunal Dhamesha: Okay. Okay. Perfect. And coming to the specialty business, for Winlevi, we had suggested that recent changes would lead us into the prescription -- recent formulary changes will lead to prescriptions going up probably in second half of FY '24. So has that trend started in your view?
Abhay Gandhi: So the prescriptions of Winlevi both compared to last year as well as Q1 has gone up, but we still believe there is a scope to do even better and with some of the clinical work that we are doing with the doctors and the data that will come over a period of the next 6 to 9 months should help us grow faster than what we have been able to.
Kunal Dhamesha: Sure. And just last one on the R&D expenses for Specialty, now that we have filed deuruxolitinib, is there a possibility that our R&D expenses for the next couple of quarters might kind of go a little bit down from what we have seen in quarter 2? Because most of the other trials that we are planning to start are starting in 2024.
Dilip Shanghvi: Yes. I think we are expecting a ramp -up of some of the expenses of the residual clinical study with our focus on improving the recruitment. So I'm not expecting the clinical trial cost to come down, if at all, it will only go up.
Kunal Dhamesha: And sir, do we continue with our guidance for R&D expenses?
Dilip Shanghvi: Yes. I think as on today, you should presume the guidance.
Moderator: The next question is from the line of Neha Manpuri

a from Bank of America.
Neha Manpuria: Just on the Specialty business. First, if I look at the global revenue in the quarter , it seems very similar to what we did in the March quarter, even adjusted for the milestone payment. This is despite you indicating that prescriptions are going up. Winlevi data shows that prescription is going up. So is there any part of the business whi ch is much lower than what it was in March? That's my first question.
Abhay Gandhi: I can answer on the U.S. piece. If I see the prescription, Neha, both ILUMYA and CEQUA, I have already answered the Winlevi part. And then -- they are at all -time highs. Ev en the market share, if you see, we are at all -time high for both CEQUA as well as ILUMYA. Growth of Odomzo over previous year, previous quarter has been extremely strong, and there is no product that I can see that where we have not grown or lost any kind of share.

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Dilip Shanghvi: I think, Abhay, what she is trying to understand is correlation between the prescription and the reported sales.
Neha Manpuria: Because if the prescriptions are improving as much, why are we not seeing that momentum in the revenue that we are reporting?
Abhay Gandhi: I think in the Specialty business, I mean, you will always have, I think it's better to look at the prescription trend and sometimes the values will catch up. Because, for example, in the last month of the quart er, there was a little lesser buy in because of fewer days of sales available. But when I see the current month, for example, that has been more than made up for.
So rather than look at it literally on a quarter -to-quarter basis, I think the underlying st rength of the business, just as we do in the India business, for example, looking at improving share of prescription and market share of the products that you are competing against. I think that should be the focus. And on a longer -term basis, value will catch up.
Neha Manpuria: Understood. And was the trend in the International Specialty business also similar? I know it's a small part of that revenue, but are we seeing a steady improvement in the International Specialty piece also?
Dilip Shanghvi: I think overall business growth in the Specialty business is 18%. So that's not only the U.S. growth, but that's also global growth.
Neha Manpuria: Understood. And my second question is on Concert. Now with the FDA accepting 8 mg , is it fair to assume th at 12 MG will not be pursued at all? And does this in any way change our estimate in terms of how we were looking at the market opportunity for this drug or how we'll have to approach the drug, given the advantage that we had on the 12 MG versus peers?
Dilip Shanghvi: No. We believe that 8 mg clinical outcome and especially the long -term clinical outcome is -- places it at a significant advantage over currently available product s. However, we also believe that over time, there is a -- I mean, we haven't given up the view that the product will ever get approved. But the current long-term safety study indicates a very safe profile for 8 mg till now.
Moderator: The next question is from the line of Damayanti Kerai from HSBC.
Damayanti Kerai: My question is on the U.S. Generic business. So first part, was generic Revlimid a key contributor during the quarter?
Sun Pharma Q 2 FY24
Earnings Call Transcript
06:30 p m November 01, 2023

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Dilip Shanghvi: For this quarter, no madam.
Damayanti Kerai: It was okay, it was...
Abhay Gandhi: It was not a major con tributor, but the sales will always for this product be a little episodic. In this quarter, it was clearly not a major contributor.
Damayanti Kerai: Okay. That's helpful. And second part is, can you update us on the supply status from Mohali and how the re mediation work is progressing at Halol plant. So approximately, say, like how far we are before we can see any like normal supplies from same Mohali?
Abhay Gandhi: So supplies to the U.S. in this quarter have resumed and some quantities were shipped. The return we expect to normalcy will be gradual, although we are not giving any time frame to normalization.
Damayanti Kerai: Okay. And anything on Halol, like how things are moving there?
Dilip Shanghvi: What is the question?
Damayanti Kerai: Sir, I just want to understand the remediation progress at Halol plant, anything to share there?
Dilip Shanghvi: I think we continue to update the agency about the progress and our remediation and our what you call response. Now at some point of time the plant will get re inspected and hopefully gets time with the positive of. I mean, that's what we are working for.
Damayanti Kerai: Okay. And my second and last question is like you have done fairly well in India despite, I guess, the slowdown which we have seen in the market. So how should we look at India business trending ahead in terms of growth expectations?

Kirti Ganorkar: My opinion is don't look at India -based business quarter -to-quarter. What we need to look at is the long -term growth on an annualized basis. And our objective is always to grow higher than the market.
Moderator: The next question is from the line of Bino Pathiparampil from Elara Capital.
Bino Pathiparampil: Most of my questions answered. Just one on the tax rate. For the first half of this year, you have seen a much higher tax rate than last year. Is this the sort of rate we are looking for full year as well?

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C. S. Muralidharan: So as we stated earlier that our tax rate will inch up as compared to the earlier years, we have said also that you should look at the tax rates more on an annual basis as this from the tax reduction and the profits arising in those distribution markets there. So it's better to see the tax rate on annual basis.
Bino Pathiparampil: So it will be higher than last year this year.
C. S. Muralidharan: Last year, full rate about 8.8% full year.
Moderator: The next question is from the line of Harith Ahamed from Avendus Spark.
Harith Ahamed: My first question is on Taro. Is there an impact on Taro's operations from the conflict that is currently happening in the region, in Israel specifically? And if you could also give some color on how much of Taro's products or sales is manufactured from Taro's facilities in the region?
C. S. Muralidharan: So specifically for Taro to comment on the specific question. However, what we understand is that Taro is primarily ensuring safety of its employees. And at this point of time, they are also maintaining the business continuity.
Harith Ahamed: Okay. My second question is on Nidlegy', the melanoma produ ct, for which you've announced the Phase III completion. So since you mentioned that you'll be leveraging your experience and relationships with doctors th

rough the sales of Odomzo. Can you give some color on how much commercial infrastructure we have for Odomzo in the regions for which we've licensed Nidlegy'? And if I remember correctly, we have licensed this for Europe, Australia, and New Zealand.
Any reason why we haven't licensed this product for the U.S. market? And is that something that we can expe ct in the future?
Dilip Shanghvi: So unfortunately, both the questions, I won't be able to give you specific response. So we don't give organization details about different structures that we have for business in different countries. So however, I think all business structures are designed in such a way that we are able to cover the market efficiently and cost effectively.
Now we believe that in the region that we are promoting Odomzo where we license Nidlegy', we have adequate coverage. And we will now work with the company to try and see that we have a favourable reimbursement in different geographies. And we will work out the phased product introduction plans.

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We are excited about the product's ability to help patients who stopped responding to their current treatment with a significantly better outcome or with a better outcome. I think we continue to evaluate options and attractiveness of the product in different geographies, including the U.S. But we haven't finalized any terms. So I'm not able to give additional information at this point of time.
Harith Ahamed: And just a clarification from a previous question on deurux olitinib, the 12 MG dose, is there a probability of that getting filed in the future? Or is that something that we should keep out of our expectations from now?
Dilip Shanghvi: No, I think what you need to remember is the JAK inhibitor or selective JAK inhibitor have potential use in multiple indications. And some of those indications because of the overall disease profile, we may even be able to use higher dose and get approval. And as there is experience with the product, I think we can potentially look a t it is coming back. But this is all future and speculative.
Moderator: The next question is from the line of Shyam Srinivasan from Goldman Sachs.
Shyam Srinivasan: Just on the U.S. formulation revenue, if your kind of back out whatever is the Taro U.S. perhaps, I think you mentioned in the opening remarks as well that there is like a $470 million going to $430

million on the overall level. Even if I do it at Taro, it seems to be like a $30 million down Q -o-Q. So is that largely just attributed to the plant issues? If you could clarify me.
C. S. Muralidharan: So, Shyam, are you asking year -on-year or quarter -on-quarter?
Shyam Srinivasan: Sir, quarter -on-quarter. $470 million went to $430 million right? U.S. formulation. Q1 versus Q2?
Abhay Gandhi: We have an swered this question by saying that in Q2, there is little sale of lenalidomide, which was there in quarter 1.
Shyam Srinivasan: Okay. But there was some mention about even plant, right, Halol or no, that has already come through earlier the year. Sorry...
Abhay Gandhi: That was the situation in Q1 as well.
Shyam Srinivasan: We are not seeing anything incremental because of plant slowdown, and it's just been maybe a special one- off product, which we have not seen in quarter 2 perhaps, would that be fair?

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Abhay Gandhi: Yes.
Shyam Srinivasan: Got it. Abhay, just the commentary on the generics business, just your part, how are you seeing the rest of the business ex Revlimid, let's assume. How is that shaping up?
Abhay Gandhi: So with the products that we have i n market, I think we are maintaining or growing our share and holding on to our business or improving the product.
Shyam Srinivasan: And how would you characterize the generic pricing environment? At least external indicators seem to suggest some improvement -- so anything -- any color?
Abhay Gandhi: Like you, I have also been reading a lot on, let's say, the commentary g iven by other players in the industry. Now, if you look at the competitive scenario and the buyer scenario, whether we should l ook at it as a quarter phenomenon or a long- term trend, I do not know. I tend to look at it more like a long -term phenomenon rather than treat it as a quarterly one- off.
And like we have been saying, I think, consistently on every call, I think I still ma intain my stance that pricing is a product -specific thing, some price products we are even able to increase prices and some we are not able to and I have to give up on price distribution to retain share if we wish to. So I don't see a huge change in the environment as far as Generics is concerned.
Shyam Srinivasan: Got it. That's very helpful. Just a second question on the India business. we did 11% growth, maybe led because of our chronic nature because if we see some of the other companies that have repor ted with a slightly higher acute bend have struggled.
So if you could also disaggregate that 11% based on whatever secondary data into price volume trends and which are some of the therapy areas that we are doing better versus market, that would be helpfu l.
Kirti Ganorkar: As I said in my readout, all the business areas have performed well. So I'm not saying that acute versus chronic, we see any difference in the growth. So both the businesses has performed well. And what we see half of our growth is also coming from volume. So which is a good sign. And on a quarterly basis, just to illustrate and like we are gaining a market share in AWACS.
Shyam Srinivasan: Sir, you said half of the growth is coming from volume. Sorry, I missed that. Is that quantify ?
Kirti Ganorkar: So if you divide the growth in 3 parts, there is a growth coming from new product and then there is a growth coming from volume and then there is a growth related to price. What I see somewhere between.

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So we have good volume growth is what I' m trying to say. And the businesses are growing in the right direction. We see that movement also in the prescription.
Moderator: The next question is from the line of Aman Vij from Astute Investment Management.
Aman Vij : My first question is on our GLP -1 portfolio. If you can talk about do we have a first to file in both, say, Liraglutide and Semaglutide and when can we start seeing some revenues? And do you think this can be a big opportunity for our company?

Dilip Shanghvi: We don't generally share detai ls about first to file or future products.
Aman Vij : If you can just talk about the opportunity. Do you think this can be a big opportunity for our company and when can we expect some revenues from this division?
Dilip Shanghvi: No, I think the reason why we don't share detailing

because we don't want to give future guidance
on something that can change at many points of time. So because we try and see that whatever guidance we give for the year, we are able to maintain and deliver.
At a theoretical level, I think both Semaglutide and Liraglutide are good products, not really easy to register. And what you call, we don't expect too many people to get approval because of the complexity. But it will be a good product whoever is able to get it approved.
Aman Vij : Sure, sir. My second question is on another of our products there. I could see the FDA filing for teriparatide in U.S. DMF. So if you can talk a little bit about that opportunity given the expiry is coming.
Dilip Shanghvi: But same question, we don't g ive details , if we started to over then we will start sharing specific information. I'm not able to respond to your question.
Aman Vij : Okay. Any timelines you can give in terms of when is the expiry expected of this product in U.S.?
Abhishek Sharma: Aman, you can connect with me offline on these questions.
Moderator: The next question is from the line of Surya Narayan Patra from Phillip Capital.
Surya Narayan Patra : Yes. Sir, my first question is on the FDA warning what we have seen against the 26 OTC eyedrop products in the U.S. market.

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So it looks like that this could potentially be a kind of a good opportunity for the prescription- based dry eye products like CEQUA. So could you give some sense on this? Because, I mean, our understanding is that a la rge part of this dry eye in the U.S. market is catered by this OTC products and if there is a kind of a restriction on those, then the market itself can really jump for the prescription products, including the CEQUA.
Dilip Shanghvi: I think you're presuming that because of the warning letter issued to products, which were marketed without approval. This product will become dry. I don't expect that to happen. There will be some approved products still continued to be sold in the market. Abhay, if you can res pond to the latter part of the question if there is something there.
Abhay Gandhi: I mean nothing really to add.
Surya Narayan Patra: Okay. Okay. M y second question is on the acquisition of this diagnostic device businesses, although those are like small i nitiatives on this. Could you share or could you share your thought process about moving into this diagnostic device business acquisition front? And how would that be really complementing our business model and business strategy. Could you share something about the acquisition of Ezerx and Agatsa software, sir.
Kirti Ganorkar: I think just explain our view. First of all, we remain committed to our core offering in human health. We have made addition to our India team in the recent past and continued to show growth.
Many of our new investments are very early stage, where we are choosing to rely on the existing management to continue to run the business. So I would say that we are exploring new areas but without diluting our focus on our core prescription bus iness which we see a good potential going forward.
Surya Narayan Patra: Sure, sir. Is it in any way likely to complement the growth of the domestic formulation business? Or it is completely separate from?
Kirti Ganorkar: No, I already answered you, these a re all exploring 3 new areas. So we won't be able to comment further on this year.
Surya Narayan Patra : Sure, sir. Just on the two updates I wanted to have, sir. Any progress on the ILUMYA in China? That is one. And secon

dly, any update about the buyback of Taro , we have mentioned last quarter.
Sun Pharma Q 2 FY24
Earnings Call Transcript
06:30 p m November 01, 2023

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Dilip Shanghvi: So China, my understanding is that there is a price approval process, which I think our marketing partner in China is speaking. So I think it should take maybe 1 or 2 quarters for them to get this app roval and potentially launch the product.
But I think for Taro, we don't have a specific update to share. I think Taro special committee is working on Sun's proposal as you would have seen in their press release. Beyond that we have no specific further information.
Surya Narayan Patra : Okay. So sir, in regards China, what you have mentioned once the pricing approval process will be over, it would be a kind of again, tender contracting cycle and all that we have to face, so that there won't be a kind of t imeline or decision period before we see some commercial benefit out of it?
Dilip Shanghvi: I don't think that these products are in tender cycle right now.
Surya Narayan Patra: Okay.
Moderator: The next question is from the line of Vishal Manchanda from S ystematix.
Vishal Manchanda: I have a question on deuruxolitinib. So wanted to understand whether the product would be used by patients chronically or would this be a sub- chronic treatment wherein patients would only use it until they recover the hair loss ?
Dilip Shanghvi: Our understanding is that it's an autoimmune disease and the drug will help the patient overcome the challenges caused because of the immune response. But once I think you give up the treatment, then it's not very different from psoriasis . But we have to see. Our studies indicate that a large number of patients will need to continue to take treatment to maintain the benefit.
And the same is also reflected in our safety study. Abhay, do you have anything further to add?
Vishal Manchanda: Just one more, whether we'll be able to launch deuruxolitinib post approval immediately? Or would there be a patent that would block the launch?
Dilip Shanghvi: So I think our assumption and plan is to launch the product on approval
Moderator: The next question is from the line of Kunal Dhamesha from Macquarie.
Kunal Dhamesha: First one on the Specialty business. So one of our CDMO partner for one product had some issues with U.S. FDA, so do you expect any disruption related to the pr oduct?

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Dilip Shanghvi: I mean my understanding is that we are not expecting any disruption..
Kunal Dhamesha: Sure, sir. And secondly, now that we have one big product up and probably only one supplier, would we be looking to derisk that and add one more supplier?
Dilip Shanghvi: Yes, I think that is the approach that we have for all major innovative products, we would like to have one additional source.
Kunal Dhamesha: Sure. And second on the deuruxolitinib, so that would also be a CDMO manufactured kind of opportunity? Or would that be manufactured in- house?
Dilip Shanghvi: Currently, when we licensed the product, the product was manufactured by CDMO. So it will be launched from CDMO.
Moderator: That was the last question in queue. I would now like to hand the conference back to D

r. Abhishek
Sharma for closing comments.
Abhishek Sharma : Thank you, Reo. Thanks, everyone, for dialing in. If you have any unanswered questions, you can reach out to the Investor Relations team. We'll be happy to take your questions offline. Thank you and have a good evening.
Moderator: Thank you very much. On behalf of Sun Pharmaceutical Industries Limited, that concludes the conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.
Dilip Shanghvi: Thank you.

Call: Feb 2024

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Subject: Q3 FY24 Earnings Call Transcript
Please find enclosed herewith a copy of the transcript of the Company's Q3FY24 earnings conference call, which we shall be uploading on our website after sending this letter to you.
This is for your information and record.
Thank You,
For
Sun Pharmaceutical Industries Limited
(Anoop D
eshpande)
Company Secretary and Compliance Officer
ICSI Membership No.: A23983
Sun Pharma Q 3 FY24
Earnings Call Transcript
06:30 p m January 31, 2024
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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY'24 Earnings Conference Call of Sun Pharmaceutical Industries Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions af ter the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.
I now hand the conference over to Dr. Abhishek Sharma , Vice President and Head of Investor Relations and Strategic Projects. Thank you, and over to you, sir.
Abhishek Sharma: Thank you. Good evening and a warm welcome to our Third Quarter FY'24 Earnings Call . I'm Abhishek from the Sun Pharma Investor Relations team. We hope you have received the Q3 financials and the press release that was sent out earlier in the day. These are also available on our website. We have with us Mr. Dilip Shanghvi, Managing Direct or; Mr. C.S. Muralidharan, CFO; Mr. Abhay Gandhi , CEO, North America; and Mr. Kirti Ganorkar, CEO of India Business.
Today, the team will provide an update on financial performance and business highlights for the quarter, pipeline updates and respond to a ny questions that you may have. We will refer to the consolidated financials for management comments. The call recording and call transcript will also be put on our website shortly.
The discussion today might include certain forward -looking statements, an d these must be viewed in conjunction with the risk at our business faces . You are requested to ask two questions in the initial round. I also request all of you to kindly send in your questions that may remain unanswered today.

I will now h and over the call to our CFO, Mr. C.S. Muralidharan.
C. S. Muralidharan: Welcome and thank you for joining us for this earnings call after announcement of financial results for the

third quarter FY'24. Our Q3 financials are already with you. Q3 FY'24 sales were at INR121,569 million, a growth of 9.5% over Q3 FY'23 and higher by 1.3% over Q2 FY'24.
Material costs for the quarter was at 22.5% of sales , lower year -on-year on account of better product mix, including higher specialty sales. Staff costs came in at 19.4% of sales, higher than Q3 FY'23 on account of merit increase and consolidation of Concert .
Other expenses were at 32.3% of sales, higher ye ar-on-year on account of increase in selling and distribution expenses and higher R&D spend, including consolidation of Concert business. For ex gain for the quarter was INR1,246 million compared to a loss of INR31 million in Q3 FY'23.

EBITDA , including ot her operating revenues , was at INR34,768 million, higher by 15.8% over Q3 last year. The EBITDA margin for the quarter was 28.1% compared to 26.7% in Q3 FY'23 and 26.1% in Q2 FY'24. Adjusted net profit, excluding the exceptional items for Q3 FY'24 , was INR 25,936 million, representing growth of 19.7% over Q3 FY'23.
Reported net profit for Q3 FY'24 stands at INR25,238 million as against reported net profit of INR21,660 million in Q3 FY'23. The effective tax rate for Q3 FY'24 was 14.1%. Reported EPS for the q uarter was at INR10.5 per share.
As of 31s t December 2023, net cash was $ 2.3 billion at consolidated level and about $990 million on ex -Taro level. Post reduction of gross debt by $640 million in the first 9 months, the closing gross debt as on 31st Decem ber 2023 was $114 million.
Now we will discuss the 9 months performance. Gross sales were at INR359,451 million, a growth of 10.4% over last year. Material costs for 9 months was at 23% of sales, lower than last year, mainly due to product mix, including higher specialty sales.
Staff cost stands at 19.8% of sales higher vis-à-vis last year on account of annual merit increase on consolidation of Concert. Other expenses were 31.2% of sales higher on account of higher selling and distribution and R&D expense s, including Concert. For ex gain for 9 months was INR925 million compared to a loss of INR989 million for the same period last year.
EBITDA for the 9 -month period was at INR99,880 million, a growth of 12.9% with resulting EBITDA margin of 27.4%. Adjusted net profit for 9 -month period was at INR73,145 million, up 12.7%. Reported net profit for 9 months was INR69,218 million compared to INR64,891 million in the same period last year.
Moving on to Taro's performance. Net sales of $157 million increased in part due to new product launches and gross -to-net adjustments. Net profit for the quarter was $20.2 million. For the 9 months, sales were at $464 million, up by 8.9% due to onetime gross -to-net adjustments. Excluding these adjustme nts, the sales growth was mid - single digit. Net profit for 9 months FY '24 was $38.8 million compared to $18.5 million in 9 months FY '23.
I now hand over to Mr. Kirti Ganorkar, who will share the performance of our India business.
Kirti Ganorkar: Thank y ou, Murali. I shall take you through the performance of our India business. For Q3, the sales of formulation in India were at INR37,785 million, recording 11.4% growth over Q3 FY '23.
Sun Pharma Q 3 FY24
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India formulation sales accounted for 31% of total sales for the quarte r. Sun Pharma is ranked number 1 and holds 8.51% market share in the over INR1,933 billion of Indian pharmaceutical market as per AIOCD -AWACS MAT December '23 report. Corresponding market share for previous period was 8.46%.
For the quarter ending December '23 we grew higher than IPM and we have done well across all major represented therapy areas, and we are growing faster than the market. As per SMSRC MAT October '23 report, we are number 1 ranked companies and Sun Pharma is also ranked number 1 by prescription with 12 different doctor categories.
For Q3 FY '24, the company launched 28 new products in India, and we are seeing good momentum in the in -

licensed product that has been launched in the recent past.
I will now hand over the call to Abhay .
Abhay Gandhi: Thank you, Kirti. I will update on the performance highlights of our U.S. businesses. For Q3, our overall sales in the U.S. grew by 13.2% to $477 million. The growth was driven by Specialty business, including Ilumya, CEQUA and Levulan, but partially offset by impact of ongoing Halol and Mohali facility issues in the generics business.
U.S. accounted for over 33% of total sales for the quarter. U.S. Specialty business has continued to do well and has grown over Q3 FY '23. The underlying bus iness and the prescription trend for the Specialty business remains strong. For Q3, we launched 3 generic products in the U.S. on an ex -Taro basis.
I will now hand over the call to Mr. Shanghvi.
Dilip Shanghvi: Thank you, Abhay, and thanks all the participants. I will provide an update on the performance highlights of our other businesses as well as give you an update on our R&D initiatives.
Our branded formulation revenues in Emerging Markets were at $252 million for third quarter, lower by arou nd 2.3%. The underlying growth in constant currency terms was about 5.2% year -on-year. Emerging Markets accounted for 17% of total consolidated revenue for Q3. Amongst the larger markets in local currency terms, Brazil and Romania have done well.
Formula tion revenues in Rest of the World were $214 million, up by 12.9%. ROW markets accounted for approximately 15% of consolidated Q3 revenues. We continue to invest in building an R&D pipeline for both the Global Generics and the Specialty businesses. Consoli dated investment towards R&D for Q3 '24 stands at INR8,245 million, 6.8% of sales. Specialty R&D accounted for 39.2% of our total R&D spend for the quarter.

Moving on to updates on Global Specialty. In Q3 '24, our global specialty sales were up by 26.1% t o reach $296 million. This includes a milestone payment from Almirall of $20 million received in Q3 '24. Excluding milestone payment, the growth is 24.2%. We've also disclosed that our partner product, Nidlegy should be filed with Europe authorities during the first half of current year.
Once approved, Nidlegy will enhance our offerings in skin cancer s and synergize well with our growing Odomzo franchise in Europe. Phase III trials of MM -II and Phase II trials of GL0034 both early are expected to start in early '24 are now moved with the expected start date in second half of '24.
Among recent events, Sun has entered into a definitive agreement with Taro to acquire the minority shares at $43 per share, subject to certain closing conditions. The agreed price of $43 per share is poised to deliver 48% pre

mium
to unaffected price on May 25, '23. The fully combined entity will be better positioned to service patients globally. As all of you are aware, this is finally to be approved by minority shareholders of Tar o and subject to closing by that.
I will now hand over to Murali for his final comments.
C. S. Muralidharan: In addition to the financial performance and business I've shared earlier, the Board has declared an interim dividend of INR8.50 per share for the year FY '24 against INR7.50 per share interim dividend for the previous year.
With this, I would like to leave the floor open for questions. Thank you.
Moderator: The first question is from the line of Kunal Dhamesha from Macquarie. Please go ahead.
Kunal Dhamesha : Hi, thank you for the opportunity. Good evening, everyone. So first one on the Specialty. Let's say, we are growing strongly and the prescription trends are also strong. But from here on, when we see our key product s like Ilumya, CEQUA and Winlevi, what type of incremental P&L investments are required for us to grow in the U.S. market?
Abhay Gandhi: The question was what kind of P&L investment...
Dilip Shanghvi: Additional investment.
Abhay Gandhi: Additional investm ent, okay. So I mean there will be additional investment based on the trajectory of the products that you see in the budgets that we take for next year. So that -- as we go along, we will
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Earnings Call Transcript
06:30 p m January 31, 2024

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have more clarity because we are right now into the budgeting cycle. So I don't have complete visibility. But yes, we will continue to invest on the products and find ways to keep growing.
Kunal Dhamesha : My question is more like what kind of spend, whether it would be more people on the sales force, more marketing or more, let's say, open strategies, etcetera, what those incremental investment in which kind of line items will be investing, qualitatively, I don't need quantitative, but qualitatively, what is the investment line item that we see from here?
Abhay Gandh i: So for each product, I think the strategy will also be different. There is no one thing I can simply say that in this line, the expenses will move up or down. Beginning of each year, we look at each product, what are the opportunities for us to grow. Where do we need to invest? Where can we optimize investment and that's how we work out our budget almost from zero base.
So I cannot give you a straight simple answer that in a particular line, it will move up or down. But it will be definitely a growth -oriented budget is all I can say.
Kunal Dhamesha : Okay. And based on whatever investment we plan, we think that we can continue to grow at the current trajectory level?
Abhay Gandhi: I mean that's what we try to do in every given product and in every given market.
Kunal Dhamesha : And second question on Ilumya. So for a product like Ilumya, do you think that out -of-pocket cost could be a major deciding factor for a patient or a provider to basically take the drug or not?
Abhay Gandhi: The answer is yes for every given product in the U.S. because you hav e a very large majority of the population being insurance covered. Out of pocket is a consideration, even if you buy a simple antibiotic or whatever product you can think of. There's always a concern.
Kunal Dhamesha : But given Ilumya is basically a very specialized product, it requires prior authorization, step therapy and all those things. So not every option will be available to patients when he reaches -- as he reaches for Ilumya. So from that perspective...
A

bhay Gandhi: Again as I said, this is not -- I mean don't consider this to be unique to Ilumya. It is specialized product, I agree. But this is a situation that every product that you launch in the U.S. will have to undergo . And this becomes an important consideration for both the doctors as well as the patients in deciding a treatment option.

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Moderator: The next question is from the line of Damayanti Kerai from HSBC Securities and Capital Markets India Private Limited. Please go ahead.
Damayanti Kerai: My first question is on U .S. Generic business, which is excluding Specialty and Taro. So can you elaborate on 2 points, please? Was there a significant contribution from Revlimid during the quarter? That's first. And second, can you comment on supply pickup, which you might have s een from Mohali plant?
Abhay Gandhi: So generic Revlimid sales were very small in this quarter. Similarly, if I see the Mohali impact, supplies are clearly not normal, situation is the same as we saw in quarter 2. We are working to fix those issues, and th at will happen gradually over time.
Damayanti Kerai: Regarding Mohali, can you comment what are the key bottlenecks? Because if I understand correctly, there has been clearance by th e FDA to recover your supply et cetera, right? So what are the bottlenecks here?
Abhay Gandhi: I think it's deciding which products to come to market in what priority and also making sure that the quality clearances as mandated are done, and that takes its own time. And these are two of the issues that the plant is trying to res olve along with getting back to compliance as a plant in general.
Damayanti Kerai: Okay. My second question is on Taro business. So what are your priorities for the Taro business after signing the definitive merger agreement. So whether you'll focus more on reviving the legacy Derma portfolio or you will focus more on turning around Alchemee franchisee?
Abhay Gandhi: So I don't think the merger has been consummated as yet. So therefore, I think we should not be discussing future s trategies for Taro because this process is still on. Mr. Shanghvi explained that we still need the approval of the majority of the minority and of course, certain other steps to be followed, it's only then can we get into this question, it's too soon, prem ature.
Dilip Shanghvi: The other thing, Abhay, is that we are, in any case, controlling shareholders. So we've been managing the business because we are part of the management. So it will not be any dramatic or significant change in the overall company and its strategy.
Moderator: The next question is from the line of Neha Manpuria from Bank of America. Please go ahead.
Neha Manpuria: Abhay on Ilumya. If you look at the IQVIA data, it's seeing very good traction in the last year. Incrementally from here -- what are the incremental pockets of growth? And how should we look at expansion in

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Ilumya or continued expansion in Ilumya versus the risk of biosimilar Humira probably eating up some of that prescription, is that a concern at all?
Abhay Gandhi: Let me ans wer the second part of your question because

the first part to speak on strategy is very difficult for me because this call is not only for investors. So I would not like to give a granular strategy and how we find ways to grow from. But Humira -- biosimil ar is the evolving space. We are also studying constantly of what is happening.
As of now, we don't see any impact on Ilumya, I don't foresee that. And -- but it's an evolving space and I guess more to come, more to learn. And we'll then have to factor th at into our thinking. But as of now, we don't see...
Neha Manpuria: Understood. And for CEQUA, we have seen share come off pretty sharply because I think generic Restasis seem to have picked up share. So do you think CEQUA can continue to grow despite the fact that generic seem to be eating away on the Restasis' share, because we've seen CEQUA share also come off pretty sharply in the recent weeks.
Abhay Gandhi: I mean that's what we wish to do, and we are planning accordingly. Having said that, the space is also getting competitive. There have been new launches by others in the dry eye space with different mechanism of action. So the competition is clearly higher than what it was a year ago in terms of options available to doctors.
Neha Manpuria: So in that light, do you think we could grow the CEQUA franchise from here?
Abhay Gandhi: And as I said, that's what we will definitely be trying to do.
Neha Manpuria: Understood. And my last question, the U.S. Generic business, did we see improvement in that quarter -on-quarter ex Taro U.S. generic business? Would that be a fair assumption?
Abhay Gandhi: Quarter -on-quarter, you can assume it is flattish.
Moderator: The next question is from the line of Harith Ahamed from Avendus Spark.
Harith Ahamed: The $20 mi llion milestone income that you have booked as part of your specialty sales under your geographic breakup of sales this comes under which segment?
C. S. Muralidharan: It comes under the Rest of the World.
Harith Ahamed: Okay. And my second question is on t he specialty asset GL0034. I understand you're developing it for diabetes indication. Given the opportunity in the obesity space, will you be developing this for obesity

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indication as well? And given that this is such a large opportunity, is there a way to kind of accelerate the timelines of development if you were targeting the obesity indication?
Dilip Shanghvi: So I think it's premature for me to share with you because these are very expensive studies. So once we decide then we will share as to what is the likely cost and what impact it will have on our short -term profitability.
Harith Ahamed: Can you confirm that we are also targeting the obesity indication apart from the diabetes indication for this candidate?
Dilip Shanghvi: So we are evaluating its p otential use in multiple indications. But I can't confirm anything that which indication we are developing. So what we have said is that the Phase II study on GL0034 will start in the second half of next year. We haven't said indication.
Moderator: The nex t question is from the line of Surya Patra from Phillip Capital India Private Limited. Please go ahead.
Surya Patra: Sir, my first question is on the Ilumetri getting included in the national reimbursement list of China. Generally, it is believed to be a k ind of a big achievement for any molecule within the 6 months of , or a few months of marketing approval, getting listed into the national reimbursement list. So that is considered to be a big development, big achievement and in

stant access to the 92%, 95% of the population.
So considering that what update that we are having, sir, for this? And is it fair to believe that this could be a kind of, for Ilumya, it could be outside of U.S., it would be a kind of biggest -- China could be the biggest market?

Dilip Shanghvi: No, I think there are multiple business issues to fix before we can respond to you r question. Currently, Ilumya or Ilumetri is approved as an imported formulation. And we really don't know how aggressively the prices will be cut in China. So difficult for me to respond. But it's going to be an important market for Ilumya going fo rward.
Surya Patra: Going forward in FY '25 onwards, because this is effective from the January '24. So the next year would be an important year for us from China side.
Dilip Shanghvi: No, I agree.
Surya Patra: Okay. Okay. And sir, is it a kind of a royalt y-based model here in China or it is...

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Dilip Shanghvi: No, it's a business transaction where it's structured in such a way that the economics are shared between us and the licensee.
Surya Patra: Okay. Okay. My second question is on the Levulan. In fact, i t looks like that from the prescription trends, there is a substantial improvement in the recent months. So -- we know that Levulan is not fully captured by the retail prescriptions. So how should we see and believe that whether the Levulan on practically has seen a kind of multiple growth in the recent period for the entire of the market, the way it has been reflected in the prescription trends or the growth is just some double -digit growth? Or how should we see and understand that trend?
Abhay Gandhi: From a longer time frame period, you should look at it more as a stable product.
Surya Patra: Stable and steady growing or is a stable product that is how we should see that.
Abhay Gandhi: Steady growth but not a very high growth.
Surya Patra: And is it fair to believe this is the biggest product after Ilumya in the specialty basket?
Abhay Gandhi: I mean we don't give those product -wise details.
Surya Patra: Okay. Just last one clarification here, sir. Regards to R&D, obviously, because of the direct relative , so the R&D spend in the current year has obviously seen a kind of meaningful growth in the current financial year. But considering the pipeline progress what we have indicated, so going ahead, how significant progress that we should clearly build for the R&D spend going ahead?
Dilip Shanghvi: So when we share the next year's guidance, we will share the R&D guidance also.
Surya Patra: Okay. Because this year, despite the Concert acquisition and all that, so it is still lower than the given guidance of 7%. S o whether the...
Dilip Shanghvi: Last quarter was 6.8%. So hopefully, we will touch the low end of the guidance.
Moderator: The next question is from the line of Mukherjee Saion from Nomura. Please go ahead.
Mukherjee Saion : Sir, in the backdrop of the rec ent Phase III data of late, if you can talk about the opportunity in Europe and other markets where you have the right and your thoughts about this product for the U.S. market, is that something you're considering?

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Dilip Shanghvi: So I think the team in Eu rope is excited about the potential for Nidlegy. And the data clearly is quite impressive. And in a set of patients which are difficult to treat, I think it has good overall success rate. So we are looking forward to getting the product approved and then s ubsequently launching the product in Europe. Abhay, would you like to respond about Nidlegy for U.S.?
Abhay Gandhi: As you know, sir, we're evaluating. And in due course of time, we'll take the decision whether if something we want to launch in the U.S. as well.
Mukherjee Saion : Sir, just I mean, if it's possible, I mean, are there any products which would kind of compete with that? Or is that something that you think would be one of its kind that would be launched. And any assessment on how big this produc t can be if you can give us some idea about that?
Dilip Shanghvi: No, the treatment protocols in the U.S. are very different from Europe. And the neoadjuvant treatment with systemic treatment is much more common than in Europe. So we have to wait for the U .S. study to come out so that we will get the relative benefit of the product along with the checkpoint inhibitors.
Moderator: The next question is from the line of Vishal Manchanda from Systematix. Please go ahead.

Vishal Manchanda: I've a question on SEZABY, so do you expect the U.S. FDA anytime this year to allow you market exclusivity under the DESI Act?
Abhay Gandhi: We have made the applications to the FDA and we are awaiting clarity on how they would like to proceed with it. So I don't have visibility on any particular timeline .
Vishal Manchanda: Okay. Okay. And a second question on Winlevi. If you could share what p ercentage of the prescriptions are still under the patient assistance program?
Abhay Gandhi: We'll not be able to answer that question.
Vishal Manchanda: Okay. And just 1 more. Out of the pending ANDA filings, would you be able to share a number as to how many of these would be depot injectables for peptides?
Dilip Shanghvi: No, we don't give too much information about pipeline.
Moderator: The next follow -up question is from the line of Kunal Dhamesha from Macquarie. Please go ahead.
Kunal Dhamesha : Just coming back to Nidlegy, if you could share some effect on the addressable marke t size in terms of patients, et cetera, in the European market would be good. I think melanoma incidence is around 1 lakh

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patients a year, but then I think our product is neoadjuvant setting. So I'm not sure how much that fits into the regime, and how many patients?
Dilip Shanghvi: So I think our overall calculation was less than 10,000 patients. But even at that number, it's an interesting product.
Kunal Dhamesh a: And then, let's say, in terms of value, value add of that treatment versus the usual course of treatment, which is generally surgery, how would you put Nidlegy as of now? And would that be a consideration when you go to payers once the approval i s in place?
Dilip Shanghvi: I think there is a structured process for getting pricing approved in Europe, which is different in different geographies, but we will have to follow that process in each country.
Kunal Dhamesha : Okay. And that would be d irectly correlated to the value add or the kind of QALY improvement, et cetera, how that kind of...
Dilip Shanghvi: That's what I'm saying is that different countries have a different way to look at valuation and pricing. So we have to ada

pt to that and file for appropriate pricing of...
Kunal Dhamesha : Sure, sure. And the next one on Ilumya, it's roughly now around 6 years since the launch. Typically a product like Ilumya, how does the product life cycle behave if you could share some light there?
Dilip Shanghvi: I mean, what is the question?
Kunal Dhamesha : So basically, growth phase, maturity phase on the -- how do you think about that product?
Dilip Shanghvi: I mean, as on today, looking at the overall performance not only us but al l IL-23 products are in growth phase.
Moderator: The next question is from the line of Sanjay Kular from ACME Private Limited. Please go ahead.
Sanjay Kular: First of all, compliments to the whole team for giving excellent results. Sir, in the light of good results in Q3 and overall 9 months performance, are you planning to increase guidance for the current year and for the next year? That is 1 question.
Second question is, you are a company sitting on $2 billion of cash and cash equivalents plus we are generating annual cash flow of $1 billion plus. So are we planning to give giving back excess cash to shareholders by way of buybacks or increased dividends?

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Dilip Shanghvi: Sure. No, I think if you look at our last quarter performance, we've come in at h igh single -digit growth. So there's no need for us to, at this point of time, revise the guidance because it's not something where we are consistently significantly higher. So that's one.
Second, I think, is about the dividend. So I think we have a divide nd policy of 30% distribution -- 30%, 35% in that range and we wish to continue to follow that as a process. And about the cash with the company, I think the idea is to potentially look for appropriate investment opportunity. And looking at some of the cor rections which

have taken place, I think we see some interesting opportunity that we should be able to work on.
So there's no plan to return this cash to investors because we think we can continue to generate a double -digit return on our investment. Becau se if you would have seen over the last few quarters, our return on invested capital has consistently gone up.
Moderator: The next follow -up question is from the line of Mr. Vishal Manchanda from Systematix. Please go ahead.
Vishal Manchanda: I have a ques tion on Ilumya. So I wanted to understand the profile of patients that are being onboarded for treatment on Ilumya. Basically, are these patients who have failed treatment on multiple lines of biologics ? Or -- so would majority of these patients ?
Abhay Gandhi: If you see any IL -23 and Ilumya also. There is a good mix of treatment -naive patients who get onto the product along with almost an equal proportion of patients who've failed and some other products before they come on to ours.
Vishal Manchanda: Okay. So you mean to say it's broadly similar in treating biologic treatment naive and those who have tried multiple lines of treatment also.
Abhay Gandhi: Yes. Treatment failure, multiple may not be the case , but treatment failure on any other biolog ic.
Moderator: The next question is from the line of Damaya nti Kerai from HSBC Securities and Capital Markets India Private Limited. Please go ahead.
Damayanti Kerai: I have a question. Due to situation in Red Sea, are you expecting any sort of supply chain disruption in coming quarters or so? And what kind of preparations you are undertaking in case situation doesn't normalize in, say, near term?

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C. S. Muralidharan: So we are closely monitoring the situation and our primary objective is to ensur e continued supplies. And as appropriate, we will use the channel of shipment between air versus sea. And we are closely monitoring the situation.
Damayanti Kerai: Okay. But as of now, are you building in -- like are you stocking up for key markets or you' re like still evaluating the situation. You haven't started stock build -up for key markets?
C. S. Muralidharan: Well, we have our inventory norms and we have the overall stock limits what we s aid within our process, both in the country and in the manufacturing location and transit. So as we are closely monitoring, I think we are under control.
Damayanti Kerai: Okay. My second question is on India business. So this year, I think what we have seen i n the market, volumes were a bit muted and then price hike and new launches primarily pulled the growth. So what are your expectations for next year? Like do you think market will see substant ial volume recovery and then we could see much better growth th an what we have seen in this year?
Kirti Ganorkar: What I can say is we have done well with all the therapies, and we are performing better than the market. So in terms of our growth, as we have said you 11.4% is our growth. But majority of the gr owth, like 2/3 of our growth is led by both volume as well as new products put together.
In contrast to that, if you look at the IPM. IPM growth, the majority of the growth, almost like 70% to 75% of the growth is coming from pricing. So I think we are moving in the right direction, and we are focusing on generating prescription s so that we remain in line with market or slightly ahead of market in terms of growth.
Your question on next year is very difficult for us to predict what the market will be nex t year. But the endeavour for us is always to grow in line with market or better than market, whatever the growth the market will have in coming years.
Moderator: The next follow -up question is from the line of Kunal Dhamesha from Macquarie. Please go ahead.
Kunal Dhamesha : Just a question on our hedging policy. Where I'm coming from is basically let's see constant currency growth for emerging markets was 5.4% versus reported growth was around 2.5%. But does that get recaptured somewhere in the hedging gains that we have posted, not just for emerging market, but for other markets as well and how much we are hedging right now?

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C. S. Muralidharan : Our current hedging policy is a board mandated hedging policy and we comply with that at this poin t of time. And we would not like to articulate whatever hedging strategies at this point of time.
Dilip Shanghvi: Yes. But specifically for emerging market for many countries, the cost of hedging itself is so high that from an economic point of view , it doesn't make economic sense. So like Russia, Brazil, these countries, hedging costs are quite high.
So it's difficult to take those kind of decisions where even currency can fluctuate much more. So we do hedge a few currency pa irs, which we have some visibility and some clarity on, but it's still a much smaller subset of

currency and smaller percentage of overall international business.
Kunal Dhamesha : Sure, sure. And second one on GLP -1 opportunity for India. Are there any incoming opportunities that we can in -license for India market or even for India market, you would be betting for our own internal molecule?
Dilip Shanghvi: Which product will you say...
Kunal Dhamesha : GLP -1 agonist.
Dilip Shanghvi: So what is your question whether we would look at our product to look at licensing some other products?
Kunal Dhamesha : For India market.
Kirti Ganorkar: For India market, as we have said in the last 2 quarters, we have launched 3 products , which was in-licensed from various companies. So our focus is always to look at opportunities like GLP -1, which we can license from the innovator companies. And regarding our own GLP -1, it's still early stage. It is under development and just completed Phase I.
Moderator: We have a follow -up question from the line of Vishal Manchanda from Systematix. Please go ahead.
Vishal Manchanda: A question on GLP -1. Just wanted to understand there being 2 oral synthetic molecules that are being developed in late stage. So d oes it make sense to develop a peptide GLP -1?
Dilip Shanghvi: There are some 30 GLP -1 injectables under different stages of development. And once a week injection from a patient point of view, depending on the incidence of side effect is not a huge negative, especially because both Ozempic and Mounjaro have become very successful product s with millions of patients.

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There is increasing acceptance of once a week injectable product. So we believe that with our overall performance that we've seen in healthy subjects for our product, -- it has a compelling therapeutic efficacy, likely to be there when the product comes to market. So we will be developing it.
Vishal Manchanda: Got it, sir. And sir, just one more on Ilumya. If you could share what percen tage of the patients would be dropping out of Ilumya in a year because of either lack of efficacy or maybe lack of durability of response.
Abhay Gandhi: I don't have the exact number in my head right now. I can share it with Abhishek later for you with follow up, but it 's a very small percentage compared to what we get, but I can share the numbers separately with Abhishek.
Vishal Manchanda: It should be low single -digit percentage ballpark?
Abhay Gandhi: Don't recall. So I don't want to give a wrong answ er. I will send it later to Abhishek, you can subsequently check with him.
Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to Dr. Abhishek Sharma for closing comments.
Abhishek Sharma: Thanks, everyone, for joining us at this late hour. If you have any unanswered questions, please do feel free to contact me, get in touch with us. We'll be happy to address all your questions. Thank you.
Moderator: On behalf of Sun Pharmaceutical Industries Limite d, that concludes this conference call. Thank you for joining us. Yo u may now

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May 29, 2024

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Subject – Q4 FY24 Earnings Call Transcript
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed herewith a copy of the transcript of the Company's Q 4FY24 earnings conference call, which we shall be uploading o n our website after sending this letter to you.
This is for your information and record.

For Sun Pharmaceutical Industries Limited

(Anoop Deshpande)
Company Secretary and Compliance Officer
ICSI Membership No.: A23983
Sun Pharma Q 4 FY24
Earnings Call Transcript
06:30 p m May 22, 2024

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Corporate Participants
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Abhay Gandhi
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C. S. Muralidharan
Chief Financial Officer, Sun Pharmaceutical Industries Ltd.
Kirti Ganorkar
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Moderator: Ladies and gentlemen, good day, and welcome to the Sun Pharmaceutical Industries Limited Q4 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen- only mode, and there will be an opportunity for you t o ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Dr. Abhishek Sharma. Thank you and over to you.

Abhishek Sharma: Thank you. Good evening, and a warm welcome to our fourth quarter FY '24 earnings call. I'm Abhishek from the Sun Pharma Investor Relations team. We hope you have received the Q4 financials and the press release that was sent out earlier in the day. These are also available on our website. We have with us Mr. Dilip Shanghvi, Managing Director; Mr. C. S. Muralidharan, CFO; and Mr. Abhay Gandhi, CEO, North America; and Mr. Kirti Ganorkar , CEO India Business.

Today, the team will provide an update on financial performance and business highlights for the quarter, pipeline update and respond to any questions that you may have. We will refer to the consolidated financials for management comments. The call recording and call transcript will also be put up on our website shortly.

The discussion today might include certain forward- looking statements, and these must be viewed in conjunction with the risks that our business faces. You are requested to ask two questions in the initial round. I also request all of you to kindly send in your questi

ons that may remain unanswered today.

I will now hand over the call to our CFO, Mr. C. S. Muralidharan.

C. S. Muralidharan: Welcome, and thank you f or joining us for this earnings call after the announcement of financial results for the fourth quarter FY '24. Our full year and Q4 financials are already with you. As usual, we will look at key consolidated financials.

The full year FY '24 sales were at INR477,585 million, a growth of 10.4% over last year. Material cost stands at 22.3% of sales, lower than last year on account of higher specialty sales and better product mix. Staff cost stands at 19.7% of sales, higher versus last year on account of annual merit increase, consolidation of Concert and increased headcount in India field force.

Other expenses are at 32.3% of sales, higher on account of higher R&D expenses, including Concert and selling and distribution expenses. Forex gain for the year was INR361 million compared to a loss of INR1,261 million last year. EBITDA for the year was a INR130,231 million, a growth of 11.8%, with resulting EBITDA margin of

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26.9%. Adjusted net profit for the year was INR100,707 million, up 16.5%. Reported net profit for t he year was INR95,764 million compared to INR84,736 million in same period last year.

Let us now discuss the Q4 FY '24 performance. Q4 FY '24 sales were at INR118,133 million, a growth of 10.1% over the Q4 FY '23 and lower by 2.8% over Q3 FY '24. Material costs for the quarter was 20.2% of sales, lower year-on-year on accord of better product mix, including higher specialty sales. Material cost is lower versus Q3 FY '24 on account of geographic and product mix.

Staff costs came in at 19.5% of sales, higher than Q4 FY '23 on account of merit increase, increase in headcount and consolidation of Concert. Other expenses were higher year -on-year and also Q -on-Q on account of higher R&D spend, which includes consolidation of Concert and higher sales and distributi on expenses across geographies.

Forex loss for the quarter was INR564 million compared to a loss of INR272 million in Q4 FY '23. EBITDA, including other operating revenues, was at INR30,352 million, higher by 8.3% over Q4 last year. EBITDA margin for the q uarter was 25.3% compared to 25.6% in Q4 FY '23 and 28.1% in Q3 FY '24.

Adjusted net profit, excluding the exceptional items, for Q4 FY '24 was INR27,562 million, representing a growth of 27.8% over Q4 FY '23. Reported net profit for Q4 FY '24 stands at IN R26,546 million as against reported net profit of INR19,845 million in Q4 FY '23. The effective tax rate for Q4 FY '24 was 5.1%.

Reported EPS for the quarter was at INR11.1 per share. As of 31st March 2024, net cash was $2.4 billion at consolidated level and $1.1 billion at ex Taro level. Moving on to Taro's performance. Net sales for the full year was $629 million, up by 9.8%. Net profit for the full year was $53.9 million. For Q4 FY '24, sales were $165 million. Excluding impact of GTN adjustments, sales growth was in high single digits. Net profit for Q4 FY '24 was $15.1 million compared to $6.9 million in Q4 FY '23.
I now hand over to Mr. Kirti Ganorkar, who will share the performance of our India business.
Kirti Ganorkar: Thank you, Murali. I shall take you through the performance of our India business. Our India formulation sales for the full year FY '24 were INR148,893 million, recording 9.5% growth over previous year.
For Q4, the sales of formulation in India were INR37,078 million, recording a growth of 10.2% over Q4 last year.
India formulation sales acco

unted for 31.4% of total consolidated sales for the quarter.
Sun Pharma is ranked number one and holds 8.5% market share in the over INR1,970 billion Indian pharmaceutical market, as per AIOCD AWA CS MAT March 2024 report. Corresponding market share for the

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previous period was 8.3%. For the quarter ending March 24, we grew higher than IPM, and we have done well across all major represented therapy areas.
As per SMSRC MAT Feb 2024 report, we continue to be number one brand company based on the prescription volume. Sun Pharma is also ranked number 1 by prescriptions with 12 different doctor categories. For Q4 FY'24, the company launched nine new products in India.
I will now hand over the call to Abhay .
Abhay Gandhi: Thank you, Kirti. I will update on the performance highlights of our U.S. businesses. Our overall U.S. business grew by 10.1% to $1,854 million for the full year FY'24. The growth is driven by specialty with all our growth products contributing, like I lumya , Cequa , Winlevi and O domzo.
For Q4, our overall sales in the U.S. grew by 10.9% over Q4 last year to $476 million. The U.S. accounted for over 33.5% of consolidated sales for the quarter. For Q4, we launched two generic products in the U.S. on an ex-Taro basis.
I will now hand over the call to Mr. Shanghvi.
Dilip Shanghvi: Thank you, Abhay. I will provide an update on the performance highlights of our other businesses as well as give you an update on our R&D initiatives. Our branded formulati on revenues in Emerging Markets were $1.041 billion for the full year, up by 5.9% year -on-year. For Q4, sales in E merging M arkets were $245 million, up by 10.8% over Q4 last year. The underlying growth in constant currency terms was 17% year -on-year for Q4 .
Emerging markets accounted for 17.2% of total consolidated revenue for Q4. Amongst the larger markets in local currency terms, Brazil and South Africa have done well. Formulation revenues in Rest of the World were $811 million, up by 7.8% over last year. For Q4, R est of the W orld sales were $196 million, up by 2.5% over Q4 last year. Rest of the World markets account for approximately 13.8% of consolidated revenue.
We continue to invest in building an R&D pipeline for both the G lobal generics and the S pecialty businesses.
Consolidated investments towards R&D for Q4 '24 stands at INR9,000 million, 7.6% of sales. The specialty R&D accounted for 42% of our total R&D spend for the quarter.
Moving on to updates on G lobal Specialty. In FY'24, our Global Specialt y sales were up by 19.3% to reach $1.039 billion. In Q4 financial year '24, our global specialty sales were up by 11.1% to reach $271 million. We've seen a
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strong growth in global ILUMYA sales for the year, which were up by 21.7% to $580 million. This figure does not include end market sales of our partners.
The Board has proposed a final dividend of INR5 per share for the year FY'24. This is in addition to the interim dividend of INR8.5 per share paid in FY'24, taking the total dividend for the FY'24 to IN R13.5 per share compared to INR11.5 per share for FY'23.
And lastly, on the guidance for FY'25, we expe

ct high single -digit consolidated top line growth for FY'25. All our
businesses are positioned for growth. For the current year, we will be in investment phase for the several businesses. This include, but not limited to, product launch costs in the U.S. as the ramp -up of our global specialty business is expected to continue. R&D investments will be 8% to 10% of sales for the next year.
With this, I would like to leave the floor open for questions. Thank you.
Moderator: Thank you very much. We will now begin the question- and-answer session. We'll take the first question from the line of Damayanti Kerai from HSBC. Please go ahead.
Damayanti Kerai: My first question is on your U.S. business, excluding Taro and S pecialty. So have you seen improvement in the performance, considering prior few quarters have seen lower shipment from key plants like Mohali? So excluding Revlimid also, have you seen a pick up in that part of the business?
Abhay Gandhi: Your question is on the generics business, right?
Damayanti Kerai: Yes, U.S. generic business.
Abhay Gandhi: Yes. So I think supplies from Mohali have resumed, but obviously not fully in effect, and it will gradually improve over a period of time. So we had to make do with what we had. And in that context, we'll did the best as possible.
Damayanti Kerai: Okay. And you mentioned two launch during the quarter. How are you positioned for launches in FY'25 for U.S. generic business?
Abhay Gandhi: So we have a plan of filing and getting approvals for a few products. Specific details, obviously, we won't give. But the pipeline looks healthy and most of the key products that we wanted to get to market are in that basket.

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Damayanti Kerai: Sure. And my second question is on your pipeline for GLP -1 products. So can you share like how far those are from market launch? And like how many you have filed so far? Some colour on that will be helpful.
Dilip Shanghvi: You m ean the generic GLP -1?
Damayanti Kerai: Yes, generic GLP -1 products.
Dilip Shanghvi: We generally don't give out information related to future products, specific product launches but they are interesting products globally.
Damayanti Kerai: Okay. But you are working for your global portfolio, right, without discussing further?
Dilip Shanghvi: Yes, we are working for the global portfolio, correct.
Moderator: We'll take our next question from the line of Neha Manpuria from Bank Of America.
Neha Manpuria : Sir, based on your guidance of high single -digit growth for FY '25, even if I were to just think about the various businesses, particularly S pecialty; is it fair to assume that this year, even with ILUMYA growth, we are not expecting too much momentum in the rest of the portfolio, particularly Winlevi? Is that how I should be reading this number? And along with that, if you could just give us an update on what you're seeing in Winlevi.
Dilip Shanghvi: Abhay will respond to specifics. But otherwise, the overall guidance is a consolidated guidance for all businesses. Not only specific businesses Abhay, maybe you can respond.
Abhay Gandhi: On Winlevi specifically, Neha, if you see the quarter and from external data, you can validate this; I mean we have seen actually a very strong quarter for Winlevi.
Neha Manpuria: And do you expect the momentum to build from here, now that you've started seeing a pi ckup on Winlevi? Would that be fair to assume?
Abhay Gandhi: That would be our expectation, yes.
Neha Manpuria: And on Ilumya, Abhay, given 20% growth, ar

e we close to getting sort of the growth peaking
out? Or you think there's more steam left in ILUMYA a s we look through the next few years?
Abhay Gandhi: I mean our task as a team is to continuously find ways to grow this product.

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Neha Manpuria: Understood. Despite the fact that we are seeing competition from biosimilar, Humira, etc?
Abhay Gandhi: Yes, sur e.
Neha Manpuria: And the Deuruxo launch approval, which is due in July, launch -related cost for that would start

coming through in the second half of this year, will that be a fair assumption? I mean, just wanted to get a sense on the launch timeline for Deuruxo, assuming we get approval in July?
Abhay Gandhi: There are small costs that we are incurring even today for all the pre- launch activities. But I think the major cost will obviously hit our numbers when we actually launch the product.
Neha Manpuria: Which would be when, based on the July '24 timeline for approval?
Abhay Gandhi: So we are on track to launch it post the PDUFA date. Do remember, it takes a little bit of time to actually enter the market with all the pre -launch activities that need to be done. But we are on track as of now.
Moderator: We'll take our next question from the line of Bino Pathiparampil from Elara Capital.
Bino Pathiparampil: Dilip Bhai, could you please comment a bit on this FDA issues at Mohali and Dadra. Do you think the wo rst we've seen and from here on, we will improve? Or do you expect anything more?
Dilip Shanghvi: No, I think we are concerned about the negative outcomes in the audit. And I think it's our job to find a way to ensure that we come out of whatever the learnings that we have so that we perform much better in subsequent audits.
Bino Pathiparampil: I understand. But I asked you this because especially in Mohali, we had inspection for 483, then we've got an OAI status. And subsequently a few m onths later again, we've got something else which is like that third -party consultant verification, etc. So, you have been on a worsening course. Do you think that has bottomed out? Or do you have the confidence that, that has bottomed out?
Dilip Shanghvi: I mean, we feel that we've done enough corrections so that we should see a positive outcome in subsequent audits.
Bino Pathiparampil: Okay. Second, on this product, MM -II, from your press release, I see that you plan to initiate a Phase III. But if I reme mber correctly, it has not met the primary endpoint in Phase II. So could you put that in context, please?

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Dilip Shanghvi: No. I think what we disclosed in the Phase or the press release is that it did not meet the primary endpoint. But we believe that with our learnings and our understanding, we can design a Phase III study, which will not only meet primary endpoint but will also be proven to be a very effective product.
Bino Pathiparampil: Okay. And the Phase III will be in the U.S.?
Dilip Shanghvi: Yes. It's a global study, including U.S.
Bino Pathiparampil: Including U.S. Okay. If it's successful, you can directly file in the U.S. That's the way it’s designed.
Dilip Shanghvi: Sure.
Bino Pathiparampil: Okay. If I coul

d push one last quest ion on the Nigeria -related Forex loss. Is that a balance sheet item? I mean is it a receivable that you have written down?
C. S. Muralidharan : So this was due to the sharp currency depreciation by the regulator, and we've booked an MTM loss against the payables.
Bino Pathiparampil: Understood. Okay. So it's a balance sheet item. On the payables, you had to book.
C. S. Muralidharan: It's a P&L item, shown as exceptional because action was initiated by the regulator.
Bino Pathiparampil: Understood. So what I'm trying to understand is that on the balance sheet, you had some money that was receivable or payable. And on that, because of the devaluation, there is a loss. Is that correct?
Dilip Shanghvi : That's correct. Balance sheet via P&L.
Moderator: We'll tak e our next question from the line of Tushar Manudhane from Motilal Oswal.
Tushar Manudhane: Sir, with respect to Deuruxolitinib? Are there any queries pending with US FDA?
Abhay Gandhi: We haven't received any specific queries, which have till date n ot been answered.
Tushar Manudhane: Understood. And just on this India market, if you could share the outlook for at the industry level, what do you think would be the growth rate for next one to two years? Is the trade generics eating away the volume from the prescription sales, if you could give your perspective overview?

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Kirti Ganorkar : For us, it's very difficult to predict what will be the industry growth in the next 1 to 2 years, but the effort in India business as a team is always we grow in line wit h market or slightly higher than market. And your questions on trade generics, there is a momentum and growth in trade generics, but we don't see any direct impact on our prescription business because the market is large enough for all the players to grow.
Moderator: We'll take our next question from the line of Girish Bakhru from OrbiMed.
Girish Bakhru: Abhay, just on deuruxo, just need a clarification. If the approval comes in by July, should this product have a normal NCE exclusivity of 5 years like any other?
Dilip Shanghvi: Abhay, are you responding?
Dilip Shanghvi : Yes, I think it will have the normal 5 -year NCE exclusivity.
Girish Bakhru: Sure. So Dilip bhai, just digging this little bit deeper because there was no compound patent in this case. So I mean, is that understanding correct that generic cannot file for at least NCE minus 1, so you will have that window like any other product, right?
Dilip Shanghvi: Yes. Yes. I think, I'm not responding to specific patent -related issue. But your understanding of generic s ability to file is correct. Now we have multiple patents and we feel that we should be able to protect the product for a much longer period of time.
Girish Bakhru: That's helpful. And just when you compare this vis -a-vis Ilumya , I know there's no direct comparison, Ilumya has become a very sizable product for you; I mean, given that this makes a larger share in terms of growth for you in FY '26 and beyond and you are possibly the third player entering a lopecia , market with a very strong product, do you think this product essentially will have a much higher potential than Ilumya for you?
Dilip Shanghvi: I mean, we are not giving comparative, what you call, sales long -term project ion. But I think we feel very happy about the way the product has performed. Abhay, you're back?
Abhay Gandhi: Yes, I'm back. I think you said it correctly. We are happy with the way the product has performed. We are happy with

the way that in our initial discussions with KOLs and other doctor s and payers and the response that we are seeing. And I think we broadly see an acceptance that we have a strong product in our hands.

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Girish Bakhru: Understood. And just last one, if I can squeeze. Is it possible to give a specific US sales number for Ilum ya?
Dilip Shanghvi: No. We've given global sales, no.
Girish Bakhru: Yes. I was just wondering if US -specific sales, if you can get Ilumya?
Dilip Shanghvi: I mean, US is a major market, is what I can tell you. But no specific detail for US sales.
Moderator : Mr. Patra, please go ahead.
Surya Patra: My first question is on the margin profile, sir. So starting with the current quarter, see, in fact, the gross margin swing of around more than 200 basis points that we are witnessing for this quarter, although we have seen a sequential decline in the domestic business, there is a last quarter was supported by there is a $20 million of licensing income. So despite those key contributors to the margins were not there, still there is a more than 200 basis point kind of swing that we are witnessing.
What is driving this, this quarter? And another extended point about this margin thing is that when you are saying that growth for FY '25 is likely to be single digit and we are raising our R&D spend guidan ce by more than 200 basis points, so how should we think about the margin profile of the business overall for FY '25?
C. S. Muralidharan: So you're right, first, on the gross margins. You're right that in the previous quarter, the milestone income w as there. However, with the current quarter, the gross margins have increased by about 200 basis points, primarily because of the function of both products and geography mix.
There are many multiple small contributing factors, which individually may not be very high, but on an aggregate basis, did have a positive movement in the current quarter. From the overall perspective for FY '25 outlook, we have given the revenue guidance. At this point of time, we are not giving any EBITDA margin guidance for FY '25.
Dilip Shanghvi: I think we are clear that we have to continue to invest for the future. And our effort would be that while we are creating that investment for future, we don't do it at the cost of profitability. But even if it does require some increased investment, we would do that because ultimately, our focus is on building a business which is strong long term.
Surya Patra: Sure, sir. Sir, my second question is about the global specialty business, which will about the Ilumya's progress in China. In fact, the last quarter, we had seen a big development, so far as Ilumya is concerned,

in China. I think that was included into the National Reimbursement List China. That is one. So any progress on that front? And also, if you can split for the G lobal S pecialty, what is the kind of US and non- US that split if you can share?
Dilip Shanghvi: No. I think your assessment that the product got what you call reimbursement as well as we are happy with how the product launch is progressing. We just responded to a question about the US

sales of Ilumya.
So we don't break down the sales in different geographies, but we're giving consolidated global sales. And we remain excited about the future potential of the product, not only in all the existing mark ets, but also in new markets, we are in the process of launching.
Surya Patra: Okay. No, my point was that, in fact, in the last few quarters, we have seen extending our global or the US specialty portfolio to various global markets. And possibly there is a kind of few quarters already la psed on that front. So are we seeing a kind of enhanced growth for the specialty portfolio played by the non- US market presence and progress there?
Dilip Shanghvi: I think, we will see my view is that we will see specia lty business becoming an increasingly important part of the business. And that's what I think we've been guiding. And our initial focus and presence was in the US. And now that we are launching these products in other geographies, we will see increasing ac ceptance in potential sales of this.
Our hope is that our growth in the US will keep up with the new business that we will generate, so that US will continue to have a much higher share of the future growth. But we will sell it will become a global busi ness.
Surya Patra: Okay. Just last one, if I may. So can you share some thought process about your plans for the Taro about its integration and integrating the business into the overall US and the potential growth subsequently? How should one think a bout this integration of Taro?
Dilip Shanghvi: So I think broadly, Taro, we have been actively involved in managing the business. So it's not a pure acquisition where we kind of buy a company and we don't know anything about it. So I'm not seeing any drama tic change in the way the business is run.
Moderator: We take our next question from the line of Saion Mukherjee from Nomura.
Saion Mukherjee: Abhay, you have indicated in the past, these last 2 quarters, Revlimid was not a big contributor. I remember, in 4Q, I think you mentioned last year, it was. So I just wanted to check, is there a big contribution from Revlimid this quarter? How should we think about that in the coming year, please?

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Abhay Gandhi: So for quarter 4, it was not a huge contributor. Certai nly, more than what we did in Q3. And like you said, referring to my earlier comments on the product, the sales of this product will be episodic and a bit lumpy when we look at it from an annual kind of basis.
Saion Mukherjee: All right. Understood. And the second question again on ILUMYA in the US, in particular. So what are the growth drivers that you see, now the product is established, going forward, that could help it grow for the next, say, 5 years or so?
Abhay Gandhi: I think the biggest growth drive r we have is the current amount of data and the experience that current users have had with the product. So I think that's a big positive, as far as product is concerned. Secondly, I think over a period of time, we should be able to get our new indication of psoriatic arthritis. That will be another driver for growth.
Moderator: We'll take our next question from the line of Ankush Mahajan from Axis Securities.
Ankush Mahajan: This is in extension to the gross margins, a very healthy improvement in gross mar gins Q -on-Q. Sir, as we are launching new products in the specialty this year also, the product mix is changing towards specialty. So there is any further scope of improvement in gross margins?
C. S. Muralidharan: So while you are right that we have

seen an upward movement of gross margin in Q4,
however, it's difficult to say at this juncture what we feel is that our full -year gross margin will be a better indicator to look at while looking at forward period.
Ankush Mahajan: Okay. So we can say wha tever we are spending on R&D that could be set off by the improvement in gross margins?

C. S. Muralidharan: We are not giving any guidance on margins at this point of time.
Ankush Mahajan: Okay. Sir, this what is the status for the NIDLEGY in the European market? And can you tell us, sir, what is the total market size for this drug in the Europe?
Dilip Shanghvi: So I think it all depends on the kind of label that we will get. We are excited with the kind of clinical data that we've seen. But it all depends on what kind of final label we will get. It's a useful and important product for patients in Europe.
Ankush Mahajan: Sir, any idea about what is our total market size for this product?

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Dilip Shanghvi: No, I think you should keep in mind that the number of patients would be in thousands. It not a very large market. But I think and also how many we will be able to capture is the second issue. But we feel comfortable, based on the market research, that we can get reasonably good reim bursement. And in Europe, if you get good reimbursement and you have good marketing infrastructure, you should be able to at least successfully ensure that the product benefits are able to reach the patient.
Moderator: We have our next question from the li ne of Krish Mehta from Enam Holdings.
Krish Mehta: I just wanted to ask on the restructuring costs you've taken in Japan of around INR232 million this quarter, as to what this restructuring involves? And as a follow -up to that, if you could just expand a b it on our Japanese portfolio and how we are seeing Japan products in terms of the specialty business as well as the Novartis portfolio that you had acquired several years ago? Thank you.
C. S. Muralidharan: So the first question on the Japan res tructuring costs, we've been a global company. We do relook at our businesses on the structures, and we have taken some appropriate business decisions to the current circumstances. That's why you see this restructuring cost, which is a onetime cost. On the Japan portfo lio, of course, we have our specialty products currently approved, ILUMYA is our product there. And we also got the long- listed brands, which we market there currently.
Dilip Shanghvi: I think, we are excited about the overall success that ILUMYA has had i n Japan, especially considering limited familiarity that doctors ha d with Sun Pharma as a company. And our effort now is to ensure that we are able to get a fair share of the prescription of the IL -23.
Moderator: We'll take the next question from the line of Vishal Manchanda from Systematix.
Vishal Manchanda: On I lumya , would you be able to share what would be its market share in the biologics category for psoriasis?
Abhay Gandhi: Is the question pertaining to US?
Vishal Manchanda: Yes, in the US, right.
Abhay Gandhi: It will be very small. It will be a slightly less than 1% of total market.
Vishal Manchanda: Sorry.
Abhay Gandhi: Of total market, it will be less than 1%.

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Vishal Manchanda: Yes, the psoriasis market and biologics category.
Abhay Gandhi: That's what I referred to.
Vishal Manchanda: Okay. So 1% of the biologics market in psoriasis.
Abhay Gandhi: Yes.
Vishal Manchanda: Okay. And another one on Deuruxolitinib, if you could share some sense on how is it differentiated versus the other 2 options Olumiant and R itlecitimib ?
Abhay Gandhi: So that's a very specific science question, which I don't know that on the call I can do justice without spending 10 minutes on it. So maybe you can separately take it up with Abhishek later.
Dilip Shanghvi: Yes. B ut actually, we don't have any comparative study. All that understanding we have is based on separate...
Abhay Gandhi: Our own data.
Dilip Shanghvi: And also separate Phase III studies, which are available in public domain or around label of both the products. And based on that, I think at least based on the feedback that we've received from KOL they feel

that the overall performance of deuruxolitinib is very good.
Vishal Manchanda: Okay. And on S ezaby , if you could update if there is something around exclusivity getting triggered for the product during the year.
Abhay Gandhi: I think Spark has filed a citizens petition and we are working on that. That's all I will say.
Vishal Manchanda: Got it. And just one more. With Stelara getting gener icized next y ear, do you expect any pricing pressure for that?
Abhay Gandhi: I mean, it is one of the options out of many. And all these competitive activities keep happening around us. So the overall guidance, which Mr. Shanghvi has given, factors in whatever possible competitive changes that we see, not only for one product, but for all products and on a global scale.
Moderator: Thank you. We'll take our next question from the line of Madhav Marda from FIL. Please go ahead.

Madhav Marda: I had two questions. The first one was the initial launch cost, you need approvals also for Durexo in the next few months. Is this a sort of a nonrecurring expense, which would happen in the first few months the first few months of first 2 quarter of it's launch and then that goes away or still down? Is that how we should think about initial launch expense for products?
Abhay Gandhi: So some of those expenses may be onetime, but a large part of the expense will be a recurring one.
Madhav Marda: And these expenses pertain to basically manpower and promotion costs or both, both the items I am seeing?
Abhay Gandhi: Yes. And there will be others, but these 2 will be the bulk of it.
Madhav Marda: Understood. And then just a second question was on the R&D spend, where when we're guiding for 8% to 10% that would mean...
Abhay Gandhi: Sorry, your voice is a little low, and you're speaking very fast. So I don't think that I'm catching your questions very clearly.
Madhav Marda: I'll just repeat my question. So my second question was that we are see ing the R&D spend could go up to 8% to 10% of revenue, but I'm just doing this simple math. That would mean almost $200 million increase on the R&D spend. So could you help us understand where some of this incremental spend will be going towards? Is it lik e the Phase III of Phase II study for the product s?
Dilip Shanghvi: Yes, I think what I indicated in my readout is that a large part of the R&D spend increase would be in the specialty products.
Madhav Marda: Okay. If you can call out

anything more specific ? Is it like specific tiers for specific products?
Anything that you can share on will be helpful.
Dilip Shanghvi: We have shared the plans for all the products.
Moderator: Thank you. We'll take the next question from the line of Prashant Nair from A mbit Capital. Please go ahead.
Prashant Nair: My first question is on your comment that you would be in investment phase during the next financial year. So just wanted to understand, would this be more skewed towards R&D? Or would it be more
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Earnings Call Transcript
06:30 p m May 22, 2024

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evenly set between the R&D and launch expenses related to your specialty products in the U.S.? I mean, how should we think about this?
Dilip Shanghvi: I think my comment was more for the R&D -related expenses. We believe that increased business that we will get, we should be able to adjust for the increased marketing spend, except in some onetime costs. But those are not big costs. And as I explained, our focus would be that how do we increase the spend without negatively impacting our overall profitability. How much we're abl e to execute is something that we will see. So we are not guiding for any profitability, but the focus would be that even if it means some compromise with profitability, we would like to create a longer -term high value for the business.
Prashant Nair: Yes. That helps. And the second question is related to your tax rate. I mean how should we think

about it on an annual basis over the next few years?
C. S. Muralidharan: So we already mentioned that tax expense should be seen on an annual basis. Yes, we look at the current annualized ETR for the current year is 13%, what was 9 % in the previous year. So we have been recommen ding that look at our tax rate on an annual basis. And it's likely to inch up as we move forward year after year.
Moderator: Thank you. We'll t ake our next question from the line of Saion Mukherjee from Nomura. Please go ahead.
Saion Mukherjee: Just two questions. So firstly, sir, on the E merging Market, I think you mentioned, if I got the right on constant currency term, a 17% growth. This quart er, it is, a very strong growth, and we have seen good traction there. Typically, for these markets, what we understand, do not have a very high growth, right, in Brazil, South Africa and all.
So if you can more sort of give some more colour, just think ing how sustainable the kind of growth in E merging Market s, and what exactly is driving the strong growth there?
Dilip Shanghvi: So I think our focus is to, what you call, sell products, which are a more consistent business rather than focusing on tender ki nd of business. Unfortunately, the markets are such that we always have the risk of currency depreciation. What we are happy is that in spite of this, the business continues to do well.
Saion Mukherjee: Okay. And my second question was on R&D, you mentione d about investments there. In your guidance, you suggest a meaningful step- up in the spend. If I look at the speciality pipeline, it appears that there

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would be products which can get into Phase III possibly in calendar year '25 or FY '26. So will it be will we see another

step -up in R&D maybe in FY '26 before it starts to moderate?
Dilip Shanghvi: No, I think my challenge has been that I have limited capacity to predict long- term future. So I don't know what will happen in 2 years, 3 years later. So our focus is to find a way to give you a guidance for this year, and our effort would be to see that we meet the guidance.
Saion Mukherjee: Sir, just to sort of ask this question in a different way, right, clearly, you suggest that you we will invest in sh ort-term is required from a long- term perspective. Are there any sort of how do you manage the risk here in the sense that do you have some limits on the spend that you want to incur as a company?
Dilip Shanghvi: No, I don't think I want to respond to a specific question whether I have a limit or not. But I believe that when we look at our overall performance, then our investment in R&D is significantly higher than many generic companies. At the same point of time, if we look at our overall spend in what you call R&D -as-a-specialty company, then there are many other companies whose overall spend is much higher than ours. So we need to find a balance and find a way by which we continue to generate growth and positive cash flow for our investors while we continue to create long -term value , and that's our focus.
Saion Mukherjee: If I can ask one last question on the generic business, firstly, sir, any comment on pricing environment? And secondly, the plant issues that we have with Dadra, Mohali, etc. Is that having any impact on your meaningful launch that you expect, let's say, in the next 1 years or 2 years? Or do you think the meaningful launch are protected, given the compliance status at this point?
Dilip Shanghvi: So Abha y, maybe you can respond about the pricing.
Abhay Gandhi: Yes, we have said this on our call in the past as well that is a highly product -specific issue. On certain products, we see a deep cut. And on certain, we don't see deep cut. But overall, I think the environment remains the same as we saw in the previous year.
Dilip Shanghvi: Yes. And I think the overall guidance we have presumes in fact of the current challenges that we have in the facilities.
Moderator: Thank you. We'll take our next question from the line of Nitesh Dutt from Burman Capital. Please go ahead.

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Nitesh Dutt: I have a question on our India business. So I just wanted to understand our manufacturing strategy,

basically two questions. One, what p ercentage of the production is being done in- house versus outsourced? And are you trying to maintain the same mix of trying to increase in -house? And also, is it like a concentrated supply base or segmented across a lot of players?
Dilip Shanghvi: No, I th ink I don't know whether we've shared this specific information, but I think our focus would be to find a way to produce in- house as much as possible. So our relative percentage of outsourced products are limited. But it would be buying from a few vendors, and that increases the challenge in terms of ensuring that they meet all the compliance requirements for what we are expecting from manufacturing facilities that we run ourselves. So that's one of the key reasons why we want to produce in- house.
Nitesh Dutt: And sir, as government is tightening the norms, etc. For the contract manufacturer, so can you provide us an, again, opportunity to move in- house or improve our gross margins in that sense if you move some production?
Dilip Shanghvi: Since we don't have a large business from third -pa

rty manufacturers, it cannot have a material
impact on what further we do.
Nitesh Dutt: Understood. Thanks for the response. I'll come back to this.
Moderator: Thank you. We have a next question from the line of Prashant Nair from Ambit Capital. Please go ahead.
Prashant Nair: The first question is on I lumya . So in terms of development, are there any indications other than psoria tic arthritis that you are currently thinking about from this product's perspective? Or will that be the only additional one that you look at?
Dilip Shanghvi: Yes. I think that's the only disclosed indication
Prashant Nair: Okay. And is there a potential to look at other options as well or at a later date?
Dilip Shanghv i: We haven't taken any specific decision . If we decide to, then that's something that we will share with people.
Prashant Nair: Okay, great. Thanks a lot.

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Moderator: Thank you. Ladies and gentlemen, that was the last quest ion for today. I would now like to hand the conference over to Dr. Abhishek Sharma for closing comments. Over to you.
Abhishek Sharma: Thank you. Everyone, for joining us at this late hour. If any of your questions remain unanswered, you can get back to the Investor Relations team or to me, and we'll be happy to take those separately. Thank you.
Moderator: Thank you. On behalf of Sun Pharmaceutical Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

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National Stock Exchange of India Limited BSE Limited
Scrip Symbol: SUNPHARMA Scrip Code: 524715

Subject – Q1 FY2 5 Earnings Call Transcript

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed herewith a copy of the transcript of the Company's Q 1FY2 5 earnings conference call, which we shall be uplo ading on our website after sending this letter to you.
This is for your information and record.

For Sun Pharmaceutical Industries Limited

(Anoop Deshpande)
Company Secretary and Compliance Officer
ICSI Membership No.: A23983
Sun Pharma Q 1 FY25
Earnings Call Transcript
06:30 p m August 01, 2024

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Corporate Participants
Dilip Shanghvi
Chairman & Managing Director, Sun Pharmaceutical Industries Ltd.

Abhay Gandhi
CEO (North America Business), Sun Pharmaceutical Industries Ltd.
C. S. Muralidharan
Chief Financial Officer, Sun Pharmaceutical Industries Ltd.
Kirti Ganorkar
CEO (India Business), Sun Pharmaceutical Industries Ltd.

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY25 Financial Results Earnings Conference Call of Sun Pharmaceutical Industries Limited.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing " *" then "0" on your touchtone phone.
I now hand the conference over to Dr. Abhishek Sharma - Vice President & Head , Investor Relations and S trategic Projects. Thank you a nd over to you, sir.
Abhishek Sharma : Thank you. Good evening and warm welcome to our 1st Quarter FY25 Earnings C all. I am Abhishek from the Sun Pharma I nvestor Relations team.
We hope you have received the Q1 Financials and the Press Release that was sent out earlier in the day. These are also available on our website.
We have with us Mr. Dilip Shanghvi - Chairman and Managing Director ; Mr. C . S. Murali dharan – CFO; Mr. Abhay Gandhi - CEO, North America and Mr. K irti Ganor kar - CEO, India Business .
Today, t he team will provide an update on Financial Performance and Business Highlights for the quarter , pipeline updates and respond to any questions that you may have. We will refer to the consolidated financials for Management comments. The call recording and call transcript will also be put out on our website shortly.
The discussion today might include certain forward- looking statements, and these must be viewed in conjunction with the risks that our business faces . Yo

u are requested to ask two questions in the initial round. I also request all of you to kindly send in your questions that may remain unanswered today.
I will now hand over the call to our CFO, Mr. C . S. Murali dharan.
C. S. Muralidharan: Welcome and thank you for joining us for the Earning s Call after the Announcement of Financial Results for the 1st Quarter FY25. Our Q1 Financials are already with you.
As usual, we will look at key Consolidated Financials :
Q1 FY25 sales were at Rs. 125,245 million, an increase of 6.3% versus Q1 FY24, and increase of 6% versus Q4 FY24. Material cost stands at 21.4% of sales lower than the same period last year on account of better product
Sun Pharma Q 1 FY25
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mix and slightly higher versus Q4 FY24. Staff cost stands at 19.3% of sales. Other expenses were at 30.9% of sales, higher year -on-year on account of higher R&D and selling and distrib ution expenses .
FOREX loss for the quarter was Rs. 505 million compared to a gain of Rs. 20 million same period last year.
EBITDA including other operating revenues was at Rs. 36,076 million for Q1, an increase of 8.3% over Q1 last year with EBITDA margins for the quarter at 28.5% against 27.9% for Q1 FY24 and 25.3% for Q4 FY24. Net profit after tax for Q1 FY25 was Rs. 28,356 million up 40.2% over reported net profit of Q1 last year . Excluding adjustments of prior quarter, net profit was up 20.9%.
Going forward, we expect effective tax rate to go up on a full year basis on account of number of factors including sunset of certain available exemptions. As always, our tax rate should be seen on an annualized basis . EPS for the quarter w as Rs. 11.8 per share . As of 30th June 2024, net cash was US $2.3 billion at the consolidated level. From this quarter, we are reporting Taro financials as part of the combined entity.
Over to Kirti who will share the performance of our India business.
Kirti Ganorkar : Thank you, M urali. I shall take you through the performance of our India business .
For Q1, s ales of formulation s in India were Rs. 41,445 million, recording a growth of 16.4% over Q1 last year.
India formulation sales accounted for 33.1% of total consolidated sales for the quarter.
Sun Pharma is ranked number one and holds 8.6% market share in the over 2 ,019 billion Indian pharmaceutical

market as per AIOCD, AWACS MAT June 2024. Corresponding market share for the previous period was 8.3% .
For the quarter ending June 24, we grew higher than IPM and we have done well across all major represented therapy areas. We are happy to not e that on MAT basis, majority of the sales growth has been led by volumes and new product launches versus the IPM grow th, which is predominantly price led.
As per SMSRC MAT February 2024 report , we continue to be number one ranked company based on the prescription volume . Sun Pharma is also ranked number one by prescriptions with 12 different doctor categories.
For Q1 FY 25, the company launched 6 new products in India.
I will now hand over call to Abhay.
Abhay Gandhi : Thank you, Ki rti. I will update on the performance highlights of our US businesses, which includes US portion of Taro as well.

For Q1, our overall sales in the US business is lower by about 1% over Q1 last year at US $466 million. The US accounted for over 31.1% of conso lidated sales for the quarter. US Specialty business has continue d to grow. Exclud ing the sales of Lenalidomide , the US generic business has also shown growth.
For Q1, we launched 5 generic products in the US.
On 25th July 24, the US FDA approved LEQSELVITM 8 mg tablets for the treatment of adults with severe alopecia areata. We are pleased with the first cycle approval of LEQSELVITM by the US FDA. This validates our team's capability to effectively bring treatments from research and development to approval.
Currently, a motion seeking a preliminary injunction has been filed in a US court to prevent the launch of LEQSELVITM.The company intends to rigorously oppose this motion and work towards an early outcome. The decision of the LEQSELVITM launch will be governed by the decision of the Court on the motion. We are excited about the impending launch of LEQSELVITM in the US. We will be unable to addres s further questions around the LEQSELVITM launch timeline during today's call.
I will now hand over the call to Mr. Shanghvi .
Dilip Shanghvi : Thank you, A bhay. I will now provide an update on the performance highlights of our other businesses as well as give you an update on our R&D initiatives.
Our branded formulation revenues in the E merging Market s were US $284 million up by 8.8% over Q1 last year. The underlying growth in constant currency te rms was 11% year -on-year for Q1. All of our larger markets have done well in local currency terms. Emerging markets accounted for 18.9% of tot al consolidated revenue for Q1.
Formulation revenues in Rest of the World were US $190 million lower by 2.9% ove r Q1 FY24. Rest of the world markets accounted for approximately 12.6% of consolidated Q1 revenue. We continue to invest in building an R&D pipel ine for both the global generics and the sp ecialty businesses. Consolidated investment towards R&D for Q1 FY25 stands at Rs. 7,940 million, 6.3% of sales . Specialty R&D accounted for 45.2% of total R&D spend for the quarter.
Moving on to updates on G lobal S pecialty :
In Q1 FY25, our G lobal Specialty sales were up by 14.7% to reach US $266 million. In July, European Medicines Agency validated the submission of the marketing authorization application of NIDLEGY
TM. It is the first

marketing authori zation application of NIDLEGYTM and the treatment of loca lly advanced, fully resectable melanoma as potential first indication.
In June, Sun Pharma acquired all outstanding ordinary shares of Taro other than shares already held by Sun Pharma . Taro is now a private company and wholly owned by Sun Pharma. The combined entity is better positioned to compete in the increasingly competitive generic industry. The teams are working towards seamless integration of b oth the organizations.
With this, I would like to leave the floor open f or questions. Thank you.
Moderator: Thank you very much. We will now begin the question- and-answer session. The next question is

from the line of Surya Narayan Patra from Phi llipCapital. Please go ahead.
Surya Narayan Patra: Sir, my first question is on the US business. S equentially, we have seen some kind of sequential decline. So, is it fair to believe that entire part of the slippage sequentially is led by the seasonality factor in the Levulan, that is my first question ? And also, the related point is that I wanted to unde

rstand whether
we have seen any sequential ramp up in the Revlimid sales, because I think the 12 month period would have expired and now this quarter would have fallen in the new 12 month period where the volume s hare would have gone up. So, despite that there is a slippage. So, hence I wanted to clarify these two point s relating to the quarterly slippage what we have seen in US sales?
Abhay Gandhi : So, last part, like you said, in the specialty side is because of the seasonality of Levulan. Barring Levulan, which for seasonality reason has declined from the previous quarter, every other specialty product has shown growth. As far as the generic Revlimid is concerned, you should assume quarter 1 number to be similar to the quarter 4 number of prior year .
Surya Narayan Patra : So, that means we might not have seen any meaningful upt ake in the Revlimid that is what we should understand right now ?
Abhay Gandhi : So, sales of this product will always be a little episodic. So, to estimate regular consistent sales each quarter is difficult.
Surya Narayan Patra : My second point is, about any update about the Chinese Ilumetri launch, any progress that we have seen because that could be a sizable opportunity. So, I am just continuously trying to get a sense about that ?

Dilip Shanghvi : So, no, I think based on our interaction with the licensee , our sense is that the product is doing well, it is getting accepted in major hospi tals and they are happy with the response they are getting from market place and doctors are happy with the clinical outcome the patients are getting from the use of product.
Surya Narayan Patra: So, then this will be part of the ROW sales or emerging mar ket sales ?
Dilip Shanghvi : It is a product supply and royalty, ye s.
Surya Narayan Patra: And part of the G lobal S pecialty sales?
Dilip Shanghvi : It will become part of the global specialty . To that extent the sales wo uld be lumpy. It may happen in a quarter , may not happen.
Surya Narayan Patra : And third point that I wanted to have a sens e, in fact in the annual report you have mentioned about building clinical capability in -house, c an you just elaborate what is the kind of or what that you want to in tend to say about it and in what way that will help us either to the specialty or to the overall business of Sun Pharma ?
Dilip Shanghvi : No, I think clinical development capability helps us consider licensing a product with let us say late Phase- 2 development because then we have to do the P hase- 3 and all of that ourselves, like a lso file the product, get regulatory approval, negotiate with the FDA for the label , all of the skill sets and capability help you with ultimate success of the specialty pr oduct in the marketplace.
Moderator : Thank you. The next question is from the line of Bino Pathiparam pil from Elara Capital. Please go ahead.
Bino Pathiparampil : LEQSELVITM litigation , is this injunction a new case that has been filed or an application in an ongoing litigation and when was it filed?
Dilip Shanghvi : It is a recently filed litigation.
Moderator : Thank you. The next question is from the line of Neha Manpuria from Bank of America. Please go ahead.
Neha Manpuria : Abhay sir, on Winlevi, IQVIA seems to be showing very sharp peaks and dips in prescription trends , but your comment for the last few quarters has been that we are seeing improvement t here. Just wanted to
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06:30 p m August 01, 2024

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understand, any reason for the discrepancy in the revenue and the RX , is IQVIA not capturing that ? And is the traction that we ar e seeing in Winlevi in line with the expectation especially given the changes that you mentioned you ha ve done in the last quarter ?
Abhay Gandhi : I was sayin g that we have consciously worked towards improving the realization pe r prescription , so and that is working well. So, although you may see a drop in the prescriptions, I think the product revenue is growing at a healthy pace on a smaller base of course.
Neha Manpuria : And despite that, you a re still seeing growth in the product quarter -on-quarter ?
Abhay Gandhi : Yes.
Neha Manpuria : And that is in line with expectations as well or do you think that?
Abhay Gandhi : It is a conscious strategy that we adopted.
Neha Manpuria : And I know this is very early so for the GLP -1 product, it is just entering P hase-2. Given we don't have a presence in diabetes in the US , how are we thinking about commercialization? Would this be something that we could potentiall y outlicensed commercializ e on own? Or even if I were to ask EM versus US, could we see commercialization earlier in the US for this product? Any color on timelines would help ?
Abhay Gandhi : Clearly I think. US as well as in Europe, which are large markets , we will not have any front end to commercialize the product ourselves. So, that is a market in which we will consider partnering or even licensing the product. A player who can help us get sensible share of the market because that may also be equally useful for getting better market . In Emerging Markets and in some of the larger markets, we may have our own capacity to bring the product to market our goods .
Neha Manpuria : And would emerging market happen earlier, sir, given it would take time for US?
Abhay Gandhi : As on today, there is no plan to conduct separate studies for E merging Markets, so it will be part of a global trial.
Neha Manpuria : And Abhishek, if I can squeeze in one more question on the R&D, we had given 8% to 10% guidance obviously 1st Quarter significantly lower. Should this step up in the consequent quarters given the timelines haven't really changed for the pipeline?

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Dilip Shanghvi : Yes, I think you should presume a step up in the subsequent quarters.
Moderator : Thank you. The next question is from the line Damayanti Kerai from HSBC. Please go ahead.
Abhay Gandhi : My first question is on US generic business. Now, like you just said, Taro is part of the US business. So, how do you see this business growing? And if you can also update on any update which you have on the H alol plant from FDA perspective ?
Abhay Gandhi : I would probably just echo what you have been saying Mr. Shanghvi in prior calls. We were already 80 % of shareholders of Taro, so we were always intimately involved in the running of the business. So, to that extent, nothing changes. Both teams are now working towards integrating both organizations and making it into a far more efficient single entity, and that work is ongoing.
Damayanti Kerai : So, any update on Halol from FDA perspective?
Dilip Shanghvi : So, I think the idea is that once we are clear, which should

be s hortly, we will request FDA for
a re-audit of the facility. But that is a decision that we will take once we are 100% sure.
Damayanti Kerai : My second question is on LEQSELVITM, so this new litigation which Incyte has filed , so obviously you mentioned that you intend to r igorously oppose that motion, but you intend to bring this product into market, so i s there a possibility that you look to settle this litigation?
Dilip Shanghvi : I think especially in the context of the US, either a favorable judgment or settlement will always remain an option.
Moderator : Thank you. The next question is from the line of Kunal Dhamesha from Macquarie. Please go ahead.
Kunal Dhamesha : Sir, when we look at our specialty business growth from here on for the next, let us say 2-3 year, what would you be planning in terms of volume growth with a new product growth and pricing mix? In your view what c ould be the ideal mix in this business and for the new product related growth, would you say that our current pipeline is sufficient to support what you have in mind?
Abhay Gandhi : Unlike, say, a market like India where we have been operating for decades now , you have a pretty clear answer on how much is volume, price and other factors that you mentioned, it is very difficult for us, but philosophically, we always work towards growing volumes. The price increase is taken as a bonus rather than the way to grow. So, I think increasing volume , growing faster than the market and increasing share of

prescriptions from the doctors is where the organizational focus has always been for any product in any geography. Coming to new products , again in the specialty business, you don't have the luxury of launching multiple products. So, we are looking for ward to launching LEQSELVITM and we hope to be doing a good job with the launch of this product when we are able to.
Kunal Dhamesha : And on the LEQSELVITM launch, would you say some of the launch cost is already built into our current quart er P&L or there are more to come?
Abhay Gandhi : Obviously, when you launch the product actually in the market, the marketing and sales expenses will be higher than what you see for the current quarter.
Kunal Dhamesha : Sure, but some of the, let us say, back -end processes like reimbursement or excess personnel, maybe little bit of additional sales force etc ., would that be already there in the quarter or that will also?
Abhay Gandhi : It would be.
Kunal Dhamesha : It would c ome, or it is already ther e?
Abhay Gandhi : It is already there, but it is expected to go up when we actually launch the product there .
Kunal Dhamesha : And one for CFO sir, what would be your current net cash position as of June 24?
C. S. Muralidharan: $2.3 billion.
Moderator : Thank you. The next question is from the line of Amey Chalke from J M Financial. Please go ahead.
Amey Chalke : The first question I have is on the Taro integration. Is it possible for the management to outline the integration benefits coming o ut of Taro consolidation, like in terms of manufacturing landscape, etc., i s it possible to quantify the impact on the cost o r margin .?
Dilip Shanghvi : So, as on today, as we explained, I think Taro has been operating as a n 80% owned subsidiary for a long time. So, there are no major structural changes which are likely as Abhay explained , we are working with a view to create a n integrated single organization both for customers as well as for suppliers. That is what is our current plan. So, we

are not seeing any significant short -term synergy, but I am sure that as we continue to focus and make our operations more efficient, synergy will evolve. Abha y, you have any point to add.

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Abhay Gandhi : Not much .
Amey Chalke : Sir, second question I have is on the US generic market, we have 3 units which ha ve been affected by the regulatory issues. Is it possible to tell how much of our spending pipeline for the US is affected by because of these plants and are there any meaningful launches for the US generic market s in the coming years ?
Abhay Gandhi : I was sa ying that critical launches that are important for us in the generic business and we are not dependent on these three plants , but having said that, if I look at the total basket , naturally products that we have filed from these two facilities will be impac ted.
Moderator : Thank you. The next question is from the line of Girish Bakhr u from OrbiMed . Please go ahead.
Girish Bakhru : Abhay, just to comment on Ilum ya, given it is 4 years to launch , I don't know whether it is possible to highlight if the peak sales here for Ilumya, is it within next 2 years or would you say it still has a long way to go given the IL -23 ad option?
Abhay Gandhi : I would think you have a long way to go because we still have headroom to grow in the current indication and when we get the psoriatic arthritis indication, that is an additional segment that opens up for us. So, in my opinion, we are not near to the peak sales of the product as yet.
Girish Bakhru : And just related, we have seen t wo aggressive launches recently, Bimzelx came and has been grabbing a lot of I think prescription share , Sotyktu has also been doing well. I know yours is a more medical benefit product, but any comment you can share on whether the rebating has increased in the class, or the volume growth is a bit of a challenge now ?
Abhay Gandhi : So, without naming, I think at least one of the two products that you mentioned in my opinion has actually not met expectations of the organization at least. And the class that we are into, that is psoriasis always was highly populated class in terms of number of options. So, I don't think that pressure has increased. The pressure was always there and within that as you said, since we have a medical benefit product, we have been able to find a niche in which we are able to find ways to grow.
Girish Bakhru : The second question was on LEQSELVITM actually , I know your comments on the launch

timeline, but reimbursement for this class has been a very challenging issue. Pfizer also has been talking about that. Possible to comment , have you had any discussions already with payers on the product and if assuming the launch comes, would the update be slower?

Abhay Gandhi : I don't really want to go there at this stage, it is evolving. We are engaging with the payers, with the guardrails that we have to maintain prior to the launch of our product. And we feel that there is interest in the payor community for our product. How it evolves, I think let us wait for it and then we will probably give you a little more color.

Moderator : Thank you. The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane : Sir, just with respect to Ilumya for the indication of psoriatic arthritis, where we are in terms of the recruitment of patients, 60 %-70% done, 80%-90% done , if you could share some like that ?

Dilip Shanghvi : We have shared the, what you call details about when we expect to file for this product . I think once that is complete , I mean for the sake of clarity, one study is very close to letting completion, because there are two arms of the study , one is biological naive and biological fa ilure patients, so I think hopefully we should meet the timeline, some of these patients are difficult to recruit.

Tushar Manudhane : Sir, considering that and consi dering the other product sort of will do completing the Phase - 2 and sort of topline data in first of C Y25, s o just trying to understand what would lead to big step up in the R&D spend as far as FY25 is concerned?

Dilip Shanghvi : You are trying to link up this with the R&D spend ?

Tushar Manudhane : Sir, not just for Ilumya , but when considering the other products in their current studies , not just specifically?

Dilip Shanghvi : But we are only sharing details about products which are already in clinical trial. We are not sharing any information related to our plan for initiating any further studies.

Moderator : Thank you. The next question is from the line of Kunal Dhamesha from Macquarie. Please go ahead.

Kunal Dhamesha : We have seen a sharp upt ake in India revenue in Q1 around 16% year -on-year growth , so if you can highlight w hat is , we have said that we have seen growth across therapies, but any particular variable affecting this and is this growth momentum sustainable for the rest of the year?

Kirti Ganorkar: As I said earlier, we are seeing the growth across the therapy and the business is performing well because the majority of our growth is also coming through volume, which also talks about the growth in a

prescription. Your comment whether this momentum will continue i s difficult to say because we don't know how the markets will be in next 2 quarte rs. But our idea has always been to grow in line with market or slightly higher than market, so that we gain a market share and we also focused on a volume growth.

Kunal Dhamesha : But there isn't any additional channel that we would have focused in this qu arter, right , maybe modern trade or something which would have led to higher growth?

Kirti Ganorkar : No, I don't think there is any additional channel in this quarter.

Kunal Dhamesha : Our staff cost growth on a year -on-year basis is quite muted. I can see only 2% growth. So, is it related to some of the cost efficiency measures that we have taken and are the performance related wage hikes etc., baked into the current quarter ?

Dilip Shanghvi : No, I think like what we say for majority of the expenses, you look at annualized cost , don't look at quarter -on-quarter. There will be some amount of adjustment or periodicity which may mask actual underlying numbers.

Kunal Dhamesha : And last one from my side, I think the atopic dermatitis trial readout for SCD-044 has been moved to H1CY 25 versus earlier guideline of H2CY2 4, so what is causing this delay?

Dilip Shanghvi : I think recruitment of the subject.

Kunal Dhamesha : And we expect anymore delays here or we are kind of okay in the guidance?

Dilip Shanghvi : I think idea is that we s houldn't give explanation rather than giving the outcome. That is a position that we try and achieve in all businesses. Hopefully within next some time we should achieve that also in clinical trials because I have n ever explained our performance. That is because of this reason we did not achieve the numbers. It i s better for me to factor everything before I give guidance.

Kunal Dhamesha : And the last one , since we are on Specialty, we have said that we might look at in terms of out licensing our GLP -1 molecule, right , but do you have any particular timeline in mind as to when in terms of development stage, we would be looking out for partner?

Dilip Shanghvi : So, my sense is that once we have greater clarity in terms of clinical outcomes, is the best time at which we will start ..

Moderator : Thank you. The next question comes from Sumit Gupta from Centrum. Please go ahead.

Sumit Gupta : So, what is the share of Ilumya in the psoriasis market in the US?

Abhay Gandhi : You are talking all categories ?

Sumit Gupta : Yes?

Abhay Gandhi : Very small. It is like 0.5% . Only IL -23 Class where we will be closer to 8%.

Sumit Gupta : 8%?

Abhay Gandhi : IL-23.

Sumit Gupta : And how do you expect it to like over the next 4-5 years or over the long term, how do you see it going forward?

Abhay Gandhi : Hopefully the idea is to grow.

Sumit Gupta : And sir, any guidance on the overall revenue growth over the next 2-3 years ?

Dilip Shanghvi : No, we don't give long -term guidance.

Moderator : Thank you. The next question is from the line of Sa ion Mukherjee from Nomura. Please go ahead.

Saion Mukherjee : Abhay, just one clarification on IL -23, 8%, this is the volume market share, or the patient market share you are referring to?

Abhay Gandhi : This is the prescription market share .

Saion Mukherjee : And the second one, Revlimid, so you mentioned it is flat quarter -on-quarter, I remember last quarter it wasn't significant. So, should we assume that it is not significant contributor this quarter and it can increase in the subsequent quarters?

Abhay Gandhi : We don't guide product wis e. So, for me to give you each product granularity is difficult because we don't guide .

Saion Mukherjee : Sir, would you consider it a significant contributor to your revenues in the US a t this point because this opportunity is there for a limited time, so just wanted to understand, would you consider it as a significant contributor?

Abhay Gandhi : Like it is a limited quantity launch and the quantities that we have are not very high. So, it is one of the important contributors to the generic business. But there are other interesting products that we have in the portfolio as well .

Abhishek Sharma : Saion, for this quarter the contribution from Lenalidomide was not large.

Moderator : Thank you so much. The next question is from the line of Surya Narayan Patra from Phi llip Capital. Please go ahead.

Surya Narayan Patra: My first question is about the fiel d force expansion that we have consistently done over the last couple of years in the domestic formulation side. So, since the exercise of expansion over the 4 year period that we have completed now, s o what is the stance here? Are we thinking about furthe r expanding extending into this thing , Tier-1, Tier-2, Tier-3 kind of town, cities like that? And if that is not further getting expanded, then is it fair to believe that now the focus would be on enhancing the productivity of the people that has been adde d and hence improved margin going ahead?

Dilip Shanghvi : I don't think what gave you the idea that even while we are expanding the focus is not on

improving productivity.
Surya Narayan Patra: No, in fact, see obviously it takes at least a year or two post the addition of the field force to see a kind of real productivity of the new people. So, that is why I said that okay , since we have consistently been adding people over the last four years, s o if we are now focusing more on the kind of optimi zing the productivity of the people that has been added in the recent period o r what stance that we would be having here?
Kirti Ganorkar : Broadly, what I am saying whenever we use expansion as a strategy, we always looked at our productivity doesn't get diluted, that is what I can say.
Surya Narayan Patra : But practically, the sales for this thing, MR in the recent year s has to some extent a bit low, although it is not very significant, but it has come down a bit. So, that is why I was trying to understand that whether we will go back to the previous peak and hence improvement there it also from that angle I was coming to this question?

Kirti Ganorkar : I understand what you a re saying, but I think it will not have a big impact.
Surya Narayan Patra : Similarly, even in the E merging Market, we have added even around 10% kind of field force test. So, could you share what is the share of the branded market there in the emerging market , branded in the sense branded generic an d pure generic and s ince we are adding people then is it fair to believe that the share of branded generic is likely to go up in the emerging market there also?
Dilip Shanghvi : So, I think broadly, our entire business, excepting some tenders, almost entire Emerging Market business is branded generics only.
Surya Narayan Patra : So, then around 9% kind of people addition what we have done in F Y24, sir as per the annual report, so whether this is an ongoing practice or this is a kind of a special effort that we have done to boost the branded generic business?
Dilip Shanghvi : I would not know because there are a large number of countries , but 8%-9% is not a dramatic increase in number of people. Because we have a large see, there are three things which we have to keep in mind. One is you have c onstraint about the number of product that a rep can promote. The second is number of therapy areas that rep can promote. So, sometimes simply because you are starting ophthalmology product in some country, we might have to start and hire new people because same people can't go to ophthalmologist. So, decision making is country therapy specific.
Moderator : Thank you. The next follow up question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.
Tushar Manudhane : Sir, just on ROW sales in terms of growth has been quite subdued for two quarters. So, just if you could e xplain the reason for the same and how to think about it going forward ?
Dilip Shanghvi : So, one reason would be possibly because of what you call price cuts and generic product pricing pressure in Japan. But I think we are expect

ing even that business to b e able to continue to do well as time progresses.
Moderator : Ladies and gentlemen , that was the last question for today. I would now like to hand the conference over to Mr. Nim ish Desai for closing comments.
Sun Pharma Q 1 FY25
Earnings Call Transcript
06:30 p m August 01, 2024

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Abhishek Sharma: Nimish is still pretty much top of mind, Abhishek here. Thanks everyone for joining the call at this late hour . For any questions that still remain unanswered, you can reach out to the Investor Relations team, and we will be happy to take your questions. Thank you.
Moderator : Thank you. On behalf of Sun Pharmaceutical Industries Limited, that concludes the conference call. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

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Q2 F Y25 E arnings Call Transcript
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed herewith a copy of the transcript of the Company's Q2FY25 earnings conference call, which we shall be uploading on our website after sending this letter to you.
For Sun Pharmaceutical Industries Limited
(Anoop Deshpande)
Company Secretary and Compliance Officer
ICSI Membership No.: A23983
Sun Pharma Q 2 FY25
Earnings Call Transcript
06:30 p m October 28 , 2024

Corporate Office : Sun House, 201 B/1, Western Express Highway, Goregaon (E), Mumbai - 400063
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Sun Pharma Q 2 FY25
Earnings Call Transcript
06:30 p m October 28 , 2024

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Moderator : Ladies and gentlemen, good day, and welcome to the Q2 FY ‘ 25 Earnings Conference Call of Sun Pharmaceutical Industries Limited.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*”, then “0” on you r touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Dr. Abhishek Sharma – Vice President & Head (Investor Relations and Strategic Projects). Thank you, and over to you, sir.
Abhishek Sharma : Thank you. G ood evening, and a warm welcome to our 2nd Quarter FY ‘25 Earnings Call .
I am Abhishek from the Sun Pharma Investor Relations team. We hope you have received our Q2 “Financials ” and the “ Press Release” that was sent out earlier in the day. These are also available on our website.
We have with us Mr. Dilip Shanghvi, Chairman and Managing Director; Mr. C. S. Muralidharan, CFO; Mr. Abhay Gandhi, CEO, North America and Mr. Kirti Ganorkar, CEO India business.
Today, the team will provide an update on financial performance and business highlights for the quarter, pipeline update and respond to any questions that you may have. We will refer to the consolidated financials for management comments. The call recording and call transcript will also be put on our website shortly.
The discussion today might include certain forward- looking statements, and these must be viewed in conjunction with the risks that our business faces. You are requested to ask two questions in the initial

round. I also request all of y ou to kindly send in your questions that may remain unanswered today.
I will now hand over the call to our CFO, Mr. C. S. Muralidharan.
C. Muralidharan: Welcome, and thank you for joining us for this Earnings Call after the Announcement Of Financial Result s for the 2nd Quarter FY ‘25.
Our Q2 Financials are already with you.
As usual, we will look at “ Key Consolidated Financials ”:
Q2 FY ‘ 25 sales were Rs. 132,642 million, an increase of 10.5% versus Q2 FY ‘ 24, and an increase of 5.9% versus Q1 FY ‘25. Besides the underlying business growth, we also had higher sales of lenalidomide in U.S. in
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Q2 versus Q1. Material cost stands at 20.3% of sales, lower than the same period last year on account of the better product mix. Staff cost stands at 18.7% of sales. Other expenses were 32.5% of sales, higher year -on-year and Q -on-Q on account of higher selling and distribution expenses.
FOREX gain for the quarter was Rs. 1,281 million, compared to a loss of Rs. 341 million same period last year.
EBITDA, including other operating revenues, was Rs. 39,390 million for Q2, an increase of 23.9% over Q2 last year, with EBITDA margins for the quarter at 29.6% against 26.1% for Q2 FY ‘ 24 and 28.5% for Q1 FY ‘25. Net profit after tax for Q2 FY ‘ 25 was Rs. 30,402 million, up 28% over the reported net profit of Q2 last year. EPS for the quarter was Rs. 12.7 per share. As of 30th September 2024, net cash was $2.6 bi llion at the consolidated level.
Now we will discuss the “ Half-Year Performance ”:
For the first half, gross sales were at Rs. 257,887 million, a growth of 8.4% over first half last year. Material cost for H1 was at 20.8% of sales, lower than H1 last year, mainly due to product mix, including higher specialty sales. Staff cost stands at 19.1% of sales. Other expenses were at 31.7% of sales, higher than H1 last year on account of higher selling and distribution expenses. FOREX gain for H1 was Rs.776 million c ompared to a loss of Rs. 321 million for the same period last year. EBITDA for the first half was at Rs. 75,466 million, a growth of 15.9% over the first half last year, with resulting EBITDA margin of 29.1%. Net profit for H1 was at Rs. 58,758 million, up 24.5% over adjusted net profit of H1 last year, excluding the exceptional items of H1 FY ‘ 24.
Now over to Kirti, who will share the performance of our India business.
Kirti Ganorkar : Thank you, Murali.
I shall take you through the performance of our India business :
For Q2, the sales of formulation in India were at Rs. 42,652 million, recording a growth of 11% over Q2 last year. India formulation sales accounted for 32% of total consolidated sales for the quarter. Sun Pharma is ranked #1 and holds 8.1% market share in the over Rs. 2,170 billion Indian pharmaceutical market as per AIOCD AWACS MAT Sept -2024. The corresponding market share for the previous period was 7.7%.

A small note on the new AWACS market share series:
From September ‘ 24, AIOCD AWACS has rebased its data leading to lower market share reflections. Prior period data has also been rebased. Sun continues to show similar market share gains and volume -led growth in the new

series. We are amongst the leading contributor to the volume -led growth of IPM. In the top 300 brands of the IPM, Sun Pharma has 28 brands, which is the highest number of brands by any company.
For the quarter ending September ‘24, we grew higher than IPM, and we have done well across all represented therapy areas. Majority of the sales growth continues to be led by volumes and new products, launches versus IPM growth, which is predominantly price led. As per SMSRC March- June 202 4 report, we continue to be #1 ranked company based on prescription volume. Sun Pharma is also ranked #1 by prescription with 13 different doctor categories. For Q2 FY ‘ 25, the company launched 14 new products in India.
I will now hand over the call to Abhay.
Abhay Gandhi : Thank you, Kirti.
I will update on the Performance Highlights of our U.S. businesses, which includes the U.S. portion of Taro as well.
For Q2, our overall sales in the U.S. business was up by about 20.3% over Q2 last year, to $517 millio n. The U.S. accounted for over 33% of consolidated sales for the quarter. The U.S. Specialty business has continued to do well and has grown over Q2 FY ‘24. The underlying business and the prescription trends for the specialty business remain strong. For Q 2, we launched 2 generic products in the U.S.
I will now hand over the call to Mr. Shanghvi.
Dilip Shanghvi : Thank you, Abhay.
I will now provide an Update on Performance Highlights of our other businesses as well as give you an update on our R&D initiat ives.
Our revenue in the emerging markets was at $293 million, up by 3.2% over Q2 last year. The underlying growth in constant currency terms was 5% year -on-year for Q2. All our large markets, barring a few, have done well in local currency terms. Emerging markets accounted for 18% of total consolidated revenue for Q2.
Formulation revenues in Rest of the World were $199 million, lower by 3.5% over Q2 FY ‘ 24. Japan price cuts, as mentioned in the previous quarter, are an important reason for revenue decline in ROW. We expect this pressure to flow through the next few quarters ’ performance. ROW markets accounted for approximately 12.5% of consolidated Q2 revenue s. We continue to invest in building an R&D pipeline for both the global generics and

the specialty businesses. Consolidated investments towards R&D for Q2 FY ‘ 25 stand at Rs. 7,929 million, overall, 6% of sales. Specialty R&D accounted for 38% of our tota l R&D spend for the quarter. Due to delay in the start of some of our clinical studies, our R&D spend is trending below our guidance for the full year. We expect our FY ‘ 25 R&D spend to be in the range of 7% to 8% of our sales.
Moving to updates on Global Specialty in Q2 FY ’ 25:
Our Global Specialty sales were up by 19.2% to reach $286 million. Sun recently entered into a global licensing agreement for commercializing Fibromun, a specialty product from Philogen. Fibromun is an innovative anticancer immunotherapy, which is being investigated in registration trials for the treatments of soft tissue sarcoma and subsequently for glioblastoma.
With this, I would like to leave the floor open for questions. Thank you.
Moderator : Thank you very much. We wil l now begin the question -and-answer session. The first question is from Damayanti Kerai from HSBC. Please go head.
Damayanti Kerai : My first question is on R&D spend. So, you mentioned delay in some clinical trials has led to lower R&D spend in first

half. And then you mentioned the 7% to 8% range for the full year. So, do you think there will be a significant uptick in the second half R&D spend? And are you seeing pickup in clinical trials,

which are currently underway?
Dilip Shanghvi : Yes, I think the new guidance is based on our reassessment of the money that we will need to spend during the second half of the year. And we understand that for the first half, the spend is 6%. For us to reach 7% or 8%, it needs to go up by a corresponding number so that the annual number is reaching the guidance.
Damayanti Kerai : Sir, but any further delay or slow pickup in trials could keep your R&D lower compared to like your anticipated level?
Dilip Shanghvi : That is true.
Damayanti Kerai : My second question is on the litigation which you mentioned in your press release for Leqselvi. So, any time line to look at the next update on the IP litigation front? And then you can also please provide some update on your expectation for the launch time line for that product.

Abhay Gandhi : So, we are awaiting the court judgment. And I really can 't put time to it, so we do not know, hopefully soon. And as far as readiness for launch is concerned, post the judgment and depending on what the judgment is, we would be r eady to launch the product in the market.
Damayanti Kerai : But have you done sufficient preparation to launch immediately once the court ruling comes favorably? Or will it take some time?
Abhay Gandhi : It will be a couple of weeks, not definitely a couple of months. So, to that extent, we will be ready.
Moderator : The next question is from Anubhav Agarwal from UBS. Please go ahead.
Anubhav Agarwal : Just first question is on Leqselvi litigation itself. I am just trying to understand the scope of this litigation. So, based on my reading, the litigation is mainly on 335 patent, where the expiry of this patent is December ‘26, which is like 2 years from now. So, two subparts to this question. One is, is the scope of litigation only for 2 years or the scope of li tigation is beyond the 2 years as well? That ’s one part of my question. And the second part of the question is that in terms of worst -case outcome, what is the worst outcome here that does Sun have to pay a higher royalty here? Or you may not be able to la unch the drug itself for 2 years?
Dilip Shanghvi : So, as we understand the litigation, I think is the scope of the litigation is correct. I think the patent which they are using to litigate has an expiry date. And up to that is the worst -case situation is that in case if we get an unfavorable judgment and then even on appeal if we lose, then that is the time to which our potential launch gets delayed.
Anubhav Agarwal : And Dilip bhai, on the second part of the question, so is this more the worst case on the extent of royalty that we need to pay with 10 %, 20%? Or is it like do not launch at all for 2 years?
Dilip Shanghvi : No. I think generally, royalty in such a situation would be subject to a settlement. It cannot be arbitrarily defined as to what would be t he royalty and whether with a royalty, we can launch or not. It ’s a binary outcome.
Anubhav Agarwal : And the second question was on the ILUMYA. Today, when you are in the Medicare Part B market, the medical benefit product, what percentage of prescriptions are you missing already because you do not have approval of psoriatic arthritis. So, I am just tryin g to understand, let ’s say, a year down the line, if the Phase -
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III results are good, you have the approval, let ’s say, what percent of prescription we are missing today and what we can get, roughly?
Abhay Gandhi : So, typically, I mean, if I look at the other competitors in the market and their data, and also from conversations with doctors, the split between psoriasis and psoriatic arthritis is somewhere, and you can use this as a ballpark figure, so don ’t hold me to it, it’ s like a 70 -30. So, the 30% is the market you are roughly kept around with. And this is data that you can also validate in the public domain of the others.
Anubhav Agarwal : Abhay, that ’s correct. But my question was that, if ILUMYA already being prescribed on off-label basis for those pat ients as well, so is the incremental gain not 30%? Or is it lower? Or your sense is that benchmark or a heurist ic benchmark of 30% is still valid for Sun as well?

Abhay Gandhi : I mean, Anubhav, how do you expect me to comment on any off -label use.
Dilip Shanghvi : I think if you say, we have no prescription from rheumatologists. And if a dermatologist is prescribing for psoriatic arthritis, we wouldn' t know. But most likely in the U.S. context, they wouldn' t prescribe.
Abhay Gandhi : And Anubhav, you need to also appreciate that if there are other products available whose label mentions the psoriatic arthritis, then the motivation of the doctor to use another product off -label is also very low.
Anubhav Agarwal : My confusion was only on the Medicare Part B, where none of the other ILs are approved. That's where my question was.
Abhay Gandhi : I mean, I think I have answered your question to the best of my knowledge, Anubhav.
Moderator : The next question is from Neha Manpuria from Bank of Amer ica. Please go ahead.
Neha Manpuria : My first question is on Winlevi. Abhay sir, given the change that we had in strategy, you talked about it a few quarters back. If I look at the IQVIA data, obviously, the trend seems to be not reflecting that change. Ar e we seeing an improvement in Winlevi sales quarter -on-quarter? Is it in line with our expectation?
And what should we expect in terms of when should we start seeing that prescription traction picking up given that we 've changed the strategy only a couple of quarters back?
Abhay Gandhi : So, we did expect the fall in prescription post our changes in strategy, which is what I think Dilip sir explained on the previous call as well. The focus was on generating a more profitable prescription. I think

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we've been able to achieve that. That 's why the numbers are good. Now on that lower base of prescription that we have, I think our task becomes to grow on that quarter -on-quarter.
Neha Manpuria : And are we seeing that quarter -on-quarter, month- on-month improvement in terms of prescriptions?
Abhay Gandhi : Yes, I do see that, yes.
Neha Manpuria : And when do you think we get to, let 's say, a sustainable level of prescription that you would be happy about? Would it take us a couple of quarters, a couple of years? When do you think we get there?
Abhay Gandhi : Honestly, I am already happy with the traction that we are seeing. And if I am able to grow the revenue

s with a more profitable prescription, then I am already happy. But having said that, I mean, the idea is to continue to grow prescriptions in whichever product we market, not only in the U.S. but in any other geography. I don' t have a set goal in mind that at this point, I 'll be happy.
Neha Manpuria : And my second question is on the emerging market business. If you could give us some color on what the focus markets are for us in the emerging market and how we are thinking about growth in that business because it does tend to be fairly volatile. I unders tand, sir, currency is a big factor there. But otherwise, which are the key focus markets and how we should think about growth in the EM.
Dilip Shanghvi : No, I think we 've already shared the key markets like Brazil, Romania, South Africa, Russia and Mexico . Yes, I think those are there with you. And the focus would be to find a way to grow in this market. But at the same point of time, we have sales in many other geographies and many other markets. And all of them together make the emerging market business.
Neha Manpuria : And sir, the focus in these markets would be growth over profitability. I mean, because each of them are separate markets, how should we think about the growth versus profitability in these markets because there 's a fairly large mix of mark ets?
Dilip Shanghvi : The way our budgeting process works is that every country is expected to grow both top line as well as bottom line, irrespective of the size of the market. The focus from the business point of view would be that the corporate office, t he business development team as well as the priority for R&D resources would be allocated to these geographies before they are available to the other geographies. So, that's the essential difference.
Moderator : Next question is from Bino Pathiparampil from Elara Capital. Please go ahead.

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Bino Pathiparampil : If I heard rightly, in the opening remarks, it was said that the lenalidomide sales in Q2 were higher than Q1. Is that correct? And could you also give some color Y -o-Y?

C. Muralidharan : It was also high er year -over-year.
Bino Pathiparampil : On the specialty side, this Fibromun which we have in- licensed recently, I believe it 's in registration trials. Any time line regarding completion of those trials?
Dilip Shanghvi : No. I think we 've also indicated that the trial is managed by the principle from whom we have licensed the product, and they are a public company. So, until they, what you call, disclose what is their time line for filing. However, we have seen before we licensed the cli nical outcome data and we feel that it' s an exciting opportunity for patients who are currently significantly undertreated for this disease.
Bino Pathiparampil : And sir, for Utreglutide, you were planning to start the Phase -II in the second half of this year. Is that on track? Have you started it?
Dilip Shanghvi : No, I think if you see our disclosure, what we 've said is that it will move to the first half of next year.
Moderator : Next question is from Surya Narayan Patra from PhillipCapital. Please go ahead.
Surya Patra : Sir, first question is on the R&D spend. While we have become a bit aggressive about adding more and more specialty pipelines, we had indicated about 8% to 10% kind of R&D spend, and now we are cutting down to 7%, 8% kind of for the current year. So, how should one think whether it is because of the savings that is coming from the in -house capability, clinical capability, what you have

indicated that you are building it up.
So, it's a benefit of that? Or it is just deferral of certain t hings that we have seen in the first half, that as a result of that is the number is reducing?
Dilip Shanghvi : So, what your question is whether it 's an intentional delay or whether it 's the reason why -- because of any other reason, the --
Surya Patra : Yes. I mean, whether it is the saving that is coming from the in -house clinical capabilities, what you're building it up. So, that has brought in this kind of saving, or it is something else?

Dilip Shanghvi : No. I think there is also a delay in commissioning some of the studies. So, it's not only in- house saving from managing the studies. It 's still a long time before we get to know whether there is any significant saving because of the change in the, what you call, organizational capability.
Surya Patra : And second question is on the U.S. sales growth. See, interestingly, sir, after the many, many quarters, what we are seeing that, overall, the U.S. sales growth is higher than the Global Specialty sales growth. So, generally, the reverse used to be the tre nd.
Dilip Shanghvi : We have not shared the U.S. specialties sales.
Surya Patra : No. I mean, since U.S. is the majority of the Global Specialty. So, if I reframe that, U.S. sales growth is higher than the Global Specialty growth. The reverse trend used to be the kind of a trend. So, what is driving this U.S. business? Because the base business of plain -vanilla generic is obviously facing its own challenges. So, what is driving? Whether it is something coming from the Taro side? Or what is driving the forces, if you can just indicate and your outlook for the base business also?
Abhay Gandhi : I think the reason is pretty obvious. Our major products, whether it is ILUMYA, Winlevi, ODOMZO or CEQUA, have done well. And the team continues to perform and deliver. That 's the reason.
Dilip Shanghvi : See, my understanding, they 're trying to reconstruct specialty and generic separately. In the past, they were doing because Taro numbers were public. So, they were able to reconstruct. So, no, I think we need to internally debate and understand whether we want to share more information than what we are already sharing.
Surya Patra : Just one last update, sir. This Chinese Ilumetri launch, whether we have seen any meaningful progress there? Any influence that we can see to our ROW sales?
Dilip Shanghvi : I think we are very happy with the kind of traction Ilumetri has received in a relatively short period of time after launching the product in China. And we expect it to become a more meaningful product as time progresses.
Modera tor: The next question is from Shashank Krishnakumar from Emkay Global. Please go ahead.
Shashank Krishnakumar : My first question was on the domestic piece. So, when we are alluding to volume - led growth, would there be a meaningful difference in terms of volume growth across town classes that you 're seeing in our portfolio? Would volume growth be meaningfully higher in metros and Tier 1 towns for us as opposed to, say, class 2 to 4 towns and rural markets?

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Kirti Ganorkar : So, broadly, it will be difficult to share whether it 's higher in Tier 1, Tier 2 cities compared to some metros. But what I can tell you, our volume growth is quite strong, and the volume growth for the industry is on MAT September '24 basis is 0.7% and we are 5.2%. So, strong, a nd I see that is across the businesses. Maybe geography wise, I don' t have the data to share with you, but it is across the businesses.
Shashank Krishnakumar : My second question was on SCD -044. So, I understand that Amgen has received an approval for Otezl a for pediatric use. And while this is an age group where there is no other approved option right now. So, is that a patient population group that we could also potentially target?
Dilip Shanghvi : Yes. I think we are waiting for the Phase- II data to come and then we 'll decide because many times, the agency also requires that on approval that you have to do a pediatric study to get the product approved for pediatric patients and psoriasis as well as atopic dermatitis are both conditions for which there is a sizable number of pediatric patients. So, in this case, there is a business case, but we have to take a decision looking at
the Phase- II data. But in any case, most of the people that develop the product first for the adult population and then go back to the pediatric.
Moderator : Next question is from Anubhav Agarwal from UBS. Please go ahead.
Anubhav Agarwal : I have two questions. One is on other expenses. So, in this quarter, other expenses are pretty high. Just trying to understand, is there any one -off here? For example, when you in -licensed Fibromun, have you paid some one -off milestone, which is included in other expenses or any othe r one -off there in other expense?
C. Muralidharan : There is no one -off in the other expense in the current quarter.
Anubhav Agarwal : So, what explains this is almost Rs. 450 crores increase in quarter?
C. Muralidharan : It is mainly driven by the higher sel ling and distribution expenses in U.S. and EM and certain other geographies.
Dilip Shanghvi : So, there would also be a ramp- up cost for launching Leqselvi, which are coming to the expenses for the first time.
Anubhav Agarwal : But would you say, Dilip bhai, that this is the new base of other expense for us?
Dilip Shanghvi : I mean, generally, we don 't guide for expenses, but I think our focus would be to run the business most efficiently.

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Anubhav Agarwal : Second question is on Leqselvi, actually not just on L eqselvi drug, but on the alopecia areata market. So, just trying to understand that there are 2 existing drugs in the market and the ramp- up has been slow in last 2 years of the market formation. So, out of the 2 factors, which I can think of, just trying to understand which is the bigger factor, which is leading to a slower ramp up of the market? One is insurance access or insurance coverage as factor one. And second is doctor 's lack of willingness to prescribe this category because of the black box warning on the JAK inhibitor class. So, out of these 2 factors or maybe third or fourth factor, which you guys can help think about that. Because when I see the 2 drugs on IQVIA, I only see less than 15,000 patients being treated in total on this category. And t hat's what I meant by a slow ramp- up here.
Abhay Gandhi : See, in the U.S., access always builds up gradually. It is not that the day you launch, you will get unrestricted full access across all the payer groups. Some of them have a new -to-market block. So, I

think you
should also look at access as a continuum rather than event upon launch.
Anubhav Agarwal : But Abhay, is access the only reason why the --
Abhay Gandhi : See, one of the products also has multiple indications. It also depends on where a company may or may not focus. I cannot speak for anybody else. But our focus will be on growing both awareness as well as usage of our product in that indication. So, waiting to get to market and then we will see whether we can grow the market as well.
Anubhav Aga rwal : One just clarity on the other expense question which I asked. Let 's say, when you include the milestone payment that you paid for Fibromun, where would you capture it? Would it be captured in the R&D expense? Or would it be captured in the other expe nses?
C. Muralidharan : No, it 's not part of other expenses. It is part of a balance sheet item.
Anubhav Agarwal : Part of the balance sheet item. But have you paid anything for it so far?
C. Muralidharan : We've provided for it based on the contract.
Moderat or: Next question is from Vivek Agarwal from Citigroup. Please go ahead.

Vivek Agrawal : So, my question is related to your obesity molecule, GL0034, right? You presented Phase -I data in June 2023. And now you post the Phase -II trials in 2025, right? So, it's more than 2 years and the gap seems to be substantial, right? So, just trying to understand why there is a big gap of 2 years, either you lack confidence in

the asset? Or are you looking to out -license the product to any big pharma to take it forward? S o, how to look at this asset?

Dilip Shanghvi : No, I think we are very excited. I don 't know whether you kept track. But otherwise, we 've been consistently presenting the clinical outcome data, both in healthy subjects as well as in patients. And I think, w e believe that we have a very, what I would call, best -in-class product. There is a certain amount of delay in terms of starting the large Phase -II study. But we hope that we will be able to make up during the conduct of the study.

Vivek Agrawal : And sir, is it also fair to understand that your R&D spend are expected to move up substantially once you start the Phase -II trial of this particular molecule? Or irrespective of this particular molecule, should we expect R&D spend to go up substantially and to go up in the 8%, 9% kind of range?

Dilip Shanghvi : Yes, we will cover it in our guidance.

Moderator : Next question is from Saion Mukherjee.

Saion Mukherjee : Sir, my first question is the intangible assets under development that we see has risen quite a lot in 6 months. So, can you explain what is driving this?

C. Muralidharan : So, this increase in the intangible asset development, as I just said now, is for the Fibromun product which we have contracted licensed from Philogen.

Saion Mukherjee : And my second question is on the psoriatic arthritis indication for ILUMYA. Would this require approaching rheumatologists separately? I mean, do you need to make any additional investments for that indication?

Abhay Gandhi : So, we will definitely have to cover the rheumatologists. We are still trying to figure out how. So, I don' t have a complete fix on what will we need to do. We still have time. But it' s work -in-progress. But yes, we will have to cover the rheum segment definitely.

Saion Mukherjee : But is it possible, sir, to sort of license out or work with some existing player in that segment?

Abhay Gandhi : I don 't think it will be necessary. I think on our own, we 'll be able to do a good job.

Moderator : Next question is from Rahul Jeewani from IIFL Securities. Please go head.

Rahul Jeewani : Sir, the sequential growth, which we saw in the U.S. business, so apart from specialty and Revlimid quarter -on-quarter growth, was there any other driver which led to the growth in the U.S. business on a sequential basis?

Abhay Gandhi : I think in more ways than one, I have answered the question. But the last way I can attempt is year-on-year, the generic business without Revlimid has shown grow th. But quarter -on-quarter, it 's a small decline.

Rahul Jeewani : So, I was just trying to check that whether there were any one -off NBO opportunities sitting for us in the U.S. generic business this quarter. So, that wasn 't the case, I believe.

Abhay Gandhi : I don 't think so.

Rahul Jeewani : And the second question which I had was on the domestic business. So, can you talk about your rep expansion plans for the domestic market given that, let 's say, a year back, we had added almost 1000 new reps to the domestic business. So, what are your rep expansion plans going forward?

Kirti Ganorkar : I think I shared in the past is like we have expan ded our field force. And today, we have 14,000 people on the ground who are promoting product to the doctors. So, about future plans, we can 't comment it. But whatever expansion we have done in the past, I am thinking that it is helping us to grow faster t han the market, yes.

Rahul Jeewani : Sure, sir. So, sir, just a follow -up on that. So, do you think that the existing field force, which we have, that can continue this volume -led outperformance for us in the domestic market? Or let 's say, when do you

antic ipate the next round of expansion happening on the rep side, even if you are not willing to call out the exact number as such?
Kirti Ganorkar : No, that 's what I said. We can 't disclose our strategic plan when we want to expand in the business. These are th e calls we take during our budgets every year .
Moderator : The next question is from Madhav from Fidelity. Please go ahead.
Madhav Marda : Yes. Just two questions. The first one was on the PSA indication. In case we get the favorable Phase- III data in H2 CY '25, what could be the earliest launch for the PSA indication for ILUMYA?

Abhay Gandhi : So, the attempt always is that whether it 's a launch of a new product or a new indication, you can only maximize your return if you' re able to launch i mmediately after receiving it. So, we will always attempt to do it as soon as we get the approval.
Madhav Marda : Sir, my question was that in case the Phase -III data is favorable, what 's the time gap between the Phase- III data readout and the approval? Is it like 6 months or 12 months before that happens?
Abhay Gandhi : When the FDA will approve.
Madhav Marda : In case the Phase -III is favorable?
Abhay Gandhi : We will launch as soon as we get approval in the new indication. And like I said, for another produc t which was asked, it will be a matter of a few weeks and not a few months.
Madhav Marda: And the second question was on the staff cost. In the first ha

lf, if I have it right, it grew by 3%,
4% only year -over-year. So, do we expect that sort of trend to continue for the rest of the year? Or do we expect some acceleration in the staff cost spending?
C. Muralidharan : As such, we do not expect any material movement in the staff costs.
Moderator : The next question is from Naresh Suthar from SBI Life Insurance C ompany. Please go ahead.
Naresh Suthar : Sir, when Taro used to announce results, the R&D cost was around $60 million, $65 million at that time. And we have seen so many quarters, they have not done good in terms of the U.S. sales, which is predominantly de rma portfolio. So, is there any thought process wherein we want to reduce the R&D significantly for Taro?
Dilip Shanghvi : So, is your question, is the R&D to be reduced for Taro?
Naresh Suthar : Right, correct.
Dilip Shanghvi : Now we have to look at the overall R&D investment. We can 't look at separately. We can 't run 2 separate businesses. It 's now part of Sun. So, we have to look at the holistic R&D capability and R&D spend.

Naresh Suthar : So, my question was also related to whether the reduction in the R&D guidance includes some part of this rationalization in Taro R&D because the portfolio itself was not growing good, and it was seeing competition every quarter before the takeover.
Dilip Shanghvi : I don' t think your assessment and our understanding is correct. Our understanding is that the new product that Taro used to file, and launch justified the money that was spent. But there was a steep price cut across other products, which was made up by this, but the overall rate of decline was significantly fa ster compared to the other products that we had in our portfolio.
Moderator : Next question is from Neha Manpuria from Bank of America. Please go ahead.
Neha Manpuria : My first question is on M&A. Given that that 's been a core part of our strategy in buildi ng out the specialty pipeline so far, I just wanted to get your sense on the environment today for specialty assets in the U.S. We 've heard about the biotech funding crunch, big pharma sort of looking at assets given they sort of constrain the R&D. Is it m ore difficult to get specialty assets for acquisition? And is that the reason for us becoming more aggressive in terms of building our own clinical capabilities? I just wanted to understand the long-term pipeline strategy for the specialty business.
Dilip Shanghvi : So, I think the buildup of the clinical capability is more a function of at which stage we are able to or actually decide to license a product. If we decide to license a product which is, let 's say, completed Phase -

III, then we don 't need a big asset, I mean, organization. We license a product in Phase- II or earlier, then we will need an organization which can bring the product to market from Phase- II. And our sense is that it 's better for us to also look at a mix of products which are close to market or also products that we can develop on our own.
Neha Manpuria : And sir, is it becoming more difficult for us to get, let 's say, near commercial products for acquisition in the existing focus areas that we have, in ophtha and derma and oncology. Is that the sense that you get when you look at the market, M&A market?
Dilip Shanghvi : I mean, actually, I have no historical context. So, I can 't compare that 10 years back it was easier and now it is difficult. But I don' t see a situation where if we are interested in an asset. And since our a

rea of
focus is relatively narrow, not many competing potential bidders.
Neha Manpuria : And my second question is on ILUMYA. Because ILUMYA prescription traction continues to be very good. Obviously, we had skept icism about biosimilars impacting that. We have another biosimilar launch

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coming next year. What 's essentially driving the growth in ILUMYA prescription? And do you think despite this biosimilar launch, we could continue to maintain the growth momentum in ILUMYA prescription?
Abhay Gandhi : I mean, many factors go into it. But at the end of the day, it 's about execution on the strategy. And it 's a multifactorial product sell. It 's not an easy sell. And I think we are able to execute on multiple fronts to kee p that engine moving.
Neha Manpuria : And you don 't think another biosimilar in one of the other large products sort of impacts ILUMYA prescription growth?
Abhay Gandhi : So, to be perfectly honest, I mean, we are, in the overall market, a relatively small p layer as compared to the big ones. So, I think any biosimilar will go after the big fish, and not necessarily the space that we are playing. So, I guess to that extent, I mean, we are relatively insulated as compared to the bigger products.
Dilip Shanghvi: One more issue, you need to keep in mind is that the overall penetration of biologics in the market is also relatively low. So, with biosimilars and we also expect penetration to go up.
Moderator: Thank you. Next question is from Gagan Th areja fr om ASK investment managers. Please go ahead.
Gagan Thareja: So, the first question is Taro comparable quarter last year would have been consolidated at 80% and this year it 's fully consolidated. Would that roughly add $25 million to $30 million of sales even if Taro sales wouldn' t have grown year -on-year simply because of the additional consol idation?
C. S. Muralidharan: So, as part of the transaction, Taro has become part of our overall U.S. sales . Earlier also what they were getting separately Taro .
Dilip Shanghvi: They were giving separate number.
C. S. Muralidharan: Not since it is no more public company part of the Sun, we are just showing the overall net sales of the US business, which includes Taro.
Gagan Thareja: No, I get that but in in- principal , I am simply talking about the arithmetic, 20% extra consolidation would have adde d to sales, assuming that there is no precipitous drop in Taro sales at all.
Dilip Shanghvi: No, there is no impact on the top line post -consolidation because as a subsidiary, we re capturing the top line , at the end were providing for minority interest in the profit.

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Gagan Thareja: Second question is on Nidlegy™ and Illumetr i, ILUMYA in China, is it possible to give some insight into how these have evolved and developed?
Dilip Shanghvi: No, we do not give country specific sales detail. Broadly, overall looking at the offtake as well as the projections we are getting from our partner in China, we think that the product is doing quite well.
Gagan Tareja : Sir, final one , on the post -grant review which went in favor of Incyte on patent 335, on the legal

document pertaining to that, they seem to indicate that they would be looking for a higher loyalty post if there is an approval for your product view , do you see a circumstance where royalty payments will be higher than what

you have previously anticipated and therefore the overall profitability on the product could be different from an initial base case?
Dilip Shanghvi : You have access to information which I don' t have. So, because I have not seen any disclosure from Incyte which says tha t they are expecting a higher royalty .
Gagan Tareja: No, sir, this is just the transcript of the District Court New Jersey hearing on this matter in July?
Dilip Shanghvi : Now, since the matter is sub -judice at this point of time, we are not responding to specific questions.
Moderator : Thank you. Next question is from Sa ion Mukherjee from Nomura. Please go ahead.
Saion Mukherjee : Sir, I remember some time back , you had mentioned about the regulatory approval on some of your complex products on the generic side in the US , there were uncertainties in terms of the regulatory guidelines which were delaying things. In the recent past, we have seen some complex generics getting approved. Has the landscape improved a nd to that extent, how do you think about the pipeline for Sun Pharma?
Abhay Gandhi : I personally don' t recall any such comment or disclosure in any of our calls .
Dilip Shanghvi : We have indicated that there are products for which there is lack of clarity f rom a regulatory point of view. I think for a specific product there would be guidances which will help. And we see an effort by the agency to work towards clarifying and sharing specific guidances so that industry has a greater visibility on the process t o follow for approval of those products.
Saion Mukherjee : Sir, would you like to comment how does impact Sun, should be therefore mean that the chances of you sort of crossing the hurdle on the regulatory front is much more now?

Dilip Shanghvi : No, I think it is very difficult to give a non- specific response, but our view is that anything which has greater clarity for industry is always helpful for bringing a generic product to the market early.
Saion Mukherjee : And sir, my second question, if you can respond like on the GLP -1 opportunity both from the regulated and from an emerging market perspective, how should we think about that and Sun's preparedness to address that opportunity?
Dilip Shanghvi : No, I think we are very e xcited. The only issue is how fast we can bring the product to market and what kind of clinical outcome benefit we are able to show while the product is in registration. That is what will ultimately help us in terms of working towards getting a fair share of the product globally.
Saion Mukherjee : And the emerging market opportunity because your presence have a footprint in most of the markets, the key markets, so you expect that to unfold over the next say 2- 3 years for you, much ahead of the regulated market?
Dilip Shanghvi : Currently, the trial is being done in such a way that we will get approval in regulated and emerging market in a phased manner, but starting with the regulated market . If there is a change in the strategy, we will share that with you , but as on today that is the appr oach. And also another thing which I am sure you are aware is that some of the current GLP -1's will start losing patent protection in emerging market much earlier than the regulated.
Moderator : Thank you. Next question is from Ankush M

ahajan from Axis Secu rities. Please go ahead.
Ankush Mahajan: Sir, I am just looking at a very good set of number for the specialty, the 7.5% growth on Q -on-Q also, so if I said take two reasons like one is the US market and other is other market, so can we say that the other market is going faster for the specialty and still there is a scope that we are looking for the new geographies to enter for the specialty ?
Abhay Gandhi : You are setting my goals for next year .
Dilip Shanghvi : So, I th ink he is trying to understand the split between US and non-US.
Abhay Gandhi : I can only speak on the US business and I think there, as I said earlier, most of our key products we have grown Levulan on as you know, this quarter is always a softer quarter. So, I believe that Q3, even that product will come up to where it should be because that is traditionally a big quarter for that product. So, I think I am personally confident that we can continue to grow our specialty business in the US.

Moderator : Thank you. Next question is from Anubhav Agarwal from UBS. Please go ahead.
Anubhav Agarwal : Just last question from me, just on the ramp up of the specialty portfolio. So, we have derma products , then we added derma -oncology products , so just trying to understand how you are thinking about the other oncology products which are not derma -onco and what about ophthalmics? So, that is one set of questions ? The second set of question is, thereby you mentioned in the press release that you want to leverage your strong cash position to standard pipeline portfolio. So, largest deal you have done is close to $600 million when we acquired LEQSELVI . Are you okay a cquiring a platform with a broader thing or you still want to go drug wise in these three areas or you want to expand the scope? Can you give some broad comments here?
Dilip Shanghvi : No, I think our approach to acquisition is that we need to find a way to manage that business much better than the current owner and it needs to help us strategically , help us grow our topline and bottomline in a strategic kind of way. So, that will continue to remain our priority and focus. I don' t want to take a view about the size of the product or the size of the market, because I think it is better for us to play in a market in which we compete for product s which are not aggressively compet ed by big pharma. So, we have a relatively small subset because we are a small company, and we need to recognize and reflect that in our action and plan. And your question as to whether we will get into the pure oncology business, I think as on today that is not the intention because the moment we get into , let us say , first line breast cancer or head and neck cancer or anything, we then end up competing with all large companies in the world, and that is where we will not be able to compete.
Anubhav Agarwal : And how about Ophthalmology? So, we have dry eye drug, but what about the other areas in the O phthalmology?
Dilip Shanghvi : No, I think we continue to look at opportunities which can enhance our basket in O phthalmology, and we are very disciplined about our acquisition approaches that we don' t get emotionally committed to any product. So, unless and until it makes business sense , we don' t approve this. We have not , unfortunately, been able to identify something which is both exciting and something that w e think will help us create long- term value.
Anubhav Agarwal : So, just very naiv e question, but in D ermatology you think

, let us say , with the current
pipeline that you have it and the molecules that you are thinking about it, can this be ultimately not putting a timeline so that if you stay in derma and oncolog y or derma -oncology segment, can you be like 3X -4X of the size what you are today, just staying in this derma and oncology therapy?
Dilip Shanghvi : You are talking of my desire or what we wish to disclose because I think as a company we don 't make long- term projections, but I think if we are playing in this field, it is with a view to become successful and

success means different things in different businesses and for us to be successful, we will have to gain scale in Speciali y that there is no confusion. But it is difficult for us to commit timelines as well as this bec ause otherwise it will end up creating unnecessary pressure for us to do transactions.
Anubhav Agarwal : Dilip bhai, the question was not on timeline actually, I put it wrongly, sorry. The question was simply that does the derma and derma -oncology in terms of molecules that you want to target that you do not want to , let us say , compete directly with big pharma , does the space ha s so much potential that you can keep launching and becoming 3x -4x eventually that was your sense of the question?
Dilip Shanghvi : I think if you look at our cur rent pipeline, we have an oral product which we are developing for Phase- II for psoriasis, same product we are also developing for atopic dermatitis. So, these are all fairly large market with potential to do much better than what and augment our relationship with the doctors in the market.
Moderator : Thank you. Next question is from Sudarshan Padmanabhan fro m JM Financial. Please go ahead.
Sudarshan Padmanabhan : Sir, my question is a little bit more on the housekeeping side. The first h alf we have seen our gross margin significantly higher than expectation. I just wanted to know , would we be looking at say for the full year, given that the specialty is doing well, the gross margins will trend more towards 79 %-80% as compared to what we initially thought?
C. S. Muralidharan: So, we are not giving any specific guidance on gross margins.
Dilip Shanghvi : I think even in the past, people have said whether when your EBITDA will reach 30% . I think our focus is to find a way to do our business in a way whereby our EBITDA and profitability improves, but that is not the intention, the intention is to grow both topline and bottom -line and run business more efficiently.
Sudarshan Padmanabhan : And with the R&D spend probably coming back in the second- half, should we be looking at more or less margins at around 28%, which is what you initially guided for, or do we see that the R&D spend can be still a little slower giving some kind of fillip to the margins in second half?
C. S. Muralidharan: So, I think we are not guided for any margins as such. So, we will refrain to comment anything based on the margins for the H2.
Moderator : Thank you very much. That was the last question in queue. I would now like to hand the conference

back to Dr . Abhishek Sharma for closing comments.

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Abhishek Sharma : Thank you everyone for joining us at this late hour. If any of your questions have remained unanswered, you can reach out to me or I nvestor Re lations team. Thank you and g ood evening. Thank you.
Moderator : Thank you very much. On behalf of Sun Pharmaceutical Industries Limited, that concludes this conference. Thank you for joining us, ladies and gentlemen, y ou may now disconnect your lines.

Call: Mar 2025

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ursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed herewith a copy of the transcript of the Company’s Q 3FY2 5 earnings conference call, which we shall be uplo ading on our website after sending this letter to you.
This is for your information and record.
Fo
r Sun Pharmaceutical Industries Limited
(
Anoop Deshpande)
Company Secretary and Compliance Officer
ICSI Membership No.: A23983
Sun Pharma Q 3 FY25
Earnings Call Transcript
06:30 p m January 31, 2025
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Sun Pharma Q 3 FY25
Earnings Call Transcript
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Moderator: Ladies and gentlemen, good day, and welcome to Sun Pharma's Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call , please signal an operator by pressing star , then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Dr. Abhishek Sharma, Vice President and Head of Investor Relations and Strategic Projects. Thank you, and over to you, sir.
Abhishek Sharma: Thank you. Good evening, and a warm welcome to our third quarter FY '25 earnings call. I'm Abhishek Sharma from the Sun Pharma Investor Relations team. We hope you've received the Q3 financials and the

press release that was sent out earlier in the day. These are also available on our website. We have with us Mr. Dilip Shanghvi, Chairman and Managing Director; Mr. C.S. Muralidharan, CFO; Mr. Abhay Gandhi, CEO, North America; and Mr. Kirti Ganorkar, CEO India Business. Today, the team will provide an update on financial performance and business highlights for the quarter, pipeline updates and respond to any questions that you may have. We will refer to the consolidated financials for management comments. The call recording and call transcript will also be put up on our website shortly. The discussion today might include certain forward- looking statements, and these must be viewed in conjunction with the risks that our business faces. You are requested to ask 2 questions in the initial round. I also request all of you to kindly send in your questions that may remain unanswered today. I will now hand over our call to our CFO,

Mr. C.S. Muralidharan.
C. S. Muralidharan: Welc ome, and thank you for joining us for this earnings call after the announcement of financial results for the third quarter FY '25. Our Q3 financials are already with you. As usual, we will look at key consolidated financials. Q3 FY '25 sales were at INR 134,369 million, an increase of 10.5% versus Q3 FY '24. Besides the underlying business growth, we also had milestone income in ROW in Q3. Ex- milestones, overall sales growth was 8.9%. Material cost stands at 20.4% of sales, lower than the same period last ye ar on account of milestone income as well as better product mix, including higher specialty sales.
Staff cost stands at 19% of sales. Other expenses were at 31.2% of sales, lower year -on-year on account of lower R&D and lower selling and distribution expe nses. Other expenses were also lower quarter -on-quarter in absolute terms on account of lower selling and distribution expenses. For ex loss for the quarter was INR1,834 million compared to a gain of INR 1,246 million same period last year. EBITDA, including other operating revenues , was

at INR40,090 million for Q3, an increase of 15.3% over Q3 last year, with EBITDA margins for the quarter at 29.3% against 28.1% for Q3 FY '24 and 29.6% for Q2 FY '25.
We had an exceptional item in Q3 FY '25 amounting to INR 3,162 million. This relates to in principle agreement of a settlement with certain plaintiffs in the U.S. in the opioid litigation. Adjusted net profit, excluding exceptional items , for Q3 FY '25 was INR 32,196 million, representing a growth of 24.1% over Q3 FY '24. Reported net profit for Q3 FY '25 stands at INR 29,034 million as against reported net profit of INR25,238 million in Q3 FY '24. The effective tax rate for Q3 FY '25 was 14.7%. EPS for the qu arter was INR 13.4 per share. As of 31st December 2024, net cash was US$ 3 billion at the consolidated level.
Now we will discuss the 9 months performance. For the 9 months, gross sales were at INR 392,257 million, a growth of 9.1% over last year. Material cos t for 9 months was at 20.7% of sales lower than 9 months last year, mainly due to product mix, including higher specialty sales. Staff cost stands at 19.1% of sales.
Other expenses were at 31. 52% of sales, higher than 9 months last year on account of higher selling and distribution expenses. Forex loss for 9 months was INR 1,057 million compared to a gain of INR 925 million for the same period last year. EBITDA for 9 months was at INR 115,556 million, a growth of 15.7% over the 9 months last year, with resultant EBITDA margins of 29.2%.
Adjusted net profit for the 9 -month period was at INR90,953 million, up 24.3%. Reported net profit for 9 months was at INR 87,792 million compared to INR 69,218 million in the same period last year. The Board has declared an interim dividend of INR 10.50 per share for the year FY '25 against INR 8.50 per share interim dividend for the previous year.
I now hand over to Mr. Kirti who will share the performance of our India b usiness .
Kirti Ganorkar: Thank you, Murali. I shall t ake you through the performance of our India business. For Q3, the sales of formulation in India were INR 43,004 million, recording a growth of 13.8% over Q3 last year. India formulation sales accounted for 32% of total consolidated sales for the quarter.
Sun Pharma is ranked number 1 and holds 8.2% market share in the over INR 2,214 billion Indian pharmaceutical market as per AIOCD AWACS MAT December 2024. Corresponding market share for the previous perio

d was 7.8%. For the quarter ending December '24, we grew higher than IPM, and we have done well across all major represented therapy areas. A majority of Sun's growth continues to be led by volumes and new product launches versus IPM growth, which is predominantly price led.

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As per SMSRC July -October '24 re port, we continue to be number 1 ranked company based on the prescription volume. Sun Pharma is also ranked number 1 by prescription with 12 different doctor categories. For Q3 FY '25, the company launched 12 new products in India.

Now I will hand over the call to Abhay.

Abhay Gandhi: Thank you, Kirti. I will update on the performance highlights of our U.S. businesses. For Q3, our overall sales in the U.S. business were down by about 1% over Q3 last year, at US$ 474 million. The U.S. accounted for over 30% of consolidated sales for the quarter. The growth in the specialty business offset the decline in the generics business.

We had lower sales of Lenalidomide in Q3 versus Q2, contributing to the Q -o-Q drop. The U.S. Specialty business has continued to do well. The underlying business and the prescription trend for our key growth brands, including ILUMYA, CEQUA, ODOMZO and WINLEVI remain strong. For Q3, we launched 4 generic products in the U.S.

I will now hand over the call to Mr. Sha nghvi.

Dilip Shanghvi: Thank you, Abhay. I will now provide an update on the performance highlights of our other businesses as well as give you an update on our R&D initiatives. Our revenue in emerging markets were at US$ 277 million, up by 10.1% over Q3 last year. The underlying growth in constant currency terms was 14% year -on-year for Q3.

All our major markets have done well in local currency terms. Emerging markets accounted for 17% of total consolidated revenue for Q3. Formulation revenues in rest of the world were US$ 259 million, higher by 21% over Q3 '24 and ROW markets accounted for appr oximately 16.3% of consolidated Q3 revenues. We continue to invest in building an R&D pipeline for both our generics business as well as specialty business.

The consolidated investment towards R&D for Q3 '25 stands at INR 8,450 million, 6.3% of sales. Specialty R&D accounted for 41% of our total R&D spend for the quarter. Because of delay in our clinical spends, our R&D expenditure is trending below our guidance and for the full year. We now expect FY '25 R&D spend to be less than 7% of our sales . Moving on to update on Global Specialty. Q3 FY '25, our Global Specialty sales were up by 24.8% to reach US$ 370 million.

With this, I would like to leave the floor open for questions. Thank you.

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Moderator: The first question is from Kunal Dhamesha from Macquarie.

Kunal Dhamesha: Congratulations on a good set of numbers. The first question, if I look at our recent Specialty deals, these are basically emerging in new therapeutic areas, diverging from our current focus on derma, derma -onco and opthal. So coul d you clarify whether this shift represents a strategic change? Or these are more opportunistic ? How should we think about it?

Dilip Shanghvi: No. I think in our view, there

are adjacencies, but at the same point of time have linkage with derma -onc and the specialty even though a little bit different from the one which we'll need to focus on will not require a large field force for us to create as a new team. So we will remain opportunistic, but the focus on dermatology and ophthalmology will cont inue.

Kunal Dhamesha: Sure, sir. And the second question is on the specialty growth, which has been quite strong for us. And we have highlighted that ILUMYA, CEQUA, WINLEVI, and ODOMZO have been drivers. But apart from that, would you say some seasonal products like LEVULAN also helped us in this quarter? And if yes, how are the trends panning out in the ongoing quarter?

C. S. Muralidharan: So the growth in specialty, whether I look at quarter -on-quarter, year -on-year has come from both from U.S. and ex U.S . markets with similar dollar contribution in both the markets. In ex U.S., some inventory build up were with the partner this quarter. I'll now request Abhay to give more colour on the U.S.

Abhay Gandhi: I think you said it rightly, there is a seasonal imp act in Q3, which is typically our strongest quarter. I think if you look at it on an annual basis, the underlying business will continue to do well.

Moderator: Next question is from Shashank Krishnakumar from Emkay Global.

Shashank Krishnakumar: My first one was on the Antibe acquisition. I just wanted to check. I think the company's lead drug was placed under a clinical hold sometime in March last year. So has that hold been subsequently been lifted by the FDA?

Dilip Shanghvi: No, I think FDA is expecting us to do some further studies and submit to them for them to evaluate the lift of clinical hold. So we believe that this is an interesting asset, which then can help us not only in the U.S., but also in the current global environment where for treatment of pain opiates are avoided. So it's a good opportunity.

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Shashank Krishnakumar: Got it. My second question was on the ex- Taro , ex-REVLIMID generic business. So while I think you alluded to the REVLIMID decline Q -o-Q, but has there also been a mea ningful decline sequentially in the ex-Taro ex REVLIMID piece as well?
Abhishek Sharma : While Abhay will answer this question, we don't talk about Taro separately, Shashank.
Shashank Krishnakumar: Yes. Sir, just looking for some qualitative comments.
Abhishek Sharma : Yes, sure. Let Abhay answer the question.
Abhay Gandhi: Ex-REVLIMID , the decline is very, very marginal.
Moderator: Next question is from Bino Pathiparampil from Elara Capital. Please go ahead. Bino Pathiparampil, you may go ahead with your question.
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Bino Pathiparampil: Yes. My first question is on LEQSELVI. Any update on the litigation, what's happening and what is our expected launch time line?
Dilip Shanghvi: So I think we expect the, wha t you call, oral arguments by sometime -- to begin sometimes in April. And then post that, we'll await the judgment.
Bino Pathiparampil: Okay. And even if the judgment is against us, the December launch timeline stays intact. Is it?
Dilip Shanghvi: No, I think it all depends on what judgment is because we -- if the -- let's say, the judgment is to validate the existing judgment, and we can't launch till the time we get a more favourable judgment.
Bino Pathiparampil: No, I asked because in a n earlier call, you had mentioned that December that patent under question is expiring, so you could launch after that.
Dilip Shanghvi: No, I think that is what you call validity o

f the patent. So in case of my understanding is that this
patent is valid till December of '26. So in case if the judgment is what you call not in our favour . And if we can't get a final judgment earlier th an that, then we have to wait till December '26. That's what was my statement.
Bino Pathiparampil: Understood. Second question on your depreciation and amortization amount. The amount has not grown much year last year also and this year also for 9 months, it's actually a little below last year's run

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rate. And if I look at your stand- alone depreciation amortization, which has actually substantially come down Y -o-Y as well. So could you let us -- could you make us understand what's happening with that?
C. S. Muralidharan: So as far as consol depreciation is concerned, there are some assets getting capitalized. Some assets are fully already depreciated. That's one of the reasons you see the fluctuation in the depreciation.
Bino Pathiparampil: Okay. So the consol is likely to stay like this, not increase significantly unless we add some major assets in the coming years?
C. S. Muralidharan: Yes. Unless we -- as capitalization progresses, depreciation will also increase.
Bino Pathiparampil: Okay. And the stand- alone depreciation and amortization has come down significantly Q -o-Q, as well as for 9 months. It's from almost INR 400 crores to INR300 crores.
C. S. Muralidharan: I think there are many entities which comes into the consolidated numbers. It will be appropriate to look at the consolidated depreciation rather than stand- alone.
Moderator: Next question is from Neha Manpuria from Bank of America.
Neha Manpuria: My first question is on the India business . We continue to see higher than industry growth for quite some time for Sun Pharma. One, where are we on MR productivity to sustain this rate of growth, do we need to add more MRs to maintain this growth. And is this all from the branded business or some of this is also because we are eventually going to see a generic OTC expansion? Just wanted to get some colour on the 14% growth.
Kirti Ganorkar: I think as we have said in the past, a majority of our business is a branded generic business. The trade business contribution is almost negligible to our business. So all the growth, what you are seeing, is coming from branded generic business. And in terms of second question, if I understand correctly, you are asking about

the field force. So we have already told in March '24, our total field force was 14,000 people on the ground. Yes.
Neha Manpuria: And any plans to expand that, sir?
Kirti Ganorkar: So at the end of the year, that is -- after quarter 4, we will let you know about our expansion plans, yes.
Neha Manpuria: Okay. Got it. My second question is on R&D. Mr. Shanghvi, you mentioned that there's been delay in clinical trials because of which we are lowering our guidance. And that's been through the year, we've seen that guidance being lower. What are the key reasons for the delay in the trials? And does this delay -- because

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I don't see any delay in the data readouts for the pipeline that we -- the milest

one that we usually give out. So just wondering as to is there some churn in the pipeline, what is this delay which is leading to lower R&D spend?
Dilip Shanghvi: No, I think it's taken us a little bit longer to finalize the protocols. And then we are waiting for the final bids as well as approval so that the studies can start.
Neha Manpuria: In that case, would there be a risk to some of these milestones that we have mentioned, given there have been a few quarters of delay?
Dilip Shanghvi: The milestones are if we have to pay out. No, I think what we are now talking to the CRO is that how do we find a way to accelerate the study by both increasing the number of study sites as well as the number of countries in which we will do the study.
Moderator: Next question is from Anubhav Agarwal from UBS. Please go ahea d.
Anubhav Agarwal: First, a clarity on what Murali sir talked about. One, on the specialty side, when you said that sequentially, half has come from ex U.S. and half has come from U.S. Is that excluding licensing income, milestone income, so let's say, is that current on US$ 286 million going to US$ 325 million that has come half in the U.S., non- U.S. Or you're talking about US$ 286 million going to US$370 million?
Abhishek Sharma : It's roughly half ex of milestone income, roughly.
Anubhav Agarwal: Okay. So we had a US$ 40 million increase. So it's US$20 million, US$ 20 million, roughly. That's what you mean, right?
Abhishek Sharma : That's right.
Anubhav Agarwal: Okay. Second question for Dilip bhai is you made a comment that on the Canada asset, which is in the pain an d inflammation space, you may look at it because it doesn't require a large field force. Is this because it's a hospital product? And would that mean that you will be looking at -- willing to look at more hospital products or is this an exception?
Dilip Sh anghvi: No. We believe that if approved, this is a product that we can market not only in the U.S. but also in emerging markets where pain continues to be an important component of business, and we have field force which can handle these kind of products.
Anubhav Agarwal: You mean you already have existing field force in EMs for this?

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Dilip Shanghvi: Correct. We have -- this field force already visits the doctors. So I think it's both attractiveness of the product for the regulated as well as in emerging ma rkets.
Anubhav Agarwal: But for this product, largely the like what will be rough split? Is it like hospital usage will be like 70%? Or is it 50%, 50%? What would be split?
Dilip Shanghvi: Yes. No, I think what we are doing is we are trying to focus on, fi rst of all, removing the clinical hold and then identify the set of studies that will help us get to market the fastest. Most likely, what you're saying is what's going to happen is that the initial developed indication will be hospital indications.
Anubhav Agarwal: Okay. And just if I can ask one more question or if I can join. One comment I wanted, Dilip bhai, from you is that biosimilars now in the U.S. is increasingly moving towards interchangeability now, would you be interested now in looking at t he space or it's still a no, no for you?
Dilip Shanghvi: Every quarter, we come back to this question. Hopefully, at some point, we'll take a decision internally. I'm not talking about investor calls, but internally. I think for us, the question is where d o we allocate

the R&D spend because we have a finite amount of money that we can invest in R&D. So specialty, gene

rics, and then we can also invest in creating a biosimilar pipeline.
Moderator: Next question is from Bino Pathiparampil from Elara Capital.
Bino Pathiparampil: Thanks for taking my second question. It's about this milestone income in specialty. So last quarter -- last year also in 3Q, you had this income. So is this something that we can expect every year going forward depending on the extent of sales?
Dilip Shanghvi: No, I think these are all achievement of certain sales milestones. So linked with the achievement of sales milestones. So I think it's all a function of how well the product continues to do well and whether it touches the next mile stone or not.
Bino Pathiparampil: Okay. So nothing seasonal like in 3Q, it comes?
Dilip Shanghvi: No, no, no.
Bino Pathiparampil: Okay. Okay. And Dilip bhai, one request if you may consider. Since you have become a very large specialty company now, all the large global specialty companies do give out the sales of individual products, at least the big ones. So it would be great if you can consider that.

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Dilip Shanghvi: No, I think thank you for, first of all, considering us to be large specialty company, because that's something which we don't consider. But because a large part of our business currently still continues to be the branded generic and generic business. But I think we will -- our focus is to help investors understand both company's current per formance and expected future performance in such a way that it also does not create unnecessary pressure on the company and the management. At the same time, investors have a visibility of our future trajectory. So if there is a need for us to relook at something, we will clearly relook at. So thank you.
Moderator: Next question is from Surya Narayan Patra from PhillipCapital.
Surya Narayan Patra: Sir, in the opening remarks about the India business, you have talked about the lower distribution cost during this quarter or kind of a lowest distribution cost during the quarter. What is the reason for that? And also extended point on the India, you mentioned that the outperformance in the domestic growth against the IPM has been consistent, and that is largely driven by the new launches rather than the price -led rise in the IPM. So given that, is it fair to believe that this outperformance likely to continue for next few quarters since it is like new launch r ate?
Kirti Ganorkar: I think what I said is the growth is coming from volume and new products, both are contributing into the growth compared to IPM where the growth is mostly price -led that is what is -- I said. So for future, it's difficult to predict, but our endeavor is always to grow higher than the market and try to gain market share, yes.
Surya Narayan Patra: Okay. And regards the lower distribution cost angle if you can address sir?
Dilip Shanghvi: Abhay, you want to take that one.
Abhay Gandhi: I think the question was on distribution costs for India, Abh ishek .
Surya Narayan Patra: This opening commentary was indicating about lower distribution costs in this current quarter. So it would be a kind of a combined cost?
Abhishek Sharma : No, it's primarily on account of lower S&D expenses in the U.S. Last quarter, if you recall, we had incurred some prelaunch expenses on LEQSELVI which have kind of minimized now.
Surya Narayan Patra: Okay, okay. My second question was about the change in the U.S. government and the kind of initiatives that has been talked about, wh ether restricting about the direct -to-market

initiatives or spends
by specialty companies. That is one. And also the tariffs for what it has been loosely talked about against anything

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that is imported into India -- into U.S. So on those 2 aspects, what wou ld be the stance of us? And how should we think those impacting us?
Abhay Gandhi: Mr. Patra, you have characterized this far better than I could have, it has been vaguely talked about as of now. So we do not know what will be the final shape. You would als o be aware that right now, there

are confirmatory hearings on certain key appointees, which hasn't really fructified. The new appointees have not yet taken over their respective functions. So till we actually know certainly what are the actions being taken, difficult for us to plan in advance.
Surya Narayan Patra: Sure. Okay. Just one more point, Dilip bhai, about the consumer health business. See in fact having created branded business across the geographies is strongly the consumer business, which has been a kind of old initiatives of us . But it has been kind of a 1 not been highlighted the way it has been highlighted by other peers. So what is the current size? And what is the outlook that you are having? And how progressively or at what growth rate it is k ind of moving on. If you can give some sense? And can it be a kind of a contributor to the overall growth of Sun Pharma going ahead.
Dilip Shanghvi: So I think you have a visibility of our India consumer business. What I think you don't have visibility for and we don't also highlight is almost US$200 million worth of consumer business that we have in our emerging market business, which is also OTC kind of products. So it continues to be an important component of our company and growth.
Only thi ng is that since we handle this business more or less the same way like we handle the prescription business, we are not differentiating and sharing the numbers separately. But it continues to be an important component of our growth.
Moderator: The next que stion is from Kunal Dhamesha from Macquarie.
Kunal Dhamesha: Can you please throw some more light on the inventory buildout that we had suggested for one of the specialty products at our partner end? I am under the impression that whatever we do ex U.S. ar e generally through partner and we just received royalty in our revenue.
Dilip Shanghvi: We also capture the product sales and the product sales are lumpy.
Kunal Dhamesha: This is the inventory buildout that we talked about.

Dilip Shanghvi: As a partner. Y es. So if partner buys something then before he -- so every time he buys a reasonably large amount, so he may not buy in the next quarter. That's why we are saying it's lumpy.
Kunal Dhamesha: So basically when he buys, it triggers royalty payment.
Dilip Shanghvi: Royalty has to be paid independent when he sells.
Kunal Dhamesha: So let's say when Almirall buys, basically, does it...
Dilip Shanghvi: I will get top line and they will give us monthly statement based on which the royalty is paid. So there may be a different arrangement with different partners.
Kunal Dhamesha: Sure. And the second question, if I l

ook at our specialty R&D now as a percentage of specialty
revenue, excluding milestones, it's coming out to be roughly around 12% of the s pecialty revenue, right? So generally, what you're seeing with the large innovator company is typically around 16%, 17% range. So how should we think about this going forward? Not just 1 quarter, but let's say, over the next 2, 3 years, how are we thinking about it?
Dilip Shanghvi: I mean that's the focus. And if we would have achieved our guidance, then that is what it would have reached.
Kunal Dhamesha: Okay, sure. And sir, last one on the capital deployment, which we have a strong cash balance now. And I'm sure that we have been evaluating a lot of deals. But has there been any let's say, change in the end market valuations that you see it has become more attractive, less attractive, the number of deals that we churn or we look at per year, has that increased, decreased? How should we think that?
Dilip Shanghvi: No, I think we are open for looking at. I mean, we constantly look at any value -add options. Anything which is strategic and we think we can it will add value to our existing business and is accretiv e is something that we seriously consider.
Kunal Dhamesha: But would it be more like specialty or you would also look at India business as well if you find that attractive or something in emerging markets?
Dilip Shanghvi: No, I think generally priority is to focus on specialty products.
Moderator: The next question is from Krish Mehta from Enam Holdings. Please go ahead.

Krish Mehta: Congratulations on a great set of numbers. Dilip bhai, I just wanted to check with you on the Japanese portfolio and how we're doing, seeing that the mix of specialty has become almost 50 -50 with U.S. and non-U.S. If you could just give some colour on the specialty business in Japan as well as on the Novartis portfolio that we acquired almost over a decade ago now. How has that progressed in Japan?
Dilip Shanghvi: No, first of all, we don't split the specialty in terms of giving numbers. But our focus is on growing the specialty business in Japan because the generic business has become very challenging in terms of pricing and overall attractiveness. So maybe, Kirti, you can respond.
Kirti Ganorkar: Yes. Generic business, what you are referring to, Novartis, long- listed brands, there is a price pressure. Every year, there is a price decrease ranging from 5% to 7%, depending on the product. So our focus is to continue to grow ILUMYA business. ILUMYA , Duac the future pipeline also.
Krish Mehta: That's very helpful. And my second question was on the tax rate. If you could just provide some colour on how you see this stabilizing as we also kind of the sunset benefits in some geographies. So how do you see a stable tax rate going forward?
C. S. Murali dharan: So we have said in the past that the tax rate should be seen on annualized basis. In the last call, we also said that on e our facility, the sunset clause was there, and it will inch up as we move a couple of quarters ahead.
Moderator: Next question is from Vivek Agrawal from Citigroup.
Vivek Agrawal: Abhay, my question is related to compliance issues. So how we should look at this year 2025 as we have few facilities down with the FDA. So what is preparedness of the company? And are you expecting any facility going for the re -inspection? So I'm just trying to assess that what is the way forward to revi ve this business, which is, I think, down at historical lows at this point of t

ime?
Dilip Shanghvi: Yes, the idea is to, what we call, brin g these facilities back in compliance, because we will require new products to strengthen our ability to grow the business.
Vivek Agrawal: Okay. But are we expecting any of the facility to undergo inspection this year? Or have you missed any kind of materi al changes that can improve the company's confidence level that we may be able to clear these facilities from here on ?

Dilip Shanghvi: I mean, that's the hope, and that's what we are all working for. Just that we will -- we've invited the agency to inspect Halol, but then when to inspec t is a decision that they take.
Vivek Agrawal: Understood. And what about the other facilities in Mohali, Dadra? Have we invited or are we in the process of inviting the FDA?
Dilip Shanghvi: No, I think we have to first fulfil our CAPAs and whatever commitments we have given so that they can -- when they reinspect, they can assess that whether we've met all guidance or not.
Moderator: Next question is from Damayanti Kerai from HSBC. Please go ahead.
Damayanti Kerai: My question is regarding your R&D spend. So you have trimmed R&D outlook for this fiscal due to the reasons discussed. But how should we look at R&D number as you expedite some of the clinical trials and go for more sites?
Dilip Shanghvi: Yes. No, I think now this w ill get covered in the next year's R&D guidance.
Damayanti Kerai: Okay. So whatever didn't get covered this fiscal, that will move to coming years?
Dilip Shanghvi: I mean we will guide for whatever that you should estimate.
Damayanti Kerai: Okay. My second question is actually a clarification. So again, split of specialty sales between U.S., non- U.S., you mentioned roughly half, half. So can you clarify this bit because I assume that U.S. used to be the larger contributor for specialty sales? So any like other markets which have seen significant pickup, that's why now we are seeing equal numbers coming?
Abhishek Sharma : No, no. It's only growth that we have said Damayanti for this quarter, specifically, that the growth came from -- the dollar contribution of growth came from both U.S. and ex U.S.
Damayanti Kerai: Okay, but...
Dilip Shanghvi : Nothing to do with base business. Base business where it is...
Abhay Gandhi : I think this point, Abhishek, glad you clarified because 2, 3 others had the same, I think, confusion.
Damayanti Kerai: Okay. So -- but should we assume that U.S. is the largest contributor in terms of absolute dollar number?

Dilip Shanghvi: Yes.
Moderator: Next questi on is from Anubhav Agarwal from UBS. Please go ahead.
Anubhav Agarwal: Yes. A couple of questions. One is on India business. The 14% growth we have for the quarter and for 9 months also, so just trying to understand this 14% number. When we look at the lar gest therapies for us like cardiac, diabetes, CNS, etcetera, IQVIA shows about 10%, 11%. I'm just trying to understand your numbers that is its higher growth for us, 14% coming from some of the newer therapies which are growing very fast or this 14% is very similar number across the space

s, like IQVIA is really behind and we are like cardiac,
everywhere we are around 13%, 14%.
Kirti Ganorkar: As I said, all therapies are doing well for us. So this growth is not coming specific from specific therapy areas. Be ing said that, there are therapy areas, which will grow faster than the other. But overall, if I look at from April to December 9 months sales is across the therapy areas. And in the IQVIA, we are understated. Our internal growth versus the IQVIA growth what you see there is a delta of a couple of percentage.
Anubhav Agarwal: Okay. That's helpful. The second question is on the specialty data only. So the ex -U.S. portion that you're talking about, you guys mentioned that there could be element of one -off the re. Just trying to understand a feel there on 2 points. One, is this largely one -off, the data that you've seen here, let's say, on that number of, let's say, 40 is the delta, 20 is ex U.S. increase. So let's say 20, large part of 20 is one -off? That's one part of the question. Second is, which geography are we talking about? Are we talking about this in Europe, in China, in Japan, roughly -- rough idea will be useful?
C. S. Muralidharan: So Anubhav, it's very difficult to such a very detailed breakup in term s of that. However, I'd like to say that there are many factors and some have bunched up in this quarter. However, I would say that including specialty, our annual revenue growth guidance reflects all this.
Moderator: Next question is from Akash Dobhada fr om Motilal Oswal Financial Services. Please go ahead.
Akash Dobhada: I have just one question. Can I get some colour on other operating income, why it has increased so much sequentially?
C. S. Muralidharan: So in the Q3, there was some recognition of certain grants as co mpared to the previous quarter.
Moderator: Next question is from Vishal from Systematix.

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Vishal: I have a question on semaglutide. We can see that you have a para IV in Canada for Ozempic and Wegovy. So just wanted to understand whether you also have filed an ANDA in Canada market because that's opening up earlier around 2026.
Dilip Shanghvi: I mean we don't give product -specific future information. But what you're saying is correct in public information, people can see that we filed para IV to semaglutide in the U.S.
Vishal: All right. So whether you would have also filed for Canada, would that make sense to assume that?
Dilip Shanghvi: No, don't assume anything. We will give you guidance about whatever that we are likely to grow by in next year because we will factor everything, including potential approvals and potential price erosion and everything and give you overall guidance.
Vishal: And second one on Nidlegy in melanoma. So it's being filed for adjuvant -- neoadjuvant setting. I just wanted to understand whether there is an -- whether there is any approved asset in the same setting? Or would this be the first one in that?
Dilip Shanghvi: I think you are asking a question which is beyond my capability. I'll need to come back with proper information. Only thing which I know is that when we did the assessment, and we looked at the data, we saw that our data essentially reflects a product which is likely to be significantly differentiated over the currently marketed product.
Vishal: Sir, since we don't have a presence in Europe. So how do we kind of go about this? Will we kind of...?
Dilip Shanghvi: No, no, no. We have significant business for ODOMZO in Europe and the same customers will potentially p

rescribe this.
Vishal: Okay. And any way you can quantify the PLI benefits that we get annually?
C. S. Muralidharan: No, we do not give any specific amount on any grants or incentives.
Dilip Shanghvi: Yes. But I think there is a, what you call, maximum what you can get is INR 200 crores.
C. S. Muralidharan: Maximum is INR 200 crores as per the scheme?
Dilip Shanghvi: As per the scheme, correct.
Vishal: For a single product or...

Dilip Shanghvi: No, no, fo r the company.
C. S. Muralidharan: For the company.
Dilip Shanghvi: ` I hope it was a single product.
Moderator: Next question is from Madhav from Fidelity. Please go ahead.
Madhav: Just a basic one, did you split the India growth into volume, price and new launches? If you could just help with that. And I think it's a volume -led growth. If you could just give us some sense, what's helping us grow sort of ahead of market and volumes, which is quite positive given a lot of the peers have been struggling.
Kirti Ganorkar: Sure. As I said, we are growing both by volume and new products, yes, that's...
Dilip Shanghvi: And also, there would be a price component.
Kirti Ganorkar: Price component, yes.
Madhav: Okay. Could you give us how much of that 14% is vol ume-led growth?
Kirti Ganorkar: So roughly 50% to 55% is the new product and volume growth and rest will be price related. Just to give you some idea about the growth here.
Madhav: Okay. Got it. And even I think the EM market has grown quite well in dollar terms. So just any sense sir? I mean, is it any specific tenders which have helped us? Or are we adding new markets? If you could give us some sense in terms of what's driving very good scale up there as well?
Dilip Shanghvi: I mean, generally, we don't f ocus on tender business. And if there is a specific tender business, then we clearly state because we don't want people to start kind of modelling continued business for a business which is one -time. So no, I think generally, markets have done well.
Modera tor: Next question is from Saion from Nomura.
Saion: Dilip bhai, just on EM. Typically, in the previous quarter, you had talked about specific markets. So is there any specific market or markets you would like to call, which is supporting growth or is this across all your major markets?

Dilip Shanghvi: Yes. I think we've, in the past also indicated that the large markets that we are present in are Brazil, Romania, Mexico and Russia.
Saion: Okay, okay. And just one more on the domestic business. Over the last few years, particularly post the pandemic, the field force, almost 40% expansion has happened. So if you can give some colour in terms of how a geography or doctor coverage has improved? A nd is that something which is aiding the growth? And how should we think about because at one level, you have to scale and the base is very large. So is that an advantage for you to grow ahead of the market? Or it kind of puts more pressure, how should we th ink about it?
Kirti Ganorkar: So broadly, what I said in the past also is like expansion as well as decluttering of portfolio has helped us to g

row the business. So for future, maybe we will guide you at the end of the next quarter, what are our plans.
Saion: But can you suggest if there is a significant geographic footprint expansion like going more deeper into Tier 2, Tier 3 cities or which is this 40 -odd percent expansion in field force, is that something which has contributed meaningfully to growth?
Kirti Ganorkar: These are all expansion based on the need and the potential of the market. It's not like significantly we're going into different tiers.
Moderator: Next question is from Vivek Agrawal from Citigroup.

Vivek Agrawal: Sir, if you look at the ROW business, so the last 4 quarters, the business is not growing. So earlier, you have alluded that there are some pricing -related issues, et cetera. So are these over or when do you expect this business to start growing?
Dilip Shanghvi: No, I don't think we give specific guidance to markets. What we do is we give you an overall guidance as a company that what we wish to achieve.
Vivek Agrawal: Yes, understood. But in one of the quarters, actually, you highlighted that in one market, especially in Japan, right, because of the pricing, there is some kind of slowdown. So are these issues are ov er? Or is it there in the base?
Abhishek Sharma: Yes, Vivek , not yet fully in the base. I think we had said in last quarter that it will take a couple of quarters for it to flow through the base entirely .

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Vivek Agrawal: And just last -- 1 last question. You highlighted that in this quarter, there is some kind of inventory build out, right? So is it fair to assume that the next quarter sales of specialty should be lower from the current quarter, excluding milestone?
Abhishek Sharma: Yes, yes, you can assume that.
Moderator: The next question is from Surya Narayan Patra from PhillipCapital.
Surya Narayan Patra: Just a clarification about the same ROW. This quarter, we have seen a kind of mark hit from the previous trend. Is it comprising of the -- what is this driving, whether it is the milestone is sitting here in this line item or what? And also if you can give some update about ILUMYA in the China market, how is it progressing?
C. S. Muralidharan: So in the ROW for the quarter, you are right, the milestone is baked in that ROW number.
Surya Narayan Patra: Okay. And regards the ILUMETRI in China, any update there, sir?
Dilip Shanghvi: No, the product is doing quite well is what I was told. I have no specific further update.
Moderator: That was the last question in queue. I would now like to hand the conference back to Dr. Abhishek Sharma for closing comments.
Abhishek Sharma: Thanks, everyone, for dialling in at this late hour and listening to the management. If you have any remaining questions, you can reach out to the Investor Relations team. We are happy to take your questions. Thank you, and have a good weekend.
Moderator: Thank you very much. On behalf of S un Pharma, that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Call: May 2025

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Q4 FY25 Earnings Call Transcript
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed herewith a copy of the transcript of the Company's Q 4FY25 earnings conference call, which we shall be uplo ading on our website after sending this letter to you.
This is for your information and record.
For Sun Pharmaceutical Industries Limited
(Anoop Deshpande)
Company Secretary and Compliance Officer
ICSI Membership No.: A23983
Sun Pharma Q 4 FY25
Earnings Call Transcript
06:30 p m May 22, 2025

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Moderator: Ladies and gentlemen, good day and welcome to Sun Pharma's Q4 FY'25 Financial Results Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Dr. Abhishek Sharma – Vice President and Head of Investor Relations and Strategic Projects. Thank you and over to you, Dr. Sharma.
Abhishek Sharma: Thank you. Good evening and a warm welcome to our 4th Quarter FY'25 Earnings Call.
I am Abhishek from the Sun Pharma Investor Relations team. We hope you have received the Q4 financial s and the press release that was sent out earlier in the day. These are also available on our website. We have with us Mr. Dilip Shanghvi – Chairman & Managing Director; Mr. C. S. Muralidharan – CFO; Mr. Abhay Gandhi – CEO (North America) and Mr. Kirti Gan orkar – CEO (India Business).
Today the team will provide an update on the financial performance and business highlights for the quarter, pipeline updates and respond to any questions that you may have. We will refer to the consolidated financials for mana gement comments. The call recording and call transcript will also be put up on our website shortly.
The discussion today might include certain forward -looking statements and these must be viewed in conjunction with the risk that our business faces. You are requested to ask tw

o questions in the initial round. I also request all
of you to kindly send in your questions that may remain unanswered today.
I will now hand over the call to our CFO Mr. C.S. Muralidharan.
C. S. Muralidharan: Welcome and thank you for joining us for this Earnings Call after the announcement of Financial Results for the 4th Quarter of FY'25. Our full year and Q4 Financials is already with you.
The full year FY'25 sales were at Rs. 520,412 million a growth of 9% over last year. Material cost stands at 20.7% of sales, lower than last year on account of product mix including higher share of sales from Specialty business. Staff cost stands 19.2% of sales flat year -on-year. Other expenses are at 32.2% of sales flat versus FY'24. FOREX gain for the year was Rs. 1,855 million compared to gain of Rs. 361 million last year. EBITDA for year was Rs. 152,717 million a growth of 17.3% with resulting EBITDA margin of 29%. Adjusted net profit for the

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year was Rs. 119,844 million up 19%. Reported net profit for the year was Rs. 109,290 million compared to Rs. 95,764 million for FY'24.
Let us now discuss the Q4 FY'25 performance:
Q4 FY'25 sales were at Rs. 128,156 million a growth of 8.5% over Q4 FY'24. Material cost for the quarter were 20.6% of sa les. Staff cost came in at 19.4% of sales. Other expenses were lower year -on-year as a percentage of sales and higher on Q -on-Q due to higher sales and distribution expenses across geographies. FOREX gain for the quarter was at least Rs. 2, 912 million com pared to loss of Rs. 564 million in Q4 FY24. EBITDA including other operating revenues was at Rs. 37,161 million higher by 22.4% for Q4 last year. EBITDA margin for the quarter was 28.7% compared to 25.3% in Q4 FY'24 and 29.3% in Q3 FY'25.
We add a few exc eptional items in Q4 FY'25 amounting to Rs. 3,617 million. A major portion comes from an impairment of investment in Lyndra Therapeutics Rs. 2,597 million. Adjusted net profit excluding the exceptional items for Q4 FY'25 was Rs. 28,890 million representing a growth of 4.8% over Q4 FY'24. Reported net profit for Q4 FY'25 stands at Rs. 21,499 million. The effective tax rate for Q4 FY'25 was 19.8% compared to 5.1% in Q4 FY'24. Tax rate for the full year is 16.6% vs 12.4% in FY'24. Going forward, we expect the tax rate to continue to go up on a full year basis, mainly on account of exhaustion of tax losses. Reported EPS for the quarter was at Rs.9 per share. As of 31st March 2025, net cash was $3.1 billion at the consolidated level.
The Board has proposed a fina l dividend of Rs. 5.50 per share for year FY'25. This is in addition to the interim dividend of Rs. 10.50 per share taking the total dividend for FY'25 to Rs. 16 per share compared to Rs. 13.50 per share for FY'24.
Over to Kirti Ganorkar who will share the performance of our India business.

Kirti Ganorkar: Thank you, Murali.
I shall take you through the performance of our India business:
Our India formulation sales for the full year FY'25 were Rs. 169,230 million, recording 13.7% growth over previous year. For Q4, the sales of formulation in India were Rs. 42,130 million, recording a growth of 13.6% over Q4 last year.
India formulation sales accounted for 32.9% of total consolidated sales for the quarter. Sun Pharma is ranked number one and holds 8.3% market share in over Rs. 2,259 billion Indian pharmaceutical market as per AIOCD

AWACS MAT March 25 report. Correspondin g market share for the previous period was 8%. For the quarter ending March '25, we grew higher than IPM and we have done well across all major represented therapy areas, primarily led by volume growth and new product introductions. As per SMSRC MAT Novemb er-February '25 report, we continue to be the number one brand company based on the prescription volumes. Sun Pharma is also ranked number one by prescription with 13 different doctor categories.
For Quarter FY'25, the Company launched 10 new products in I ndia. There are new products planned for future launch in diabetes and weight management space. During this month, Sun Pharma launched a corporate branding campaign. This is for the first time that we have launched a corporate branding initiative at this s cale. The campaign underscores Sun Pharma's roles in the lives of patients, caregivers, doctors, pharmacists, and communities, reaffirming its leadership in India.
Now, I will hand over call to Abhay.
Abhay Gandhi: Thank you, Kirti.
I will update on the performance highlights of our US business:
Our overall US business grew by 3.6% to $1,921 million for the full year FY25. The growth is driven by Specialty with all our growth products contributing like ILUMYA, CEQUA, WINLEVI and ODOMZO, but offset by a decline in generics for the full year.
In Q4, our overall sales in the US were $464 million, lower by 2.5% over Q4 of last year with growth in Specialty offset by a decline in generics. The generic business declined due to additional competition in c ertain products. The US accounted for over 31.4% of consolidated sales for the quarter. In Q4, we launched two generic products in the US.
I will now hand over the call to Mr. Shanghvi.
Dilip Shanghvi: Thank you, Abhay.
I will now provide an update on the performance highlights of our other businesses as well as give you an update on our R&D initiatives:

Our branded formulation revenues in emerging markets were $1,114 million for the full year, up 7% year -on-year. For Q4, sales in emerging markets was $261 million up 6.3% over Q4 last year. The underlying growth in constant currency terms was 11.5% year -on-year for Q4.
Emerging markets accounted for 17.6% of total c onsolidated revenue for Q4 . Amongst the larger markets in local currency terms, Romania, Russia, and Brazil have done well. Formulation revenues in Rest of World were $847 million, up 4.5% over last year. For Q4, Rest of World sales were $200 million, up 2% over Q4 last year. Rest o World markets account for approximately 13.5% of consolidated revenue.
In FY'25, our Global Specialty sales were up 17.1% to re ach $1,216 million . In Q4 Financial Year '25, our Global Specialty sales were up 8.6% to reach $295 million. Global ILUMYA sales for the year were up 17% to $681 million. This figure does not include end market sales of our partners.
We continue to invest in building an R&D pipeline for both the global generics and the Specialty businesses. Consolidated investments towards R&D for Q4 FY'25 stands at Rs. 8,116 million or 6.4% of sales. The Specialty R&D accounted for 36% o f our total R&D spen d for the quarter.
Moving on an update on Global Specialty:

There are a few changes in our clinical

pipeline. We are now seeking a partner for future development and commercialization of MM -II in certain geographies. This change is due to the strategic reassessment of our pipeline. We continue to believe in the potential of the product. Other change is that we are now planning a trial of GL0034 in type 2 diabetes as its first indication.
Sun Pharma has agreed to acquire Checkpoint Therapeutics, a company specializing in immunotherapy and targeted oncology. We are awaiting approval of that transaction and subsequent closing. Checkpoint has recently received approval from USFDA for UNLOXCYT for metastatic or locally advanced cutaneous squamous cell carcinoma and we look forward to leveraging our presence to accelerate patient's access to UNLOXCYT.
And lastl y, on the guidance of FY'26, we expect mid to high single digit consolidated topline growth for FY'26. For the current year, we are looking to invest approximately US $ 100 million additionally on commercialization of new Specialty product. This investment will enable us to significantly strengthen our Specialty business for the future. We now expect our FY'26 R&D spend to be 6% to 8% of sales for the next year.

Moderator: Thank you very much. We will now begin with the question and answer session. First question is from the line of Kunal Dhamesha from Macquarie Group. Please go ahead.
Kunal Dhamesha: Hi, good evening. Thank you for the opportunity. First question on the Gl obal Specialty sales growth for the quarter. This is after many quarter s we have seen a single digit topline growth in this business. And I think the quarter four base from last year was also a little lower because of the issues at United Healthcare. So is there any one off why we are seeing this kind of lower growth in this quarter? Because sometimes branded companies do see some rebate adjustment, etc. which could lead to this kind of growth. So any color there would be helpful.
Abhay Gandhi: I can only speak for the US, Kunal. But Jan and Feb typically are lighter months in the US because of change in the way the insurance resets happens. But otherwise, when I look at the prescription trends and the inventory trends that are there in the market, I am com fortable that our key brands will continue to grow.
Kunal Dhamesha: So any particular product that you want to call out or is it a broad base you said is more like a seasonality, Jan -Feb which would have paid off?
Abhay Gandhi: It's not really a seasonality, Kunal. It's more to go with insurance resets. No particular product that I can call out.
Kunal Dhamesha: Okay, sure. And second one on the 100 million additional spend that we are expecting this year to spend. The whole idea of getting more dermatology product s was to kind of reduce, gain more synergies of our front -end infra which is already in the place. I'm just a little bit confused as to why do we need such a big amount even if we launch two products in dermatology and derma onco which is something that we have already been doing for quite some time
Dilip Shanghvi : I think it's a question of looking at how other companies, even very large companies have a significant launch cost for new products. So once you study, I think this actually is a conservative number.
Kunal Dhamesha: Okay and sir this is launch cost so in the future it should basically moderate right that's the way we should look at it?
Dilip Shanghvi : Which is what I said is that we don't actually look at this as a cost we look at this as an investment and we ex

pect this to further help us strengthen our Specialty business.
Kunal Dhamesha: Great sir, thank you. I have more questions, I will join back the queue. Thank you.

Moderator: Thank you. Next question is from the line of Damayanti Kerai from HSBC. Please go ahead.
Damayanti Kerai: Hi, thank you for the opportunity. My question is on Leqselvi. So now, what are the plans for launch of this product in the US? If you can give us some timeline there?
Abhay Gandhi: So I think in the quarter two, we will be launching this product in the US.

Damayanti Kerai: Second quarter of this fiscal?
Abhay Gandhi: Yes.
Damayanti Kerai: Okay. And my second question is on your generic business in the US, where you mentioned there was some price pressure, etc. So two things, had it worsened compared to r ecent quarter in the base portfolio. And also if you can comment in the fourth quarter was Revlimid a significant contributor?
Abhay Gandhi: I will start with your latter question. I mean Revlimid sales in the Q4 was similar to Q3, and that was not very significant. On pricing, I think we have consistently said that it's product -specific thing, and nothing which I can speak to on a generalized basis. So product -specific, we continue to see pressure on pricing.
Damayanti Kerai: Okay. It's product -to-product and nothing we should read as part of the change in industry which might have happened on the pricing part.
Abhay Gandhi: There is not much which has changed as far as overall industry dynamics is concerned. Basically, it remains the same, that is what we have seen in the past.
Damayanti Kerai: Okay, thank you again.
Moderator: Thank you. Next question is from the line of Neha Manpuria from Bank of America. Please go ahead.
Neha Manpuria: Yes, thanks for taking my question. Abhay, first question on the Checkpoint asset. What should we think about from a timeline perspective for the launch of the product? Obviously, the deal needs to be completed, so will that be a launch probably in the later pa rt of the year?
Abhay Gandhi: I think we have to wait for the acquisition to go through all the clearance s. And before that, it won't be fair to give an answer on when we will launch. So I think we will actually wait for the processes to get over before I'm able to answer that question. Maybe on the next call, I will be able to.

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Neha Manpuria: Fair enough. That's clear. My second question is on the India business. We saw a fantastic grow th this year, given what the industry has been doing. Kirti, sir, when we think about next year, do we need to invest more in MR? Should the growth momentum that we have seen this year continue? Any color that we can provide on how we are thinking about th e India business and the investments there?
Kirti Ganorkar: No, I have been telling for the last couple of call s is we want to grow higher than the market. And that's the effort we are continuously putting quarter -after-quarter. So this year our growth i s at least 3% -4% higher than the market and the growth is coming from volume and new product. I strongly believe we have a good base and then the mome

ntum should continue but we can't predict what this growth will be in coming years. It's very difficult.
Neha Manpuria: And any MR expansion plans for the growth?
Kirti Ganorkar: No, it's like a strategic lever what we said whenever we had done expansion it has helped us to grow. Depending on the opportunity which may come, we will decide on the expansions.
Neha Manpuria: Got it. Thank you so much.
Moderator: Thank you. Next question is from the line of Anubhav Agarwal from UBS Group. Please go ahead.
Anubhav Agarwal: Yes. Hi, guys. One, just trying to understand this $100 million additional spend. So it will be multiple areas that we will be spending on. just checking, is there a dominant part that you guys will be spending on? So what I'm trying to ask is, you guys no t been doing TV ads right now? Would you start doing TV ads for the new one? Or how much of this, let's say roughly, is going in expanding the infrastructure on the ground? Let's say more sales force versus more promotion. So what will be a rough split of salesforce expense versus the promotions expense out of this $100 million?
Abhay Gandhi: The products that we are talking about are niche areas Anubhav . So they do not lend themselves to TV advertising clearly. So the promotion will be more with the HCPs as well as the patient advocacy groups. Later on as we evolve, we will keep evaluating what works best for the product.
Anubhav Agarwal: And Abhay the spend will be largely more tilted towards the promotion rather than adding more people on the gr ound?

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Abhay Gandhi: It will be a combination. There will be certain expenses related to optimizing the field force, looking at the target audience that we need to cover, and also looking at competitive dynamics and how your competitors are structured. Lar ge part will, of course, be the variable promo spend.
Anubhav Agarwal: Understood. And just la st clarity on this, and then I will move to second question. This is largely for the new products, right? For the existing business, that's
Abhay Gandhi: Sorry, I missed you. Can you repeat?
Anubhav Agarwal: The question is this $100 million spend is largel y for the new products that you'll be launching, the two products that you'll be launching. The existing Specialty business is on business as usual?
Abhay Gandhi: That's correct. This is only for the new launches.
Anubhav Agarwal: Okay, that's helpful. Second question is for Dilip bhai. I'm just trying to understand one thing that current manufacturing for the branded product is out, Sun doesn't manufacture directly, most of them, and gets them contract manufactured. So let's say th e tariffs, no one knows what number will come out for tariffs, but just trying to understand that how much, just as a process, how much time does it take if you need to shift manufacturing from outside US to US, from one contract manufacturer to the other contract manufacturer? So the question one is on time. Secondly, what's the harm in Sun Pharma already starting the process now, given what the US wants to do it, etc. So in terms of doing it later versus doing it now as a backup mechanism, just your thoug hts on that.
Dilip Shanghvi: No, I think it's a good suggestion. You have to keep one thing in perspective that Ilumya is a biological and transferring a biological product and giving the kind of quantities that we require is not something that is easy to identify a CDMO who can do that in the US. So, we are looking at it because it's not a question of where we feel finishe

d. We will have to manufacture the full product in the US, starting with the active substance.
Anubhav Agarwal: One part of the questio n was that if you were to do it, how much time does it take if you want to transfer the full product?
Dilip Shanghvi: I think both cost and time. I my view is that it will take at least 2.5 -3 years before the new source is approved by the agency. And it c ost a lot of money.
Anubhav Agarwal: Okay. Thank you very much.

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Moderator: Thank you. Next question is from the line of Shashank Krishnakumar from Emkay Global. Please go ahead.
Shashank Krishnakumar: Hi. Thanks for taking my question. My first question w as on Ilumya. I think our partner in Europe has commercialized 200 mg version there. Just wanted to understand the thought process and if we have plans to also sort of commercialize it in the US market?
Dilip Shanghvi: Abhay , you want to respond?
Abhay Gandhi: I think on the Europe part, you can, sir. In US, we are evaluating for the filing and then subsequently launching the product, but it will take some time.
Shashank Krishnakumar: Got it. And secondly, on MM -II, I think we have passe d Phase -2, and I think we also have a fast-track designation here. I just wanted to understand why we are looking to sort of enter into a partnership to commercialize this? Is it largely because it doesn't fall within a broader Onco -Derma framework? Or why this change in the commercialization strategy?
Dilip Shanghvi : No, I think you said it's right, is that it doesn't kind of fit immediately into a focus in the US. Because I think we further strengthening our presence in the Dermatology, we continue to look at opportunities in Ophthalmology .
Shashank Krishnakumar: Got it, sir. Thank you. That's it from me.
Moderator: Thank you. Next question is from the line of Vivek Agarwal from Citigroup. Please go ahead.
Vivek Agarwal: The question is related to Leqselvi, the launch seems to have been delayed by 3 -4 quarters because of the litigation, etc. So does anything change from this delay, let's say your expectations from this competitive dynamics or are your expectations on the pro duct are more or less same, let's you would have launched the product last year?
Abhay Gandhi: We still believe we have a competitive product. However, since the launch is delayed by, as I said, 3 quarters, I think the time to our expected peak will move a little . But I think the intent of the team will be to try and make up for that lost time by increasing the focus on the product and the investment on the product to try and mitigate it to the extent that we can.

Vivek Agarwal: Thanks, the second question is related to the recent acquisition on UNLOXCYT. So if I was looking at some of the competitive products, UNLOXCYT has a bit longer infusion, it is around 60 minutes. They don't have other indications, etc., While if you look a t some of the other competing products like Libtayo well - entrenched with the market, longer clinical history, wider indication, so just trying to understand why the prescribers would s hift to the new therapy UNLOXCYT, if you can help us un

derstand? Thank you.

Abhay Gandhi: Two ways of looking at the whole thing while you we were right that your competitors will have multiple indications and we will end up with only one indication. And that also means that we will be able to give our attention and time to one single indication and try and be the best we can in the arena that we compete in. It helps us focus also better. So you can look at it either way. We look at it of course clearly, but i t helps us focus better. Also don't forget in the same indication or rather with the same customer group, we have two other products that we go to. So we have familiarity with the customer groups. Some of course will be new to us, but we understand the s pace and that also helps.

Vivek Agarwal: Understood sir. And just a related question here, although you didn't launch the product yet, but is it pricing going to be one of the key differentiator because there is what I think the Checkpoint also indicated earlier that the product can be priced muc h lower compared to some of the other products that are in the market and can help a better market share? That's it.

Abhay Gandhi: How do you expect me to answer a pricing question when I haven't even decided the time of launch exactly? And transaction it self is not yet completed.

Vivek Agarwal: Understood, sir. Thank you. That's from my side.

Moderator: Thank you. Next question is from the line of Bino from Elara Capital. Please go ahead.

Bino: Hi, good evening. First question on Leqselvi, the patent litigation, as I understand, is ongoing. So to that extent, if we launch in coming second quarter, it would be sort of at risk of any damages if at all we lose the patent litigation. Am I right in th inking so?

Abhay Gandhi: Yes, that's true.

Bino: Okay. And second, this 100 million additional spends that you would do, how should we look at it? You will have a normal selling SG&A expense on which you will have a normal increase which happens every year. On top of that there will be an additional 100 million. Is that the way we can model it?

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Dilip Shanghvi : That's correct. I think we don't want only look at the normal expenses. We got to understand that there are significant launch related costs for these products and it needs to be factored. We don't want to negatively surprise investors afterwards.

Bino: And finally, there is a tax rate which has gone up significantly compared to last few years at 19% this year, consolidated leve l. Is that a new range we should look at for tax or is there some reason why it is high this year?

C. S. Muralidharan: So we have indicated in earlier communications also that the tax rates continue to inch or go up. Mainly due to this year, we have also said that utilization of the past losses we exhausted. That's one of the primary reasons for the increase in tax rate.

Bino: Okay, so practically this is roughly the range that we should expect going forward. Okay, thank you very much.

C. S. Muralidh aran: Bino, just one second. What I said is that it will inch up I said compared to the last year if you see our full year was 16.6, this year is 19.8. That's because of the tax losses it could inch up from the current level.

Bino: Got it. Thank you very much.

Moderator: Thank you. Next question is from the line of Girish from OrbiMed. Please go ahead.

Girish: Hi, thanks for taking my question. Abhay, just going back to the Checkpoint actually, I know the transition is yet to close, but what's the key di fference between the competition

, particularly Libtayo for this asset?

Dilip Shanghvi: I think broadly our understanding is that in the class it has possibly the safest side effect profile .

Girish: So, Dilip bhai, if I just actually ask a bit of generic question here, given this is PD -L1, others are PD -1. Is there a difference for clinicians materially? I don't know if it has been observed in a clinical setting or in other

cancers. Does that give a m aterial edge to your asset?
Dilip Shanghvi: We believe it does.
Girish: Okay. That's helpful. Second question was on the psoriasis market. I mean, I know Ilumya is going strong, but FY'27 -'28, given there will be full st eam Humira, full steam Stelara Biosimilar, what's your thought on, let's say, 3 years down the line to this asset ?

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Abhay Gandhi: It's an evolving situation, so we keep evaluating. And yes, my expression, which you can't see is similar to Dilip bhai, but whatever mode ling we have done so far, I mean, there will be an impact, but we think it will be a small impact and the product can continue to be a growth driver in the existing therapy as well as with the new indication that we will get.
Girish: Would biosimilars, let's say, impact differently in medical channel versus commercial directly ?
Abhay Gandhi: So it's a narrower competitive field. So to that extent it helps. Now how much is something that we need to continuously evaluate because the re is only so much that you can estimate with a great degree of certainty.
Girish: Right. Abhay, do you have any number like how much biosimilar conditions should there be, let's say, 3 years down the line from both these products?
Abhay Gandhi: I mean, I can't have a number which I can share with you.
Girish: Fair enough. Thank you so much.
Moderator: Thank you. Next question is from the line of Tushar Manudhane from Motilal Oswal. Please go ahead.
Tushar Manudhane: Yes, thanks for the opportunity, Sir just with respect to, firstly, on the R&D spend guidance of 6% to 8%, so does this factor the R&D spend, additional or higher R&D spend on the existing projects, or are we building new projects for the R&D spend basically? That's my first question.
Dilip Shanghvi: It includes everything. It does not include transactions that we have not done. If there is a transaction that we do in future during the year, then that can change the guidance. But this includes whatever that we have in the pip eline.
Tushar Manudhane: Got it. And sir secondly, with the growth in let's say branded markets of India, Emerging Markets, and the Specialty, and at the same time spending on the Specialty product, how to think about the EBITDA growth compared to revenue growth for FY'26?
Dilip Shanghvi: Generally, we don't give margin guidance. That is why because we felt that analysts would not have clarity about increased cost of launching the product, we give a specific number which helps the model but we don't give margin guidance.

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Tushar Manudhane: Okay, sir. Thank you.
Moderator: Thank you. Next question is from the line of Anubhav Agarwal from UBS group. Please go ahead.
Anubhav Agarwal: Ye

s, thank you. Just trying to understand the impact of new MFN l aws on Sun Pharma. So please help me understand if this is an important metric to look at. If on the Medicare side, would they look at price difference between Ilumya in the US and Ilumetri in Europe and then try to compare the two and ask you guys to let's say match those prices, one. That's first part of the question. Second, is there a material difference between the price of Ilumya and Ilumetri?
Dilip Shanghvi: I think we have to wait f or greater clarity on finally how this... because as I read it, it is kind of currently at a voluntary level. So we have no idea as to how it plays out. So we have to wait for greater clarity before we respond. To the question of the price difference betwe en the US and Europe, I think all the branded products will have significant difference in the prices between US as well as Europe. I mean this is not only our product, all the products. Only thing we have to keep in perspective is that it for any reason I don't understand but stock prices of big pharma companies have not changed.
Anubhav Agarwal: Just one technical clarity on this like Sun is selling Ilumya in the US but Sun technically is

not selling in Europe. So does it…?
Dilip Shanghvi: There are many issues that we can go into. So, till the time we have clarity on finally how the law is because this is just a what you call guidance document without specific how it will be implemented and on what condition, what provision. Because if you see the IRA wh en they wanted to implement, they gave a significant amount of time and very great level of clarity as to how, what, what is negotiation, how it will be done. So that level of clarity doesn't exist here.
Anubhav Agarwal: Okay, thank you, Dilip bhai. Second question is on R&D. So I'm talking not on the Specialty, but on the generic R&D here on the non -Specialty side. The absolute amount for Sun Pharma is largely similar in the last 4 years, somewhere about $230 million. Based on the focus of the company on t he Specialty side, how would you think about this absolute amount that the company is spending on the generic side? Would this absolute amount remain flattish? Go down from here because the focus on generic is reducing and as well as opportunities in the m arkets are reducing?

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Dilip Shanghvi: I mean generally I have said that there would be increase in the Specialty R&D. However, since we spend money as a percentage of our turnover, I am not expecting the absolute money spent on R&D for generics to go down.
Anubhav Agarwal: One question on the cash. So the company is carrying $3 billion cash is there. And almost generating more than a billion -dollar free cash flow. So all the acquisitions that you made so far in the last few years, they were less than the fr ee cash flow companies were generating and you not been using the cash pile . So just trying to understand here, what is eventual use, would someday you will end up doing a very large acquisition you will use the cash, otherwise your free cash flow is so large that you're not acquiring to that extent.
Dilip Shanghvi: I think we have always consistently maintained that we continue to look at acquisitions which will help us create value. Because any business that we acquire, should be able to run it signifi cantly better than the current owners. Or we should have significant potential synergies. Otherwise it will not justify the acquisition premium.
Anubhav Agarwal: So would you be look out for a

large equation at some point of time, not the timeline. But if you get an opportunity like that, even if it's a large platform, you would be able to…?
Dilip Shanghvi: Yes, with our Ranbaxy experience, we will also look at our ability to manage. Because anything that we do, should then be able to manage and manage it well. But size is not something which would kind of put us off. We are open to do it, but more important it has to be strategic. And multiple other, what I would call, checklists it needs to go through.
Anubhav Agarwal: Thank you very much for your respons e.
Moderator: Thank you. Next question is from line of Kunal Dhamesha from Macquarie Group. Please go ahead.
Kunal Dhamesha: Hi, thanks for the opportunity again. Couple of question on Unloxcyt. Abhay, would you say that Ilumya's current prominent case st andard in the US could also be the primary channel for Unloxcyt?
Abhay Gandhi: Sorry, I'm not clear on the question. Ilumya and Unloxcyt are in two different spaces.
Kunal Dhamesha: Right, but the p ayorr channels, let's say there are peer channels like Medicare Part B, Commercial Medicaid, right? So would you say that Ilumya's prominent channel would also be the Unloxcyt's primary channel for sale, given the…?

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Abhay Gandhi: There is some overlap, I think I would not want to characterize it as a same channel at all, because it will be a combination. There is a buy and b ill component, that is where you are going, but that will not be the only one.
Kunal Dhamesha: Sure. And secondly, since we have Levulan in the portfolio, which is for actinic keratoses, which is a precursor condition for the squamous cell carcinoma. Do you think does that also help us synergistically identify patients versus maybe competition?
Abha y Gandhi: Which is what I said when I answered a prior question by another of your peers., that

understanding the space and knowing the customers and the conditions will help us definitely. And that is why we are looking at more products in that space to strengthen our franchise as a whole.
Kunal Dhamesha: Sure. Thank you and all the best.
Abhay Gandhi: Thank you.
Moderator: Thank you. Next question is from the line of Saion Mukherjee from Nomura. Please go ahead.
Saion Mukherjee: Yes, hi. Good evening, sir. One question I have on the Specialty pipeline. This is regarding SCD -044 for atopic dermatitis and psoriasis. So are we expecting the topline data which is mentioned as first half of this calendar year, that means in the next one month or so?
Abhish ek Sharma : Sorry, which product?
Saion Mukherjee: SCD -044.
Abhishek Sharma : Yes, that's right.
Saion Mukherjee: Okay, and my second question would be on R&D spend. Assuming, you know, this data is, good and you want to start the Phase -3, when do you expect Phase -3 trials for this product to start? And have you sort of factored that sort of expense for Phase -3 in the R&D guidance for fiscal '26 or you think that comes up in fiscal '27?
Dilip Shanghvi: You're talking now, continue to talk of SCD -044?
Saion Mukherjee: Yes, that's right sir. I mean assuming, once we get the data…

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Dilip Shanghvi: I think as a process what we have done is what you call it evaluated all potential studies that we will either we are ongoing or which we will start during the year and how much we can spend during the year as a part of the guidance.
Saion Mukherjee: Alright sir, are these phase 3 studies very expensive? Can you give some color? If you can give some idea about the quantu m of spend if you have to do phase 3 studies for these assets?
Dilip Shanghvi: I mean, general answer would be these are long studies and expensive studies. Specific number till we have the negotiation because we have to power the study. For that we have to understand the Phase -2 data with a view to understand how to power. So all of that will help us in designing the study and that. So till we have that clarity, we will not. We would have taken some indicative number for all potential studies which are li kely to be started. But some of them will be and that is the reason why we have this 6% to 8% guidance.
Saion Mukherjee: Got it, sir. Thank you.
Moderator: Thank you. Next question is from the of Vivek Agarwal from Citigroup. Please go ahead.
Vivek Agarwa l: Hi. Thanks for the opportunity. Now, if you look at the current US administration is talking and also focusing a lot on reducing the role of middleman, PBMs, etc. So how do you see this move? Do you see improvement in access of some of the products lik e Ilumya, Cequa etc. where I think there is a lot of scope as far as the improvement in commercial segment? Thank you.
Abhay Gandhi: I think the answer will be similar to what Mr. Shanghvi answered when it comes to MFN. There are no specifics at this mome nt. So on the ground, no changes.
Vivek Agarwal: Understood, sir. Thank you. That's all from my side.
Moderator: Thank you. Next question is from the line of Kunal Lakhan from CLSA. Please go ahead.
Kunal Lakhan: Yes, hi. Thanks. Good evening. Just on th e MFN again, I know you said there's no clarity there on how it will be implemented. But just in the event that it does get implemented, what proportion of the US business would be impacted by this? Will it be like the entire US Specialty portfolio or some part of it?
Dilip Shanghvi: I mean, there is no clarity only. Whether it will apply to Medicare, Medicaid or it will apply to Commercial. So when there is no clarity, how can we give any idea?

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Kunal Lakhan: Okay, alright.
Dilip Shanghvi: I mean there is a statement if you say which says that patient can get access. I don't know how a patient will get access till there is a method by which a patient can claim reimbursement from the insurance

company because doctors have a way by which they can cla im reimbursement for products in the formulary. So how will this process work? There has to be some clarity.
Kunal Lakhan: Understood sir. On the investment of 100 million for launch of new products, what would this number have been in FY'25?
Dilip Shangh vi: This we are guiding for extra cost.
Kunal Lakhan: I get it, but is there a similar number in FY'25 that was embedded which you have not separately indicated?
Dilip Shanghvi: No, we didn't launch any important product last year.
Kunal Lakhan: Sure, understood. Also, any color or any expectation that you have on the tariff side, where those discussions are heading?
Dilip Shanghvi: We have no idea, I think. So we have to wait for clarity to emerge.
Kunal Lakhan: Alright, thank you so much.
Dilip Shanghvi: Thank you.
Moderator: Thank you. Next follo

w -up question is from the line of the Damayanti Kerai from HSBC. Please go ahead.
Damayanti Kerai: Thank you for the opportunity again. My question is for Ilumya for psoriatic arthritis indications. An d already just mentioned topline data expected in second half of this calendar year. So just want to check earlier you mentioned that there were some delays in patient recruitment, etc. So all those have been covered and you are now on track to release dat a?
Dilip Shanghvi: Yes, that's the disclosure, correct. Okay and if you see it took a long time so from a typical Phase -3 study we should have done this much earlier.

Damayanti Kerai: Okay, and this data will that be sufficient for you to file to the USFDA for this indication?
Dilip Shanghvi: Yes, that's the idea.
Damayanti Kerai: Okay, that's helpful. My second question is an emerging market. So again, the business is above USD 1 billion. So can you comment on its profitability? Like how does it loo k compared to the corporate average?
Dilip Shanghvi: I mean what is the question?
Damayanti Kerai: I just want to understand the profitability profile of your emerging market business in comparison to the corporate margin labels like how does it look bet ter lower or broadly on par?
Dilip Shanghvi: I think it's a very profitable business.
Damayanti Kerai: Okay and you have like few big markets which you read out in your comment earlier, so those are the focus markets for you or do you have plan to look into some newer market as well?
Dilip Shanghvi: No those are the, we have 1 or 2 additional focus markets but otherwise these are the major markets.
Damayanti Kerai: Okay, thank you. That's helpful.
Dilip Shanghvi: Thank you.
Moderator: Thank you. Next question is from the line of Kunal Dhamesha from Macquarie Group. Please go ahead.
Kunal Dhamesha: Hi. Thank you for the opportunity again. Just one on the Nidlegy, our foray with the Checkpoint, is there any change in thinking about this product for the US market? Because it kind of fills the gap on the melanoma skin cancer?
Dilip Shanghvi: I think we are evaluating its attractiveness for the US because they are doing t wo separate study, one for Europe and one for U S. So it is different timelines.
Kunal Dhamesha: And one follow up question on the Ilumya pricing where you suggested that any branded product the pricing in US would be higher than the other developed markets. But let's say average out of pocket

Sun Pharma Q 4 FY25
Earnings Call Transcript
06:30 p m May 22, 2025

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cost for Ilumya in US would be meaningfully lower than the other developed market prices for Ilumy a or our pocket cost will be higher than the other developed market prices for Ilumya?
Dilip Shanghvi: Your question is whether out of pocket in US is higher than the market price of the other countries or what is the question?
Kunal Dhamesha: Yes, that is the question.
Dilip Shanghvi: How can that be? There will be no sale in case if people have to pay that kind of money in the US. Abhay, I think you can clarify but that's my understanding.
Abhay Gandhi: I mean, it cannot be, you know. There will be no space. I mean, except on uninsured patient , that

kind of money nobody pays out of pocket. Otherwise, for a particular product that is the scenario then the doctors and patients will shift to something else.
Kunal Dhamesha: Then practically MFN in its cur rent form is only for uninsured patient is what we can conclude, right?
Dilip Shanghvi: No, we can't conclude anything. think that's the reason. I think let's not try to read more than what we know. I think there will be greater clarity as time progresses .
Kunal Dhamesha: Sure. Thank you, sir.
Moderator: Thank you. Next follow up question is from the line of Tushar Manudhane from Motilal Oswal. Please go ahead.
Tushar Manudhane: Thanks for the opportunity again. So just with respect to this, the charge of $37 million with respect to national prescription opiate litigation, so is that what the overall amount will be paid or is there something more to be done in the coming quarters?
C. S. Murlidharan : So this is the substantial amount that has all been provided in the books.
Tushar Manudhane: Okay. And also if you could just clarify this 11 million while small amount, but still that is gone for the integration and restructuring of operations in US. This is if you could just elaborate a bit on this?

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C. S. Muralidharan : 11 million, you're talking about the exceptional item? So that is regarding the Taro and Concert integration related expenses.
Tushar Manudhane: Thank you, sir. That is it from me.
Moderator: Thank you. Next question is from the line of Dhawal from Jefferies India. Please go ahead.
Dhawal: Hi, sir. Thank you for taking my question. So just wanted to check on Unloxcyt. Does Keytruda patent expiry in coming years, will that significantly impact the market dynamics once that event occurs? That's the first question. Second, on the guidance for past several years, we have done high single to low double digit. And for this year, it's lower than what we have done. India clearly, we have sort of, we are doing wel l and we are looking to outperform the market. So it kind of indicates that there is a slowdown in the Global Specialty or the ROW and EM markets. So will that be the correct interpretation?
Dilip Shanghvi: No, I think the correct interpretation is high l evel of global uncertainty. Because today if you look at currency fluctuations of rates in different geographies, it is very difficult to predict and we disclose part of it in constant currency growth, which sometimes is significantly different from actual growth that financially we are able to grow. I think overall we are operating from a view that businesses are well positioned to continue to grow. I think Abhay, would you answer a bout Keytruda and Unlox cyt, what was the impact?
Abhay Gandhi: Yes, sure. what I would say is that our indication is only one of the indications for Keytruda. in acquiring the product and building up our business case, the patent expiry of the competition has been factored in and we still feel that the product can bec ome a meaningful contributor to our Specialty business in the US.
Dhawal: Thank you.
Moderator: Thank you. Next question is from line of Saion Mukherjee from Nomura. Please go ahead.
Saion Mukherjee: Thanks for the follow up. Is there an update on Mohali and Halol sites as far as FDA issues are concerned? And have the supplies from Mohali completely normal at this point?
Dilip Shanghvi : I think we have disclosed that we have requested FDA to audit Halol, they have to decide. I think most likely this may be a surprise audit, so we don't know

when they are likely to audit. Mohali as well as Dad ra
I think we have not yet requested them because some of the ongoing remediation they have to be completed in our view so that we can then request for an audit. So when we will do that, we will disclose.

Saion Mukherjee: Got it, sir. And my second questio n, on this Specialty product, Fibromun, for soft tissue sarcoma and glioblastoma, can you give us some timeline as to what we should sort of look forward to over the course of the next year or next two years? What are the key milestones and timeline around that?
Dilip Shanghvi : So at this point I don't want to give something, but I understand that there is an interest in trying to get a greater clarity. So we will try and see what we can share.
Saion Mukherjee: Okay, thank you.
Dilip Shanghvi : Thank you.
Moderator: Thank you. Next question is from the line of Vishal from Systematix Group. Please go ahead.
Vishal: Good evening and thanks for the opportunity. On MM -II wanted to understand whether this is a device or a drug and wh at would be the Phase -3 timelines like how long that can take for it to be commercialized?
Dilip Shanghvi: It is treated as a drug in many geographies. In Europe, is treated as a device. The typical timeline would depend on what kind of studies the regula tor will ask and whether there would be a requirement at least to cover a large number of subjects. So it's all the function of finalizing the protocol with the agency to decide on the time required first completing the study.
Vishal: So since like assumi ng like if this is as you said it's a device for European regulators does that mean the size of the trial can be lower or the duration of the trial can be lower or that doesn't matter?
Dilip Shanghvi: No size of the trial would be lower in case if it's tr eated as a device. But I think our interest would be to register it as a... I mean my understanding is that the product attractiveness comes on if it's approved as a drug in some of the geographies.
Vishal: Okay. And just one final one on semaglutide would we look to commercialize that in our focus emerging markets?
Dilip Shanghvi: Yes, I think that's the plan.
Vishal: Okay. Thank you. That's all from my side.
Moderator: Thank you. Next question is from Viv ek Agarwal from Citigroup. Please go ahead.

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Vivek Agarwal: Hi. Thanks. Most of the questions have been answered. Just on generic business, in FY'25, we have seen a decline. So how to see the generic business panning out in '26? This will effect to grow th is business in '26, how to look at it? Thank you.
Abhay Gandhi: I think when we are able to get our plants in compliance, that will help them gradually improving the profile of the generic business.
Dilip Shanghvi: Otherwise our overall guidance is factoring all the potential for all our businesses.
Vivek Agarwal: I understood sir and on Revlimid, right, the product was not there, significant in this quarter, previous quarter, so do you expect this drug to reflect in some of these products or is it more or less done for you?
Dilip Shanghvi : No, I think it is included like

what I said in our overall guidance.
Vivek Agarwal: Okay sir, thank you. That's all from my side.
Moderator: Thank you. Next question is from the line of Madhav from Fidelity International. Please go ahead.
Madhav: Hi, first question is on the sales growth guidance. I think you have said the mixed single digit to high single digits, we are being a bit conservative because of global uncertainty and it seemed like it was linked more to the FOREX volatility potentially that may or may happen. Is that what we referring to or is it some other uncertainty that we are referring to?
Dilip Shanghvi : I think so many open issues, you see if you see tariffs, you see fluctuations in global currency rate fl uctuations. So all of that I think it's better to be realistic about our ability to manage and our getting impacted by things which are not in our control. So our effort is not to kind of get into a situation where we give justification of what we can't ac hieve.
Madhav: But like you yourself mentioned that on the tariffs, MFN, there is actually lack of clarity. So I don't think anybody knows how it finally comes in. So this seems like you're being just conservative rather than knowing any actual impact, ri ght? Is that how we should think about it?
Dilip Shanghvi : No, I think what you should think is that it is wise at this point of time not to take a stretch objective.

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Madhav: Okay, got it. And sir the second question was just on the $100 million spend for the new Specialty launch in FY'26. Given it seems like it's more of a launch expense, is this something which is a recurring expense, or this is the kind of spend we usually have when we launch the product and then it reduces, or this is going to be more for recovery expense in the future years as the product scales up?
Abhay Gandhi: So I think you have to look at it in 2 ways. The year also will be a partial year for the launch of the two products. Some are very initial upfront expenses and some will be recurring . Now, I haven't done the budgeting for next year, so I don't know how it will shape up. But any launch will have an upfront and then a certain recurring also. For example, if you take a field force , if I have an X number of people, then a recurring expense, but for the year it will be only shown as partially. So it's a combination. How the next year would shape up, I think we will give probably a new number when we reach that stage if th ere is a r equirement. But I think specifically this 100 million we are calling out so that it can go into your factoring and your modeling because it is not something that we have seen in the past.
Madhav: So the expenses related not to the salesforce but I think y ou mentioned HCP and patient advocacy groups related expenses…
Abhay Gandhi: What I said is the combination of all of them.
Madhav: Okay, understood. Thank you.
Moderator: Thank you. As there are no further questions, I will now hand the conference over to Dr. Abhishek Sharma for closing comments.
Abhishek Sharma: Before we conclude the call, we would like to share an organizational update. Ms. Jayashree Satagopan has joined Sun Pharma and will assume her role as Global Chief Financial Officer effective from 1st of July. Concurrently, Mr. C. S. Muralidharan will be superannuating from this role. On this occasion, we extend our sincere appreciation to Mr. Muralidharan for his unwavering commitment and distinguished leadership throughout his tenure with Sun Pharma. Thank you and have a good day.
Dilip Shanghvi

: Thank you.
Moderator: Thank you very much. On behalf of Sun Pharmaceuticals Industries Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Sep 2025

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Q1 FY26 Earnings Call Transcript

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed herewith a copy of the transcript of the Company's Q 1FY26 earnings conference call, which we shall be uplo ading on our website after sending this letter to you.
This is for your information and record.

For Sun Pharmaceutical Industries Limited

(Anoop Deshpande)
Company Secretary and Compliance Officer
ICSI Membership No.: A23983
Sun Pharma Q 1 FY26
Earnings Call Transcript
06:30 p m July 31, 2025

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Corporate Participants

Dilip Shanghvi
Chairman & Managing Director, Sun Pharmaceutical Industries Ltd.

Kirti Ganorkar
CEO (India Business) & MD Designate , Sun Pharmaceutical Industries Ltd.

Aalok Shanghvi
Chief Operating Officer , Sun Pharmaceutical Industries Ltd.

Jayashree Satagopan
Chief Financial Officer, Sun Pharmaceutical Industries Ltd.

Richard Ascroft
CEO (North America), Sun Pharmaceutical Industries Ltd.

Moderator: Ladies and gentlemen, good day, and welcome to Sun Pharma's Q1 FY'26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand th e conference over to Dr. Abhishek Sharma – Vice President and Head of Investor Relations and Strategic Projects. Thank you and over to you, sir.

Abhishek Sharma: Thank you. Good evening and a warm welcome to our first quarter FY'26 Earnings Call. I am Abhi shek from the Sun Pharma Investor Relations team. We hope you have received the Q1 Financials and the press release that was sent out earlier in the day. These are also available on our website.

We have with us Mr. Dilip Shanghvi – Chairman & Managing Dire ctor, Mr. Kirti Ganorkar – CEO, India Business & MD Designate, Mr. Alok Shanghvi – Chief Operating Officer, Ms. Jayashree Satagopan – CFO and Mr. Richard Ascroft – CEO, North America.

Today, the team will provide an update on the financial performance and business highlights for the quarter, pipeline updates and respond to any questions that you may have.

Before we begin the call, I wanted to bring to everyone's attention that from this call, we have renamed Global Specialty as Inn ovative Medicines Business. W

e will refer to the consolidated financials for the management
committee. The call recording and call transcript will also be put up on our website shortly.

The discussion today might include certain forward -looking statements and these must be viewed in conjunction with the risks that our business faces. You are requested to ask two questions in the initial round. I also request all of you to kindly send in your questions that may remain unanswered today.

I will now hand over t he call to our CFO, Ms. Jayashree Satagopan .

Jayashree Satagopan : Good evening. Welcome and thank you for joining us in this earnings call after the announcement of the financial results for the first quarter of FY'26. Our Q1 financials a re already with you.

Sun Pharma Q 1 FY26
Earnings Call Transcript
06:30 p m July 31, 2025

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Let me take you through the consolidated financial summary for the company. Sales for the first quarter of FY'26 stood at Rs. 1,37,861 million, registering a growth of 10.1% over the last year. Gross margin was favorable aided by lower material cost due to better product mix and a higher share of sales from the Innovative Medicines.

EBITDA for the quarter was Rs. 43,017 million, recording a growth of 19.2% over the previous year. EBITDA margin percentage for the quarter was 31.1%. Profi t before exceptional items and tax stood at Rs. 39,908 million, registering a year -on-year growth of 16.6%. During the quarter, exceptional items accounted for Rs. 8,180 million, primarily towards impairment of SCD -044 and GXMDL settlement. Netting of the provisions in the books for part of the GXMDL settlement, the balance amount has been accounted during the quarter.

Effective tax rate for the quarter was 24.3%, vis -à-vis 16.1% in Q1 FY'25. Adjusted net profit for the quarter was

Rs. 29,961 million, which is up by 5.7% from the corresponding period in the last year. Reported net profit for the quarter was Rs. 22,786 million after the exceptional items compared to Rs. 28,356 million for Q1 FY'25. Forex gain during this quarter was Rs. 2,290 million and this compares to a loss of Rs. 505 million during the same period last year. Other income during the quarter was Rs. 4,645 million lower than last year, which included interest on income tax refund during the first quarter of FY'25.

Our balance sheet continues to be strong, with a net cash position of $3.1 billion at the consolidated level, which is invested in Board approved securities and is earmarked for future investments. Adjusted EPS for the quarter was Rs. 12.50 per share.

With this, I would like to hand it over to Kirti, who will share the performance of our India business.

Kirti Ganorkar : Thank you, Jayashree. I shall take you through the performance of our India business. For Q1, the sales of formulation in India were Rs. 47,211 million, recording a growth of 13.9% over Q1 last year. India formulation sales accounted for 34.2% of total con solidated sales for the quarter. Sun Pharma is ranked No. 1 and holds 8.3% market share in over Rs. 2,302 billion Indian pharmaceutical market as per AIOCD PharmaTrac MAT June 2025. Corresponding market share for the previous period was 8%. For the quarter ending June 2025, we grew higher than IPM and we have done well across all major represented therapy areas.

We are happy to note that on a MAT basis, the sales growth has been led by volumes and new product launches versus the IPM growth, which is predomi nantly price -led. As per SMSRC Mar -June 2025 report, we continue to be the No. 1 brand company based on the prescription volume. Sun Pharma is also ranked No. 1 b

y prescription
with 13 different doctor categories. For Q1 FY'26, the company launched 5 new p roducts in India. I will now hand over call to Rick for the update on the US business.

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Richard Ascroft: Thank you, Kirti. I will provide an update on the performance of our US business. Our overall US business grew by 1.4% to $473 million for the quarter. This growth is driven by our innovative medicines portfolio with all of our growth products contributing including Ilumya, Cequa, Winlevi, and Odomzo, but offset by decline in our generics business due to additional competition in certain products. The US accounted for 29.3% of consolidated sales for the quarter. In Q1, we launched 4 new generic products in the US. Earlier this month, Sun Pharma announced the launch of Leqselvi in the United States for the treatment of severe alopecia areata. This launch ma rks a major milestone towards strengthening our innovative medicines portfolio. Leqselvi represents a new and effective treatment option in the US for severe alopecia areata, benefiting eligible patients, healthcare providers, and the broader healthcare sy stem.

We also announced Sun Pharma's settled patent litigation with Incyte relating to Leqselvi, which removed the overhang of litigation from the product launch. I will now hand over the call to Mr. Shanghvi.

Dilip Shanghvi: Thank you, Rick. I will provide an update on the performance highlights of our other businesses as well as give you an update on our R&D initiatives. Our branded formulation revenues in emerging markets were $298 million, up by 5.1% over Q1 last year. The underlying growth in constant currency terms was 4%. Emerging markets accounted for 18.5% of total consolidated revenue for Q1. Amongst the larger markets in local currency terms, Romania, Russia, South Africa have done well.

Formulation revenues in th e rest of the world were $219 million, up 15.5% over last quarter FY'25. Rest of the world markets account for approximately 13.6% of consolidated revenue. In Q1 FY'26, our global innovative medicine sales were up 16.9% to reach $311 million. We continue to invest in building a n R&D pipeline for both the global generics and the innovative medicine businesses. Consolidated investments towards R&D for Q1 FY'26 stand at Rs. 9,029 million or 6.5% of sales. This includes a charge of Rs. 1,362 million on account of SCD -044 which is reflected in exceptional items. Sun Pharma discontinued clinical trials of SCD -044 and has no further plans for development of SCD -044. Excluding the charge, R&D expenses for the quarter stood at Rs. 7,667 million or 5.6% of sales. Inn ovative R&D accounted for 41% of our total R&D spend and stands at 11.8% of the global innovative medicine sales for the quarter after excluding exceptional charges.

Moving on to updates on global innovative medicines, Sun Pharma's two Phase -III clinical s tudies evaluating Ilumya in active psoriatic arthritis met their primary endpoint. These results support the potential regulatory submission of Ilumya in the US and in other markets. During the quarter, our partner Philogen decided to voluntarily withdraw the application for marketing authorization to the European Medicine Agenc y for Nidlegy. They plan to refile the application at an appropriate time when they have the requisite information. Sun Pharma has completed its acquisition of Checkpoint Therapeu tics. The acquisition adds UNLOXCYT to Sun Pharma's innovative portfolio. UNLOXCYT is the first and the only FDA approved PD -L1 treatment for advanced cutaneous squamous cell carcinoma. We are planning to launch UNLOXCYT in the US in the second half of FY'26.

Abhishek Sharma: That ends the readout. Operator, if we can open the queue for Q&A.

Moderator: Sure. Thank you very much. We will now begin the question and answer session. The first question is from Kunal Dhamesha from Macquarie. Please go ahead.

Kuna l Dhamesha: Hi, thank you for the opportunity and good evening. The first one on the Ilumya successful trial on PSA. Could you provide some timeline? I know it's at a filing stage, but how should we look at when the filing could happen and then when can we expect, you know, what is the potential timeline here for the developed markets like US, Europe? And also if you could provide some data points in terms of the proportion of patients reaching ACR 20, 50 or 70 at week 24, that would be great.

Dilip Shanghv i: Yes, the plan is to present the data or publish the trial result in a reputed journal before we start publicly talking about the data. And I think the regulatory team is working with the CRO to ensure that as soon as we have all the requisite information b ecause we have currently only the topline data, but once we have the requisite information for filing, the plan is to file. Hopefully, we should be able to file the product before the end of this calendar year. But that's not something that I am 100% sure about, but that's the plan.

Kunal Dhamesha: Sure, thank you for that. And the second question is regarding, we had suggested that there would be incremental costs related to launch of LEQSELVI and UNLOXCYT in FY'26, which we had pegged at around $ 100 million. So, have we seen that impact in this quarter and will it be more spread across the quarters or will it be high at the time of launch and then comes down from there on?

Dilip Shanghvi: So, in addition to the actual cost outgo, there will also b e amortization of the cost of the acquisition and that will start only when the product is in market. So, we will see Leqselvi from this quarter. But I think our estimation is that the overall cost of 100 million, we will be sustaining during the year. You don't see that much in the first quarter, but it will start coming.

Kunal Dhamesha: So, just a clarification. So, this 100 million includes both the cash and amortization charge or it's just the spending and then amortization would be separately?

Dilip Shanghvi: No, I think it will be the direct cost 100 million. Amortization will be separate.

Jayashree Satagopan : Amortization will be factored in our guidance that we have given.

Dilip Shanghvi: But we don't give profit guidance .

Jayashree Satagopan : No, we don't give. But overall, we told…

Kunal Dhamesha: Sure. Thank you. I have more questions, I will join back the queue.

Moderator: Thank you. Next question is from Neha Manpuria from Bank of America. Please go ahead.

Neha Manpuria: Thanks for taking my question. My first question is on Leqselvi. Now that we have launched the product, how should we look at, I mean, what would be the key milestones in terms of traction of the product

?

Because if you look at the ot her two competing products, we have seen very different trends from IQVIA in terms of the prescription trends. If you can just help us in terms of when you think we get to a point where we are comfortable with formulary coverage, how much time would that t ake roughly?

Dilip Shanghvi: Rick, would you like to respond?

Richard Ascroft: Yes. So, we just launched Leqselvi a couple weeks ago. We are very encouraged by the early results. We have seen good receptivity with healthcare professionals and patients with our messaging. We already have patients that are going through our hub, which is our support program. And we already have our initial commercial prescriptions. We are in ongoing discussions with payors , which have been very positive. And as I said, we are encouraged by what we have seen with the first two weeks in the market.

Neha Manpuria: And Rick, in your view, when do you think this starts converting into revenue contributions, once you see that formulary coverage, would it take usually nine months? Would it be a year out? Or, you could start seeing contribution much faster than that, from a revenue ramp up perspective?

Richard Ascroft: If we plan, we will see some impact this year, this fiscal year.

Neha Manpuria: Understood. My second question is on the ROW market. That seems to have seen a very strong growth in the quarter. Is there anything, any milestone income, anything in that number or the growth that's strong in the ROW market?

Richard Ascroft: Could you repeat the question?
Dilip Shanghvi: No, I think she's asking about the rest of the world market. So I think the overall, there's no specific event that I can point to. But there may be some one time sales, which m ay also be responsible. But the overall guidance that we have given includes the performance of the emerging markets and the rest of the world markets.
Neha Manpuria: Understood. I am sorry if I could squeeze in one more question. On the MFN, based on your discussion, what is the sense of the likelihood of Ilumya getting included in the demonstration project and therefore negotiations on that? Any color on that?
Dilip Shanghvi: Yes, maybe Rick, you can respond because I am away from market that way.
Richard Ascroft: Yes, I would say we have no further information on the MFN executive order. We have not had any dialogue with the government. We have not been contacted with respect to any products in our portfolio.
Neha Manpuria: Understood. Thank you so much.
Moderator: Thank you. Next question is from Damayanti Kerai from HSBC. Please go ahead.
Damayanti Kerai: Hi, good evening and thank you for the opportunity. My question is in the U.S. market. So while we are still waiting for the details, official d etails to come on the tariff part, but from your side, do you have any thought about improving your manufacturing footprint in the U.S.?
Richard Ascroft: Maybe I can start. We actually have a significant footprint in the United States already. And at this time, we have no plans to move further manufacturing to the U.S.
Damayanti Kerai: If you can indicate broadly what percentage of sales come from your U.S. plant at this point of time, that will be helpful.
Abhishek Sharma : That we don't disclose, Damayanti.
Damayanti Kerai: Okay. But you think the current capacity is good enough for you in case you need to onshore manufacturing and you have no immediate plan to add on here?
Dilip Shanghvi: Yes, I think that would be the right assumption.

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Earnings Call Transcript
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Damayanti Kerai: Okay. And my second question is on the Revlimid opportunity. So does 1Q number reflect meaningful contribution from that product? And if you can also comment on the pricing for that product?
Richard Ascroft: I would say our generics busine ss faces up and downs quarterly due to lenalidomide. If we remove that impact, the U.S. generic business is down quarter -over-quarter and year -over-year. We do see continued pricing pressure for lenalidomide.
Damayanti Kerai: Okay. But does 1Q has signific ant contribution from that product?
Abhishek Sharma: Yes. So Damayanti, Q1 lenalidomide sales were moderately higher versus Q4. Moderately.
Damayanti Kerai: Moderately higher. Okay. Thank you. That's helpful. I get back in the queue.
Abhishek Sharma: Thanks.
Moderator: Thank you. The next question is from Bino Pathiparampil from Elara Capital. Please go ahead.
Bino Pathiparampil: Hi. Good evening and good morning. A couple of questions. One, Dilip bhai, were you happy about the topline results from the Ilumya Psoriatic Arthritis study or could it have been better? I am asking this because we have seen the ACR20 numbers which have come fine. But in ACR50 and 70 maybe didn't show much improvement.
Dilip Shanghvi: So I think when you look at the nu mbers, you also need to look at dosing. What we have in no induction dosing as well as only two injections. So I think it's a very good result considering the dose and the overall safety profile. The doctors with whom we have discussed understand the produ ct because it's a class that they are familiar with. So we are comfortable with these numbers.

Bino Pathiparampil: Understood. Yes. And just a question on the one -off settlement that you have done. There was this $200 million settlement of Taro. From your footnotes, I understand that you have recognized trading about $62 million in this quarter in Q1. So should I assume that the balance would be recognized in Q2, Q3, etc. as an exceptional item?
Jayashree Satagopan : Let me take this question. Out o f the $200 million, we were carrying a provision for part of it in our books from prior years. So netting of that, the balance has been fully accounted in this quarter and therefore we would not see any further exceptional item on this account in the forth coming quarter.

Bino Pathiparampil: Got it. Thank you. I will join back the queue.
Moderator: Thank you. Next question is from Shashank Krishnakumar from Emkay Global. Please go ahead.
Shashank Krishnakumar: Hi, thanks for taking my question. My first ques tion was on the domestic business. I think this quarter we have seen a 14% growth on a relatively higher 1Q base. And last few quarters, also if I look at our growth rates, it's not a significant divergence but a marginal divergence versus what secondary s ales growth trends would indicate. So I just wanted to understand if the OTC portfolio is now becoming a major part of our domestic piece and probably there are a few sales channels which are not getting captured. Is it what is driving this marginal growth divergence versus what we see in secondary sales trends?
Kirti

Ganorkar : The majority of the growth is coming from prescription business. It's not from consumer business.
Shashank Krishnakumar: Okay, got it. So my second question was, again, last quarter we had indicated that we are looking to launch a few new products in the diabetes and weight loss management space in the domestic market going forward. Just wanted to understand how this will sort of reshape th e income and treatment regimen, particularly for diabetes. Because while the incremental opportunity size probably is being talked about, just wanted to understand how the current standard of care treatment could get disrupted when some of these new launch es come in starting next year?
Kirti Ganorkar: You're talking specifically of GLP -1 or?
Dilip Shanghvi: GLP -1 effect on existing products. So, I think if you look at that way globally, there's a lot of experience about the impact of GLP -1 on sale of existi ng product, both DPP -4 as well as SGLT -2. So we haven't seen any significant degrowth in those. As a matter of fact, post -generics, I think there is an increase only. So I think if that is repeated in India, there should be no problem.
Shashank Krishnakumar: Got it, sir. Thank you. That's it from my side.
Moderator: Thank you. The next question is from Surya Narayan Patra from PhillipCapital. Please go ahead.
Surya Narayan Patra: Thanks for this opportunity, sir. Taking the GLP point further, cou ld you give some sense about your participation in the first wave of commercialization of GLP product in Canada and Brazil?
Dilip Shanghvi: I think Maybe Alok, you want to respond, but I don't know whether we share this information.

Kirti Ganorkar : I think Canada, Brazil, we have not shared the information, but what I can share is about in India, we will be in the first wave of launch. So we are all working in that direction so that we come first to the market.
Surya Narayan Patra: Thank yo u. This is useful. Dilip sir, My second question was about the cash deployment that you are having in the annual report that you have mentioned. So in the recent past, much of the investment, what we have done, it is towards the specialty portfolio. And th is time that you are also indicating about your interest beyond that. So could you give some clarity about that? Which are the areas that you would be interested in spending and all that?
Dilip Shanghvi: No, I think we have indicated that we will continue to look for opportunities to strengthen our product portfolio in three therapy areas that we are interested in; Ophthalmology, Dermatology and Onc/Derm.
Surya Narayan Patra: Okay. And irrespective of the market?
Dilip Shanghvi: What is that?

Surya Narayan Patra: Irrespective of the market, not necessarily U.S. or India?
Dilip Shanghvi: Yes, I mean, generally, this asset is easier to do a global deal.
Surya Narayan Patra: Okay. Sir, I was just looking at the China development also. We know that we have Ilumy a, Ilumetri there through partner, but we have now created our own subsidiary also. If you can add some color to that, those kind of development and interest?
Dilip Shanghvi: No, I think it's an option that we are creating without any specific plan at this point.
Surya Narayan Patra: Okay. Thank you. I have a couple more. I will join in the queue.
Moderator: Thank you. Next question is from Vishal Manchanda from Systematix. Please go ahead.
Vishal Manchanda: Yes. Thanks for the opportunity and good evening, everyone. With respect to generic Revlimid, we are

almost halfway through into CY'25. And there are two quarters to go before the exclusivity expires. So is it fair to assume that you would have sold 50% of your allocated volume quota for the year?
Richard Ascroft: No, we don't provide product specific guidance.

Vishal Manchanda: Okay. So, do we expect our U.S. formulation run rate to improve from here in the coming quarters?
Richard Ascroft: Again, we don't provide that level of guidance.
Vishal Manchanda: Okay. And just one more. So, like, I could see in your annual report that there is a sharp jump in the with respect to India. There's a sharp jump in the neuropsychiatry therapy revenues on a YOY basis. A very sharp jump. So is this almost a Rs. 1 ,000 crores, in fact, on a YOY basis?
Kirti Ganorkar: No, that's not correct. I think CNS growth is also in line with India growth. If I remember correctly, it is 11% to 12% range.
Vishal Manchanda: Okay. And just one final one on the tax rate, if you could give a number, what should be the tax rate this year?
Jayashree Satagopan : For the full year, we can consider around 25%.
Vishal Manchanda: Got it. And it should be there going forward, around 25%?
Jayashree Satagopan : Yes.
Vishal Manchanda: Thank you.
Moderator: Thank you. The next question is from Vivek Aggrawal from Citigroup. Please go ahead.
Vivek Aggarwal: Hi, thanks for the opportunity. My question, first question is related to Odomzo. So, although it's a relatively smaller product in your Global Innovative Medicines pipeline, and the product was there in the market for quite some time, and in the last coup le of years, there is a sharp pickup, right? And the product has got a decent market share against the competition right? So what has changed? I just want to understand.
Richard Ascroft: Yes, at least in the U.S., I can comment. We continue to see nice gro wth of Odomzo. It's really a recognition from clinicians of what the product can bring, and also a strong execution from our sales and marketing teams.

Vivek Aggarwal: But the product was there in the market, right, from around 2017 -18, right, or 18 -19, ri ght? So is it in the last couple of years, is there any better coverage, or is there a better sales force behind the product? So have you changed anything, right, that has resulted in a sharp pickup?
Richard Ascroft: I definitely think there's been improve ment in execution with our sales team. I think also it's taken some time to convince loyalists to give the product a try, and once they give it a try, they stick with it.
Vivek Aggarwal: Understood. And a related question with UNLOXCYT, right. Is it fair t o assume that the channel as well as the prescribers are more or less the same for Odomzo as well as UNLOXCYT?
Richard Ascroft: There is overlap. It's not 100% overlap, but there is overlap between the customers, which will be something we take advantage o f from a sales and marketing perspective.
Vivek Aggarwal: Understood. So just one more question on Leqselvi, right. If you look at the competing molecules, let's say Olumiant , right, they have a restrictive coverage like prior authorizat

ion, limited quantity, etc.
So even for Leqselvi, are you expecting similar kind of coverage, or will that be enough for the pickup in this product?
Richard Ascroft: I think with all three prod ucts, we will continue to see prior authorizations. Based on our ongoing negotiations, we do expect to have good coverage for Leqselvi versus the competition.
Vivek Aggarwal: So you are expecting a better coverage for Leqselvi against the competition?
Rich ard Ascroft: I think we are saying we expect at least parity coverage versus the competition.
Vivek Aggarwal: Okay. And what is going to help you in, let's say, priority coverage over the competition?
Richard Ascroft: I think really the profile of the molecule. We know from message testing that both clinicians and patients really prefer what Leqselvi has to offer, particularly from a speed perspective. And from the discussions with payers, they have been encouraged by t he data we have shown them as well.
Vivek Aggarwal: Understood. Thanks, Rick. This is from my side.
Richard Ascroft: Thank you.
Vivek Aggarwal: Thank you. Next question is from Kunal Dhamesha from Macquarie. Please go ahead.

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Kunal Dhamesha: Hi. Thank you f or the opportunity again. Just a logistic question. So the small one -time kind of revenue that we are suggesting in ROW, is it part of innovative medicine business, or is it part of the non - innovative medicine business?
Abhishek Sharma: It's a mix of both, Kunal.
Kirti Ganorkar: But innovative business, we have given the detail, right? What is the growth and the...
Abhishek Sharma : Only about ROW.
Dilip Shanghvi : I understand, but it is still included in the separate number that we have given for innovative business, Global innovative business.
Kunal Dhamesha : So, just to clarify, does the 311 million, does it include any milestone payment this quarter?
Dilip Shanghvi : No.
Kunal Dhamesha : Okay. So, that's great. One question for Rick. Since now we have seen some bit of Stelara biosimilar launches in the US market, and Europe also Stelara biosimilars have been there, so are you seeing any on-the-ground impact? Maybe new to Rx patients, given obviously biosi milar would be at a much lower cost, compared to the medicines like Ilumya or Tremfya?
Richard Ascroft: Not really. We have not seen any major biosimilar first policies amongst payers. We also see more growth in the IL -23 class. So, there already has been movement away from Stelara in multiple therapy areas.
Kunal Dhamesha : Right. So, you don't expect also in the future that that could be the case, because just for the new to Rx patient, not for the existing patient, but…
Richard Ascroft: Hard to predict th e future, but we don't at this time based on our current discussions with payers and what we are seeing in the market.
Kunal Dhamesha : Sure. And the last one on the UNLOXCYT launch, I think we have suggested obviously it will be launched. But now, is it im minent? We should expect their launch to be in this quarter? What are we kind of waiting? Is it preparations that we are doing?
Richard Ascroft: I can take this, Dilip, unless you want to.

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Dilip Shanghvi: No, please go ahead.
Richard Ascroft: Checkpoint had submitted long -term data for UNLOXCYT. We are currently waiting on that data to be approved and added to the label in the U.S. And once that occurs, we will launch. And of course, we are also planning for that launch, and we are dealing with that currently.
Kunal Dhamesha : Sure. And this long -term data, does it provide us with a clear differentiation versus the competing product? And is it in public domain?
Richard Ascroft: We believe it is very competitive and it is in the public domain.
Kun al Dhamesha : Sure. Thank you and all the best.

Moderator: Thank you. The next question is from Kunal Lakhan from CLSA. Please go ahead.
Kunal Lakhan: Yes, hi. Thanks for taking my question. Can you give some color on the Halol observations and any timeline on the final resolution there?
Aalok Shanghvi : So, we are engaging with the FDA on finding a resolution for Halol. We have responded to the 483. And we are waiting to hear back from the agency.
Kunal Lakhan: Okay, but any timeline you have in mind over which you would expect a full resolution on this plant?
Kirti Ganorkar: I mean, it would be speculative. We will need to wait for the agency to respond.
Kunal Lakhan: Sure. My second question was actually more of a clarification on the tariff announcement. Firstly, are pharma companies being exempted or you would be paying tariffs starting August 1st? Or any tariff would be pending the outcome of 232 investigation? Any color on that?
Dilip Shanghavi : I mean, that is the understanding. It is post 232 investigation report, the government will decide on the next step. Till that time, I think pharma continue to be exempted from basic tariff.
Kunal Lakhan: Just to follow up on that, from my understanding of what is happening with the EU deal is that they will be paying 15% tariff. But it has a ceiling of that in respect of what the outcome of 232 investigation would be?

Dilip Shanghvi : I think, my understanding is that EU deal also exempts pharma products. Pharma products don't carry 15%.
Kunal Lakhan: : Sure. Alright, thank you so much.
Moderator: Thank you. Next question is from Bino Pathiparampil from Elara Capital. Please go ahead.
Bino Pathiparampil: Hi, thanks for the follow up. Actually, two follow up questions. So, you replied to an earlier question that the India growth is run by the prescription business. It is very healthy now, much higher than the market growth rate. Is ther e anything that is driving this? So, like new products, etc. which is in there or is it something which is sustainable? Now, whether once this comes into the base would be a better market plus growth rate or is this sustainable?
Kirti Ganorkar : Yes, I think what I can say is I cannot pinpoint to only one thing which is driving the growth. But what I can say it is a concentrated effort on brand building through scientific promotion. Then building deeper connect with the presc riber using science -led promotion. Then improving the prescriber coverage. Then you also know we have done a field force expansion in the past. And declutter our portfolio and building selective presence in tier 2, tier 3 towns. So, all of that if we put t ogether, I think this is helping us to grow better than the market.
Bino Pathiparampil: Okay, got it. Sir, a question on tax rate. Again, to an earlier question you answered 25%. Is that, you know, earlier you had said that your tax rate will gradually mov e up. Last year we had abo

ut 16% -
17%. Are you saying that this year it is going to sharply jump to 25%?
Jayashree Satagopan : So, the tax rates have been moving up quarter on quarter during last year. And currently it is around 23.4%. And we expect for the full year to be around 25%.
Bino Pathiparampil: Got it. Thank you.
Moderator: Thank you. Next question is from Tushar Man udhane from Motilal Oswal. Please go ahead.
Tushar Manudhane: Sorry for this. Maybe I missed, but just if there is a re visit on the R&D cost as a percentage of sales for FY'26?
Dilip Shanghvi : No, I think we are staying with the guidance.

Tushar Manudhane: Because this quarter adjusting for the charge is 5.5. So, effectively it implies that the R&D expense is going to be much higher in the coming quarters.
Dilip Shanghvi : Yes, I mean we have three quarters to catch up.
Tushar Manudhane: And sir, subsequently further building on, it is adding the promotional marketing expenses of 100 million. So, if I have to think about the EBITDA margin. So, directionally would this have sort of an impact

on the EBITDA margin which we have done on 1Q FY'26? Not, I mean, asking in terms of quantifying the number, but just to have a direction?
Dilip Shanghvi : No, I think the key difference between how you look at and how we look at is that we look at what is in the best interest of the business long term. Now, how that affects short term EBITDA, I think we actually do not even calculate. So, I am not able to re spond. But our view is that both UNLOXCYT as well as LEQSELVI have significant opportunity to strengthen our presence in the innovative product business and also strengthen our relationship with the customers. So, we will do whatever is required t o become successful. And once we are successful, it pays for everything that we invest in. And in the same way, I think trials also will have to be invested on because then we create future revenue stream.
Tushar Manudhane: Sir, the reference as far as R&D spend is concerned, if it has to be so high, then at least if it is possible to share the name of the product in the subsequent list of the R&D product in the pipeline, that would be helpful. Given that the existing table which has been highlighted in the press release, most of them are up for regulatory filing.
Dilip Shanghvi : GL 34 Phase -II will start. So, that also will add to the cost because those are larger studies.
Tushar Manudhane Got it. And sir, just one more on the, as far as the facilities being compliant for US market, like if you could just share in terms of which all facilities have now, let us say under issue while the business continues, but incremental generic approvals mi ght be stalled and which facilities are sort of compliant to get the approval?
Alok Shanghvi: Yes, sure. So, we currently have three facilities that are under warning letter from the US FDA. Mohali, Dadra, and Halol. We have other facilities in Baska, Oh m, Hungary, Haifa, Brampton which continue to supply to the U.S. and do not have, and we have one more facility in Billerica in the US, which is in near Boston. So, all of these facilities continue to supply and are in a compliant status with US FDA.

Tusha r Manudhane: Got you. And reasonable to assume that the ANDAs awaiting US FDA approval would be a good number of ANDA from those sites as well?
Alok Shanghvi: So, the decision to file the product from the facility would be a function of the compliance status of the facility and the technology available at the facility.
Tushar Manudhane: No, I was referring to the 119 ANDAs which await US FDA approval, those ANDAs?
Abhishek Sharma : That breakup we do not give Tushar .
Tushar Manudhane: Yes, that's it from my side, sir. Thank you.
Moderator: Thank you. Next question is from Surya Narayan Patra from PhillipCapital. Please go ahead.
Surya Narayan Patra: Yes. So, just one clarific ation about after settling this antitrust litigation, is it fair to believe that there is no more litigation relating to the antitrust that is there?
Jayashree Satagopan : So it is there and we have given details in the annual report.
Surya Narayan Patra: Sorry for that. Second is about the Ilumya, for the new indication of psoriatic arthritis. Sir, you mentioned that the filing is likely sometime this year. But what are the likely , means how far the drug is from the commercialization i n the US? And what could be the targeted market that can be addressed by this product?
Dilip Shanghvi : I mean, typically there is an approval timeline for a new indication. Hopefully, we should achieve whenever that timeline is met post the filing. I think I do not know specific target for psoriatic arthritis, but broadly, what I understand is that around 30% of the psoriasis patients also suffer from psoriatic arthritis. So, that market then becomes available to us.
Surya Narayan Patra : Okay. And about the kind of formulary addition of this molecule. Since there is a kind of already one molecule there in the market, so whether the timeline required for putting this new drug in the various formula ries would be kind of less critical and wil l be taking less timelines and all that? Or how should one think about it?
Richard Ascroft: Is this question specifically related to Ilumya?

Sun Pharma Q 1 FY26
Earnings Call Transcript
06:30 p m July 31, 2025

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Surya Narayan Patra: Yes. For the new indication, psoriatic arthritis.
Richard Ascroft: We would expect to have sim ilar access to what we have today for psoriasis. It would likely fall under the same contractual arrangement.
Surya Narayan Patra: Sure. Thank you.
Richard Ascroft: Thank you.
Moderator: Thank you. Next question is from Yogesh Soni from InCred. Please go a head.
Yogesh Soni: Thanks for the opportunity, sir. One bookkeeping question. I wanted to understand the amount for which we have settled Incyte litigation, one time amount that we have given. And whether that would be from part of exceptional items in second quarter?
Jayash ree Satagopan : We don't give indications on this.
Abhishek Sharma: The terms are confidential.
Yogesh Soni: Okay. So, another question that I have is I wanted to understand the Unloxcyt launch timeline. Whether it would be towards the start of second half or later part of the year?
Richard Ascroft: We expect to launch in the second half of the fiscal year.
Yogesh Soni: Okay. Got it. Thank you.
Moderator: Thank you. The next question is from Vivek Agrawal from Citigroup. Please go ahead.
Vivek Aggrawal: Thanks for the opportunity again. Just one clarification. For the U.S. generic business, you indicated that it is down YOY as well as quarter -on-quarter in this quarter. Is that right?
Richard Ascr

oft: That is correct.
Vivek Aggrawal: Okay. Thanks. And just a related question. Previously, you commented that clearance of Halol facility is going to be very import ant for pickup in the US generic business. So, now Halol clearance doesn't look like in the site at least this particular year. So, how we should look at the generic business this particular year or

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the year after that? Are you expecting growth in the busi ness from launches from the other facilities or is it going to decline YOY? Thank you.
Richard Ascroft: I don't think we provide that forward -looking guidance. But as Alok mentioned, we obviously have other sites in which we are able to supply the US marke t. And we have an existing portfolio that we can look to grow to offset any headwinds we face for our new products.
Vivek Aggrawal: Thanks. That's from my side. Thank you.
Moderator: Thank you. Next question is from Anubhav Agarwal from UBS Securities. Ple ase go ahead.
Anubhav Agarwal: Thank you. Just one clarity on the tax rate. So, this 25% number, does it include the deferred tax component? How much is this deferred tax component? Just trying to understand, is the cash tax rate for the company also 25%?
Jayashree Satagopan : So, we have to look at it all inclusive on a yearly basis, which will be at 25%. The cash outgo may be lower because of some MAT credits that are still available with us.
Anubhav Agarwal: Yes. So, I am just trying to understand, is that difference dramatically? I mean, just like taking a case, right? The effective tax rate could be 25%, but the actual cash outflow may be 20%. So, is that the case?
Jayashree Satagopan : Yes. There will be a difference, but we do n't share the exact details.
Anubhav Agarwal: Thank you.
Moderator: Thank you. Next question is from Kunal Dhamesha from Macquarie. Please go ahead.
Kunal Dhamesha: Hi. Just one clarification from Rick. So, on the question related to the formulary access f or Ilumya for PsA indication, did you mean that from day one of launch, we will have similar access to what we have currently for Ilumya or whatever that date may be, whatever Ilumya would have coverage? Is that the correct understanding?
Richard Ascroft: That is the correct understanding.
Kunal Dhamesha: So, then is it also fair to kind of assume that the ramp -up could be much faster here?

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Richard Ascroft: Well, we should have far fewer free goods than we typically would have with a new launch. Yes.
Kunal Dhamesha: Sure. And then, while there is a second question, while there is an overall number of 30% of psoriasis patients having psoriatic arthritis, is there any, age -related increase or decrease in incidence that we have seen in the data in terms of prev alence data that maybe aged individuals do have a higher 50% prevalence maybe?
Richard Ascroft: That's something we will have to follow up on. I am not aware if there is an age -related change that happens with psoriatic arthritis. Certainly, as patients ha ve psoriasis longer, they're more likely to have psoriatic arthritis. But I am not sure if there's a major difference between an older population and a yo

unger
population. We will have to follow up.
Abhishek Sharma : No, Rick, you're right. There is no age relation, between the onset of psoriatic arthritis and psoriasis.
Kunal Dhamesha: Sure. Thank you.
Moderator: Thank you. Next question is from Madhav from Fidelity. Please go ahead.
Madhav: Yes, just wanted to check the plan to file for the PsA indication by end of this calendar year. Typically, what's the approval timeline? Is it about 12 months? Is that the right way to think about it?
Richard Ascroft: Yes.
Madhav: Thank you.
Richard Ascroft: 10 months -12 months.
Moderator: Thank you. The next question is from Aditya from Digital Beast Securities. Please go ahead.
Aditya: So, thank you for taking my question and good evening, good morning to all of you. This quarter, we have done EBITDA of 31.1%. What is our guidan ce for the full year?
Jayashree Satagopan : We normally do not give a margin guidance.
Aditya: Okay. So, if I can ask, what led to a margin of 31.1%? Is it the low cost of raw materials or there has been some other cost saving measures which you have taken that has led to a margin of 31.1%?

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Jayashree Satagopan : Yes, there has been a mix of factors. As I was mentioning earlier, there is an improvement in the raw material cost. It is also the product mix which has been quite helpful. We hav e seen a higher specialty sales and also the branded formulation business.
Aditya: Okay. Thank you very much.
Moderator: Thank you very much. We will take that as the last question. I would now like to hand the conference over to Dr. Abhishek Sharma for cl osing comments.
Abhishek Sharma: Thanks everyone for joining us at this late hour. If you have any questions which have remained unanswered today, you can reach out to the investor relations team. Wish you all a very good evening. Thank you and over from u s.
Moderator: Thank you very much. On behalf of Sun Pharma, that concludes the conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Call: Nov 2025

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Q2 FY26 Earnings Call Transcript

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed herewith a copy of the transcript of the Company's Q 2FY26 earnings conference call, which we shall be uplo ading on our website after sending this letter to you.
This is for your information and record.

For Sun Pharmaceutical Industries Limited

(Anoop Deshpande)
Company Secretary and Compliance Officer
ICSI Membership No.: A23983
Sun Pharma Q2 FY26
Earnings Call Transcript
06:30 p m Nov 05, 2025

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Corporate Participants

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Kirti Ganorkar
Managing Director , Sun Pharmaceutical Industries Ltd.

Aalok Shanghvi
Chief Operating Officer , Sun Pharmaceutical Industries Ltd.

Jayashree Satagopan
Chief Financial Officer, Sun Pharmaceutical Industries Ltd.

Richard Ascroft
CEO (North America), Sun Pharmaceutical Industries Ltd.

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Moderator: Ladies and gentlemen, good day and welcome to Sun Pharma's Q2 FY 26 Earnings Conferenc e Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone. I now hand the conference over to Dr. Abhishek Sharma, Vice President and Head of Investor Relations and Strategic Projects. Thank you, and over to you, sir.

Abhishek Sharma : Thank you. Good evening, and a warm welcome to our second quarter FY26 Earnings Call. I'm Abhishek from th e Sun Pharma Investor Relations team. We hope you have received the Q2 financials and the press release that was sent out earlier in the day. These are also available on our website. We have with us Mr. Dilip Shanghvi, Chairman; Mr. Kirti Ganorkar, Managin g Director; Mr. Aalok Shanghvi, Chief Operating Officer; Ms. Jayashree Satagopan, CFO; and Mr. Richard Ascroft, CEO, North America.

Today, the team will provide an update on the financial performance and business highlights for the quarter, pipeline update s and respond to any questions that you may have. We will refer to the consolidated financials for management comments. The call recording and call transcript will also be put on our website shortly.

The discussion today might include certain forward -looki ng statements, and these must be viewed in conjunction with the risks that our business faces. You

are requested to ask 2 questions in the initial round. I also request all
of you to kindly send in your questions that may remain unanswered today. I will no w hand over the call to our CFO, Ms. Jayashree Satagopan.

Jayashree Satagopan : Welcome, and thank you for joining us for this earnings call after the announcement of our financial results for the second quarter FY '26. Our Q2 financials are already with yo u. Let me take you through the consolidated financials of the second quarter. Q2 FY '26 sales were at INR144,052 million, record a growth of 8.6% vis -a-vis the second quarter of FY '25.

Gross margin was at 79.3% for this quarter. EBITDA for the quarter wa s INR45,271 million, registering an increase of 14.9% over Q2 last year. EBITDA margin percentage for the quarter was at 31.3% against 29.6% for Q2 FY '25 and 31.1% during the first quarter of FY '26. Net profit after tax for Q2 FY '26 was INR31,180 millio n, which is up by 2.6% over the reported net profit of Q2 last year. EPS for the quarter was INR13 per share.

Sun Pharma Q2 FY26
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Effective tax rate for the quarter was 24.7% vis -a-vis 15.8% in Q2 FY '25. During the first quarter of FY '26, the ETR was at 24.3%. forex gain during the quarter was INR4,305 million compared to a gain of INR1,281 million during the same period last year. Balance sheet continues to be strong with a net cash of $2.9 billion at a consolidated level. This is after our investment in the business acquisition of Checkpoint and settling the GxMDL case.

Now let me take you through the half yearly performance. For the first half, sales were at INR2,81,913 million, registering a growth of 9.3% over the first half last year. Gross margin was at 79.4% for the first half. EBITDA

for the first half was INR88,287 million, registering a growth of 17% over the first half of last year. EBITDA margin percentage was at 31.2%. Adjusted net profit for H1 was INR61,141 million, up by 4.1% over the adjusted net profit of H1 during the last year.
I will now hand over this call to Kirti, who will share the performance of our Global Innovative Medicines and India business.
Kirti Ganorkar : Thank you, Jayashr ee. In Q2, FY '26, our Global Innovative Medicines sales were up by 16.4% to reach USD313 million. U.S. sales of Innovative Medicine has surpassed generics for the first time during the quarter. Our ex -U.S. Innovative Medicine business also continues to de liver strong growth.
Our largest brand, ILUMYA is now commercialized in all the major markets and is available across 35 markets.
Coming to India business for Q2, the sales of formulation in India were INR47,348 million, recording a growth of 11% over Q2 l ast year. India's Formulation sales accounted for 32.9% of total consolidated sales for the quarter.
Sun Pharma is ranked number one and holds 8.3% market share in over INR2,350 billion Indian pharmaceutical market as per Pharmarack MAT September 2025. Cor responding market share for the previous period was 8%.
For the quarter ending September '25, we grew higher than IPM. And we have done well across all major represented therapy areas.
We're happy to note that on MAT basis, the sales growth has been led b y volumes and new product launches versus the IPM growth, which is predominantly price led. As per SMSRC, March -June 2025 report, we continue to be number one brand company based on the prescription volu mes. Sun Pharma is also ranked number one by prescrip tion with 13 different doctor categories. For Q2 FY '26, the company launched 9 new products in India. I will

now hand over call to Rick for the updates on the U.S. business.
Richard Ascroft : Thank you, Kirti. I will update on the performance highlights of our U.S. business. Our overall U.S. business declined by 4.1% to $496 million for the quarter. Growth in Innova tive Medicines was led by

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ILUMYA , CEQUA , and ODOMZO . Innovative Medicines growth was offset by lower sales in our generics business due to additional competition for certain products and lower sales of lenalidomide.
U.S. accounted for 30% of consolidated sales for the quarter. For the second quarter, we launched three new generic products in the U.S. We also launched LEQSELVI this qua rter, and we've been pleased with our initial access and the response from health care providers and patients that they've had to the product. We anticipate access will continue to improve as well as overall uptake of the product.
I will now hand over the call to Aalok, who will cover Emerging Markets and Rest of World.
Aalok Shanghvi : Thank you, Rick. I will provide an update on the performance highlights of our other businesses. Our formulation revenues in Emerging Markets were $325 million, up by 10.9% over Q2 last year. The underlying growth in constant currency terms was 8%. In Emerging Markets, we have seen broad -based growth bot h in the Generic and Innovative Medicines business, aided by favorable currency movement.
Emerging Markets accounted for 19 .7% of total consolidated revenue for the second quarter. Amongst the larger markets in local currency terms, South Africa and Brazil have done well.
Formulation revenues in Rest of the World were $234 million up 17.7% over Q2 las t year. We have seen growth both in the Generics and Innovative Medicines business in Rest of the World and Rest of the World markets account for approximately 14.2% of consolidated revenue. I will now hand over to Mr. Shanghvi.
Dilip Shanghvi : Thank you, Aalok. Let me take you through our R&D initiatives. We continue to invest in building an R&D pipeline of our Innovative Medicines business. Consolidated investments towards R&D for Q2 FY '26 stands at INR7,827 million or 5.4% of sales. Innovativ e R&D accounted for 38% of our total R&D spend, and stands at approximately 10% of Global Innovative Medicine sales for the quarter.
Regarding updates on Innovative Medicines, we are awaiting FDA decision on UNLOXCYT updated label ling. And we remain on tra ck to launch UNLOXCYT in the U.S. in the second half of FY '26. We are also planning to file ILUMYA psoriatic arthritis sBLA during second half of FY '26.
Abhishek Sharma : Operator, we can open for Q&A now.
Moderator: Thank you very much. We will now begin the question and answer session. The f irst question is from Saion Mukherjee from Nomura. Please go ahead.
Saion Mukherjee: Thanks for taking my question.

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Moderator: Saion we can't hear you. Your voice is breaking. Mr. Saion Mukherjee you may go ahead with your question. We seemed to have lost the lines from Mr. Mukherjee. We will move to the next question. The next question is from Kunal Dhamesha from Macquarie. Pleas e go ahead.

Kunal Dhamesha : The first one on the intangible assets, which seem to have moved sharply from the March '25 level, almost around USD 950 million plus. So I can see the $300 million intangibles which have moved from under development to other in tangible head, but if you could provide a broader moving pieces here?
Jayashree Satagopan : Thank you, Kunal, for your question. The increase in the intangible assets is also due to the Checkpoint intangible that has got added during the quarter. And we al so had a milestone payment for ODOMZO .
Kunal Dhamesha : So Checkpoint would be close to $400 million plus, right?
Jayashree Satagopan : Yes, it is about $471 million.
Kunal Dhamesha : So then rest of the $500 million, what is driving that?
Jayashree Satagopan : So we had Leqselvi related apart from Checkpoint, which is another larger piece, as you would know.
Abhishek Sharma : So Kunal, Leqselvi moved from intangibles under development into intangibles.
Kunal Dhamesha : Okay. So that's another $300 milli on, and there should be O DOMZO ?
Abhishek Sharma : No, then the rest are several small items. It's largely Checkpoint and Leqselvi.
Kunal Dhamesha : Secondly, on the incremental specialty spend that we had suggested that we would be spending around $100 milli on in this year related to the launches of Leqselvi and Unloxcyt. So is it fair to assume that some of that has started in Q2? And should we see the run rate to be more simil ar in the quarter 3, quarter 4 o r should we expect some acceleration decelerat ion? Any color would be helpful?
Richard Ascroft : Yes. I'm happy to address that. So we did see a slight increase in Q2, and we would expect to see further increases in Q3, Q4 particularly as we launch Unloxcyt.
Kunal Dhamesha : And lastly, on the Generics piec e. The generic Revlimid seems to have kind of gone down even on a sequential basis? Is it a fair assumption? And would it be now a meaningful contributor in this quarter?

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Richard Ascroft : In the quarter that follows?
Kunal Dhamesha : In quarter 2 versus qua rter 1, the movement of lenalidomide?
Abhishek Sharma : Yes. Okay. So on lenalidomide, we have said that Y -o-Y, there is a drop. Q -o-Q, the number is flat.
Moderator: Thank you. N ext question is from Neha Manpuria from Bank of America.
Neha Manpuria : Thanks for taking my question. We have two questions on the specialty business. On Leqselvi, when should we start seeing revenue contribution from improving payer coverage and payer access that you talked about? Would more meaningful revenue cont ribution from this be evident, let's say, in the later part of this fiscal or more so would you say in fiscal '27? What would be your assumption there?
Richard Ascroft : We're already starting to see paid prescriptions through commercial channels, and we would expect that to continue to grow throughout the year.
Neha Manpuria : And o n ILUMYA , is it fair to assume that the prescription growth that we are seeing, I know as a category biologics in psoriasis is growing. But even as we wait for psoriatic arthrit is approval to come through, we can continue to see the momentum in prescription growth over the next few years?
Richard Ascroft : Was the question related to I LUMYA for psoriasis?
Neha Manpuria : Yes, that's right.
Richard Ascroft : We do expect to see continued growth. As you shared, the IL -23 market continues to grow as does the overall psoriasis market. We continue to release new data on I LUMYA and sharpen our sales and marketing tactics, so we would

expect to see continued growth.
Neha Manpuria : And the last one I have is on R&D spend. If you look at R&D, we are obviously tracking below the guidance that we had revised down last quarter. How should we think about R&D spend for the full year? Do we expect to pick up going into second half o r would it remain at the current 5.5% level that you see?
Dilip Shanghvi : So Neha, I think we should come in the lower end of the guidance overall, that's what is our assessment today.

Neha Manpuria : Lower end of the 6% to 8% guidance that you mentioned, right sir ?

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Dilip Shanghvi : Right.
Moderator: The next question is from Vishal Manchanda from Systematix.
Vishal Manchanda : I have a question on the balance sheet. If I look at the other current assets, it's almost doubled since , March '25 from INR2,500 crores to almost INR5,000 crores. Could you clarify on this? What led to this?
Jayashree Satagopan : Yes. This is mainly on account of the GxMDL settlement, which has gone into an escrow account.
Vishal Manchanda : Sorry, which settlement?
Jayashree Satagopan : Last quarter, we had a settlement on the GxMDL case, and that amount has been deposited in an escrow account.
Vishal Manchanda : And second one on cosibelimab. I wanted to understand whether it has been filed for European markets. And w hether our competitors, Keytruda and Libtayo, do they have a European approval already?
Dilip Shanghvi : Yes, we are in the process of compiling the dossier for Europe. Once it's filed, we will share the update with investors.
Vishal Manchanda : And just one final one on ODOMZO . If you could share what would be O DOMZO share in the basal cell carcinoma market among the BRAF inhibitors?
Dilip Shanghvi : It's not a BRAF inhibitor. It's a Hedgehog inhibitor.
Vishal Manchanda : Sorry, Hedgehog inhibito r.
Dilip Shanghvi : So I think it all depends on different geographies. Rick can update on the U.S. market share. But in Europe, I think, is in excess of 60% market share.
Richard Ascroft : Yes. And it depends on the customer. In dermatologists, we have over a 50% share in the United States.
Vishal Manchanda : And in the overall market, including the oncologist?
Richard Ascroft : The oncologists are slightly less. I don't have the exact figure for the overall market at this time.

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Vishal Manchanda : And would dermatologists be the primary prescriber here?
Richard Ascroft :It's both.
Moderator: Next question is from Harith Ahamed from Avendus Spark.
Harith Ahamed : On semaglutide, where we have a filing in Canada as per Health Canada disclosures. Based on your previous experience with filings in that market, what are the time lines that we can look at for approval of this product? And on semaglutide again, in India, where the market formation is expected in March '26. So we plan to have a product ready with an approval by the market formation time?
Abhishek Sharma : So India, I will ask Kirti.
Kirti Ganorkar : Yes, India, I think what we have told you in our last call also, India will be ready for the launch in the first wave when the LOE happens on the patent expires.
Richa

rd Ascroft : For Canada, I don't believe we share that information.
Dilip Shanghvi : One is that. And second, I think it's still not very clear.
Richard Ascroft : Right? How Canada has been shared.
Harith Ahamed : And in the ROW segment, we've seen a very strong growth this quarter, constant currency terms around 17% to 18%. And in the last quarter, we had alluded to some onetime sales. So has that continued into the second quarter?
Abhishek Sharma : So before we answer the drivers for this one, there is no one -off in this quarter sales. For ROW, basically, the growth has been led by both Generics as well as Innovative Medicines. But there is no one -off.
Harith Ahamed : A couple of months back, there was an announcement by the U.S. President on 100% tariffs on

patent drug imports into the U.S. Well, there's no final policy that's been released yet, but is this a risk for our IM products given that we are manufacturing these products outside the U.S. And at the same time, we are manufacturing t hese in geographies where U.S. already has a trade deal and these trade deals cover pharma as well. So how should we look at this particular risk?

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Richard Ascroft : Look as you say, there's a lot of uncertainty at this point. I mean, we don't have any addit ional tariffs that we're paying today. The original announcement has been put on pause, and we're still awaiting the outcome of the Section 232 investigation.

Moderator: The next question is from Bharat from Equirus.

Bharat : Just wanted to understand, ther e is some investment into subsidiaries, which is showing up in the cash flows amounting to almost like INR3,400 crores. Can you explain what is it all about?

Jayashree Satagopan : This is mainly Checkpoint acquisition...

Bharat : Because this amounts to almost like INR390 million, whereas we have paid almost INR500 million for Checkpoint. So just was trying to understand that there was a big difference ?

Abhishek Sharma : No, the Checkpoint considerati on is not USD 500 million, Bharat, it's less. It's what we disclosed was USD 355 plus.

Moderator: Next question is from Shyam Srinivasan from Goldman Sachs.

Shyam Srinivasan : Just the first one again on the consolidated cash flow statement. Just the net cash generated Y-o-Y has declined despite similar profits. So just -- I can see it is working capital. But if you could explain why our lower cash generated, please?

Jayashree Satagopan : Yes. There is some amount of increase in the working capital, whi ch we believe will get normalized in this quarter. As I was also mentioning in the initial commentary, there has been a settlement that has happened towards GxMDL plus our brand acquisitions that have happened, which is the reason why the cash flow overall has come down compared to the 1st April '25.

Shyam Srinivasan : So by the end of the fiscal, we expect this to be -- the generation to be in line at least with the growth in PBT. Let's assume?

Jayashree Satagopan : Yes. I think the cash generat ion to clarify has been good. Working capital changes happened during the quarter, and this has happened during this quarter. Other than that, there have been 2 other items. One is the business acquisition. The other one is a settlement. So they should get normalized.

Shyam Srinivasan : And just on the opening comments now, I think called out that the U.S. business formulation, we have now innovative higher than Generics. So obviously, you don't call it out, but of the $500 million U.S.

Sun Pharma Q2 FY26
Earnings Call Transcript

06:30 p m Nov 05, 2025

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formulation, so I ass ume $250 million, $260 million is now innovative. That's a 70%, 80% of global innovative business, right?

So just maybe the question is the other way around. What is the prognosis now for the Generic business? Do you foresee that this kind of decline cont inues? Does it still be -- make sense for us to be -- it's still significant, but just your thoughts on how we should look at the U.S. generic business going forward?

Richard Ascroft : Our strategy is to grow both our Innovative Medicines business as well a s our Generics business.

Shyam Srinivasan : Last question, just again, just in light of the tariffs and U.S. based on localized manufacturing in the U.S., what are your thoughts? Is there any move for us to move supply chains back into the U.S.? I know policy is still uncertain. But just your thoughts, you have enough cash. What about looking at U.S. manufacturing assets?

Richard Ascroft : Yes. We already have a manufacturing footprint in the U.S. We are kind of constantly assessing that manufacturing footpri nt. And we are open to considering moves to the U.S. in due time.

Moderator: Next question is from Kunal Dhamesha from Macquarie.

Kunal Dhamesha : Just on ROW, is there any particular new launch that we have seen or particular geography, which has done good ? And what would be the constant currency growth?

Aalok Shanghvi : Yes. So there is very little forex impact and the growth was led by both the Generics and the Innovative Medicines, particularly by ILUMYA and O DOMZO .
Kunal Dhamesha : Yes. And the second question I have is on the India semaglutide market, once it is Generics, Sun Pharma being with t he dosage form? And slightly, longer horizon question is Sun Pharma's expectation of how the GLP -1 market is expected to grow in the medium term? Any color would be helpful?
Kirti Ganorkar : No, I can tell you broadly, the GLP market is very exciting, and it will continue to grow, but very difficult to give any specific numbers and what it will grow in the future. What we can say, we want to participate in the market whenever the first opportunity is available.
Kunal Dhamesha : And will we be t here in both the dosage forms, injectable as well as oral?

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Kirti Ganorkar : I don't want to disclose that much but we will remain competitive, if others launch, we'll also launch along with them. That's what we are saying.
Moderator: Next questio n is from Damayanti Kerai from HSBC.
Damayanti Kerai : My first question is on your USD 100 million spend for supporting the 2 launches in this fiscal. So if you can explain how costs will build up, say, majority of hiring for salespeople, etcetera, will be done in this year itself. So going forward in '27, what kind of cost you assume to continue? Some color on that will be helpful ?
Richard Ascroft : Yes. We have already launched Leqselvi, so that sales force is in place, and we do now have the sales force in place for Unloxcyt. So we will start to obviously see those expenses. Some of these expenses will continue to occur in '27 and beyond as we continue to support and grow these 2 very important products.
Damayanti Kerai : So is it reasonable to assume that majo

rity of the fixed costs will be covered within this $100
million budget, which you have put aside? And then going ahead, it will be more variable costs in line with how products gain market share? Will that be a log ical assumption to take?
Richard Ascroft : I think so. What I would say is that the sales force, obviously, that cost will continue. Our marketing expenses will continue. The patient support programs will continue. Some of the upfront marketing costs will n ot. Those are more onetime costs, but we'll continue to have the carrying cost of the people as well as our marketing and patient support programs.
Damayanti Kerai : My second question is a clarification on Revlimid opportunity. So should we assume Septembe r was the last quarter when you had some meaningful sales coming from that product? And going ahead, there will be virtually no sales? Or how should we look at that?
Richard Ascroft : We'll have a small amount of sales for the rest of the fiscal year.
Damay anti Kerai : Okay. But majority is done in first half, right?
Richard Ascroft : Correct.
Moderator: Next question is from Vishal Manchanda from Systematix.
Vishal Manchanda : So just a clarification on Fibromun, is the Phase III and Phase II data on soft tiss ue sarcoma and glioblastoma. Is yet to come out? Or it's already there?

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Dilip Shanghvi : Yes. I think both the data are yet to come out. But this is also something which will be disclosed by Philogen, who is managing the studies.
Vishal Manch anda : Okay. Any time lines like would this be announced this fiscal year or it will take longer?
Dilip Shanghvi : I mean I don't want to announce on their behalf, but I'm not aware that there is any delay in the recruitment or conduct of the study.
Vishal Manchanda : On the GLP -1 compound, GL0034. We have been kind of pushing this like a bit -- considering the competitive landscape, we are probably pushing it later, I think. We're not hurrying to develop this. Is there a reason to this o r how should.. .
Dilip Shanghvi : No, I think we are quite excited with the early data that we're getting with patients, both for MASH as well as for diabetes. And we would be presenting this data shortly. But the Phase II study also, I think

we disclosed that should be i n the press release we've given that should start shortly global Phase II.
Vishal Manchanda : And are we doing this through the recombinant route or the synthetic route?
Dilip Shanghvi : So as on today, I think the initial -- all the studies have been done w ith synthetic. But at some point of time, we might even consider switching over to recombinant.
Moderator: Next question is from Neha Manpuria from Bank of America.
Neha Manpuria : Quickly on Cequa, I know that Restasis already has enough generic players, b ut there is anticipation that you should see some more competition there. Does that impact our ability to grow Cequa at all? If we do see additional competition in Restasis, what do you think could be the impact on Cequa given how well you've been doing in that product?
Richard Ascroft : We continue to see good growth for Cequa, even as new competitors have come to the market. We believe it has a good value proposition for patients, and we put in the right programs to support patients as well. So even as new competitors have entered, we have continued to grow and would expect to continue to do so.
Neha Manpuria : A new competition coming into Restasis does not impact pricing at all for Cequa. Would that be a fair assumption?
Richard Ascroft : Can

you re -ask the question?

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Dilip Shanghvi : What she is saying is that Generics for Restasis whether that affects your growth of Cequa?
Richard Ascroft : Not really. No. I think what currently is in place for Restasis, it will just be eroded by further Generics. As you know, they've been able to hold on to quite a bit of share, but the Generics will largely compete with Restasis and won't have a meaningful impact on the other brands within the category.
Neha Manpuria : And second question, I know there's a lot of uncertainty on the tariff situation, but I think there was another new investigation under the Section 301 that was mentioned recently. Does that in any way impact ILUMYA , even though we don't sell I LUMYA , in Europe, its through the partner. Do you think that could be under consideration as a part of this investigation? Any views you have around that?
Richard Ascroft : I don't think we have any views at this time. I think as we shared before, the tariff situation, as you know, is very fluid and uncertain. So it's hard for us to predict what the impact will be on our -- on either our Generics or Innovative Medicines portfolio at this time.
Moderator: The next question is from Surya Narayan Patra from PhillipCapital India.
Surya Narayan P atra: Sir, my first question is on the specialty business in the non -U.S. In fact, what we are observing that the ROW and Emerging Market growth looks really strong in the recent quarters. So is it mainly driven by the fundamental growth triggers that we are witnessing in those markets o r it is also a role played by the specialty business in the non -U.S.?
Dilip Shanghvi : Both actually.
Aalok Shanghvi : Yes. I mean I would say both of them are factors in how the growth play ed out.
Surya Narayan Patra : So can you elaborate a bit on your specialty in the non -U.S. market business, although it has already been indicated that brands of U.S. is likely to see newer markets and hence, growth. So any incremental initiative thought process about ex pansion, extension of these brands, if you can?
Kirti Ganorkar : No, what I said is like I LUMYA , we are launched in 35 countries. And some of the countries, the launch has happened over a period of last 1 year. So this launch will also get picked up, and we see there will be good commercial traction. So ex -U.S., I believe that I LUMYA will be a strong franchise for us to continue to grow.

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Surya Narayan Patra : And second question is about the Semaglutide entry in Canada, although we have filed for that. Whether we will be there in the first round of commercialization? Or how later that we would be even if our filing is relatively recent. So any time line about the commercialization of the product in the Canada?
Richard Ascroft : Yes, we really don't have any further comments on that at this time.

Surya Narayan Patra : My next point is about the tariff one. So whether we have any negotiated price, the way innovators are offering to Trump for their Medicaid program. So for our innova tive brands, whether we have any negotiated price with the TrumpRx?
Richard Ascroft : We do not. As you probably are

aware, we were not one of the 17 companies that received
letters from the Trump administration.
Surya Narayan Patra : So then this tariff con cern is a kind of overdone now considering the kind of arrangement what innovators are trying to have with TrumpRx ?
Richard Ascroft : We don't know is the honest answer. I think it's unclear what will happen with the tariffs after the investigation. What we know now is that there's a pause. We believe that Generics are already excluded. We believe that will continue to be the case. And it's unclear at this point what the impact will be on brands. Certainly, we'll be prepared to have discussions when the time comes.
Surya Narayan Patra : Sir. Just one bookkeeping question...
Abhishek Sharma : Surya, can you get back in the queue, please?
Moderator: Next question is from Alankar Garude from Kotak Institutional Equities.
Alankar Garude : Sir, first question on Leqs elvi. Even though the penetration of targeted treatments for alopecia areata is quite low in the U.S., you've seen some stagnation in prescriptions for 1 of the other 2 molecules for this indication in particular. So from a market standpoint, is there any aspect that could hinder growth for targeted treatments like Leqselvi?
Richard Ascroft : We expect the market to continue to grow. You're probably commenting one of the competitors has stopped promotion. So as well as we've launched, there's been another competitor that have launched that are having an impact on that product's gr owth. We believe the market will continue to grow. We see that. We see new physicians that are starting to provide JAKs, are starting to prescribe JAK inhibitors. And over time, we would expect that confidence to grow, the number of prescribers to grow and more patients to be treated.

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Alankar Garude : And the second one is more of a clarification. I missed your response on the U.S. manufacturing presence. You spoke about already having a presence, but you also spoke about open to considering a further manufa cturing presence in the U.S. Did I hear it correctly?
Richard Ascroft : That is correct.
Kirti Ganorkar : We're open for all options.
Moderator: Next question is from Shashank Krishnakumar from Emkay Global.
Shashank Krishnakumar : Just one question that I had on biosims. I know that we have been always steadfastly focused on scaling up our specialty portfolio in the U.S. But given the FDA's recent guidance, any rethink in terms of U.S./Europe biosimilar strategy. Given that a lot of our peers have been incr ementally allocating more capital and R&D investments to biosims, so any rethink there in terms of our strategy for the U.S.?
Dilip Shanghvi : So I think we are studying and possibly waiting for the clear guidance to come before we take a decision. B ecause clearly, this would reduce potential investment, but there will also be impact in terms of future competition. So also, there is no complete clarity on substitution. So all of that will help us finally take a decision.
Moderator: Thank you. N ext que stion is from Anubhav Sahu from MC Research.
Anubhav Sahu : My first qu estion is on the sema opportunity. Basically I want to understand how calendar year '26 will look at as for this opportunity is concerned? Are we basically targeting Canada and India as the 2 geographies for the generic launch? And at the same time, I mean, just trying to understand what capacity we are looking at for ourselves for the GLP -1 drugs? I mean -- and how much we plan to do it in -house?
Kirti Ganorkar :

I think Canada, there are two questions already been asked. We are not giving any clarification
on Canada. Coming to India, as I said earlier, we will launch once there is an LOE. Regarding capacity and where we manufacture, we are not disclosed as of yet.
Anubhav Sahu : And for our Innovative molecule, let's say utreglutide , I mean could you mention which key indication we are looking at? I mean I understand obesity, anti -diabetes, one of them, but there are other indications also which we are looking at?
Dilip Shanghvi : Yes. I think the Phase II that we have disclosed is a type 2 diabetes study.
Moderator: Next question is from Rashmi from Dolat Capital.

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Rashmi : Just one question. We have seen a spike in interest cost this quarter. And if I see the balance shee t short -term borrowings have also gone up. So is it because of the acquisition or it would be reduced in the future or anything if you can comment on it?
Jayashree Satagopan : Yes, you're right. This is a short -term borrowing that we have taken for the acqu isition. And since it is also short term in nature, it will get evened out in the coming quarters.
Rashmi : So the amount will be more or less similar to last year level only? I mean, you will bring it down to that level?
Jayashree Satagopan : Yes, it should get reduced over a period in time.
Moderator: Next question is from Surya Narayan Patra from PhillipCapital.
Surya Narayan Patra : So one clarification about the tax rate. So this quarter, it looks obviously higher with 27% plus kind of tax rate. And also, there is a kind of onetime adjustment relating to the merger. So if that is to be factored, then the tax rate will look even higher, more than 30%. So first of all, what is that INR140 crore s adjustment whether it is into the c rate already, and that is to be separated, considering it is one -off. If you can give some clarity about that ma'am. And what is the ETR that you are expecting for the full year?
Jayashree Satagopan : Yes. Our ETR has gone up to 24.5% and we expect it to be hovering around 25%. This is what we've been guiding. We used to get some benefits on account of carry forward tax losses as well as the benefits of having our facilities in Assam and Sikkim. Those are getting over and therefore, the tax rate will get normalized.
Surya Narayan Patra : And just one more point about the GLP -1 opportunity. So how do we position ourselves whether our focus would be vial oriented to enter into the domestic market or it would be pen -oriented approach that we follow?
Dilip Shanghvi : Those are -- I mean we have to remain competitive, and we need to have a product which can compete with the best product. Even the Semaglutide, which Kirti is talking about will be a pen product. So that's not an issue.
Moderator: That was the last question. I would now like to hand the conference over to Dr. Abhishek Sharma for closing comments.

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Abhishek Sharma : Yes. Thank you. Thanks, everyone, for joining in. If you have any questions which remain unanswered, today, you can always reach out to the Investor Relations team. Good evening, good night to all of you.
D

ilip Shanghvi : Thank you.
Moderator: Thank you very much. On behalf of Sun Pharma, that conclude the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: Feb 2026

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04 February 2026

National Stock Exchange of India Limited BSE Limited
Scrip Symbol: SUNPHARMA Scrip Code: 524715

Q3 FY26 Earnings Call Transcript

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed herewith a copy of the transcript of the Company's Q 3FY26 earnings conference call, which we shall be uploading on our website after sending this letter to you.
This is for your information and record.

For Sun Pharmaceutical Industries Limited

(Anoop Deshpande)
Company Secretary and Compliance Officer
ICSI Membership No.: A23983
Sun Pharma Q 3 FY26
Earnings Call Transcript
06:30 pm Jan 31, 2026

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Corporate Participants

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Chairman , Sun Pharmaceutical Industries Ltd.

Kirti Ganorkar
Managing Director , Sun Pharmaceutical Industries Ltd.

Aalok Shanghvi
Chief Operating Officer , Sun Pharmaceutical Industries Ltd.

Jayashree Satagopan
Chief Financial Officer, Sun Pharmaceutical Industries Ltd.

Richard Ascroft
CEO (North America), Sun Pharmaceutical Industries Ltd.

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Moderator: Ladies and Gentlemen, Good Day and Welcome to Sun Pharma's Q3 FY26 Financial Results Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing “*” then “0” on your touchtone phone.
I now hand the conference over to Dr. Abhishek Sharma, Vice President & Head of Investor Relations and Strategic Projects, for his Opening Remarks .” Thank you and over to you, sir.
Dr. Abhishek Sharma: Thank you. Good evening , and A Warm Welcome to our 3rd Quarter FY26 Earnings Call. I welcome you all , especially those who have joined us on Saturday . I am Abhishek from the Sun Pharma Investor Relations Team. We hope you have received the Financial Results and the Press Release, that was sent out earlier in the day. These are also available on our website.
We have with us Mr. Dilip Shang hvi – Chairman, Mr. Kirti Ganorkar – Managing Director, Mr. Aalok Shanghvi – Chief Operating Officer, Ms. Jayashree Satagopan – CFO and Mr. Richard Ashcroft – CEO, North America.
Today, the Team will provide an update on financial performance and business highlights for the Quarter , Pipeline Updates and respond to any Questions that you may have.
We will refer to the consolidated financials for Management comments. A call recording and call transcript will also be put up on our website shortly.
Just to add, in recent weeks, there has be

en speculation in media regarding Sun's M&A interest in certain companies. We have clarified to exchanges that the news is speculative in nature and we will not be taking any questions in today's call regarding the news articles and their subject.
The discussion today might include certain forward -looking statements and these must be viewed in conjunction with the risks that our business faces. You are requested to ask two questions in the initial round. I also request all of you to kindly send in y our questions that may remain unanswered today.
I will now hand over the call to our CFO, Ms. Jayashree Satagopan.
Jayashree Satagopan: Good evening , all. Welcome and thank you for joining us for this Earnings Call after the announcement of Financial Results for the 3rd Quarter of FY 2026.

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Our Q3 Financials are already with you.
As usual, we will look at Key Consolidated Financials of the Company :
During the 3rd Quarter of FY 2026, we recorded sales of Rs.1,54,691 million, registering a growth of 15.1% vis -à-vis Q3 FY 2025. Besides the underlying business growth, we also had a milestone income of US$55 million in rest of the world in the 3rd Quarter .
Ex-milestone, overall sales growth was 14.7%. In the corresponding quarter of FY '25, Sun had received a milestone payment of US$45 million.
Gross margin during the quarter was at 81%, higher than the same period last year, largely on account of better

product mix.
EBITDA for the quarter was Rs.49,485 million, an increase of 23.4% over Q3 last year. EBITDA margin came in at 31.9%, higher both on a year -on-year and a quarter -on-quarter basis. Excluding the impact of milestone income, favorable FOREX impact and other operating revenues, EBITDA margins for the company improved mostly on account of better product mix.
During the quarter, an exceptional charge of Rs.4,895 million was taken primarily on account of wage code gratuity as per ICI guidelines and additional provision for G xMDL final settlement.
Reported net profit after tax for Q3 FY2026 was Rs. 33,688 million, up by 16% over Q3 last year. Adjusted net profit for the quarter was Rs.35,367 million, up 9.9%.
EPS for the quarter was Rs.14 per share.
Effective tax rate for the quarter was 24.3%, vis-à-vis 14.7% in 3rd Quarter of FY25 and 24.7% in Q2 FY26.
FOREX gain during the quarter was Rs.1,539 million.
Balance sheet continues to be strong with a net cash of $3.2 billion at the consolidated level.
Now, we will discuss the Nine Months Performance :
For the first nine months of FY26, sales was at Rs.4,36,604 million, registering a growth of 11.3%.

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Gross margin was at 80% for the first nine months.
EBITDA came in at Rs.1,37,772 million, registering a growth of 19.2% with a resulting EBITDA margin of 31.4%.
Adjusted net profit for the nine months was Rs.96,508 million, up by 6.1%.
The Board has declared an interim dividend of Rs.11 per share for the year FY26 against Rs.10.5 per share interim dividend for the previous year.
I will now hand over the call to Kirti, who will Share the Performance of our Global Innovative Medicines Business and the India Business .
Kirt

i Ganorkar: Thank you, Jayashree.
I shall first provide you an update on global innovative medicines business:
In Q3 FY26, our Global Innovative Medicine s sales were up 14.3% to reach US $423 million. Ex -milestone income , our Global Innovative Medicine s growth came in at 13.2%. An additional point on the milestone income while Sun has had a milestone income in the last year , it may or may not recur in the future , hence, you may treat it as one -off income.
Our performance in Innovative Medicine s business continues to be driven by a mix of growth in the US and the ex-US markets.
Recently, we launched Unlo xcyt in the US. During the quarter gone by, we have also introduced Ilum ya in India. Early feedback for both the launches has been quite encouraging.
Coming to India business :
For Q3 sales formulation s in India were Rs.49,986 million, recording a growth of 16.2% over Q3 last year. India formulation s sales accounted for 32.3% of total consolidated sales for the quarter.
Sun Pharma is ranked No. 1 and holds 8.4% market share in over Rs. 2,407 million Indian pharmaceutical s market as per Pharma rack MAT December 2025. Corresponding market share for the previous period was 8.1%.

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For the quarter ending December 2025, we grew higher than the IPM and we had done well across all major represented therapy areas.
The sales growth continues to be led by higher contribution from volume and new product introduction as compared to the overall market.
Our volume growth of 6.3% for the quarter beat IPM volume growth which is at 1.2%.
As per SMSRC July -October 2025 report, we continue to be the No. 1 brand based on the prescription volumes.
Sun Pharma is also ranked No. 1 by Prescription with 14 different doctor categories.

For Q3 FY26, the company launched 12 new products in India.
As the leaders in diabetes and metabolic segment, we are looking forward to expand our portfolio with the launch of Semaglutide upon the expiry of Semaglutide patents in India. Sun Pharma plans to be in market on day -one of a generic launch. We have already received the regulators' approval for both the indication of chronic weight management as well as treatment of type 2 diabetes under the brand name Novel treat and Sematrinity respectively. We are well positioned here with an expected launch across both indications as well as all the strength s presenting a comprehensive solution to the physicians as well as patients.
Our brands will be made available in easy -to-use format, and we have ensured sufficient supplies to meet the demand in India.
I will now hand over the call to Rick for the Update on the US.
Richard Ashcroft: Thank you, Kirti, and good evening.
Let me share the performance highlights of our US Business :
Our overall US business was mar ginally up by 0.6% to reach $477 million for the quarter.
Growth in innovative medicines was offset by lower sales in the generic business due to additional competition in certain products.
The US accounted for 27.5% of consolidated sales for the quarter.

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In Q3, we will launch three new generic products in the US.
As Kirti mentioned, recently w

e have also launched Unloxcyt in the US for the treatment of Advanced Cutaneous Squamous Cell Carcinoma. Our early launch efforts have been focused on education and awareness of healthcare professionals. We are also in active discussions with health systems to ensure wide access for the product. Our initial interactions have been positive. We have completed initial stocking and had our first orders from distributors.
I woul d also like to get a quick word on LEQSELVI . The initial response from physicians ha ve been encouraging. Physicians are reporting early signs of hair regrowth in patients, which mirrors our clinical data, including in some patients who have previously failed other JAK inhibitors.
I will now hand over the call to Alok for Updates on our Other Businesses . Alok?
Alok Shanghvi : Thank you, Rick, and good evening to everybody on the call.
I will provide an update on the performance highlights of our other businesses :
Our Formulations revenues in the emerging markets were US $337 million, up by 21.6 % over Q3 last year. The underlying growth in constant currency terms was 13 %. In emerging markets, we have seen broad -based growth in the generic and innovative medicine s business. Emerging markets accounted for 19.4 % of total consolidated revenue for Q3.
Among the larger markets, Romania, South Africa, and Brazil , have done well in local currency terms.
Formulation s revenues in the rest of the world were US $296 million, up 14.5 % over Q3 FY25. We have seen growth both in the generic and innovative medicine s business in R oW.
The rest of the world markets accounted for approximately 17.1 % of consolidated revenue.
I will now hand over to Mr. Dilip S hanghvi for Updates on R&D .
Dilip Shanghvi: Thank you, Alok.
Let me take you through our R&D Initiatives and Activities :

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We continue to invest in building a R&D pipeline for both the global generics and the innovative medicine s business.
Consolidated investments made towards R&D for Q3 FY26 stand at Rs.8,928 million or 5.8 % of sales. Innovative R&D accounted for 30.5 % of our total R&D spen d and stands at 7.2 % of global innovative medicine s sales for the quarter.
During the quarter, we filed sBLA for Ilum ya with the US FDA in the indication of Psoriatic Arthritis. FDA

approved label updates on Unloxcyt based on longer -term data that demonstrated improved clinical outcomes in advanced cutaneous squamous cell carcinoma.
We have also initiated global Phase -II trials of GL0034 in the indication of type -2 diabetes.
FDA has also updated Ilum ya label recently with additional efficacy data in treatment of Psoriasis of the Nail.
Moderator: We will now begin the question -and-answer session. First question is from Rishi Parekh from J .P. Morgan. Please go ahead.
Rishi Parekh: Hi, good morning and good evening, I guess, and thank you so much for taking my question. Now, I appreciate you are not taking questions on what is speculative out there, but for many of us that are new to Sun Pharma, I was just hoping that you could walk us through your M&A strategy and what you are hoping to target or achieve with the strategy . Are you looking at tuck -ins, are you looking to add biosimilars , are you looking to expand your geographic presence , and how important is North America in the strategy?
Dilip Shanghvi: So, I think almost for all of those issues, we have indicated responses to the analysts on this call in the past. I think US continues to be an important part of our fo

cus, specifically for the innovative medicines …
and not only US, but we have interest in selling innovative medicines globally. For emerging markets, we are looking at what you call tuck -ins or smaller acquisitions, which we can look at integrating with our existing business to get scale in the emerging markets. And we have also consistently indicated that we want to remain disciplined about acquisition. Our focus is on finding a way to grow our business organically at a rate so that we continue to be an attractive investment opportunity for the shareholders. We would look at acquisition only if we think that it can help us in terms of strengthening our long -term strategy capability.
Rishi Parekh: And then can you also talk us through the size of the types of acquisitions you are looking at?

Dilip Shanghvi: So, I think we have indicated in the past that we need to be confident that whatever acquisition we make, we should be able to manage effectively without our diluting focus on our own growth. At the same point of time, I think we have also indicated that for acquisition, if it is necessary, we are comfortable in raising debt.
Rishi Parekh: Thank you.
Moderator: The next question is from Tushar Man udhane from Motilal Oswal Financial Services. Please go ahead.
Tushar Manudhane: Thanks for the opportunity. Sir, on the innovative medicine s sales, ex of milestone payment, the growth has been a bit soft compared to the earlier quarters. If you could elaborate on that ? That is my first question.
Kirti Ganorkar : Yes, I will answer your question. As we have called out in our Q3 FY2 5, certain one -time sales to our partner and that has given Q3 FY25 high base and that is one reason for the growth looking lower in H1. However, specialty should continue to do well. It is difficult for us to comment quarter -to-quarter. My view is always you look at the business on annualized basis rather than looking at quarter -to-quarter basis.
Tushar Manudhane: Secondly, R&D spen d on the innovative portfolio both as a percentage of total R&D as well as absolute amount has been reducing for the past two, three quarters. If you could also explain that ?
Dilip Shanghvi : I think it is all linked with commencing clinical trials as we are commencing new clinical trial including the one for GL34. We should increase in the R&D spen d and next quarter we will guide R&D next year. That will be our expected R&D spen d for next year.
Tushar Manudhane: Got it. And lastly, if I may, US sales ex of Re vlimid has the portfolio growth or it has still been stable , if you could just throw some light on that ?
Richard Ashcroft: Is the question specifically related to generics?
Tushar Manudhane: Yes.
Richard Ashcroft: Ex-Lenalidomide , the generics business is slightly down in the US.
Tushar Manudhane: So, is this to do with price erosion or the lack of launches , if you could also explain that ?

Richard Ashcroft: It is really due to specific competition for certain products.
Tushar Manudhane: So how do you see this improving going forward?
Richard Ashcroft: I think overall for th

e US , we see the innovative medicines continuing to grow and the generic business will start to recover once we are in manufacturing compliance for a number of our sites in order to launch new products.
Tushar Manudhane: Got it. Thank s a lot .
Moderator: The next question is from Damayanti Kerai from HSBC. Please go ahead.
Damayanti Kerai: Hi, good evening and thank you for the opportunity. My first question is on gro ss margins. I just want to understand it better. In your opening remarks you mentioned better mix led to such strong gro ss margins. So , if you could just explain what are the key drivers to sustain such high gro ss margins ? As we understand now Re vlimid benefit is over for you. So if some additional color to explain the very strong growth margin performance ?
Jayashree Satagopan: Thanks for your question , Damayanti. As you know , we do not specifically guide on product margins. Having said that better mix of products both in terms of the branded products and our innovative medicines has given an upt ick compared to the gross margin in the previous year.
Damayanti Kerai: Okay . You think this level of margins will sustain or how do you see margins trending ahead?
Jayashree Satagopan: As I was just mentioning , we normally do not guide on margins. Our endeavor is to see how we sustain and really perform to our potential.
Damayanti Kerai: Okay, sure. My second question is on spend on the new launches where you indicated incremental spend of 100 million or so. So , in terms of spend how much of that is already covered and how much is yet to come and where are the major spend happening?
Richard Ashcroft: I am happy to address that. So , the spend is really occurring on the LEQSELVI, UNLOXCYT launches , was fairly evenly split. We do see that spend is increasing now in the latter part of the fiscal year particularly as we have just launched UNLOXCYT . We do expect this to be kind of part of our core expenses though going forward.

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Damayanti Kerai: Okay. So next year as well we expect elevated spend on these new launches as you build up the market s, etc. ?
Richard Ashcroft: Yes, next year it will just be part of our core operating OPEX to support these and the rest of our innovative medicines business.
Damayanti Kerai: Okay . UNLOXCYT is a very recent launch, but any color on how you are proceeding with your decision with the insurance partners, etc., and when you expect those deals to sign, like when you have the healthcare partners onboarded?
Richard Ashcroft: Is the question related to UNLOXCYT ?
Damayanti Kerai: Yes.
Richard Ashcroft: Sure. So, we are having active discussions with the physicians as you would expect given we are just a few weeks outside of launch. From a distribution perspective, the distribution network is in place. As I had shared, those agreements are in place , the product has been stocked as well as the agreements with the downstream customers. The other important discussions are with health systems. As this is an oncology product, a lot of the prescriptions will come from health systems. So , we have been in active discussions with health systems since before launch. We have been in touch with the top 50 cancer centers within the U.S., and all of those discussions have been progressing positively. So , for the first few weeks, very pleased with what we have seen so far. The message is resonating in terms of the balance that this product provides in terms of efficacy and safety. It is something that the clinicians have bee

n looking for. And again, within the health systems, the discussions from a formulary perspective have been progressing positively.
Damayanti Kerai: Sure. Thank you. I will get back in the queue.
Moderator: The next question is from Neha Manpuria from Bank of America. Please go ahead.
Neha Manpuria: Yes, thanks for taking my question. My first question is on the India business. Given the strong performance that we have seen and the upcoming launch of SEMA that you indicated, should we expect this growth rate to improve further as we look through the next few quarters, particularly as we add SEMA? And just a related question on that, would we need to add any more sales force or any plans to expand the sales force in India generally for SEMA or otherwise given the strong growth that we have seen?

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Kirti Ganorkar: I think, Neha, you will appreciate that it is very difficult for us to predict what will be the future growth and how we will grow. So , we will not comment on that. Coming to your question on GLP -1, ye s, we will add some few field force for the launch of the product. And that is like the way we do the business in India.
Neha Manpuria: And this has not been done as yet, sir?
Kirti Ganorkar: Yes, we are preparing for the launch, as I said in my readout. So , some of this thing has already been done , yes.
Neha Manpuria: All right. Got it. My second is on the R&D spend for generics. If I were to strip out the specialty number that you mentioned, that seemed to have increased quite a bit. So, if you could give us some color in terms of incrementally where are we looking at spends, and since historical ly we have kept biosimilars outside any plan, instead of looking at biosimilars again, given the change in regulation?
Dilip Shanghvi: I did not understand. What is the question?
Neha Manpuria: If I look at the ex -specialty R&D spend, right, after stripping out the R&D specialty R&D that you gave, the generic spend seems to have increased quite a bit. Could you give us some color on where we are spending on generic specifically? And also our thoughts on biosimilars, how should we look at that opportunity for Sun Pharma, particularly given we have not done too much in the past?
Dilip Shanghvi : Sure. No, I think we are giving some split between the generic and the specialty. But beyond that, within generic, where we spend the money is not something that we give at a granular level. We also recognize that we are not only talking to investors, but we are also talking potentially to competitors. So generally, we avoid sharing commercially sensitive information on this c all.
Neha Manpuria: Understood. And on biosimilars, has your view there changed in terms of looking at that opportunity overall?
Dilip Shanghvi: I think last time also I indicated . So, we are evaluating, re -looking at, because we look at comprehensively including setting up manufacturing , investment, overall cost of development and the time for the investment to produce any kind of meaningful return. So , we are evaluating everything to take a decision.
Neha Manpuria: Understood. And sorry, if I may squeeze one last question on UNLOXCYT . How are we thinking about positioning this product versus at the end, would it be the warehousing patients that we would look at first or the new patients that are coming?

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Richard Ashcroft: I think the position of UNLOXCYT in the market is very clear and very crisp. What it really offers is balance between efficacy and tolerability. So UNLOXCYT works three ways. It restores adaptive immunity, which is by binding to the PD -L1. It engages the innate immune system based on its active FC domain that activates natural killer cells. And unlike the existing product, it preserves PD -L2 signaling. And the reason that is important is that is the pathway through which immune -mediated adverse events are typically anticipated. So that is really the positioning of UNLOXCYT in the marketplace. And as I said, that has been resonating with, with clinicians.
Neha Manpuria: And do you think this would be more important in getting new patients onboard or could we initially go after the patients that have used existing products and work for them?
Richard Ashcroft: We would mostly anticipate new patients.
Neha Manpuria: Of course. Thank you so much.
Moderator: Next question is from Bino Pathiparampil from Elara Capital. Please go ahead.
Bino Pathiparampil : Hi, good evening and good morning. The first question is sort of a follow -up from earlier questions. I just wanted to know if there is any Lenalidomide contribution at all in Q3 or was it completely over in Q2?
Richard Ashcroft : Quiet , quite small in Q3, but there was a negligible contribution.
Bino Pathiparampil : Got it. Second , on Semaglutide, are you also planning for launches in some other emerging markets around the time you will launch in India?
Kirti Ganorkar : No, what I said about the launch in India only, other markets we are not guiding what is our launch plan.

Bino Pathiparampil : Understood. And finally, a question on GL0034. I believe it is in Phase -II in diabetes. When can we expect some sort of data there?
Dilip Shanghvi : What was that?
Bino Pathiparampil : GL0034 in diabetes Phase -II.

Dilip Shanghvi: We are publishing phase -2a data in the certain scientific conferences, both for diabetes as well as for NASH over the next few months. But the current phase -2b study which has started, that should possibly get over within maybe 12 -to-18 months.
Bino Pathiparampil : Okay, so any further data is 18 -months. Okay, got it. Thank you.
Moderator: Next question is from Girish Bak hru from OrbiMed. Please go ahead.
Girish Bakhru: Yes, thanks for taking my question. Just the questions on US again regarding the two products, first LEQSELVI . My understanding is the product requires a genetic testing before you put the patient on. Can you talk about that? Is not that a significant deterrent?
Richard Ashcroft: Yes. Well, first, I think it is important to point out for all the JAK inhibitors, there is a whole battery of testing that needs to take place. So that is similar across all the products. LEQSELVI is a bit unique in that we do have a specific testing for how the drug is metabolized. What is interesting about that is a lot of drugs are metabolized through that system. So , it is good for patients to understand that. So, there is some benefits of knowing that as part of the testing process. But you are correct. That is one of the steps associated with starting patients on LEQSELVI .
Girish Bakhru: And can I ask, Richard, are there enough centers wh

o are doing this testing? And if you can also
throw who is covering the cost of the test -- is it the patient or is it the insurance company?
Richard Ashcroft: We are actually covering the cost of the test. So, we are working with the leading providers. There are several big providers of testing within the United States, and we are working with them to provide the test, and we do so free of charge to the patient.
Girish Bakhru: Understood. And just while we are on this market, I mean, RI NVOQ, of course, is being talked about as a new entrant potentially soon. I mean, I was looking at the data. Data of RI NVOQ is pretty solid. And its dosing is also better than LEQSELVI . So how do you see that competition coming in this market? And of course, there are a whole set of new drugs also probably being targeted in Alopecia.
Richard Ashcroft: I do not know if I would agree with the comment about the dosing being better. I think what I would say is, first of all, this remains a category where there is opportunity for more diagnosis. So the more products that are available is a good thing because it is getting patients choices and it is going to allow the market to continue to grow. Particularly , this severe market where it can be challenging for physicians to differentiate

those patients. So having additional competition is a good thing , because it will help with that education. The other thing we know, and we are seeing with LEQSELVI as well is just because the patient tries one inhibitor, that does not mean they are not going to respond to others. In fact, that is exactly what we are hearing from clinicians. We are having patients that are starting LEQSELVI that have actually failed the two other approved JAK inhibitors and actually are now responding on LEQSELVI .
Girish Bakhru: Understood. And second question was on UNLOXCYT . I heard your comment earlier that this primary market is basically new patients. So, I mean, you are not really targeting patients who have failed Keytruda or Li btayo, is that correct?
Richard Ashcroft: Well, there could be patients that are having trouble tolerating Keytruda and Liptayo that could move to UNLOXCYT . But in general, our assumption has been and our strategy has been more focused on new patients.
Girish Bakhru: But would not that market be smaller like given the advanced carcinoma patients would be difficult to find ?
Richard Ashcroft: Yes. I mean, it is smaller than the overall population, but there is a meaningful population of

patients that start immunotherapy where they need to go on one of these therapies.
Girish Bakhru: Understood. And lastly, any thoughts on new indications that you are pursuing for LEQSELVI or UNLOXCYT right now or is it too early?
Richard Ashcroft: We are in active discussions about LCM for both the products.
Girish Bakhru: Understood. Thank you so much.
Moderator: Next question is from Vishal Manchanda from Systemati x. Please go ahead.
Vishal Manchanda: Hi, good evening and thanks for the opportunity. A question on your pending AND As and NDAs. So, you have 116 AND As pending and about 14 NDAs pending approval. Would you be able to share how many of these are from sites that are impacted by OAI?
Alok Shanghvi : So, we do not specifically disclose which AND As are filed from which site.

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Vishal Manchanda: In the sense, like just a percentage of the spending AND As or NDAs that would be filed from the affected sites ?
Alok Shanghvi : Like I said, we do not disclose that.
Vishal Manchanda: Right. Okay. And if you could share some nature of the NDA filings that are pending approval in the sense whether these are ready to use injectables or sprinkle powders that you have been kind of trying to build over time ? So, would majority of these would be kind of ready to use injectables and dysphagia -related products?
Dr. Abhishek Sharma : No, we have not given details about our NDA filings in terms of the nature.
Vishal Manchanda: Okay. And just one final one. Do you expect to see further decline in US generic sales in Q4?
Dilip Shanghvi: I mean, it is included in our overall guidance.
Vishal Manchanda: Right. And if you could just share between UNLOXCYT and LEQSELVI , which one would scale up faster over the next two years , any sense there ?
Richard Ashcroft: We typically do not provide product -specific guidance.
Vishal Manchanda: Thank you.
Moderator: Next question is from Kunal D hamesha from Macquarie. Please go ahead.
Kunal Dhamesha: Hi, thank you for taking my question. The first one is on the CMS's proposal on the most favored nation pricing, the two models that they have put out. Can you share some color , What is the internal assessment? I believe right now it i s open for the commentary .
Richard Ashcroft: Sure. Happy to do so. I think, as you know, there are three models. There is a voluntary model that exists today, which is called the generous model, which is directly related to Medicaid within the US , and then the other two are proposed. So they are very much in the notice and comment phase. We expect that notice and comment phase to end within this next month. So , it is pretty speculative at this point to know, whether they will stay intact as they are or how they will change. As you would expect, we are working on all possible alternatives to mitigate any impact.

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Kunal Dhamesha: Can you share how we can make the broader aspect as to how we can mitigate , what are the strategies we can employ there?
Dilip Shanghvi: I think these are commercially sensitive information. It is difficult for us to share this information on a public call. If you see, none of the pharma companies have given any details about any agreement that they have signed with the government excepting which products are covered. So , I think you need to understand that there are things that we can share, and there are things that we will not be able to share.
Kunal Dhamesha: Sure, sir. Second one on the Cosibeli mab, we just suggested that we might be in active discussion for a new indication. So , would this indication be within the therapy areas that we are focusing or we are willing to go beyond our key therapy areas at this moment given the data especially on the immune -mediated adverse events is quite strong compared to the competitors?

Dilip Shanghvi: So, I think once we decide, we will share both the information that we can share. As we have said, we are evaluating. So , while we evaluate, there are advantages of staying within the therapy area that we are present in. There are advantages of looking at the other areas that we are not present in. So , we have to do

a
commercial risk -benefit and time -to-market analysis.
Kunal Dhamesha: Sure. Thank you and all the best.
Moderator: The next question is from Gautam from Leo Capital. Please go ahead.
Gautam: Hi, sir. Thank you for the opportunity. Good evening. I wanted to know regarding GLP -1, do you have a fill-and-finish capacity, and if it is our own capacity or through a partnerships capacity?
Kirti Ganorkar: I think I talked about launch in India, but we will not comment specifically on capacity and whether it is in-house or it is outsourced from a third -party.
Gautam: All right. And you guys do not have any timelines or any intention outside India market, any emerging markets, or only India market will be added as of now?
Kirti Ganorkar: As I said earlier, my comment was only on India market. Outside India market, we are not going to disclose what is our plan here.
Gautam: All right. Thank you.

Moderator: Next question is from Tushar Man udhane from Motilal Osw al Financial Services. Please go ahead.
Tushar Manudhane: Thanks for the follow -up. Just on continuing on innovative sales, so while you highlighted high base in the sa me quarter last year, is there any mix of milestone as well any certain sort of one -off which would sort of come from a higher base in this quarter as well?
Dr. Abhishek Sharma : No, there was no one -off in this quarter apart from milestone , Tushar .
Tushar Manudhane: Sure. And secondly, more on the overall performance of FY23 to '25, there has been almost 13% to 14% CAGR in EBITDA as well as earnings, even if I adjust for the milestones income. However, FY26, nine months has been sort of subdued. So, if you could just throw some light , while this nine months R&D spend also has been relatively lesser given the clinical programs at various stages , while not taking a numerical guidance from your side, but directionally if you could help us understand ?
Jayashree Satagopan: I think our margins during this year and quarter has also been good. Factoring in the two new launches and the related expenditure that we have guided on. So, I think on a normal ongoing basis, the margins are at comparable basis.
Tushar Manudhane: Ma'am, I was referring about the growth in EBITDA as well as PAT . While higher spend on innovative medicine s to some extent got offset with lower R&D spend compared to earlier years, right?
Jayashree Satagopan: Yes. So, that is at EBITDA level. PAT , we have indicated in the past as well. Our ETR has moved up from around 13 % to 15 % to currently about 25 % and that is the reason why you would see that the PAT improvement may not be commensurate with the margin improvement.
Tushar Manudhane: Okay. Subsequently, is 25 % expected to be a number to assume for the '27-28?
Jayashree Satagopan: I think it would be sort of in the range we guess.
Tushar Manudhane: Got it. Thank you.
Moderator: The next question is from S hashank Krishnakumar from Emkay Global. Please go ahead.
Shashank Krishnakumar: Hi! Thanks for taking my question. My first one was on the launch of an auto - injector Ilum ya in Canada. So, I wanted to get your thoughts to possibly move beyond the usual physician -

administer setting. So, do we also have plans to do this in the US? So, I just want to understand that. And just a related question, for Psoriatic Arthritis, is it reasonable to expect a launch towards the FY27?
Richard Ashcroft : So, we have launched a pen for Ilum ya in Canada and as in other markets, the product is self - administered there. It is a different situation within the US. We are currently pleased with the HCA administration model and that is our current intention. As it relates to Psoriatic Arthritis, we would expect typical FDA review

times because we did submit the application this past quarter.
Shashank Krishnakumar: Got it. Thanks. That is helpful. Just a second question is on India. So, do we also plan to launch Sema tablets post -March? Just wanted to check that.
Kirti Ganorkar: No, right now, as I said earlier, we have approval for a Semaglutide injection. Yes. So, we would no t be able to comment on the Semaglutide tablet at this moment.
Shashank Krishnakumar: Sure. Thank you. That is it from my side.
Moderator: The next question is from Vishal Manchanda from Systemati x. Please go ahead.
Vishal Manchanda: Thanks again. On the Philogen drug Fibrom un, can you guide if there is a possibility for the drug to get an accelerated approval?
Dilip Shanghvi: Where?
Vishal Manchanda: In the US.
Dr. Abhishek Sharma : For which indication?
Vishal Manchanda: Soft tissue sarcoma.
Dilip Shanghvi : So, my understanding is that they do not have a priority review classification. I can find out. If I respond, I will respond without having adequate information. So, maybe share the specific question with Abhishek and we will get back to you with specific information. Because this is a product that Philogen is responsible for development as well as for filing.
Vishal Manchanda: Got it, sir. Ye s, I will do that. Thank you.
Moderator: The next question is from Vivek Agarwal from Citigroup. Please go ahead.

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Vivek Agarwal: Thanks for the opportunity. The question again is related to your M& A strategy. Just want to understand in case if you find a suitable M&A target, what kind of the debt you are comfortable with , so, are you able to leverage the balance sheet, let us say 3x of EBITDA? Thank you.
Dilip Shanghvi: No, I think I said that we are comfortable with raising debt. Now, it all depends on the targets, cash flow profile, our confidence that we can repay. Why we want to go into an area where we have no specific information, I have to really watch.
Vivek Agarwal: Yes, thanks. No problem at all. And just one more question on this globe model, Rick ? Although you are not commenting on your strategy, but just if I look at the model itself, is there any possibility or how do you think about the possibility of this let us say, getting implemented , is it practical or can it get delayed or may not be implemented at all , how do you think about this?
Richard Ashcroft : I think that is pretty speculative. I think we need to wait until the notice and comment period is over and then react. Hard to tell at this stage.
Vivek Agarwal: Understood. And are you also working with any kind of deal with the Trump administration?
Richard Ashcroft : Can you repeat the question?
Vivek Agarwal: Are you also working with any kind of deal with Trump administration, like some of the other big pharma companies have entered with?
Richard Ashcroft : We are regularly in the conversations with the US gover

nment on any number of topics.
Vivek Agarwal: Perfect, thanks. That is on my side.
Moderator: Next question is from For am Pa rekh from Bank of Baroda Capital Markets. Please go ahead.
Foram Parekh: Thank you for the opportunity. Our emerging markets growth is quite buoyant in this quarter. So, I hear that it was led by both generics as well as innovative products. But can we elaborate more on this and give us some direction, like going forward how should we look at this region?
Alok Shanghvi : So, all our major geographies in emerging markets are doing well in local currency terms. And our constant currency growth for the emerging markets business is 13%. While there was a currency tailwind,

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both generics and innovative businesses have done well , and we do not guide on revenue growth for specific businesses.

Foram Parekh: Okay. My second question is a little open -ended and it is on the India business GLP opportunity. So, given that the market is going to be very crowded , so what are our thoughts , I mean, how excited are we to be in this competitive market?

Kirti Ganorkar: We are very excited to launch the product on the patent expiry , yes. And I think when the generic product for SEMA is launched, it w ould also improve the access and the market will expand. Exactly in terms of number of patients or value, we cannot comment on it at this moment , but we are all very excited to launch S emag lutide equivalent generics in India on patent expiry.

Foram Parekh: Sure. And can you talk or give some direction on the pricing side , I mean, do we want to be very competitive or how are we going to be on the pricing side , any color there?

Kirti Ganorkar: Sure. Pricing, we cannot comment. But I already told you like when the generic comes, it improves the access.

Foram Parekh: Sure. No problem. Thanks for answering my question.

Moderator: The next question is from Abdul kader Puranwala from ICICI Securities. Please go ahead.

Abdulkader Puranwala: Hi, sir. Thank you for the opportunity. So first question is with generic S emag lutide. I believe we have filed the product in Canada through Taro. So just wanted to understand what is the status there? And have you heard anything back from the regulator for the filing?

Kirti Ganorkar: No, I think I clarified this the second, third or fourth time is like right now in this call, we are discussing Semag lutide only for India.

Moderator: That was the last question in queue. I would now like to hand the conference back to Dr. Abhishek Sharma for closing comments.

Dr. Abhishek Sharma: Yes, thanks, everyone, especially for joining us on this Saturday. If any of your questions have remained unanswered, please reach out to me or the investor relations team and we will be happy to help you. Thank you and have a good evening.

Sun Pharma Q 3 FY26
Earnings Call Transcript
06:30 pm Jan 31, 2026

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Dilip Shanghvi: Thank you.

Moderator: Thank you very much. On behalf of Sun Pharma, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: May 2026

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29 May 2026

National Stock Exchange of India Limited BSE Limited
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Q4 FY26 Earnings Call Transcript

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed herewith a copy of the transcript of the Company's Q 4FY26 earnings conference call, which we shall be uploading on our website after sending this letter to you.
This is for your information and record.

For Sun Pharmaceutical Industries Limited

(Anoop Deshpande)
Company Secretary and Compliance Officer
ICSI Membership No.: A23983
Sun Pharma Q 4 FY26
Earnings Call Transcript
06:30 pm May 22, 2026

Corporate Office : Sun House, 201 B/1, Western Express Highway, Goregaon (E), Mumbai - 400063
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Kirti Ganorkar
Managing Director , Sun Pharmaceutical Industries Ltd.

Aalok Shanghvi
Chief Operating Officer , Sun Pharmaceutical Industries Ltd.

Jayashree Satagopan
Chief Financial Officer, Sun Pharmaceutical Industries Ltd.

Richard Ascroft
CEO (North America), Sun Pharmaceutical Industries Ltd.

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Moderator: Ladies and gentlemen, good day, and welcome to the Sun Pharma's Q4 FY '26 Financial Results Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentati on concludes. Should you need assistance during this conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Dr. Abhishek Sharma, Vice President and Head of Investor Relations and Strategic Projects. Thank you, and over to you, sir.

Abhishek Sharma: Thank you. Good evening, and a warm welcome to our fourth quarter and full year FY '26 Earnings Call. I'm Abhishek from the Sun Pharma Investor Relations team. We hope you received the Q4 financials, the press release , and the earnings presentation that were sent out earlier in the day. These are also available on our website. We have with us today, Mr. Dilip Shanghvi, Chairman; Mr. Kirti Ganorkar, Managing Director; Mr. Aalok Shanghvi, Chief Operating Officer; Ms. Jayashree Satagopan, CFO; and Mr. Richard Asc roft, CEO, North America. Today, the team will provide an update on financial performance and business highlights for the quarter, pipeline update , and respond to any questions that you may have.

We will refer to the consolidated financials for management comments. The call recording and transcript will also be put on our website shortly. As you know, Sun has formally announced the acquisition of

Organon & Company.

Disclosures regarding the acquisi tions, including strategic rationale, time lines and pro forma headline financials have already been shared through our exchange filings and discussed during the recent investor call. Since Organon remains a public listed company, today, we will not be taking any questions regarding Organon's busin ess performance, including recent quarterly results.

The discussion today might include certain forward -looking statements, and these must be viewed in conjunction with the risk that our business faces. You are requested to ask 2 questions in the initial round. I also request all of you to kindly send in you r questions that may remain unanswered today.

I will now hand over the call to our CFO, Ms. Jayashree Satagopan.

Jayashree Satagopan: Good evening all, and welcome and thank you for joining us for the earnings call after the announcement of financial results for the fourth quarter and full year FY '26. The financials are already with you. As usual, we will look at the key consolidated financials.

During the fourth quarter of FY '26, sales were at INR1,45,598 million, registering a growth of 13.6% vis -a-vis Q4 FY '25. Gross margin was at 80.8% for the quarter, higher than the same period last year, largely on account

Sun Pharma Q 4 FY26
Earnings Call Transcript
06:30 pm May 22, 2026

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of better product mix. EBITDA for the quarter was INR 39,542 million, an increase of 6.4% over Q4 last year. EBITDA margin came at 27.1%, lower both on year -on-year, which was 28.7% and on a quarter -on-quarter, which was 31.9%.

Forex gain for the quarter was INR 4,268 million. Ex-forex , EBITDA margins were lower quarter -on-quarter due to several factors, including lower milestone income, some seasonality, reduced contribution from lenalidomide

in Q4 versus Q3 and higher spend in certain geographies, including U S. Some of these spends were elevated for the quarter, and we should see it normalizing in the subsequent quarters.
Reported net profit after tax for Q4 FY '26 was INR 27,140 million, while adjusted net profit for the quarter was INR 27,507 million. Earnings per share for the quarter was INR 11.31 per share. Effective tax rate for the quarter stood at 22.3% vis -à-vis 19.8% in Q4 of FY '25 and 24.3% in Q3 of FY '26. Balance sheet continues to be strong with a net cash of $ 3.2 billion at the consolidated level.
Now we will discuss the full year FY '26 performance. For the full year FY '26, sales were INR 582 Billion, a growth of 11.9%. Gross margin was at 80.2% for the full year FY '26. EBITDA came in at INR1,77,314 million, a growth of 16.1%, with a resulting EBITDA margin of 30.3%. Adjusted net profit for the full year was INR 1,24,015 million.
The Board has approved a final dividend of INR 5 per share for the year FY '26. This is in addition to the interim dividend of INR 11 per share, taking the total dividend for the year to INR 16 per share. This is same as prior year FY '25.
I will now hand it over to Kirti, who will share the performance of our Global Innovative Medicines business and the India business.
Kirti Ganorkar: Thank you, Jayashree. I shall first provide you an update on Global Innovative Medicine. In Q4 FY '26, our Innovative Medicine sales were up 20.1% to reach US$ 354 million. Our Global Innovative Medicine sales for the full year FY '26 were US$ 1,420 million with a growth of 16.8%. This business accounted for 22.2% of the share of Sun sales for the quarter. The performance of this business unit continues to be driven by growth across U.S. and ex U.S. market as well a

s Ilumya and other products su ch as Odomzo, Cequa and Winlevi.
Global Ilumya sales for FY '26 were US$ 796 million, having growth of 16.7% for the year. This does not include in-market sales of our alliance partners. During the quarter, U.S. FDA accepted the review of BLA of Ilumya for the treatment of adults with active psoriatic arthritis with regulatory action date set for late October '26.

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Now coming to India, the sales of India formulations were INR 48,359 million for the quarter, recording a growth of 14.8%. India formulation sales for the full year were INR1,92,904 million, recording a growth of 14%. India sales accounted for 33.2% of total consolidated sales for the quarter.
During Q4, we launched semaglutide injection under the brand name Noveltreat and Sematrinity in India across all the strengths. Sun Pharma is ranked number 1 and holds 8.4% market share in over INR 2,450 billion Indian pharmaceutical market as per PharmaTrac MAT March '26. Corresponding market share for the previous period was 8.1%. I am pleased to note that this year, we have seen the highest gain in market share for Sun since Ranbaxy acquisition.
For the quarter ending March '26, we grew higher than IPM, and we had done well across all major represented therapy areas. The sales growth continues to be led by higher contribution from volumes, new products introduction as compared to overall market wh ere the price increases is the key growth factor. Our volume growth of 6% for the quarter beat IPM volume growth, which came at 1.6%.
As per SMSRC November -February 26 report, we continue to be the number 1 company based on the prescription volumes. Sun Pharma is also ranked number 1 by prescription with 11 different doctor categories. For Q4 FY '26, the company launched 11 new products in India. Now I will hand over to Rick for the update on the U.S. market.
Richard Ascroft Thank you, Kirti. Let me share the performance highlights for our U.S. business. Overall, the U.S. business reported sales of US$ 459 million for the quarter, declining by 1.1%. U.S. sales for the full year fiscal 2026 were US$ 1.9 billion, recording a marginal decline. For both the quarter and the full year, growth in Innovative Medicines was offset by lower sales in the generic business due to additional competition in certain products. U.S. accounted for 28.8% of consolidated sales for the quarter. As you know, we launched UNLOXCYT in the US during the fourth quarter, and we also launched 2 new generic products in the US.
I'm also pleased to note for the year that Innovative Medicines crossed $1 billion for the first time in the United States. Having had a strong trajectory since the launch of ILUMYA and contributed to by products, including Cequa, Odomzo and Winlevi, Innovative Medicines is now the larger of the businesses in the US when compare d to generics. I will now hand over the call to Aalok for updates on our other businesses.
Aalok Shanghvi: Thank you, Rick. I will provide an update on the performance highlights of our other businesses. Our formulation revenues in Emerging Markets were US$ 306 million, up by 17.4% over Q4 last year. Emerging markets accounted for 19.2% of total consolidated revenue for Q4. The underlying growth in constant currency terms was 6.5%.

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For the full financial year FY26, formulation revenues in emerging markets were US$ 1.265 billion, up by 13.6% with a constant currency growth of 8.2%. While branded generics has continued to grow, Innovative Medicines has been an important new driver for growth in Emerging Markets for the year, with ILUMYA doing well across several markets such as Romania, Brazil and as well as the partner market of China.
Formulation revenues in Rest of the World for the quarter were US$ 220 million , up 10%. For the full year FY26, ROW sales were US$ 969 million, up 14.4%. Innovative Medicines, led by ILUMYA and Odomzo have been the key drivers for growth in ROW, including sales in non -alliance markets. Rest of the world markets accounted for approximately 13.8% of consolidated revenue.
I will now hand over to Mr. Dilip Shanghvi for updates on R&D.
Dilip Shanghvi: Thank you, Aalok. Let me now take you through our R&D initiatives. We continue to invest in building an R&D pipeline for both the global generics and the Innovative Medicines business. Consolidated investments towards R&D for quarter 4 FY26 stands at INR 9,757 million or 6.7% of sales. Innovative R&D accounted for 36.9% of our total R&D spend.
On the guidance, we expect high single -digit consolidated top line growth for FY27 based on our current understanding of the regulatory and macro environment. We expect our FY27 R&D spend to be 6% to 7% of the sales for the next year.
Further to our announcement of Organon acquisition, we've set up an integration management office and have initiated activities for day one preparedness. The regulatory filings in various markets is in progress. We expect the acquisition to be completed in Q4 FY27.
Abhishek Sharma: That's the end of our prepared remarks. Operator, if you can ask for Q&A.
Moderator: Certainly sir. Thank you very much. We will now begin the question -and-answer session. Our first question comes from the line of Kunal Dhamesha with Macquarie. Please go ahead.
Kunal Dhamesha: Hi good evening and thank you for the opportunity. First question for Richard. If you could share some initial print on UNLOXCYT launch, how has been the doctor's experience with the product? And where is the product making its mark on efficacy, safety side? And a related question on that. Within the compe titive landscape, do you expect one of the competitors to kind of vacate the Part B channel eventually given their new dosage form? That's the first question.

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Richard Ascroft: Good question. Thank you. Yes, the receptivity has been very positive. I think you may recall from the last call, we talked about the unique attributes of UNLOXCYT. And what makes the product unique is that it really provides balance of efficacy and toler ability.
And this patient population tends to be more frail and more prone to adverse events. And if you look at the mechanism of action of UNLOXCYT, it preserves PD -L2 functioning, and that pathway is thought to be the pathway that leads to immune -mediated adverse events. So that's what we're hearing back from physicians. Not only are they seeing the efficacy that they expected, but they also are not seeing immune -mediated adverse events, which we believe is unique about the product. So physicians have been positive. We've been actively working with integrated health system s where a lot of these patients

are to make sure that the product is available
on their formularies.
And we have made sure they're providing adequate training so their nurses know how to administer the product and patients have the best possible experience. As to your other question, you would be better off asking our competitors their strategies as it re lates to Part B and Part D reimbursement.
Kunal Dhamesha: Sure. Thank you for the update. Second one for Kirti, sir, on the semaglutide launch in India. I think the data agencies, which primarily track the secondary sales data, where our market share at this point in time are not in the top 3 where we are in ant idiabetic, we are in top 3, right? But in terms of prescription share, how is that market panning for us? And where do you see we be in that market, let's say, from one year down the line perspective?

Kirti Ganorkar: Sure. We launched Noveltreat on 21st March. So I would say what reflection you are seeing both in IMS or AWACS or even the prescription may not be adequate because any new product when we launch, it takes time for a complete reflection. So maybe in the ne xt 5, 6 months, you will see the reflection, which is close to reality.
Being said that, the product has been received very well by the doctor's community. And one of the differentiating point is our auto -injector as well as the pen system, which was appreciated by the doctors and patients equally well. So current reflection, what you are saying is right. We are, what you are saying, we are not number one player in the GLP -1 generics. But as I said, the reflection and the reality tak es some time to reflect, and our endeavour is always to remain leader in the market.
Kunal Dhamesha: And sir, any clarity on will we be there in the oral semaglutide market anytime soon?

Kirti Ganorkar: Sure. So for oral, we have completed the clinical study. And once we get approval, we will launch the product at the earliest.
Kunal Dhamesha: Sure sir. Thank you and all the best.
Kirti Ganorkar: Thank you.
Moderator: Thank you. Our next question is from the line of Surya Patra with Phillip Capital. Please go ahead.
Surya Patra: Thank you for this opportunity. My first question is on the sequential drop in the margin. Ma'am, in the opening remarks that you mentioned about a couple of cost elements. Am I audible? Sorry.
Kirti Ganorkar: Yes, yes. Please go ahead.
Surya Patra: So sequential drop in the margin, that was my question. So, and how much of this drop is because of, let's say, Revlimid driven and hence can continue going ahead?
Jayashree Satagopan: So the impact of Revlimid in this is relatively small.
Surya Patra: Okay. And any one -off cost component that is sitting in the other expenses, ma'am? And can you quantify that, which may not be recurring?
Jayashree Satagopan: No, there are multiple small items that have together come up to this level. That is why I was also mentioning you should see some amount of normalization as we go forward.
Surya Patra: Okay. Okay. Second question is about, although we are not discussing Organon acquisition related aspects, and I'm not asking anything about that. But in what way, see, I think both are equal -sized businesses. So if you can give some sense that in what way the base business of Sun Pharma can be complemented. For example, like the cross -selling opportunity, that would be a kind of a common thing. But apart from that, what other factors or what other complementing aspects that we can see for Sun Pharma's base business because of tha

t integration?
Kirti Ganorkar: Sure. So I think we had done a presentation on Organon, where in the detail, Jayashree has discussed about how the business complement each other. But I think there are 4 parts of business where biosimilar is a new addition and the established brand, which is not growing, but which is a 50% of Organon complements with the branded generic business, what we have. And the women's health is an innovative business, which will also add to our innovative business and our Innovative business contribution, both combined tog ether goes to 26% to 27%.

So in my opinion, it's a complementary because we don't have even product overlaps, very negligible product overlap is there. And biosimilar is a new addition. So what gets added is a women's health on the innovative side to our existing innovative product s in dermatology, ophthalmology and some part in oncology. So in my opinion, it's quite complementary business, and we are confident that both companies, when we close the transaction together, it will help us to grow further.
Surya Patra: Sure, sir. Just last one question, if I may ask. So we have obviously seen a kind of a good progress in ILUMYA outside of the US, and that is what we have seen the trend also for the global sales business. So can you provide some incremental outlook for the global sales business or global innovative business outside of US? And which other products possibly can see commercial launches outside of the US from the innovative basket?

Kirti Ganorkar: Sure. We have ILUMYA and Odomzo, these are 2 products outside the US. So if you remember a couple of quarters back, I said like ILUMYA, we launched in 35 countries. Now it has gone to 40 countries, and it is helping us to grow.
At the same time, even the other non -ILUMYA portfolio is also continuing to grow, and we see that they are adding to the overall growth of the market ex -US. So overall, I would say the Innovative Medicine part of the business, either you look at US or ex US, it is helping us to grow further.
Surya Patra: Sure sir. Thank you wish you all the best.
Kirti Ganorkar: Thank you.
Moderator: Thank you. Our next question is from the line of Neha from Bank of America. Please go ahead.
Neha: Thanks for taking my question. Rick, a quick question on the US specialty business. Would it be fair to assume that the growth that you are seeing in specialty in the US so far or, let's say, in FY26 is largely driven by ILUMYA? And my second part of the q uestion is, as we think about '27, '28, do you think that the ILUMYA growth given the base sort of slowed and you see a much larger growth from newer launches, particularly LEQSELVI and UNLOXCYT?
Richard Ascroft: Yes. Thank you for the question. So for '26, we did see good growth for ILUMYA, but we really saw good growth across our Innovative Medicines portfolio. So it really wasn't singled out just to one brand. And certainly, if we look at this current fiscal yea r and the one we're coming into, we expect to see continued growth from ILUMYA.

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We still see good growth of the IL -23 market. As Kirti mentioned earlier, we also have subm

itted for a new
extension in psoriatic arthritis. But yes, we also expect to see growth from the new brands, LEQSELVI and UNLOXCYT as well as the existing Innovative Medicines portfolio.
Neha: So out of the existing portfolio, excluding LEQSELVI, let's say, Winlevi particularly, we changed our strategy there. The prescription data seems to be showing a very good traction. How much more room do you think that has with this change in strategy? Or this is just the beginning and we think there could be a much steeper improvement in Winlevi as we go through the next 2 years?
Richard Ascroft: We continue to see growth based on the model that we've adopted. And we also continue to see good growth of Cequa, a product that you didn't mention, where we think that will continue for the next years as well.
Neha: Okay. And last on LEQSELVI, how are you thinking about, I mean, based on your conversation with formulary partners, is market formation becoming a little more easier? How do you think we should think about this product, ramp -up of this product given what w e are seeing on the competitive landscape with one of our competitors sort of slowing down on promotion, a likely new competitor coming in?
Richard Ascroft: Yes. I think there are a couple of things in that question. First of all , we have continued to improve our access position. So as of April 1, we have a majority of access now in the US market. We've continued to expand our testing regimens. So that is another plus. And then I think you're probably referring to a new competitor that may launch.
I think, look, any time there's competition, it's a good thing for patients to have choices. We know that there's still, even with the best products, there's still patients that don't respond. By having another competitor, we do believe that will help grow the market and that, that will not only create opportunities for patients, but it will create opportunities for us as well.
Neha: Understood. That's very helpful. One other question, if I may. If I look at the emerging market business, obviously, there's currency tailwind there. But do you think sema could be a big driver for emerging market growth for Sun Pharma in '27, '28? We have n't talked about too much information there, but just qualitatively, do you think that could be a big driver either this year or next year?
Aalok Shanghvi: Yes. So I think we will certainly look at maximizing the potential, but we will not be able to provide any guidance.

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Neha: Understood thank you so much.
Moderator: Thank you. Our next question comes from the line of Girish Bakhru with OrbiMed. Please go ahead.
Girish Bakhru: Hi thanks for taking my question. Just some commentary on biosimilar STELARA impact, I know it sits in a different channel, but discounts are very heavy, almost going to 90% and there have been significant formulary exclusion of branded STELARA. Has that changed anything for you for ILUMYA in terms of formulary positioning and general commentary on the market share that biosimilar might be taking?
Richard Ascroft: We are seeing some impact of biosimilars changing formulary access, but we've not seen an impact on our business. Keep in mind that Medicare is one of the primary channels through which, through Part B that ILUMYA is reimbursed by, and that has no effect on the Part B reimbursement program.
Girish Bakhru: But there is no cross referencing of pricing, let's say, does it not change gross to net for you in case a cheaper option is available in the other channel,

would Part B not negotiate on that front?
Richard Ascroft: It does not. Part B drugs are not negotiated under that regimen.
Girish Bakhru: Understood. And second one on UNLOXCYT. I know it's still early, but can you share how many accounts have you got on -boarded given this is an IV product ? I'm understanding its positioning will be very different from how LEQSELVI will be marketed.
Richard Ascroft: Thank you for the question. And you're right. The key focus for UNLOXCYT is continuing to work with the, not just infusion centres, but the academic centres as well as the integrated health delivery systems. We're not providing guidance on specifically wh at number of accounts have or haven't signed contracts, but we are seeing good uptake, particularly with cancer centres, and they are, we are seeing repeat purchases from those centres as well.
Girish Bakhru: Just a ballpark, would you be able to tell how many key priority accounts are there? I mean, and how many would you target? Because you last call, you mentioned you will only look for new patients. So, is it something that you would go only with a limited distribution? Or would you actually compare it with other peers how they are done?
Richard Ascroft: No, it's not -- we don't have a limited distribution model because this practice is largely used in institutions, some in the community. So, we have wide access available to any academic or any institution for that matter that wants to use the product. No restrictions.

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Moderator Our next question comes from the line of Abdulkader Puranwala with ICICI Securities.
Abdulkader Puranwala: So, my first question is with regards to your specialty products under development and specifically to MM2, so where we are now planning for a partnership. So exactly, if you could highlight which markets are we looking for this partnership?
And in terms of the front end, what is the kind of field force which would be required for this particular drug with the partner or in select markets like US and Europe?
Kirti Ganorkar: No, I think we have stated this for US market, we are looking for a partner for developing MM2 further.
Abdulkader Puranwala: Okay. And sir, would it be fair to assume that the same would happen for the Type 2 diabetes drug as well once you complete the Phase II?
Dilip Shanghvi: Yes. I think the idea is that in larger market where we will require a large field force to promote, we would look for a partner. In some of the emerging markets and in other geographies, we would look at marketing the product ourselves.
Moderator The next question is from the line of Tushar Manudhane with Motilal Oswal Financial Services.
Tushar Manudhane: Dilip sir, I would like to ask you on this generics business, while there is a great franchisee that has built on the Innovative Medicine portfolio and the R&D scope has been pretty strong. But somewhere the generics business has sort of struggled to grow. Just would like to understand what has been the major reason for this?
Is it the compliance because the R&D has been pretty strong and that could have also led to a generic pipeline while allocating whatever money for the Innovative Medicine. So if you could just highlight what's happening with the generics business?
Dilip Shanghvi: No, I think part of the question you answered yourself is that because of the compliance issue, we haven't been getting approval. And as all of you are aware, generic business is a business where pricing pressure will mean existing product wi

ll lose top li ne every year.
So, I think as we start getting new approval, hopefully, we will start seeing some improvement. But I think the

sales that you see as a growth in emerging markets also in India as well as Rest of the World also are developed by the same R&D team. So, we ar e seeing decent return on investment in terms of the R&D spend.

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Tushar Manudhane: So is there any thinking in terms of -- while maybe the existing sites compliance issue may be probably taking some more time or longer time. So, we sort of build new facility with the, let's say, the latest equipment so that the compliance issues are behi nd and hence, we have a renewed look at the generics business?
Aalok Shanghvi: So, I think -- like we've shared in the past, I think we continue to work on training and upgrading the existing manpower and ensuring that we're at a minimum meeting or exceeding the requirements from a cGMP perspective. And I think the Greenfield facilit y is to address what we foresee as the future requirement to continue to be able to support the business across the world.
Tushar Manudhane: So, are we in the process of setting up Greenfield for US generics specifically is what I was trying to ask?
Aalok Shanghvi: US generics would be a part of the volume that would be manufactured, but it would not be the stand -alone trigger for the Greenfield facility.
Abhishek Sharma: Tushar, we are referring to the Madhya Pradesh plant that is coming up.
Tushar Manudhane: Yes, yes. I mean just conceptually, so I'm just trying to think through that while the compliance issue has sort of impacted our business for a pretty long period of time. But I just wanted to understand that is the generics outlook promising enough that w e can look for a newer facility so that we have a compliance in place and hence, the growth prospects remain strong? Or are we sort of questioning the generics industry prospects?
Dilip Shanghvi: No, we are not challenging -- I mean, changing our view on attractiveness of generic business. And the new facility is not only for compliance, I think it's also to ensure that we have new supply capacity as our volume continues to expand year after year. And as like what Aalok indicated, I think it's a facility being set up for supplying to major global geographies.
Tushar Manudhane: Sure, sir. That's helpful. Just one more, if I may. So, this facility -- sorry for my ignorance. So, this will have what kind of doses in terms of oral solid injectables?
Aalok Shanghvi: Yes. This is a sterile -only facility.
Moderator The next question is from the line of Kunal Dhamesha with Macquarie.

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Kunal Dhamesha: One for Dilip bhai. On the R&D front, we have guided for 6% to 7% as a percentage of revenue. So, in terms of the broader split between the innovation and the generic spending, should we assume it in line with the historical track record of 40%, 60%?
Dilip Shanghvi: So, I think you must have seen that both the last quarter overall R&D spend has grown over the rest of the year, and also the overall percentage of money spent on innovative R&D has also gone up. So, my expe

ctation is that this will continue to be this.
I can't specifically give you a response as to whether it will be 40%, 60%, 45%, what you call 55% or maybe different. But as more and more products get into our development pipeline, the innovative R&D spend will go up.
Kunal Dhamesha: So, let me put it this way, like the percentage spent on or the money spent on innovation divided by innovation revenue that proportion for the last couple of years has gone down, right?
So, is there a strategic emphasis that we want to reinvest certain broad range of percentage of revenue from the innovation business into innovation, especially in our existing molecule? Or is it more of a function of whatever trial comes in or there is a broader strategic emphasis that at least x percentage we want to invest?
Dilip Shanghvi: No, I think, we have an active life cycle management approach for all our innovative products. And sometimes the investment versus return looking at the residual IP rights on the product make it difficult for us to commit large sums because we would have r elatively low residual IP period. So, I think the idea for us is to accelerate our capability to identify and initiate the life cycle management programs faster.

Kunal Dhamesha: Sure. And one for Jayashree, ma'am. On the intangible asset increase, I think is it related to the commercialization of the two molecules and hence, has it increased? So how to think about that? Or is there some milestone payment which we have capitalized?
Jayashree Satagopan: You're right. This is relating to the commercialization of these two molecules.
Kunal Dhamesha: So, let's say, work in progress intangible has been classified as the intangible asset? Is it the correct way to understand?
Abhishek Sharma : For LEQSELVI, yes, and for Checkpoint, yes, it was never under CWIP.
Moderator The next question is from the line of Vishal Manchanda with Systematix Group.

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Vishal Manchanda: In FY27, I think we don't have a large specialty launch. So, is it fair to expect that the operating cost growth will moderate in the current year, and we should see operating leverage kicking in?
Richard Ascroft: I think the -- it's important to sustain launches as well. So, you should expect that we will continue to be investin g in LEQSELVI and UNLOXCYT going forward. It will become part of our base spend. And that's already been factored into our guidance.
Vishal Manchanda: Any time lines with respect to how should we see these launches happening in Europe and other markets, UNLOXCYT and LEQSELVI?
Dilip Shanghvi: I think we are not factoring any sales out of this product in any geographies other than the US this year. If there is, we will guide both for filing as well as approval.
Vishal Manchanda: So, is it these markets are not large enough? Or will we need to do additional trials here and we are probably thinking about it?
Dilip Shanghvi: No, I think sometimes you have to -- the filing itself requires a certain time because you have to recognize that these are products that we license from somebody. So, if the -- and they only wanted to file the product in the US.
So it requires adopting the existing data to recalibrate for different geographies. So, it takes a certain amount of time. We are not taking a view that it's -- the other geographies are not attractive. Because if you see competing products, they do quite we ll in other geographies also.
Vishal Manchanda: Understood. And just on the generic business, do we expect any re -inspections maybe

at
Baska or Halol this year?
Aalok Shanghvi: So, I think the sites operate from a 24/7 audit readiness. I think we would not be able to predict as to when the FDA would audit our sites.
Vishal Manchanda: Okay. And I have one more question on Winlevi, the innovator company has done a trial on androgenic alopecia, and they have got positive data. Does -- would Sun have any right of first refusal here?
Kirti Ganorkar: Since this is a pipeline question, we won't be able to answer it.
Moderator The next question is from the line of Shashank Krishnakumar from Emkay Global.

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S. Krishnakumar: Just wanted to check on LEQSELVI. I think one of our competitors likely to get an approval in Europe for adolescents. I just wanted to check where we are in terms of targeting that patient group. If I'm not wrong, I think they're still in Phase III for ado lescents. Just wanted to check?
And a related question is on Levulan. I think there, again, I think one of our competitors have filed for the sBCC indication. Are there any plans to sort of also try and target that indication with Levulan?
Richard Ascroft: Yes. We do have an active Phase III trial underway for LEQSELVI in adolescents, you're correct. And yes, along with the rest of the portfolio, we -- Levulan, we're actively looking at a number of different potential LCM opportunities.
S. Krishnakumar: Got it. That's helpful. And just one clarification. I think in our opening remarks, we mentioned that this quarter, there was higher spending in the US, which should sort of normalize. So, was this largely launch -related spend in the US?
Jayashree Satagopan: Let me clarify the higher spend is on account of several factors in various

geographies, including the US So, it is not only in the US.
Moderator The next question is from the line of Saion Mukherjee with Nomura.
Saion Mukherjee: I think last year, you guided for around 100 million spend on new product launches, initial promotional spend. So, have we spent that amount? Was it more or less? Can you just -- how much was the spend last year? And how should we think about that going fo rward?
Richard Ascroft: I think it was around that amount. We're not providing exactly what it is, but it was within that range. And you should anticipate that, that just becomes part of our base spend in support of these brands versus a one -off spend.
In order to stay competitive, we need to continue to invest in sales force and marketing, medical affairs activities, patient support activities. In fact, some of those grow as you have more patients.
Saion Mukherjee: Right. My second question is related to tariffs. I think in April, after Section 232 investigation, there was an announcement of tariffs on branded innovation drugs. So, have you made an assessment of whether it impacts Sun in any way, if you would like to quantify or give some color around it?

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Richard Ascroft: Yes. The President did announce in April the resolution of the 232 investigations, laid out a time line for when those tariffs would apply. I think there are two days, one in July and one in September. As you would expect, we're looking at all of the avail able alternatives, and we'll look to mitigate accordingly.
Saion Mukherjee: Do you expect any negative impact because of that?
Richard Ascroft: Not on...
Saion Mukherjee: In fiscal '27?
Richard Ascroft: Marginal impact.
Moderator Our next question is from the line of Damayanti Kerai with HSBC.
Damayanti Kerai: My question is regarding your EBITDA margin trajectory. So, you mentioned you will continue to invest in the new launches of LEQSELVI and UNLOXCYT in the US , etcetera, and you have given R&D guidance. So, moving from, say, fourth quarter base, how should we assume EBITDA margins to move ahead directionally?
Jayashree Satagopan: So, as you know, we do not guide on the margins. However, the expenses relating to UNLOXCYT and LEQSELVI has been factored in the plan for the year.
Damayanti Kerai: So that will be ongoing expense for you?
Jayashree Satagopan: Yes.
Abhishek Sharma: Just to clarify, Damayanti, we are not guiding whether they will be lower, same or higher versus last year. So that's what we are trying to say that last year, we provided an explicit guidance. This year, we are not providing an explicit guidance.
Damayanti Kerai: Sure. And can you indicate your effective tax rate for next year and beyond?
Jayashree Satagopan: Yes. We expect the effective tax rate to be in the range of 25%.
Moderator Ladies and gentlemen, we have no further questions. I would now like to hand the conference over to the management for closing comments.

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Abhishek Sharma: Thank you, ladies and gentlemen. If you have any questions that have remained unanswered today, you can reach out to the Investor Relations team. A very good evening and a happy weekend to all of you. Thank you.
Kirti Ganorkar: Thank you.
Jayashree Satagopan: Thank you.
Moderator Thank you. On behalf of Sun Pharma, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: May 2026

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05 May 2026
National Stock Exchange of India Limited BSE Limited
Scrip Symbol: SUNPHARMA Scrip Code: 524715
Transcript: Sun Pharma-Organon Acquisition Investor Call
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed herewith a copy of the acquisition of Organon business by Sun Pharma investor conference call, which we shall be uploading on our website after sending this letter to you.
This is for your information and record.
For Sun Pharmaceutical Industries Limited
(Anoop Deshpande)
Company Secretary and Compliance Officer
ICSI Membership No.: A23983
Sun Pharma–Organon Acquisition
Investor Call Transcript
08:00 am April 27, 2026
Corporate Office : Sun House, 201 B/1, Western Express Highway, Goregaon (E), Mumbai - 400063
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Sun Pharma–Organon Acquisition
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Moderator: Ladies and gentlemen, good day and welcome to Sun Pharmaceutical Industries Limited Investor Meet . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded.
I now hand the conference over to Dr. Abhishek Sharma, IR and Strategic Project, Sun Pharma. Thank you and over to you, sir.
Abhishek Sharma: Thank you. Good morning and a warm welcome to our investor call to discuss Sun Pharma's announcement regarding signing of definitive agreement to acquire Organon & Company. Today for the discussion, we have with us from the management, Mr. Dilip Shanghvi, Executive Chairman; Mr. Kirti Ganorkar, Managing Director; Aalok Shanghvi, Chief Operating Officer; and Jayashree Satagopan, our Chief Financial Officer.
In the first part today, the management will take you through the investor deck, which is already uploaded on our website and uploaded to the exchanges, as well. We will then open the floor for Q&A.
The discussion today might include certain forward -looking statements and these must be viewed in conjunction with the risks that our business faces. You are requested to ask two questions in the initial round. I also request you all, to kindly send in the questions that may remain unanswered today.

I will now hand over the call to Mr. Dilip Shanghvi.
Dilip Shanghvi: Good morning all of you and thank you for joining this call at such a short notice. I am both very excited and a little bit anxious because I kind of feel that I'm going back to the announcement of the Ranbaxy acquisition. And when I reflect on what is it that we acquired in Ranbaxy, at that point of time, I think we acquired a business which was let's say, 80% size of Sun Pharma, which was actually losing money for close to 20% of dilution of Sun equity.
When we look at Organon, I think Kirti will take you through details of the company --but we are acquiring more or less the same sized company, more or less same size of profitability for more or less 20%, 22% of the company's value or Sun Pharma's value. So the key difference as we see is the relative high level of growth for Sun and no growth for Organon. So I think that as we see is a huge opportunity for us to find a way to grow that business and to ensure that the value depression of that stock, we are able to correct and ensure that Sun Pharma shareholders generate that value.

The other issue which I think I am always concerned about is debt. We have, as you've seen, been a low debt or zero debt or a cash positive company for a very long time. And we will be taking on a significant amount of debt to close this transaction. And I mean it's a large sum of money because the target is large.
However, if we look at the debt in context of the multiples of combined company EBITDA, then I think it's around 2.3 times, not very large by current standards of debt in other companies. However, we will remain focused on finding a way to paying down the debt as early as possible.
The third important issue is, what it does to our dividend payments? We haven't fully reflected on this. However, our internal cash flow calculations have always considered continuing payment of dividend. However, once we clarify this as a position, we wil l share the specific outcome with you.
But I look forward to Kirti walking you through the presentation and also look forward to responding to your questions. Thank you once again.
Kirti Ganorkar: Good morning, everyone and thank you for joining us. Personally, today is a very pride and exciting moment for me and for all of us at Sun Pharma. As I said, this is a historic day in Sun journey as we announce the acquisition of Organon and accelerating Sun's transformation toward becoming a global pharma company.
Today, I will take you through the presentation and also try and explain the Organon acquisition, why it is strategic in nature and how is our plan to grow both companies together? There are initial slides which talks about Sun, I will go through quickly. All of you know like Sun today our revenues are $6.2 billion, we are present in 100 countries, and we are number one in India. And most importantly, we have strong balance sheet with $3.1 billion, as a cash.
Sun's is driven by our core values of Sunology, but what is most important when I look at both the companies together, we are all talking about patients and patient centricity. The idea here is to reach more number of patients and serve them better. What S un has shown in past history is like the execution rigor. We have large product portfolio, our approach is always HCP centric and we have a track record of value creation through M&As.
This is the chart which shows that the M&A deal and key licensing deal done by Sun in past 30 years, starting with the acquisition of Taro in 2010, then we in -licensed ILUMYA, most important was the acquisition of Ranbaxy in 2015, and today we are talking acquisition of Organon in 2026.
Sun Pharma–Organon Acquisition
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I think what I'm trying to highlight here is the revenue and the EBITDA growth during all this journey of say from 2010 to 2025. Our revenue grew by 14.4% and the EBITDA/CAGR is 13%. And both these numbers shows that we are continuously focusing on the gro wth of the company.
What's Organon as a company? It's a strong brand equity and a global commercial footprint. They have a leading position in women's health; number two in contraception and number three in fertility. They have large brands which are very well-established brands, 50 brands established brand out of which 15 brands is large in a scale more than $100 million in sales.

Global commercial footprint is most important highlight, and I will keep talking about it, as I continue to present you about Organon. So they have presence in 140 countries including: US, Europe, China, Canada and Brazil. Six sites across EU and emerging market with a world -class manufacturing complex in terms of manufacturing of the product and the development of some of the complex product.
What is more important is, it's a very stable EBITDA margin of 30% over last five years and they are generating like $1 billion of free cash flow before financing. Organon has a legacy of more than 100 years of developing complex product. One of the best e xample is Nexplanon, another is NuvaRing. And we are also thinking how do we use this ability of Organon to develop some new product going forward.
This is a snapshot of the brands of Organon and most of you must be familiar and you have heard this brand name. What's important here is, the innovative medicine is almost 33% of the revenues of Organon and next big chunk comes from established brands lik e Zetia, Atozet, Arcoxia, Hyzaar, Cozaar. These are well -known names which contributes 55% and what it helps us is also entry into biosimilars and they have today six products in biosimilar, but this portfolio can be grown further.
So when we look at the women's health portfolio, this is a very interesting market. The total global market is $35 billion with a CAGR of 6% to 10% and still there are several unmet needs in women's health and this is, what we can look forward for in -licen sing of the product. So they have a basket of innovative brands, leading position in the US contraception and fertility segment and there is also this portfolio of women's health is very complex to develop and to replicate also.
The second big part of the business is a established brand business. 55% of the Organon revenue comes from established brand. What is most important is they have 15 large brands which contributes more than $100 million in sales and a brand portfolio of mor e than 50 brands. And these are all well -known brands. What we can do is

we can accelerate the growth of Organon's portfolio given a large market potential across therapy areas like cardiovascular, respiratory, bone health and dermatology.
Another interesting thing is Sun's entry into a biosimilar segment. So if you look at Organon's revenue growth over last five years, the biosimilar segment has grown more than 13%. It's a very nice growth. From 2021 the portfolio was $400 million is now gr own to close to $700 million. But the futur

e opportunity is even larger. So as
you can see there are more than $320 billion patented drugs are losing LOE by 2035 which translate into an opportunity of $70 billion potential biosimilar market going forward. So this presence of biosimilar helps also Sun to become a strong commercialization company going forward.
In my opinion this is a transformative opportunity for Sun and we are unlocking new growth opportunities using this platform. And I will explain you each of these things in more details in coming slides. So the first part is about innovative medicines. So Organon strengthens Sun's presence in innovation space. As all of you know we are focusing on innovation today, Sun Pharma's 20% of the sales comes from innovation, but with the addition of both Organon and Sun, the total revenue would be 27% of a combined business.
We will be number three in women's health position and also, we will strengthen our lead in many advanced markets . I think this innovative portfolio, which is in derma, women's health, ophthalmology and onco -derm also gives an opportunity for us to address unmet needs and also look at some of the licensing opportunity in the innovative part of the business. And when I'm saying this licensing opportunit y is basically will help us to grow the business in the most advanced market.
And the established part of the business, that is the established product and established brand will help us to grow in the emerging market. This is about established brand and when I was looking of this slide yesterday, there are large number of brands wh ich talks about from Organon and Sun also has a large brand like Pantocid is our biggest brand. And then we have Levipil, Susten, Serlift and so many other brands.
So both the companies put together, the Organon's established product business and Sun's branded generics become the biggest revenue generator for a combined company . The 51% of the revenue share will come from the established brand. And in India we are very familiar, we have very experienced in scaling up the branded generic business, so that will also helped us to grow the established brand business of Organon going forward.
Now coming to biosimilar which is a new platform for us. We are not present in biosimilar except few products in India, but this is a good commercial platform for us to in -license new biosimilars. So they already have a good

portfolio of biosimilars as an example like Renflexis which is infliximab, Hadlima which is adalimumab, these are two big products in the biosimilar portfolio.
And there is big opportunity as I said earlier almost $320 billion worth of drugs are going off patent by 2035. So we will also in -license biosimilar products so that the entire business of biosimilar which is today growing by 13% can even grow higher in n ext two to three years. If I reflect on my total overall presentation. This is a very key and important slide what we are showing is, what I'm talking about is a commercial platform.
So Organon is present in 140 countries, Sun is present in 100 countries, so total our presence will be more than 150 markets. But what is more important is there are 18 markets where our revenues will be more than $100 million. And some of these markets we are showing you here starting from US, of course India, and more importantly China, Canada, Brazil, Spain, Romania, these are all big markets where the revenues are more than $100 million.
What it helps us also is we will have strong commercial front -end team of 2

4,000 people which will be going and
promoting product to HCPs. And finally helping patients to do better than what they are doing in their life. So this is an opportunity also wher e the in -licensing will help us to promote the large number of product through this commercial front -end team.
Now I'm focusing on one of the market which is key and important for us to highlight is China. Today all of you know we have almost negligible presence in China, but China is a huge market. China has become the world's second biggest market with $150 billi on and it's a market growing by 5% to 7%. So for any company to become global and have a meaningful scale need to have presence in China.
So Organon provides us a scale platform for expansion in China and what is important is the current sales of Organon in China is more than $800 million and they have eight large brands which are also growing in a single -digit. It helps us to take this plat form to the next level and potential to grow further. We can do this in two -three ways, one is to accelerate the growth of the existing established product business.
Then we can also launch Sun's innovative business using this platform which right now we are out -licensing to a partner and we can also use China as an opportunity for in -licensing product for the global market. The combined Sun and Organon creates a busin ess which is a significant in global in scales. I think the combined company's revenues will be $12.4 billion. What's more important the innovative part of the business will from 20% moves to 27%.

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Established brand business including the branded generics in India and many other emerging market is almost 50% of our business. And there are 18 large market which I already talked about where we have a scale which are more than $100 million in terms of r evenues. And what is important is we have a talent, we have 24,000 combined commercial teams which can even accelerate this growth further.
Let me just move to next slide, yes. Now just I will explain you about how does the combined company looks in terms of different business categories. You know, about Sun, the Sun the way we present our numbers is for BGx that is branded generic, generics, API and the innovative business. And the in Organon is a biosimilar is a new area, then innovative business and the established brand.
So when we come to look at the combined company put together, the established brand and the branded generics will become more than 51%. So that become the major part of the business. Importantly I as I highlighted and I'm saying again the innovative part o f medicine becomes 27%, generic become 15% and biosimilar which is one of the growth areas becomes 6% of our total revenues.
In terms of our footprint across the globe, we will have a major expansion and revenues coming from Europe. In addition to that there are 10 markets which will get added where we are not present today. Two of them are very meaningful, China I already talke d to you about China and then second market is South Korea. So the way we can look at these numbers and the way we are talking to you during all the Investor Call is like we present Sun as a US, EM, RoW and India.
And the Organon the way they present number is US, then they have region called LAMERA, then Asia including Japan, China and EU and Canada. Maybe the if you look at the combined company sale then US become the 27% of the sale, emerging market become one of the big market for us with 29% contribution coming from them, India goes d

own to 17%, but ROW which includes Europe and all other market contribute 28%.
So broadly if you look at the sales is coming across the world and now our presence is not highly dependent only on India and US but it is across the globe and that is what will help us also to grow further and the revenues are not dependent on one country or one geography.

Now the next part of the presentation, I will ask Jayashree to take you through. She will talked about the financial number and also what kind of synergy we can generate when we combined both the companies together.
Jayashree Satagopan : Thank you, Kirti and good morning everyone. As we just went through the presentation and looked at the deal rationale, there are several opportunities that present before us which has the potential to create significant future pipeline for growth opportuni ties.

Kirti mentioned about several of them, which could be in terms of using the expanded reach of the combined business of Organon and Sun. It is also about cross -pollinating the products that we have in various markets and more importantly giving us the abili ty to in -license new products which will create new growth opportunities.
There are also significant potential synergies that could come out, which we have highlighted could be in the range of about $350 million which could be materialized in the next two to four years. Added to it is the R&D portfolio where we could look at dev eloping new products and with new technologies.
Obviously the combined entity has a much stronger financial position and as you could see whether it is revenue, the EBITDA or the cash flows, these are going to be pretty healthy. Revenue and the EBITDA moving up by 2x and both the entities together gener ating free cash flows of close to $2 billion, $2.5 billion on an annual basis.
We also see that Sun from a net cash positive position post this acquisition will get into a net debt by EBITDA of 2.3x. However, with the strong focus that we have in terms of continuing to get cash generation, we are confident that we would be able to fo cus and accelerate the debt repayments.
In terms of the transaction overview, this transaction will get closed at $14 per share which represents an equity value of $3.99 billion and an enterprise value of $11.75 billion. The financing is going to be partly out of our own cash surplus which could be in the range of $2 billion to $2.5 billion and the balance would be funded through the committed financing from our banks. Obviously this transaction is subject to approvals from Organon shareholders as well as the customary regulatory approvals and we expect this deal to close in about six to nine month time.
In terms of deal execution and integration planning, we would be submitting the regulatory filings, obtaining the approvals from the shareholders of Organon as well as the relevant regulatory fi llings leading to the target closing which we mentioned subject to the regulatory approvals could take about six to nine month time.
On the integration front, our first priority would be to initiate the integration planning which includes setting up of a integration management office. We will start assessing the organizational capabilities of the combined entities to leverage on the exp ertise of talent across both the companies. Cross -cultural assimilation is extremely important.
We have done this in the past with the Taro and Ranbaxy acquisition and we will evolve a joint ways of working to excel as we go along. While we do a

ll of this, we will keep our eyes to sustain the momentum and deliver in
our existing businesses. Both Sun and Organon has strong values, ethics and ways of working. Together as combined business with patient centricity at the core, we will develop and build on our shared culture.

To sum up, this is an interesting journey for Sun accelerating our transformation toward becoming a large global pharma company. Sun would become top 25 global pharma company which gives us the ability to reaching more people touching more lives. We will b e number one pharma company in four countries, number three in women's health which is in contraceptive and fertility, will be number seven biosimilars. 18 countries will have a scale of more than 100 million revenue, 27% of our revenue coming from our inn ovatives medicines business, 51% of the revenue coming from established brands and branded generics.
We will have more than 150 markets with 24,000 commercial front -end. Living with our core pillars, value -driven growth, patient centricity at our core and execution rigor, we believe this will be truly transformational for Sun.
With that, I would hand it over to our Chairman Mr. Dilip Shanghvi for his closing comments.
Dilip Shanghvi: Thank you, Jayashree. I think we've shared with you both our rationale for acquiring this business as well as where and how we see the acquisition strengthening Sun in future and creating a opportunity

for us to create a truly global innovative pharmaceut ical company. But I welcome questions from you so that we can address any of your queries which will help you understand the transaction better. Thank you.
Moderator: Thank you very much, sir. We will now begin the question and answer session. Anyone who wishes to ask questions may click on the raise hand icon available on your screen. Before asking the questions to the management, please introduce yourself providing y our name and your organization name. Ladies and gentlemen, we will wait for a moment while the question queue assembles.
The first question is from the line of Kunal Dhamesha. Please unmute yourself and proceed with the question.
Kunal Dhamesha: Hi, good morning. This is Kunal from Macquarie Capital. Thank you for taking my question. First question is for Dilip sir. If you could throw some light in terms of the cultural fit of the two organization and how it flows into your integration strategy? And the related question on that is how much of the top management bandwidth would be allocated toward the integration of this acquisition? And in your view, is there any impact of that which you could foresee on Sun Pharma's business? That would be the first question?
Dilip Shanghvi: No, thank you Kunal. I think both very important questions. My belief is that everybody wants to succeed in life. Many times if they're not successful it's not because they don't want to, it's because they don't know how to. When it's in both Taro as well as in case of Ranbaxy, we saw that large number of people given proper direction, encouragement, resources and the confidence that they can take decision and continue to progress turned around both the companies.

So I don't visualize a situation where this is going to be a very different journey. We will first understand what is it that was needed so that this company can become more successful. Because if you look at their performance, they have large number of pr oducts which are $100 million plus globally. So this is a company which knows how to establish brands and to continue to sell them at a significant premium even when there are multiple generics which are available.
So we will leverage and understand what is their strength rather than imposing what we think is the right way to do things because there are many ways to succeed in life. And our experience both in Ranbaxy as well as in Taro has been that it's a journey where you learn from acquired company and also transfer some of your operating processes.
So, I'm reasonably confident that we should be able to achieve this because if we could achieve transformation in Ranbaxy because I see that what we acquired was a company which was losing money, I think you don't see that separate in our profitability in Sun 's consolidated statement. But I know that the businesses which were at one point of time Ranbaxy are not very different in terms of overall profitability compared to the Sun part of the business. What was the second question?
Kunal Dhamesha: Management bandwidth.
Dilip Shanghvi: So I think like both Kirti and Jayashree explained in the presentation, we will be forming a integration management office which will both manage the integration as well as manage the transition. There will be a certain amount of time that of senior manage ment which will be spent on this.
However, what I'm excited about is the opportunity to be able to also strengthen the existing management capability of Sun because we will have a large number of performing managers coming in from Organon. And also as a combined company, I think our abilit y to hire future talent will also go up. So, I'm kind of quite excited to what you call transform the company.
Kunal Dhamesha: Thank you sir for the detailed answer. The second one is for the Jayashree ma'am and again there are two parts to it. One on the synergies estimate that you have shared of around $350 million. If you could share more details between the revenue as well as cost driver side of it, I mean in terms of, let's say, on cost side procurement synergies, manufacturing network optimization synergies, some of those details would help.
And the second part of the question would be on the cost of debt. So what is the current weighted average cost of debt that we will be inheriting from Organon and will the current debt would require refinancing? And if yes, then how does the cost of debt m ove from where it is now? Thank you.
Sun Pharma–Organon Acquisition
Investor Call Transcript
08:00 am April 27, 2026
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Jayashree Satagopan: Thank you Kunal. As far as the synergies are concerned, as I mentioned the $350 million estimated is purely on the cost front where we think there are multiple opportunities that one could look at. We have opportunities in terms of procurement, there could be opportunities in terms of people working together, there could be opportunities also in terms of certain supply chain front.
So these all are initial estimates, as we go along and we fine -tune these, we would be in a position to share further detail. As far as the debt is concerned, currently the debt profile of Organon, they have a gross debt of about $8.5

billion and cash of c lose to $900 million. The net debt is having an interest charge of about 5.

5%.
It is there are certain long -term debts in the nature of bonds and as we get to the closing our intent is to see if we could work with the lenders for swap of some of these and we would also look at financing it through our own bankers. At this point in ti me, as we go through the credit rating, we believe our credit rating would be substantially higher than that of Organon's and therefore it should give us the ability to have a good cost of financing comparably.
Kunal Dhamesha: Sure. Thank you and all the best. I have more question , I'll join back the queue.
Moderator: Thank you. We'll take the next question from Damayanti Kerai. Please unmute yourself and proceed with your question.
Damayanti Kerai: Hi, good morning all. Thank you for the opportunity. My first question is I want to understand your revenue drivers for innovative portfolio and biosimilars. So you mentioned in -licensing assets will play a key role to support growth for both the segments .
So what kind of roadmap you have in terms of acquiring or in -licensing assets to support growth and in absence of any in -licensing assets what's your comfort on the growth for these two segments? So that's my first question. Thank you.
Kirti Ganorkar: No, thank you for your question. I think in my presentation I focused on innovative part of the business which is growing from 20% to 27%. But what is important is how this business will grow in future and as I said there are good amount of licensing oppo rtunities because Organon is number three in women's health including both contraception and fertility.
And if you notice on the slide what we said there are more than 100 assets under development in women's health and there is lot of unmet need at a patient level. So this gives an opportunity for us to in -license product which are close to market or which a re into different phases of clinical studies. That is regarding the women's health.

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At the same time, they also have a innovative portfolio, so they have product called VTAMA which is promoted to dermatology and they also have product called Emgality which is a migra ine product which is also promoted in Europe.
So if you look at the total basket of innovative product between Sun and Organon, this will continue to grow. We may have to do some of the in -licensing. If you don't do in -licensing then you know like the innovative part of Sun is growing, but the same ki nd of growth is not there on Organon side.
So our effort has always been how do we grow the business to next level from where we are and how do we use the current platform including people and talent to grow the business further. So in -licensing will become a part of our strategy and with in -licens ing and some product what we are developing in -house would also help us to sell them through this global platform.
Damayanti Kerai: Sure. Thanks for that. And my second question will be on the biosimilars portfolio which has come to you. So in the past we understand you have been always assessing this segment, but not moved in. So now with six biosimilars portfolio coming in and you m entioned it's a good growing segment, what will be your key strategy to really grow this business and what kind of investment do you foresee for the segment? Yes, that's my second question. Thank you.
Kirti Ganorkar : Maybe Alok, you want to answer?
Alok Shanghvi: Yes, sure. So in terms of the biosimilars business, I think our view is that there will be several opportunities for us to be able to in -license

assets pre -LOE so that we are able to leverage the commercial footprint
that the combined entity will present.
Damayanti Kerai: Okay. If I may add, I think in the past Sun's management indicated the challenges which biosimilars face on the reimbursement part. So what's your view on reimbursement and competition dynamics in the US specifically?
Alok Shanghvi: So I think the market continues to evolve. I wouldn't say that the market has sort of settled down. I think there continues to be a change in the, let's say, regulatory environment from a approval perspective and there also continues to be dialogue in ter ms of one the interchangeability of the products in the commercial environment and how that would play out in the future.
So the market continues to evolve, but now that we would have a commercial footprint, our view is that you know we will continue to leverage that and license more products.

Damayanti Kerai: Okay. Thank you. I will get back in the queue for more questions.

Moderator: Thank you. The next question is from Neha Manpuria. Please unmute yourself and proceed with your question. Ms. Neha please proceed. As there is no response we will move on to the next question. Surya Patra, please unmute yourself and proceed with your question.

Surya Patra: Yes, thank you. Thanks for this opportunity and congratulations for the great transaction, sir. My first question is on the R&D capabilities that we are having from Organon. So what is the nature of R&D that they are currently having because we know that the roots of R&D with Organon comes from Merck. So here whether it is a branded, generic kind of R&D capability or it is the innovative R&D capability and is there any scope for rationalization of the R&D spend there?

Dilip Shanghvi: No, I think if I look at Ilumya actually was discovered by Organon. And it went to Schering Plough and then from Schering Plough went to Merck and then finally we licensed it. So we have to go back to the roots. I don't think that capacity exists, but the skill set and capability existed at some point of time.

So we have to look. But what we are sure of is the capability to do development on some of the very long acting product because Nexplanon if you see is a long acting contraceptive which is continuing to work up to now 5 years and they are continuing to do the study so that the life can be further extended.

So this technology can potentially be applied to many other drugs and diseases, which are chronic in nature, at the same time are let's say can be managed with very highly potent drugs. So you don't have to load a large amount of drug into the device. So we see a opportunity to bring some of these kind of products to market in the short term.

Surya Patra: Sure, sir. Second question is on the synergy that we have mentioned, whatever $350 million flowing largely from cost side. On the revenue side are we considering that we can best in the near term maintain the revenues what what Organon is currently generating or any reason that we are not highlighting the scope of any synergy benefit flowing from the revenue side and what is the scope of this cross -selling opportunities that we can have? So if you can talk little bit on that front?

Kirti Ganorkar: I think I'm more excited about the sales synergy, yes . And because both the companies and the global platform will give us lot of sales synergy on both the side. As an example like you know Sun develops many complex generics in Europe market, but we d

on't have a front -end, retail front -end to market those pr oducts.

So there is a good sales synergy in terms of selling the Sun's portfolio using Organon as a platform and good examples are like Europe market, some of the emerging market. At the same time Organon also has a very well established product business, innovati ve business which we can also sell through Sun's network.

So both the side I can look at. This is on the existing product. At the same time Sun is also developing many complex generic product, which can also be sold through this platform. So on sales side there is a good synergy.

I think we have not given number because these are all initial days and we would like to do a careful evaluation of what kind of sales synergy we can generate.

But broad idea is to grow the business. A s you know the Organon is growing business for 1% to 2%, but with the sales synergies can be grow business to the next level. And as we work closely with Organon when the transaction is closed we will have greater idea about these sales synergies.

Surya Patra: Sure, sir. Great. Wish you all the best, sir. Thank you.

Kirti Ganorkar: Thank you.

Abhishek Sharma : In the interest of time can we just take one question per participant I can see a long queue here.

Moderator: Yes, sir. A request to all the participants maybe only limit your questions to one per participant. The next question is from Vivek Agarwal. Please unmute yourself and proceed.

Vivek Agarwal: Yes, thanks for the opportunity and congratulations on the transaction. Sir, if we look at established brands, right, so it is more like all the products are genericized and not growing and seeing some kind of a structural decline. And you are talking abo ut that applying Sun Pharma's branded generic playbook to grow sales of these brands further, right. So can you explain that what kind of the growth you are looking in these brands, what was the challenge especially in this business that Orga non was facing and how you are going to change this particular business in terms of growth trajectory? Thank you.

Kirti Ganorkar: I think good question what you're asking is, yes. So there are two things to this, one is the established product business and as what Dilip bhai said in spite of large number of generics they are able to maintain their market share and they are also able to command a premium price.

As an example if some of the product I look at in China for a brands there are 20, 30 generics, but still they are able to maintain 20%, 30% market share. So that means there is a brand value in each of these markets and there

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is a brand equity. Now where do we bring the next level of growth in established product business is to come with the new ideas.

So there are we have good number of ideas based on our previous experience in developing branded generic business is on a line extensions. So some of these products will go through clinical studies, some of these product can be approved based on bioequival ence studies, but some of these line extension would help us to grow this established product to the next level.

And we

have some thought about it, but it will take some time for us to develop and commercialize this product. This can be line extension of existing established product and there can be ideas even combining two products together. So when I look at and pu t these two things together, I'm hopeful that the established product business which is stagnant today and not growing will also turn around and will start showing some single digit growth, yes.

Vivek Agarwal: Yes, perfect. Thanks.

Moderator: Thank you. The next question is from Vishal Manchanda. Please unmute yourself and proceed with your question.

Vishal Manchanda: Hi, good morning and thanks for the opportunity. On Nexplanon, would you kind of want to rate this in terms of the complexity by your experience like would this be the most complex generic and would you expect a generic to come in by 2030 when the patent expires?

Kirti Ganorkar: I think what you need to appreciate is now we just announced the deal and Nexplanon is also Organon product. So till the deal close, we will not be able to comment on Nexplanon or Nexplanon generics, yes. Only thing I would say it's a complex product to d evelop, yes.

Vishal Manchanda: But would this be one of the most complex or like comparing it to NuvaRing, would this be much more complex than that?

Kirti Ganorkar: It's difficult to say. As you know NuvaRing there are generics and the complexity of each product depends on how you look at the complexity also. So I would not say this is the most complex product, yes.

Vishal Manchanda: Thanks. And just one more if I can. Any any guidance in terms of the cumulative milestone payment that you would need to for the in -licensed products like VTAMA and a recently in -licensed contraceptive

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product that you would expect over the next three -four years on top of the upfront payment you made for the acquisition?

Jayashree Satagopan: So these are all part of the long -term plan, financial plan of Organon. At this point in time, we will not be able to comment, but this has been factored in the valuation.

Vishal Manchanda: Thanks.

Moderator: Thank you. The next question is from Shyam Srinivasan. Please unmute yourself and proceed, sir.

Shyam Srinivasan: Good morning, thank you for taking my question. Just one again on the financials. How should we look at EPS accretion in the first full year of closing of this transaction? Ma'am, I think you talked about interest cost and stuff, so if you could give us s ome guidance on EPS accretion please?

Jayashree Satagopan: So we believe this will be EPS accretive from the beginning.

Shyam Srinivasan: You mean in the first 12 months of the closure of the transaction? Sorry if you could clarify.

Jayashree Satagopan: Yes, yes.

Shyam Srinivasan: Okay. And what are the assumptions we're making? Does it require FTC related divestments? Sorry, in the six to nine months I was not sure whether there is some divestment required. Even there's a footnote in the presentation which talks about our own prop osed divestment of some products. So if you could clarify all that? Thank you.

Kirti Ganorkar: No, I think what I have not covered through my presentation is there is a negligible overlap between Sun and Organon. It's a very negligible and the few product which we may have to divest, but other than

that there is no major divestment required for the for the business going forward. And yes, it is the EPS accretive from day one, yes.
Abhishek Sharma: Shyam, the footnote that you are mention

ing relates to divestment of an Organon product which they have already done.
Shyam Srinivasan: Okay. Fine. Okay. Thank you, thank you Abhishek. All the best.
Moderator: Thank you. The next question is from Neha Manpuria. Please unmute yourself and proceed.
Neha Manpuria: Yes, hi. Am I audible now?

Moderator: Yes, ma'am. Please proceed.
Neha Manpuria: Okay, sorry about the last time. Just one quick question. You know in terms to revive growth for Organon, besides in -licensing, do you think there would be more investment required you know, either on the biosimilar commercial side or let's say for VTAMA given how competitive that segment is? Have we come to a number in terms of this would be the incremental investment that would be required to revive growth?
And you know does given the net debt is at 2x to 2.3x, does this then you know, limit the more acquisitions that we could do on the specialty side for Sun Pharma or for the combined entities, you know, for the next two -three years till the time we consolid ate Organon?
Kirti Ganorkar: As I said, this would require in -licensing of product. A nd we will also look at in -licensing of product which are closer to market and it means that we will also need to invest in in -licensing of these products as we commercialize them. But your specific question like VTAMA they already have commercialized this product. And it's a dermatology product, so it's complemented with our portfolio in the US.
So like that for in -licensing opportunities, we may have to invest. Now what do we do and when do we do next transaction, I don't think we can comment it right now. But we keep on looking at the opportunities which require our business to grow to the next level. That's what I can say, yes.
Neha Manpuria: Thank you so much sir.
Moderator: Thank you. The next question is from Shashank Krishnakumar. Please unmute yourself and proceed.
Shashank Krishnakumar: This is Shashank from Emkay Global. Thanks for taking my question.
Moderator: I am sorry sir. Your audio is not clear sir. We request you to directly speak in your device please.
Shashank Krishnakumar: Yes. Is this better?
Moderator: Yes, sir. Please continue.
Shashank Krishnakumar: Yes. Thanks for taking my question. I just wanted to understand the thought process behind the change in terms of acquisition footprint. I think at least over the last few years what we have seen is the -- idea was…
Moderator: I am sorry sir. Your audio is not clear still.
Sun Pharma–Organon Acquisition
Investor Call Transcript
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Shashank Krishnakumar: Hello.
Moderator: Sir you may continue.
Shashank Krishnakumar: Yes. Yes. Just wanted to understand the change in terms of this acquisition blueprint. At least over the last few years. What we have been looking at is sub -$500 million kind of assets with ticket size acquisitions. Of course with this acquisition we'll b e adding a company of Sun's similar scale. So wanted to understand what sort of prompted that change in terms of that strategy.
And also related question is I think historically what we have been also pointing to is, some of our larger innovator peers have had that head

start in the US commercial channel. So does this acquisition now provide that scale to also sort of break into th at channel? Medicare of course is one channel which we have cracked. So does this acquisition also offer a scale to crack that commercial channel? Thanks.
Dilip Shanghvi: No, I think we've consistently maintained that we want to strengthen our capability to develop and strengthen our innovative product business. Organon gives us a what you call global reach both whenever we license or buy a company to launch the product in multiple geographies ourselves so that we can capture the full value. So I think the idea is to strengthen our ability to become a partner of choice.

At the same time have enough cash flow and ability to invest in business. So as I said, I think priority is to find a way to repay the debt using the surplus cash flow, but along the way if we get some interesting close -to-market product, we will look at t hose opportunities. I think we believe that with the strong cash flow with combined company will generate, it will significantly strengthen our ability to become a more important global player. Kirti you can respond to the…

Alok Shanghvi : So I mean I think each product will have its own challenges and own opportunities, right. I think so to that extent I don't think we can generalize saying that you know, let's say we've cracked a channel so to say.

Shashank Krishnakumar: Yes, sir. Thank you and all the best.

Moderator: Thank you. The next question is from Alok Dalal. Please unmute yourself and proceed.

Alok Dalal: Yes, good morning and congratulations on the transaction. Just one question, Dilip Bhai, based on your experience with Ranbaxy, what are the key learnings that can be used to integrate Organon?

Dilip Shanghvi: No, I think openness to understand the strength of the acquired company because it's human nature to think that because you are acquiring a business you know, more and you know, better. We've seen that there are strengths in all the companies. So get into the acquisition with an open mind, look at the challenges that the business faced, their strengths as well as weakness. And help them overcome their weakness and find a way to leverage their strength. I think everybody given an opportunity to contribute and perform generally does very well.

Alok Dalal: And with Organon, will it be the second year in which most of the synergies should start to materialize?

Jayashree Satagopan: It will take a period of two to four years to get the full potential of the synergies.

Alok Dalal: Sure. Thank you and all the best.

Jayashree Satagopan: Thank you.

Moderator: The next question is from Kunal Dhamesha. Please unmute yourself and proceed.

Kunal Dhamesha: Hi, thank you for the opportunity again. One question for Kirti sir on the cross -selling opportunity that you have highlighted. And what I can see that lot of our specialty products are yet to be launched in large ex -US markets like Europe, China etc., wh ich is where we get the commercial infra.

So in order for us to kind of capitalize fully on this opportunity, would we start the let's say the processes that need to be done, right, the filing in these geographies etc. right now with the expectation that whenever this acquisition closes we'll be a ble to launch or would we wait for the acquisition to close and then kind of you know, accelerate those final developments?

Kirti Ganorkar: No, good I think it's interesting observation what I see. I will use ILUMYA as an ex

ample,

like you know now ILUMYA we have registered in more than 35 countries and still we are not present globally the way the Organon will have footprint across 140 countries, still an opportunity for ILUMYA to registered in large number of countries.

As an example like we don't have any footprint in South Korea. And South Korea is also one of the interesting market for product like ILUMYA and our innovative business. So we can start the process of registering the product and post close transaction you can commercialize the product using the commercial vehicle what we have we will get through Organon.

Sun Pharma–Organon Acquisition
Investor Call Transcript
08:00 am April 27, 2026

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So like that each of our innovative portfolio which has not been scaled up to global level, there is a opportunity for us to scale it to those levels . We'll enter 10 new markets where we are not present today and most importantly we will do it through our own field force and through our own company that would also help us going forward.

So, I'm just using ILUMYA as an example, but there will be an opportunity for all products whether it's Leqselvi, Unloxcyt , all our innovative products to be commercialized in large number of countries going forward.

Kunal Dhamesha: Sure sir, thank you. And the last one from my side as Dilip Bhai mentioned that there is a good opportunity to bring that technology of long -term acting product into the market in a very short term. My understanding on that was this is a technology probab ly licensed from Merck. So with Organon do we get a license to use this for other products, is that our understanding?

Dilip Shanghvi: No, I think it's a Organon technology. It's a contraceptive developed in-house . So it's not a Merck technology.
Kunal Dhamesha: Okay, great. Thank you for that clarification and all the best.
Dilip Shanghvi: Thanks.
Moderator: Thank you. The next question is from Kunal Lakhan. Please unmute yourself and proceed.
Kunal Lakhan: Yes, hi. Thanks for taking my question. So just to understand this on the revenue side, so organic growth of Organon should we expect it to remain in the in the flattish range that we have seen in the past and to grow the business to say mid -to-high singl e digit, we would be depending essentially on the in -licensing deals? Is that understanding correct?
Dilip Shanghvi: No, I think what Kirti said is that the focus is on execution. So if you look at other companies which are in established product business like Abbott or many of the European companies which have products for which the main compound patents have expired, Recordati, and there are many other companies. So I think the idea is to learn from these companies, understand what is it that they do differently and find a way to grow the business.
So I don't think that it's linked to any particular things whether licensing or this, even a better execution can help us in terms of improving the growth. So many things say like sometimes investment in marketing can help us in growing .
Kunal Lakhan: Sure, thank you.

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Dilip Shanghvi: Thank you.
Moderator: Thank you. The next question is from Vishal Manchanda. Please unmute your

self and proceed.
Vishal Manchanda: Thanks for the follow -up. On established product portfolio in China, has the impact of volume -based pricing already kind of in the numbers and…
Abhishek Sharma : Yes, if you would go through Organon disclosures, you would see that majority of their EB portfolio in China has already undergone VBP, so that impact is already factored in.
Vishal Manchanda: Got it. Thank you.
Moderator: Thank you. The next question is from Alankar Garude. Please unmute yourself and proceed.
Alankar Garude: Hi, good morning everyone. Just one question. Dilip Bhai, over the years you would have evaluated several assets from an acquisition standpoint. Now while Organon offers scale as you and Kirti sir mentioned, you will have to work on growth. In that contex t, what was the single biggest reason that made you bid for Organon and can you elaborate on that reason?
Dilip Shanghvi: No, I think if you look at numbers, it's very self -explanatory. Two different companies with similar top line and actually their EBITDA is higher than Sun, one valued at close to $10 billion, the other in excess of $40 billion. The key difference is the g rowth. What I think as a company we've demonstrated is our ability to find a way to grow the business.
So, if we apply the same logic, the kind of value creation that we can do for the combined company available to Sun, say because one of my biggest concern has been that Ranbaxy transaction we did for stock and thereby diluted Sun shareholders by almost 15%. I f we had done either a stock -cash deal or only cash deal.
So this time we decided to do a cash deal. There is a certain amount of debt that we're taking, it's within the safety margin of what people consider to be safe and with an intention to repay the debt. So, I think if you look at the numbers part of the sto ry reveals itself.
Alankar Garude: Just one follow -up there. If I look at the growth profile and especially the pipeline of Organon seems to be a bit sparse. You mentioned about the licensing opportunities as well as the global commercial footprint. So when you say that the endeavour is to pick a lead, a higher growth in Organon, is it going to be more of a long -term effort or do you see growth picking up in Organon over the next few years?

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Dilip Shanghvi: I think that is the reason why Kirti has not given details about future growth potential, because we need to do a much more detailed analysis, but I think as a company we invest in long -term value creation, so we're not looking at everything in terms of s ix month, one year. But longer term I think we see huge opportunity to transform the company.

Alankar Garude: Got it sir, that's it from my side thank you and all the best.
Moderator: Thank you. The next question is from Divyaxa Agnihotri. Please unmute yourself and proceed.
Divyaxa Agnihotri : Hi sir, am I audible?
Moderator: Sir, please proceed.
Divyaxa Agnihotri : Just one question around any considerations for the tariffs considering that Organon . Has there been any strategy to sort of between Organon and the US tariffs?
Moderator: Mr. Agnihotri we couldn't hear you clearly. Can you please repeat your question? Sir please repeat your question.
Divyaxa Agnihotri : So my question was just around considerations for the US, yes just around that. Any comments?
Abhishek S harma: You know, if I understood your question correctly, I think you're talking about the implications for, of US tariffs on Organon's portfolio. So I think, Organon manageme

nt hasn't spoken about that
in public, so since it's still a listed company we would def er or direct you to Organon's management to answer that question.
Divyaxa Agnihotri : That's all from my end. Thank you.
Moderator: Thank you. The next question is from Saion Mukherjee. Please unmute yourself and proceed with your question.
Saion Mukherjee: Yes, thanks for taking my question. You know just one question on the, if you can share like what kind of employee strength that Organon has, any indication how it's split between manufacturing, R&D and commercial front -end or geography wise? And I was wondering like this company was spun off not long back and you know they had their own challenges. Do you have any sense of the level of attrition that Organon is facing currently and is that something you need to address to stabilize the business?

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Abhishek Sharma: So we have disclosed and of course Organon has also disclosed that there are about 10,000 employees out of which 4,000 is in the field force. And these are spread across geographies including commercial field force which is marketing their innovative, bio similars as well as established products across geographies.
Saion Mukherjee: And any comment on attrition?
Dilip Shanghvi: Comment, what I think Abhishek has been trying to say is that as a public company, it would not be appropriate for us to share something. However, all the questions that you're asking related to Organon and also cost and future cost I think have been part of our diligence and our valuation exercise.
Saion Mukherjee: Thank you.
Abhishek Sharma: We'll take the last question.
Moderator: Thank you. This will be the last question for today from Vishal Manchanda. Please unmute yourself and proceed with your question.
Vishal Manchanda: Just a clarification on amortization. Would that be almost in the same line as it is today? Post transaction?
Abhishek Sharma: I think we will be able to address that at closing. Specifics on financials and how numbers would stack up. Right now we have given pro forma numbers. But how the numbers would actually see stack up may be, I think we will be better placed to address those at closing.
Vishal Manchanda: I asked this so, because your transaction value is almost the same as the balance sheet value of Organon. So logically should we assume our amortization to be the same number as it is today?
Abhishek Sharma: Just wait for, I mean for us to be in a better position to address that question at closing.
Vishal Manchanda: Thank you.
Moderator: Thank you. As that was the last question for today, I would now like to hand the conference over to Dr. Abhishek Sharma for closing comments. Thank you and over to you, sir.
Abhishek Sharma: Thank you for participating in our investor meet at such a short notice and for very interesting questions. We enjoyed the interaction. If you have any unaddressed questions, you may reach out to the investor relations team and we will be happy to take yo ur question. Thank you.
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Moderator: Thank you members of the management. On behalf of Sun Pharmaceutical Industr

ies Limited, thank
you for joining us and you may exit the meeting now. Thank you.